OFFICIAL STATEMENT DATED JULY 9, 2013

$12,265,000
City of Gresham
Multnomah County, Oregon

$4,655,000 Full Faith and Credit Project and Refunding Obligations, Series 2013B (Tax-Exempt)	$7,610,000 Full Faith and Credit Obligations, Series 2013C (Federally Taxable - Qualified Energy Conservation Bonds – Direct Payment)

DATED: July 30, 2013 (estimated "Date of Delivery") **DUE: July 1, as shown on the inside cover**

THE 2013B OBLIGATIONS— The $4,655,000 Full Faith and Credit Project and Refunding Obligations, Series 2013B (Tax-Exempt) (the "2013B Obligations") represent undivided ownership interests in the principal and interest payments (the "2013B Financing Payments") due from the City under the terms of a tax-exempt financing agreement between the City and the Escrow Agent (the "2013B Financing Agreement").

THE 2013C OBLIGATIONS— The $7,610,000 Full Faith and Credit Obligations, Series 2013C (Federally Taxable - Qualified Energy Conservation Bonds – Direct Payment) (the "2013C Obligations") represent undivided ownership interests in the principal and interest payments (the "2013C Financing Payments") due from the City under the terms of a federally taxable financing agreement between the City and the Escrow Agent (the "2013C Financing Agreement").

MOODY'S RATING—"Aa3." See "Rating" herein.

PURPOSE— The 2013B Obligations are being issued to refinance certain outstanding obligations of the City, purchase equipment and to finance new capital projects. The 2013C Obligations are being issued to finance new capital projects. See "Purpose and Use of Proceeds" herein.

BOOK-ENTRY ONLY SYSTEM— The 2013B and 2013C Obligations (collectively, the Obligations") will be issued, executed and delivered in fully registered form under a book-entry only system and registered in the name of Cede & Co., as owner and nominee for The Depository Trust Company ("DTC"). DTC will act as initial securities depository for the Obligations. Individual purchases of the Obligations will be made in book-entry form, in the denomination of $5,000 or any integral multiple thereof. Purchasers will not receive certificates representing their interest in the Obligations purchased.

PRINCIPAL AND INTEREST PAYMENTS—The interest component of the 2013B and 2013C Financing Payments (collectively, the "Financing Payments") evidenced and represented by the Obligations is payable on January 1, 2014 and semiannually thereafter on July 1 and January 1 of each year to the maturity or earlier prepayment of the Obligations. The principal and interest components of the Financing Payments evidenced and represented by each series of Obligations will be payable by the City's paying agent, registrar and escrow agent, initially U.S. Bank National Association (the "Escrow Agent"), to DTC which, in turn, will remit such Financing Payment to the DTC participants for subsequent disbursement to the beneficial owners of the Obligations at the address appearing upon the registration books on the 15th day (the "Record Date") of the month preceding a payment date.

MATURITY SCHEDULE—SEE INSIDE FRONT COVER

PREPAYMENT—The Obligations are subject to prepayment prior to their stated maturities as further described herein.

SECURITY— Each Financing Agreement obligates the City to make the Financing Payments from any lawfully available funds of the City including any general property taxes levied by and for the County within the restrictions of Sections 11 and 11b, Article XI of the Oregon Constitution. The City has pledged its full faith and credit and its taxing power to make the Financing Payments, and the obligation of the City to make the Financing Payments is not subject to appropriation. The Owners of the Obligations do not have a lien on or security interest in property of the City. The Obligations do not constitute a debt or indebtedness of Multnomah County, the State of Oregon, or any political subdivision thereof other than the City.

TAX MATTERS— *In the opinion of Hawkins Delafield & Wood LLP, Special Counsel to the City ("Special Counsel"), under existing statutes and court decisions and assuming continuing compliance with certain tax covenants described herein, (i) the portion of the payments made under the 2013B Financing Agreement designated and constituting interest received by the holders of the 2013B Obligations ("Tax-Exempt Interest") is excluded from gross income for Federal income tax purposes pursuant to Section 103 of the Internal Revenue Code of 1986, as amended (the "Code"), and (ii) Tax-Exempt Interest is not treated as a preference item in calculating the alternative minimum tax imposed on individuals and corporations under the Code; such Tax-Exempt Interest, however, is included in the adjusted current earnings of certain corporations for purposes of calculating the alternative minimum tax imposed on such corporations. In the opinion of Special Counsel, the portion of the payments made under the 2013C Financing Agreement designated and constituting interest received by the holders of the 2013C Obligations ("Taxable Interest") is not excludable from gross income for federal income tax purposes under existing law. In the opinion of Special Counsel, Tax-Exempt Interest and Taxable Interest is exempt from State of Oregon personal income tax under existing law. See "Tax Matters" herein.*

DELIVERY—The Obligations are offered for sale to the original purchaser subject to the final approving legal opinion of Special Counsel. It is expected that the Obligations will be available for delivery to the Escrow Agent for Fast Automated Securities Transfer on behalf of DTC, on or about the Date of Delivery.

This cover page contains certain information for quick reference only. It is not a summary of the issue. Investors must read the entire Official Statement to obtain information essential to the making of an informed investment decision.

City of Gresham
Multnomah County, Oregon

DATED: Date of Delivery **DUE: July 1, as shown below**

MATURITY SCHEDULE—

$4,655,000 Full Faith and Credit Project and Refunding Obligations, Series 2013B
(Tax-Exempt)

Due July 1	Amounts	Interest Rates	Yields	CUSIP® 397730	Due July 1	Amounts	Interest Rates	Yields	CUSIP® 397730
2014	$ 315,000	4.000%	0.500%	QE5	2024	$ 40,000	3.250%	3.350%	QQ8
2015	350,000	4.000	0.750	QF2	2025	40,000	3.500	3.500	QR6
2016	365,000	4.000	1.100	QG0	2026	40,000	3.500	3.650	QS4
2017	380,000	4.000	1.450	QH8	2027	40,000	3.750	3.800	QT2
2018	395,000	4.000	1.750	QJ4	2028	45,000	3.750	3.900	QU9
2019	440,000	4.000	2.100	QK1	2029	45,000	4.000	4.000	QV7
2020	465,000	4.000	2.360	QL9	2030	45,000	4.000	4.100	QW5
2021	480,000	4.000	2.650	QM7	2031	50,000	4.125	4.200	QX3
2022	495,000	4.000	2.900	QN5	2032	50,000	4.250	4.300	QY1
2023	520,000	4.000	3.100	QP0	2033	55,000	4.250	4.400	QZ8

$7,610,000 Full Faith and Credit Obligations, Series 2013C
(Federally Taxable – Qualified Energy Conservation Bonds – Direct Payment)

Due July 1	Amounts	Interest Rates	Yields	CUSIP® 397730	Due July 1	Amounts	Interest Rates	Yields	CUSIP® 397730
2014	$ 345,000	0.750%	0.750%	RA2	2019	$ 375,000	2.650%	2.650%	RF1
2015	380,000	1.000	1.000	RB0	2020	375,000	3.050	3.050	RG9
2016	380,000	1.400	1.400	RC8	2021	375,000	3.250	3.250	RH7
2017	375,000	1.850	1.850	RD6	2022	375,000	3.450	3.450	RJ3
2018	375,000	2.250	2.250	RE4	2023	375,000	3.650	3.650	RK0

$755,000 4.000% Term Obligation due July 1, 2025 @ 4.000% Yield; CUSIP No. 397730RL8
$760,000 4.300% Term Obligation due July 1, 2027 @ 4.300% Yield; CUSIP No. 397730RM6
$775,000 4.500% Term Obligation due July 1, 2029 @ 4.500% Yield; CUSIP No. 397730RN4
$785,000 4.650% Term Obligation due July 1, 2031 @ 4.650% Yield; CUSIP No. 397730RP9
$805,000 4.850% Term Obligation due July 1, 2033 @ 4.850% Yield; CUSIP No. 397730RQ7

City of Gresham

1333 NW Eastman Parkway
Gresham, OR 97030
(503) 661-3000

City Council

Shane Bemis	Mayor
Karylinn Echols	Council President
Josh Fuhrer	Councilor
Jerry W. Hinton	Councilor
Michael McCormick	Councilor
Mario Palmero	Councilor
Lori Stegmann	Councilor

Administrative Staff

Erik Kvarsten	City Manager
Bernard Seeger	Finance & Management Services Director
Mark Tolliver	Debt Management Analyst

Special Counsel

Hawkins Delafield & Wood LLP
Portland, Oregon
(503) 402-1320

Financial Advisor

Seattle-Northwest Securities Corporation
Portland, Oregon
(503) 275-8300

Escrow Agent, Paying Agent, and Registrar

U.S. Bank National Association
Portland, Oregon
(503) 275-5708

Certain information contained herein has been obtained from the City and other sources which are believed to be reliable, but the accuracy or completeness of such information is not guaranteed and such information is not to be construed to be a representation of the City, or Seattle-Northwest Securities Corporation (the "Financial Advisor"). The Financial Advisor has reviewed the information in this Official Statement in accordance with, and as a part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information. Neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the parties referred to above since the date hereof.

The CUSIP® numbers herein are provided by CUSIP Global Services (CGS), which is managed on behalf of the American Bankers Association by Standard and Poor's, a division of The McGraw-Hill Companies, Inc. CUSIP is a registered trademark of the American Bankers Association. CUSIP numbers are provided for convenience of reference only. CUSIP numbers are subject to change. Neither the City nor the Underwriter take any responsibility for the accuracy of such CUSIP numbers.

Web addresses contained in this Official Statement are inactive textual references, not hyperlinks, and any websites, by such reference, are not incorporated herein.

No dealer, broker, salesman or other person has been authorized by the City or the Financial Advisor to give information or to make any representations with respect to the Obligations, other than those contained in this Official Statement, and, if given or made, such other information or representations must not be relied upon as having been authorized by any of the foregoing. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of the Obligations by any person in any jurisdiction in which it is unlawful for such person to make such offer, solicitation or sale.

The prices at which the Obligations are offered to the public by the Purchaser (and the yields resulting therefrom) may vary from the initial public offering prices appearing on this inside cover page hereof. In addition, the Purchaser may allow concessions or discounts from such initial public offering prices to dealers and others. In connection with the offering of the Obligations, the Purchaser may effect transactions that stabilize or maintain the market price of the Obligations at a level above that which might otherwise prevail in the open market. Such stabilizing, if commenced, may be discontinued at any time.

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OFFICIAL STATEMENT

$12,265,000
City of Gresham
Multnomah County, Oregon

$4,655,000
Full Faith and Credit Project and Refunding Obligations,
Series 2013B (Tax-Exempt)

$7,610,000
Full Faith and Credit Obligations, Series 2013C
(Federally Taxable - Qualified Energy Conservation Bonds – Direct Payment)

The City of Gresham in Multnomah County, Oregon (the "City"), a municipal corporation duly organized and existing under and by virtue of the laws of the State of Oregon (the "State") furnishes this Official Statement in connection with the offering of $4,655,000 Full Faith and Credit Project and Refunding Obligations, Series 2013B (Tax-Exempt) (the "2013B Obligations"), and $7,610,000 Full Faith and Credit Obligations, Series 2013C (Federally Taxable – Qualified Energy Conservation Bonds – Direct Payment) (the "2013C Obligations" and together with the 2013B Obligations, the "Obligations"), dated the Date of Delivery. This Official Statement, which includes the cover page, inside cover page, Notices of Sale, bid forms and appendices, provides information concerning the City and the Obligations.

Certain statements contained in this Official Statement do not reflect historical facts, but are forecasts and "forward-looking statements." No assurance can be given that the future results discussed herein will be achieved, and actual results may differ materially from the forecasts described herein. In this respect, words such as "estimated," "projected," "anticipate," "expect," "intend," "plan," "believe" and similar expressions are intended to identify forward-looking statements. All projections, assumptions and other forward-looking statements are expressly qualified in the entirety by the cautionary statements set forth in this Official Statement.

The information set forth herein has been obtained from the City and other sources that are believed to be reliable. Seattle-Northwest Securities Corporation (the "Financial Advisor") has relied on the City with respect to the accuracy and sufficiency of such information and such information is not to be construed as a representation, warranty or guarantee by the Financial Advisor.

Capitalized terms used and not defined herein shall have the meanings assigned to such terms in "Appendix E—Form of 2013B Financing Agreement and Form of 2013B Escrow Agreement," and "Appendix F—Form of 2013C Financing Agreement and Form of 2013C Escrow Agreement," which are attached hereto and incorporated by reference herein. **The document summaries contain certain information for reference only. A full review of the financing documents should be made by potential investors.**

Description of the Obligations

The 2013B Obligations evidence and represent undivided proportionate interests of their Owners in loan payments (the "2013B Financing Payments") to be made by the City pursuant to the 2013B Financing Agreement. The 2013C Obligations evidence and represent undivided proportionate interests of their Owners in loan payments (the "2013C Financing Payments," and collectively with the 2013B Financing Payments, the "Financing Payments") to be made by the City pursuant to the 2013C Financing Agreement. The 2013B and 2013C Financing Agreements (collectively, the "Financing Agreements") are dated as of the Date of Delivery between the City and U.S. Bank National Association, as paying agent, registrar and escrow agent (the "Escrow Agent"). The 2013B Obligations are executed and delivered by the Escrow Agent pursuant to a separate escrow agreement (the "2013B Escrow Agreement") and the 2013C Obligations are executed and delivered by the Escrow Agent pursuant to a separate escrow agreement (the "2013C Escrow Agreement"). The 2013B and 2013C Escrow Agreements (collectively, the "Escrow Agreements") are dated as of the Date of Delivery, between the City and the Escrow Agent.

Financing Amount, Date, Interest Rates and Maturities

The sum of the principal components of the Financing Payments evidenced and represented by the Obligations will be issued in the aggregate principal amount posted on the cover of this Official Statement and will be dated and bear interest from the Date of Delivery. The principal components of the Financing Payments will mature on the dates and in the amounts set forth on the inside cover of this Official Statement. The interest components of the Financing Payments ("Interest") are payable semiannually on January 1 and July 1 of each year, commencing January 1, 2014, until the maturity or earlier prepayment of the Obligations and will be computed on the basis of a 360-day year consisting of twelve 30-day months.

Disbursement Features

Financing Payments. The Financing Payments will be payable by the Escrow Agent to The Depository Trust Company ("DTC"), which, in turn, is obligated to remit such principal and interest components to its participants ("DTC Participants") for subsequent disbursement to the persons in whose names such Obligations are registered (the "Beneficial Owners") as further described in Appendix C attached hereto. The interest components of the Financing Payments evidenced and represented by the Obligations will be mailed or caused to be delivered to the Beneficial Owners, at the addresses appearing upon the registration books on the 15th day of the month preceding a payment date (the "Record Date"), and the Obligations will be transferable as provided in the Escrow Agreement.

Book-Entry System. The Obligations will be issued in fully registered form and, when issued, will be registered in the name of Cede & Co. as owner and as nominee for DTC. DTC will act as securities depository for the Obligations. Individual purchases and sales of the Obligations may be made in book-entry form only in minimum denominations of $5,000 within a single maturity and integral multiples thereof. Purchasers will not receive certificates representing their interest in the Obligations. See "Appendix C – Book Entry Only System" for additional information.

Procedure in the Event of Revisions of Book-Entry Transfer System. If DTC ceases to act as depository for the Obligations, the City will request the Escrow Agent to, and the Escrow Agent and the City shall, amend the Escrow Agreements to provide for an alternative system of registration and payment for the Obligations that is of general acceptance in the municipal bond markets. If no better system is then available, the Escrow Agent and the City shall amend the Escrow Agreements to provide that printed, registered Obligations shall be issued to beneficial owners of the Obligations, and shall give notice of those amendments to all Owners.

Qualified Energy Conservation Bonds

Section 54A and 54D of the Internal Revenue Code of 1986, as amended (the "Code"), authorizes local governments to issue tax-credit bonds known as "qualified energy conservation bonds" to finance qualified conservation purposes pursuant to Section 54D(f) of the Code. H.R. 2847, the Hiring Incentives to Restore Employment (HIRE) Act (the "HIRE Act") which was introduced and passed by the United States Congress and signed into law on March 18, 2010, allows an issuer of qualified energy conservation bonds issued after March 18, 2010 to elect to receive subsidy payments (each a "Direct Payment") from the federal government equal to the lesser of (i) the amount of interest payable under such bond on such date, or (ii) 70% of the amount of interest which would have been payable under such bond on such date if such interest were determined at the applicable credit rate determined under section 54A(b)(3) of the Code with respect to such bond.

The City has irrevocably elected to designate the 2013C Financing Agreement and the 2013C Obligations as "qualified energy conservation bonds" and has additionally irrevocably elected to receive Direct Payments from the United States Treasury in connection therewith. As a result of such election, holders of the 2013C Obligations will not be entitled to receive any federal tax credits otherwise applicable to "qualified energy conservation bonds." The Direct Payments are not pledged as security for the repayment of the 2013C Obligations.

Prepayment Provisions

Optional Prepayment – 2013B Obligations. The 2013B Obligations maturing in years 2014 through 2023, inclusive, are not subject to optional prepayment prior to maturity. The 2013B Obligations maturing on July 1, 2024 and on any date thereafter are subject to prepayment at the option of the City prior to their stated maturity dates at

any time on or after July 1, 2023, as a whole or in part, and if in part, with maturities to be selected by the City at a price of par, plus accrued interest, if any, to the date of prepayment.

For as long as the 2013B Obligations are in book-entry only form, if fewer than all of the 2013B Obligations of a maturity are called for prepayment, the selection of 2013B Obligations within a maturity to be redeemed shall be made by DTC in accordance with its operational procedures then in effect. See Appendix C attached hereto. If the 2013B Obligations are no longer held in book-entry only form, then the Escrow Agent would select 2013B Obligations for prepayment by lot.

Optional Prepayment – 2013C Obligations. The 2013C Obligations maturing in years 2014 through 2023, inclusive, are not subject to optional prepayment prior to maturity. The 2013C Obligations maturing on July 1, 2025 and on any date thereafter are subject to prepayment at the option of the City prior to their stated maturity dates at any time on or after July 1, 2023, as a whole or in part, and if in part, with maturities to be selected by the City at a price of par, plus accrued interest, if any, to the date of prepayment. A Term Obligation subject to optional prepayment and prepaid in part will have the principal amount within the respective mandatory prepayment dates selected by the City.

For as long as the 2013C Obligations are in book-entry only form, if fewer than all of the 2013C Obligations of a maturity are called for prepayment, the selection of 2013C Obligations within a maturity to be redeemed shall be made by DTC in accordance with its operational procedures then in effect. See Appendix C attached hereto. If the 2013C Obligations are no longer held in book-entry only form, then the Escrow Agent would select 2013C Obligations for prepayment by lot.

Mandatory Prepayment. If not previously redeemed under the provisions for optional prepayment, the Term Obligations maturing on July 1 in the years 2025, 2027, 2029, 2031 and 2033 are subject to mandatory prepayment (in such manner as the Bond Registrar and DTC will determine or by lot by the Paying Agent) on July 1 of the following years in the following principal amounts, at a price of par plus accrued interest to the date of prepayment.

2025 Term Obligation	
Due July 1	**Amount**
2024	$ 375,000
2025 (1)	380,000
	$ 755,000

2027 Term Obligation	
Due July 1	**Amount**
2026	$ 380,000
2027 (1)	380,000
	$ 760,000

2029 Term Obligation	
Due July 1	**Amount**
2028	$ 385,000
2029 (1)	390,000
	$ 775,000

2031 Term Obligation	
Due July 1	**Amount**
2030	$ 390,000
2031 (1)	395,000
	$ 785,000

2033 Term Obligation	
Due July 1	**Amount**
2032	$ 400,000
2033 (1)	405,000
	$ 805,000

(1) Maturity.

Special Mandatory Prepayment –2013C Obligations. The principal component of the 2013C Obligations shall be subject to special mandatory prepayment if any proceeds of a 2013C Financing Agreement (including investment earnings) have not been spent within three years from the Date of Delivery, or any extension period granted by the Secretary of the Treasury. The 2013C Obligations will be redeemed in an amount equal to the unexpended proceeds (including investment earnings) of the 2013C Financing Agreement, plus any additional amounts which in the opinion of Special Counsel are necessary to maintain the status of the 2013C Financing Agreement or 2013C Obligations as qualified energy conservation bonds, in whole or in part, in authorized denominations, at a price of par, plus accrued interest, if any, on or before the date that is ninety days after the later of three years from the Date of Delivery, or the end of any extension period granted by the Secretary of the Treasury.

Extraordinary Prepayment – 2013C Obligations. The 2013C Obligations will be subject to extraordinary prepayment prior to maturity, at the option of the City, upon the occurrence of an Extraordinary Event (as defined below), in whole or in part (on a pro rata basis) on any interest payment date, at the "Extraordinary Prepayment Price." The Extraordinary Prepayment Price is equal to the greater of:

(i) the issue price of the 2013C Obligations set forth on the cover page hereof (but not less than 100%) of the principal amount of the 2013C Obligations to be prepaid; or

(ii) the sum of the present value of the remaining scheduled payments of principal and interest on the 2013C Obligations to be prepaid to the maturity date of such 2013C Obligations, not including any portion of those payments of interest accrued and unpaid as of the date on which the 2013C Obligations are to be prepaid, discounted to the date on which the 2013C Obligations are to be prepaid on a semi-annual basis, assuming a 360-day year containing twelve 30-day months, at the Treasury Rate (as defined below) plus 100 basis points, plus accrued interest on the 2013C Obligations to be prepaid to the prepayment date.

An "Extraordinary Event" will have occurred if (i) a material adverse change has occurred to section 54D or section 6431 of the Code, there is guidance published by the Internal Revenue Service or the Department of Treasury with respect to such sections of the Code, or there is a determination by the Internal Revenue Service or the Department of the Treasury, in each case resulting in the reduction of a Direct Payment to a level 10% or more below the amount set forth in section 54D or section 6431 of the Code, as those sections exist on the Date of Delivery of the 2013 Obligations; or (ii) any other event occurs that results in the reduction of a Direct Payment to a level 10% or more below the amount set forth in Section 54D or Section 6431 of the Code as those sections exist on the Date of Delivery of the 2013 Obligations which event is not the result of an act or omission by the City to satisfy the requirements to receive the Direct Payments.

"Treasury Rate" means, with respect to any prepayment date for a particular Obligation, the yield to maturity as of such prepayment date of United States Treasury securities with a constant maturity (as compiled and published in the most recent Federal Reserve Statistical Release H.15 (519)) that has become publicly available at least 2 business days, but no more than 45 days, prior to the prepayment date (excluding inflation indexed securities or, if such Statistical Release is no longer published, any publicly available source of similar market data) most nearly equal to the period from the prepayment date to the maturity date of the Obligations to be prepaid; provided, that if the period from the prepayment date to such maturity date is less than one year, the weekly average yield on actually traded United States Treasury securities adjusted to a constant maturity of year will be used.

Notice of Prepayment (Book-Entry). So long as the Obligations are in book-entry only form, and unless DTC consents to a shorter period, the Escrow Agent shall notify DTC of an early prepayment no fewer than 20 calendar days nor more than 60 calendar days prior to the date fixed for prepayment, and shall provide such information as required by a letter of representation submitted to DTC in connection with the issuance of the Obligations. The City reserves the right to rescind any prepayment notice as allowed in the Financing Agreements. Official written notice of optional prepayment will be given by the City to the Escrow Agent at least 5 days prior to the scheduled notice mail date.

Notice of Prepayment (No Book-Entry). During any period in which the Obligations are not in book-entry only form, unless waived by any Owner of the Obligations (as defined herein) to be redeemed, official notice of any prepayment of Obligations shall be given by the Escrow Agent on behalf of the City by mailing a copy of an official prepayment notice by first class mail, postage prepaid, no fewer than 30 calendar days nor more than 60 calendar days prior to the date fixed for prepayment, to the Owners of the Obligations to be redeemed at the address shown on the bond register or at such other address as is furnished in writing by such Owner to the Escrow Agent. The City reserves the right to rescind any prepayment notice as allowed in the Financing Agreements. Official written notice of optional prepayment will be given by the City to the Escrow Agent at least 5 days prior to the scheduled notice mail date.

Conditional Notice. Any notice of optional prepayment to the Escrow Agent or to the Owners may state that the optional prepayment is conditional upon receipt by the Escrow Agent of moneys sufficient to pay the prepayment price of such Obligations or upon the satisfaction of any other condition, and/or that such notice

may be rescinded upon the occurrence of any other event, and any conditional notice so given may be rescinded at any time before payment of such prepayment price if any such condition so specified is not satisfied or if any such other event occurs. Notice of such rescission or of the failure of any such condition shall be given by the Escrow Agent to affected Owners of Obligations as promptly as practicable upon the failure of such condition or the occurrence of such other event.

Events of Default

Each Financing Agreement provides that the occurrence of one or more of the following shall constitute an Event of Default under the Financing Agreements:

a. Failure by the City to pay any Financing Payments, required to be paid hereunder in the amount and at the time specified herein;

b. Except as provided in the discussion of a *force majeure* in each Financing Agreement, failure by the City to observe and perform any covenant, condition or agreement on its part to be observed or performed for a period of 60 days after written notice to the City by the Escrow Agent, specifying such failure and requesting that it be remedied, unless the Escrow Agent shall agree in writing to an extension of such time prior to its expiration; provided, however, that if the failure stated in the notice cannot be corrected within the applicable period, the Escrow Agent will not unreasonably withhold its consent to an extension of such time if corrective action is instituted by the City within the applicable period and diligently pursued until the default is corrected; and

c. The commencement by the City of a voluntary case under any applicable bankruptcy, insolvency or other similar law now or hereafter in effect or an assignment by the City for the benefit of its creditors, or the entry by the City into an agreement of composition with creditors, or the taking of any action by the City in furtherance of any of the foregoing.

The 2013B Financing Agreement and the 2013B Escrow Agreement are separate transactions from the 2013C Financing Agreement and the 2013C Escrow Agreement. A default under the 2013B documents will not necessarily constitute a default under the 2013C documents and a default under the 2013C documents will not necessarily constitute a default under the 2013B documents.

Remedies

Upon the occurrence and continuance of any Event of Default under the documents for a series, the Escrow Agent for that series may proceed, and upon written request the Owners of fifty-one (51%) percent or more of the principal amount of Obligations of that series that are then Outstanding shall take whatever action at law or in equity may appear necessary or desirable to enforce the Financing Agreement for that series or to protect any of the rights vested in the Escrow Agent or the Owners of Obligations by the Escrow Agreement for that series or by the Obligations of that series, either at law or in equity or in bankruptcy or otherwise, whether for the specific enforcement of any covenant or agreement contained in the Escrow Agreement for that series or in aid of the exercise of any power granted in the Escrow Agent for that series or for the enforcement of any other legal or equitable right vested in the Escrow Agent for that series by the Escrow Agreement for that series or by law. **Provided, however, that the unpaid principal components of the Financing Payments are not subject to acceleration.**

Authorization for Issuance

The City is authorized pursuant to the Constitution and laws of the State, namely, Oregon Revised Statutes ("ORS") Section 271.390 and 287A.360, to enter into financing agreements, lease-purchase agreements or other contracts of purchase to finance or refinance real or personal property and to authorize certificates of participation in the payment obligations of the City under such financing agreements, lease-purchase agreements or other contracts of purchase.

The Obligations are being issued pursuant to Resolution No. 3129 (the "Resolution") adopted by the City Council on May 21, 2013 that authorized the City to enter into the Financing Agreements and Escrow

Agreements for the execution and delivery of the Obligations. Such execution and delivery of the Obligations does not require a vote of the people.

Pursuant to the Resolution, the City has pledged its full faith and credit and taxing power within the limitations of Sections 11 and 11b, Article XI of the Oregon Constitution ("Article XI, Sections 11 and 11b") to pay the Financing Payments and other amounts due under the Financing Agreements. See "Security for the Obligations."

Purpose and Use of Proceeds

Purpose

The proceeds from the sale of the Obligations will be used to finance capital projects and equipment, to refinance outstanding loans so that the City can restructure annual debt service requirements, and to pay the costs of issuance of the Obligations.

2013B Obligations. A portion of the proceeds from the sale of the 2013B Obligations will be used to refinance a loan agreement the City executed with the Oregon Economic and Community Development Department (currently the Infrastructure Finance Authority) through its Special Public Works Loan Program (the "OECDD Loan") pursuant to a resolution originally adopted by the City Council on September 2, 2003. The OECDD Loan is being repaid from the General Fund, and was issued to fund public facilities master planning, fiscal investigations, and other related preliminary planning activities for public water, sanitary sewer, stormwater, transportation, and parks system in the Springwater area.

Refunded OECDD Loan

Project	Final Amendment Date	Original Loan Amount	Amount Refunded
OECDD Special Public Works Loan	December 23, 2003	$ 795,000	$ 590,363

Source: The City.

Proceeds from the sale of the 2013B Obligations will also be used to purchase three fire engines, fund the replacement of the roof on the Public Safety Building, purchase other police and fire equipment, and pay the costs of issuing the 2013B Obligations.

2013C Obligations. Proceeds from the sale of the 2013C Obligations will be used to finance the replacement of approximately 8,000 high pressure sodium vapor streetlights with more energy-efficient light emitting diode (LED) streetlights along with replacement of older poles, and pay the costs of issuing the 2013C Obligations. The City anticipates the savings generated from the streetlight improvements will cover the 2013C Financing Payments.

Sources and Uses of Funds

The proceeds of the Obligations are estimated to be applied as follows:

Estimated Sources and Uses of Funds

Sources of Funds	2013B Obligations	2013C Obligations
Par Amount of Obligations	$ 4,655,000	$ 7,610,000
Original Issue Premium	359,082	0
City Contribution to Costs	0	51,316
Total Sources of Funds	$ 5,014,082	$ 7,661,316
Uses of Funds		
Available for Projects	$ 4,302,342	$ 7,457,800
Refunding Requirements	613,561	0
Underwriting and Costs of Issuance	98,179	203,516
Total Uses of Funds	$ 5,014,082	$ 7,661,316

Security for the Obligations

Full Faith and Credit Pledge

Each series of the Obligations evidence and represent undivided proportionate ownership interests in the installment payments of principal and interest due (the "Financing Payments") from the City under the corresponding Financing Agreement. Each Financing Agreement obligates the City to make the Financing Payments from any lawfully available funds of the City, including any property taxes levied by and for the City within the restrictions of Sections 11 and 11b, Article XI of the Constitution of the State of Oregon. The City has pledged its full faith and credit and its taxing power to make the Financing Payments and the obligation of the City to make the Financing Payments is not subject to appropriation.

The Owners of the Obligations do not have a lien on or security interest in any revenues or other property of the City. The Obligations do not constitute a debt or indebtedness of Multnomah County, the State of Oregon, or any political subdivision thereof other than the City.

THE OBLIGATION OF THE CITY TO MAKE THE FINANCING PAYMENTS AND ADDITIONAL CHARGES IS ABSOLUTE AND UNCONDITIONAL, AND SHALL NOT BE SUBJECT TO ANNUAL APPROPRIATION. THE REGISTERED OWNERS OF THE OBLIGATIONS DO NOT HAVE A LIEN OR SECURITY INTEREST IN THE PROJECTS FINANCED OR REFINANCED WITH THE PROCEEDS OF THE OBLIGATIONS.

The City's obligation to make Financing Payments and Additional Charges is not subject to any of the following:

(1) any setoff, counterclaim, recoupment, defense or other right which the City may have against the Escrow Agent, any contractor or anyone else for any reason whatsoever;

(2) any insolvency, bankruptcy, reorganization or similar proceedings by the City;

(3) abatement through damage, destruction or nonavailability of the Projects financed or refinance with the Financing Agreements; or

(4) any other event or circumstance whatsoever, whether or not similar to any of the foregoing.

The City's obligation to make Financing Payments under each Financing Agreement is binding for the term of the Financing Agreement.

Each Obligation owner is entitled proportionately to the principal component of Financing Payments due on the payment date, which is the same as the maturity date of the Obligations. In addition, each Obligation owner is entitled proportionately to receipt of an amount of the interest component of Financing Payments on each payment date attributable to the interest accruing on the principal component attributable to such Obligations at the interest rate set forth for said principal component.

Bonded Indebtedness

Oregon law authorizes the City to borrow money by issuing general obligation bonds, full faith and credit obligations and revenue bonds.

General Obligation Bonds. ORS 287A.050 establishes a limit on bonded indebtedness for cities. Cities may issue an aggregate principal amount up to three percent of the Real Market Value of all taxable properties within the city if the City's voters approve the general obligation bonds. A lower limit may be applied by an individual city's charter. The statutory limitation does not apply to general obligation bonds issued for water, sanitary or storm sewers, sewage disposal plants, hospitals, infirmaries, gas power, or lighting purposes, or the acquisition, establishment, or reconstruction of any off-street motor vehicle parking facility nor to bonds issued pursuant to application to pay assessments for improvements in installments under statutory or charter authority which are completely self-supporting. General obligation bonds are secured by the power to levy an additional tax outside the limitations of Article XI, Sections 11 and 11b. **The Obligations are not general obligation bonds.**

Full Faith and Credit Borrowings. Several Oregon statutes allow the City to borrow money. ORS 287A.315 specifically authorizes cities and other public bodies to pledge their full faith and credit and taxing power to pay certain borrowings, such as the Obligations. When a public body pledges its full faith and credit and taxing power, ORS 287A.315 states that:

(a) The pledge constitutes an enforceable promise or contract by the public body to pay the borrowing out of lawfully available funds of the public body, and, if lawfully available funds are insufficient to pay when due the amounts owing on the obligation, to levy, impose and collect a tax that is within the authority of the public body to levy, impose and collect in an amount sufficient to pay the amounts owing under the obligation, including past due amounts and penalties.

(b) If a public body fails to pay when due an amount owing under an obligation secured by a pledge of the full faith and credit and taxing power of the public body, the owner of the obligation, or the trustee appointed to act on behalf of the owner, may bring an action in the circuit court of the county in which the principal offices of the public body are located to compel the public body (i) to appropriate and expend sufficient lawfully available funds to pay the amounts owing on the obligation; or (ii) if lawfully available funds are insufficient to pay when due the amounts owing on the obligation, to levy, impose and collect a tax if the public body then has additional authority to impose taxes.

A pledge of the full faith and credit and taxing power authorized by ORS 287A.315 does not, by itself, create a lien on the revenues or property of the public body.

Oregon law does not limit the amount of full faith and credit borrowings that a city may make.

The Obligations are full faith and credit obligations.

Revenue Fund Obligations. Several Oregon statutes authorize the City to issue revenue fund obligations that are secured only by specified sources of revenue, such as the City's water revenue bonds that are secured only by the net revenues of the City's Water System. **The Obligations are not revenue fund obligations.**

Outstanding Long-Term Debt – as of Date of Delivery

Governmental Activities	Date of Issue	Date of Maturity		Amount Issued	Amount Outstanding[1]
Full Faith and Credit Obligations:					
CDBG SOS Loan	01/01/99	Variable	(2)	$ 423,606	$ 39,471
OECDD Special Public Works Loan	12/23/03	07/30/13	(3)	795,000	590,363
Less: Amount Refunded[4]					(590,363)
2010A (2008 and GRDC Lines of Credit)	06/04/10	06/01/23		6,263,131	5,302,422
2010B (Ladder Truck and GRDC Projects)	06/04/10	06/01/23		7,803,644	6,357,853
2010C (GRDC Line Take Out)	06/04/10	06/01/23		9,403,223	7,754,992
2011 City/GRDC Line of Credit Facility	07/15/11	07/15/14		10,000,000	4,850,000
2013B Obligations[4]	07/30/13	07/01/33		4,655,000	4,655,000
2013C Obligations[4]	07/30/13	07/01/33		7,610,000	7,610,000
Total Full Faith and Credit Obligations					36,569,738
Pension Obligations:					
Series 2004	05/27/04	06/01/28		19,280,000	18,340,000
Total Governmental Activities Debt					**$ 54,909,738**
Business-type Activities					
Wastewater Obligations:					
South Gresham Interceptor	06/19/07	09/01/26		$ 648,089	$ 496,179
Linneman Pump Station	06/19/07	12/01/28		3,576,911	3,001,176
Second Clarifier	10/15/09	08/01/29		407,058	358,656
2009 Wastewater Fin. Agmt.[5]	09/15/09	05/01/21		19,351,000	13,811,000
Jenne Road Interceptor	12/01/10	08/01/30		3,595,998	3,315,047
Total Wastewater Obligations					20,982,058
Water Obligations:					
Series 2003	09/15/03	11/01/18		8,870,000	3,535,000
Water Meter Replacement Notes	08/05/11	12/01/30		2,361,232	2,171,660
2011 Water Line of Credit Facility	07/15/11	07/15/14		10,000,000	1,245,000
Total Water Obligations					6,951,660
Stormwater Obligations:					
Series 2002	12/01/02	11/01/14		3,520,000	775,000
Series 2006	12/21/06	05/21/21		2,850,000	2,850,000
Total Stormwater Obligations					3,625,000
Total Business-Type Activities Debt					**$ 31,558,718**

(1) As of Date of Delivery.
(2) The Community Development Block Grant ("CDBG") funded loans to low income citizens for the mandatory mid-county sewer connections. The loan does not have to be repaid by recipients until the homes have been refinanced or sold. The repayments are periodically repaid to the CDBG program.
(3) Final maturity following redemption of the Refunded OECDD Loan.
(4) This issue.
(5) Net Wastewater Revenues are used to pay debt service but are not pledged to secure the financing agreement.

Source: City of Gresham.

Projected Debt Service Requirements

Full Faith and Credit Obligations

Fiscal Year	Outstanding Full Faith and Credit Obligations		Less: Refunded OECDD Loan		2013B Obligations		Series 2013C Obligations			Net Full Faith and Credit Debt Service
	Principal	Interest[1]	Principal	Interest	Principal	Interest	Principal	Total Interest	Expected Direct Payments[2]	
2014	$ 1,655,776	$ 821,665	$ 24,506	$ 26,192	$ 0	$ 77,854	$ 0	$ 109,295	$ (96,641)	$ 2,517,250
2015	1,729,131	752,551	29,678	25,261	315,000	179,313	345,000	259,276	(229,109)	3,296,222
2016	1,800,477	680,204	29,865	24,074	350,000	166,013	380,000	256,083	(225,916)	3,352,922
2017	1,874,942	604,739	30,059	22,879	365,000	151,713	380,000	251,523	(221,356)	3,353,622
2018	1,952,675	525,982	30,267	21,647	380,000	136,813	375,000	245,394	(215,227)	3,348,722
2019	2,033,823	443,784	30,488	20,375	395,000	121,313	375,000	237,706	(207,539)	3,348,222
2020	2,123,544	357,988	35,724	19,064	440,000	104,613	375,000	228,519	(198,352)	3,376,522
2021	2,098,308	269,180	35,976	17,492	465,000	86,513	375,000	217,831	(187,664)	3,270,699
2022	2,186,762	179,376	36,245	15,874	480,000	67,613	375,000	206,019	(175,852)	3,266,799
2023	2,318,638	85,606	36,529	14,224	495,000	48,113	375,000	193,456	(163,289)	3,301,770
2024	41,831	12,535	41,831	12,535	520,000	27,813	375,000	180,144	(149,977)	952,979
2025	42,147	10,600	42,147	10,600	40,000	16,763	375,000	165,800	(136,216)	461,346
2026	42,477	8,651	42,477	8,651	40,000	15,413	380,000	150,700	(122,290)	463,822
2027	47,823	6,686	47,823	6,686	40,000	14,013	380,000	134,930	(108,272)	460,670
2028	48,185	4,475	48,185	4,475	40,000	12,563	380,000	118,590	(94,254)	456,899
2029	48,563	2,246	48,563	2,246	45,000	10,969	385,000	101,758	(80,144)	462,583
2030	-	-	-	-	45,000	9,225	390,000	84,320	(65,849)	462,696
2031	-	-	-	-	45,000	7,425	390,000	66,478	(51,462)	457,441
2032	-	-	-	-	50,000	5,494	395,000	48,226	(36,982)	461,738
2033	-	-	-	-	50,000	3,400	400,000	29,343	(22,318)	460,424
2034	-	-	-	-	55,000	1,169	405,000	9,821	(7,470)	463,520
	$ 20,045,103	$ 4,766,266	$ 590,363	$ 252,275	$ 4,655,000	$ 1,264,110	$ 7,610,000	$ 3,295,210	$ (2,796,181)	$ 37,996,870

(1) Interest on existing Full Faith and Credit Obligations is net of the expected Direct Payments on the City's Full Faith and Credit Financing Agreement, Series 2010B which were issued as Build America Bonds.

(2) Represents the expected Direct Payments at the full eligible subsidy rate.

Summary of Overlapping Debt
(As of April 10, 2013)

Overlapping Issuer Name	Real Market Value	Percent Overlapping	Gross Direct Debt[1]	Net Direct Debt[2]
Multnomah Cty SD 10J (Gresham-Barlow)	$ 6,557,195,060	77.55%	$ 75,715,799	$ 75,715,799
Rockwood Water PUD	4,081,340,033	70.82%	4,352,141	0
Multnomah Cty SD 7 (Reynolds)	6,461,332,922	36.96%	52,397,940	52,397,940
Multnomah Cty SD 28J (Centennial)	2,632,777,596	36.13%	11,212,381	11,212,381
Mt Hood Community College	28,378,871,776	29.69%	20,325,428	6,628,817
Multnomah County	96,115,185,157	8.77%	32,588,985	17,762,272
Multnomah ESD	97,184,919,419	8.67%	3,011,870	0
Metro	188,213,817,015	4.48%	13,669,928	12,099,076
Port of Portland	206,003,917,447	4.09%	2,834,211	0
			$ 216,108,683	$ 175,816,285

(1) Gross Direct Debt includes all unlimited (general obligation bonds) and limited (full faith and credit obligations) tax supported debt. Limited tax pension obligations are included.
(2) Net Debt is Gross Direct Debt less self-supporting limited and unlimited tax supported debt.

Source: Debt Management Division, The Office of the State Treasurer.

Debt Ratios

The following table presents information regarding the City's direct debt, including the effect of this refunding and the Obligations, and the estimated portion of the debt of overlapping taxing districts allocated to the City's property owners.

Debt Ratios

Real Market Value	$ 8,262,457,324	
Estimated Population	105,970	
Per Capita Real Market Value	$ 77,970	
Debt Information	**Gross Direct Debt[1]**	**Net Direct Debt[2]**
City Direct Debt[3]	$ 68,720,738 [4]	$ 54,909,738
Overlapping Direct Debt	216,108,683	175,816,285
Total Direct Debt[3]	$ 284,829,421	$ 230,726,023
Bonded Debt Ratios[3]		
City Direct Debt to Real Market Value	0.83%	0.66%
Total Direct Debt to Real Market Value	3.45%	2.79%
Per Capita City Direct Debt	$ 648	$ 518
Per Capita Total Direct Debt	$ 2,688	$ 2,177

(1) Gross Direct Debt includes all unlimited (general obligation bonds) and limited (full faith and credit obligations) tax supported debt.
(2) Net Debt is Gross Direct Debt less self-supporting limited and unlimited tax supported debt.
(3) Includes the Obligations and net of the Refunded OECDD Loan.
(4) Includes the City's outstanding Full Faith and Credit Obligations and Pension Obligations as well as the 2009 Wastewater Financing Agreement which carry a full faith and credit pledge.

Sources: Debt Management Division, The Office of the State Treasurer as of April 12, 2013, and City of Gresham.

Debt Payment Record

The City has promptly met principal and interest payments on outstanding bonds and other indebtedness in the past ten years when due. Additionally, no refunding bonds have been issued for the purpose of preventing an impending default.

Future Financings

Capital Projects. Other than the Obligations, the City has no authorized but unissued bonds outstanding, nor does it anticipate issuing additional long-term debt within calendar year 2013. The City has an outstanding line of credit for transportation, water, bikes and footpaths and urban renewal projects. Currently, $3.9 million has been drawn on the $10 million authorization. The City intends to draw down an additional $1 to $1.5 million during calendar year 2013.

Short-term Notes. The City does not anticipate issuing short-term debt within calendar year 2013.

Early Redemption, Refinancing or Self-Investment

The City has called or refinanced bonds in the past to save interest costs. The City will continue to periodically evaluate outstanding issues with a view to creating interest savings. The City may also invest in its own securities if interest rate savings exceed alternative investment yields.

The City

General Description

The City of Gresham, incorporated in 1905, covers approximately 23.5 square miles within Multnomah County, Oregon. The City has a City Charter that was adopted in May 1978 and was last amended on May 15, 2012.

The Mayor and City Council set the policies for the City and appoints the City Manager, who is responsible for the day-to-day management of the City.

City Council

The City is governed by a Mayor and six-member City Council. The Mayor and City Councilors are elected at-large to four-year, staggered terms of office. The current Mayor and City Councilors are as follows:

City Council

Name	Position	Occupation	Service Began	Term Expires
Shane Bemis	Mayor	Restaurant owner	Jan. 2, 2007	Dec. 31, 2014
Karylinn Echols(1)	Council President	Executive director, professional assoc.	Jan. 18, 2011	Dec. 31, 2016
Josh Fuhrer	Councilor	Small business owner	July 2009	Dec. 31, 2014
Jerry W. Hinton	Councilor	General manager, auto auction	Jan. 8, 2013	Dec. 31, 2016
Michael McCormick	Councilor	Retired firefighter	Jan. 8, 2013	Dec. 31, 2016
Mario Palmero	Councilor	Benefits coordinator	Dec. 18, 2012	Dec. 31, 2014
Lori Stegmann	Councilor	Insurance agent	Jan. 4, 2011	Dec. 31, 2014

(1) Council Member Echols served on the City Council from 2005 to 2007. She was appointed to fill a vacancy in January of 2011 and was elected to serve a full term at the November 6, 2012 election.

Source: City of Gresham.

Labor Relations

The City has a total of 498 full-time and 20 part-time employees. The majority of City employees, who are eligible under State law to be represented by a labor organization, are employed under provisions of a negotiated contract with three major labor organizations. The City enters into written bargaining agreements

with the bargaining organizations; agreements contain provisions on such matters as salaries, vacation, sick leave, medical and dental insurance, working conditions, and grievance procedures. The bargaining units which represent City employees, the number of employees represented and the date the current contracts expire are shown as follows:

Bargaining Unit	No. of Employees	Contract Period
Gresham Police Officers Association	117	July 1, 2009 – June 30, 2013
Teamsters Local	231	July 1, 2012 – June 30, 2015
International Association of Firefighters	86	July 1, 2012 – June 30, 2015

Source: City of Gresham.

Key Administrative Officials

The day-to-day affairs of the City are managed by a professional administrative staff which includes the following principal officials:

Erik Kvarsten, City Manager. Mr. Kvarsten was appointed City Manager in August 2004. Mr. Kvarsten has thirty years of city management experience in Oregon. Immediately prior to coming to the City, he served as the City of Troutdale's Administrator for 8 ½ years. Mr. Kvarsten graduated from the University of Oregon and is recognized as a credentialed city manager by the International City/County Management Association ("ICMA").

Bernard Seeger, Finance & Management Services Director. Mr. Seeger was hired as the as the City's Director of Finance and Management Services in December 2011. Mr. Seeger has 11 years of local government and finance experience in Washington and Oregon. Prior to this current assignment, he served as the City Administrator for Cascade Locks, Oregon for four years. Mr. Seeger graduated from the United States Military Academy at West Point, NY in 1991 and then after eight years of service in US Army, completed a Masters in Public Administration from the University of Kansas in 2002.

Mark Tolliver, Debt Management Analyst. Mr. Tolliver joined the City as its Debt Management Analyst in 2008. Mr. Tolliver has over 30 years of experience in the Finance and Accounting fields and graduated from Baruch College, part of the City University of New York. Mr. Tolliver holds a CPA license issued by the State of New York.

City Revenue Sources

The City has pledged its full faith and credit and taxing power within the limitations of Sections 11 and 11b, Article XI of the Constitution of the State of Oregon to pay the Obligations. The following section describes the revenue sources available to the City.

Property Taxes

Most local governments, school districts, education service districts and community college districts ("local governments") have permanent authority to levy property taxes for operations ("Permanent Rates") up to a maximum rate (the "Operating Tax Rate Limit"). Local governments that have never levied property taxes may request that the voters approve a new Operating Tax Rate Limit.

Local governments may not increase their Operating Tax Rate Limits; rather they may only request that voters approve limited term levies for operations or capital expenditures ("Local Option Levies") or levies to repay general obligation bonded indebtedness ("General Obligation Bond Levies").

Local Option Levies that fund operating expenses are limited to five years, and Local Option Levies that are dedicated to capital expenditures are limited to ten years.

The City does not currently have a Local Option Levy and has no definitive plans at this time to seek voter approval of a Local Option Levy but the City has had discussions about the possibility of seeking a Local Option Levy in the future.

Local governments impose property taxes by certifying their levies to the county assessor of the county in which the local government is located. Property taxes ordinarily can only be levied once each Fiscal Year. The local government ordinarily must notify the county assessor of its levies by July 15.

Valuation of Property – Real Market Value. "Real Market Value" is the minimum amount in cash which could reasonably be expected by an informed seller acting without compulsion, from an informed buyer acting without compulsion, in an "arms-length" transaction during the period for which the property is taxed.

Property subject to taxation includes all privately owned real property (land, buildings and improvements) and personal property (machinery, office furniture and equipment) for non-residential taxpayers. There is no property tax on household furnishings (exempt since 1913), personal belongings, automobiles (exempt since 1920), crops, orchards, business inventories or intangible property such as stocks, bonds or bank accounts, except for centrally assessed utilities, for which intangible personal property is subject to taxation.

Property used for charitable, religious, fraternal and governmental purposes is exempt from taxation. Special assessments that provide a reduction in the taxable Real Market Value may be granted (upon application) for veterans' homesteads, farm and forest land, open space and historic buildings. The Real Market Value of specially assessed properties is often called the "Taxable Real Market Value" or "Measure 5 Real Market Value." The assessment roll, a listing of all taxable property, is prepared as of January 1 of each year.

Valuation of Property – Assessed Value. Property taxes are imposed on the assessed value of property. The assessed value of each parcel cannot exceed its Taxable Real Market Value, and ordinarily is less than its Taxable Real Market Value. The assessed value of property was initially established in 1997 as a result of a constitutional amendment. That amendment (now Article XI, Section 11, often called "Measure 50") assigned each property a value and limited increases in that assessed value to three percent per year, unless the property is improved, rezoned, subdivided, or ceases to qualify for exemption. When property is newly constructed or reassessed because it is improved, rezoned, subdivided, or ceases to qualify for exemption, it is assigned an assessed value that is comparable to the assessed value of similar property.

The Oregon Department of Revenue ("ODR") appraises and establishes values for utility property, forestland and most large industrial property for county tax rolls. It collects taxes on harvested timber for distribution to schools, county taxing districts, and State programs related to timber. Certain properties, such as utilities, are valued on the unitary valuation approach. Under the unitary valuation approach, the taxpaying entity's operating system is defined and a value is assigned for the operating unit using the market value approach (cost, market value and income appraisals). Values are then allocated to the entities' operations in Oregon, and then to each county the entity operates in and finally to site locations.

Generally speaking, industrial properties are valued using an income approach, but ODR may apply additions or retirements to the property value through a cost of materials approach. Under the income and cost of materials approaches, property values fluctuate from year-to-year.

Tax Rate Limitation – Measure 5. A tax rate limitation was established in 1990 as the result of a constitutional amendment. That amendment (now Article XI, Section 11b, often called "Measure 5") separates property taxes into two categories: one to fund the public school system (kindergarten through grade twelve school districts, education service districts and community college districts, collectively, "Education Taxes") and one to fund government operations other than the public school system ("General Government Taxes"). Education Taxes are limited to $5 per $1,000 and General Government taxes are limited to $10 per $1,000 of the Taxable Real Market Value of property (the "Measure 5 Limits"). If the taxes on a property exceed the Measure 5 Limit for Education or General Government, then tax rates are compressed to the Measure 5 Limit. Local Option Levy rates compress to zero before there is any compression of Permanent Rates. In Fiscal Year 2013, there was $1,555.57 of compression of the City's Permanent Rate due to the tax rate limitation.

Taxes imposed to pay the principal and interest on the following bonded indebtedness are not subject to Measure 5 Limits: (1) bonded indebtedness authorized by a specific provision of the Oregon Constitution; and (2) general obligation bonded indebtedness incurred for capital costs approved by the electors of the issuer and bonds issued to refund such bonds. **Property taxes imposed to pay the principal of and interest on the Obligations are subject to the limitations of Article XI, Sections 11 and 11b.**

In 2007 the Oregon Supreme Court determined that taxes levied by general purpose governments (such as cities and counties) may be subject to the $5 per $1,000 limit if those taxes are used for educational services provided by public schools.

Property Tax Collections. Each county assessor is required to deliver the tax roll to the county tax collector in sufficient time to mail tax statements on or before October 25 each year. All tax levy revenues collected by a county for all taxing districts within the county are required to be placed in an unsegregated pool, and each taxing district shares in the pool in the same proportion as its levy bears to the total of all taxes levied by all taxing districts within the county. As a result, the tax collection record of each taxing district is a *pro-rata* share of the total tax collection record of all taxing districts within the county combined.

Under the partial payment schedule, taxes are payable in three equal installments on the 15th of November, February and May of the same Fiscal Year. The method of giving notice of taxes due, the county treasurer's account for the money collected, the division of the taxes among the various taxing districts, notices of delinquency, and collection procedures are all specified by detailed statutes. The lien for property taxes is prior to all other liens or encumbrances of any kind on real or personal property subject to taxation. By law, a county may not commence foreclosure of a tax lien on real property until three years have passed since the first delinquency.

A Senior Citizen Property Tax Deferral Program (1963) allows certain homeowners to defer taxes until death or sale of the home. A similar program is offered for Disability Tax Deferral (2001), which does not have an age limitation.

The following tables represent historical tax information for the City.

Taxable Property Values

Fiscal Year	Real Market Value[1]	Total Assessed Valuation	Urban Renewal Excess	AV Used to Calculate Rates[2]
2013	$ 8,262,457,324	$ 6,935,897,090	$ 195,621,085	$ 6,740,276,005
2012	8,432,139,648	6,896,727,020	184,731,016	6,711,996,004
2011	9,104,926,578	6,799,051,719	182,889,752	6,616,161,967
2010	9,641,420,351	6,656,962,616	159,067,818	6,497,894,798
2009	10,032,808,061	6,429,135,963	136,186,345	6,292,949,618
2008	9,541,031,387	6,154,813,477	96,960,133	6,057,853,344

(1) Value represents the Real Market Value of taxable properties, including the reduction in Real Market Value of specially assessed properties such as farm and forestland. This value is also commonly referred to as the Measure 5 Real Market Value by county assessors.
(2) Assessed value of property in the City on which the permanent rate is applied to derive *ad valorem* property taxes, excluding urban renewal and any other offsets.

Source: Multnomah County Department of Assessment and Taxation.

The following table presents the Fiscal Year 2013 tax rates for the City and other taxing jurisdictions within Multnomah County that overlap the City. The City's Operating Tax Rate Limit is $3.6129 per $1,000 of assessed property value. The Operating Tax Rate Limit was calculated in conjunction with the implementation of Measure 50 in 1997. The Permanent Rates shown in the following table are the rates that are actually applied to the assessed value of the taxing district. The Permanent Rates may be different from the Operating Tax Rate Limit of the taxing district due to the decision by the taxing district to levy less than its Operating Tax Rate Limit.

Fiscal Year 2013 Representative Levy Rate
(Rates Per $1,000 of Assessed Value)

General Government	Billing Rate	Bond Levy Rate	Local Option Rate[1]	Consolidated Rate	Urban Renewal Portion of the Consolidated Rate[2]
Port of Portland	$ 0.0701	$ 0.0000	$ 0.0000	$ 0.0701	$ 0.0019
City of Gresham	3.6129	0.0000	0.0000	3.6129	0.1018
Soil Conservation District	0.1000	0.0000	0.0000	0.1000	0.0028
Metro	0.0966	0.3077	0.0000	0.4043	0.0073
Multnomah County	4.3434	0.1406	0.9400	5.4240	0.1264
Total General Government	8.2230	0.4483	0.9400	9.6113	0.2402
Education					
Multnomah ESD	0.4576	0.0000	0.0000	0.4576	0.0129
Mt. Hood Community College	0.4917	0.0000	0.0000	0.4917	0.0138
Gresham School District	4.5268	1.0864	0.0000	5.6132	0.0000
Total Education	5.4761	1.0864	0.0000	6.5625	0.0267
Total Tax Rate	$ 13.6991	$ 1.5347	$ 0.9400	$ 16.1738	$ 0.2669

NOTE: County assessors report levy rates by tax code. Levy rates apply to the assessed property value. Measure 5 Limits are based on the Taxable Real Market Value and are only reported in total dollar amount of compression, if any, for each taxing jurisdiction (see "Property Taxes – Tax Rate Limitation – Measure 5" herein).

(1) Local Option Levies are voter-approved serial levies. They are limited by ORS 280.060 to five years for operations or ten years for capital construction. Local Option Levy rates compress to zero before there is any compression of district billing rates (see "Property Taxes – Tax Rate Limitation – Measure 5" herein).
(2) A portion of a taxing district's consolidated rate is contributed to the Gresham Redevelopment Commission through tax increment financing.

Source: Multnomah County Department of Assessment and Taxation. Note that there are 11 tax codes in Multnomah County that overlap the City and Tax Code 26 has the highest property value of these tax codes. Total tax levies in the City range from $16.1738 to $16.5462 per $1,000 of assessed property value.

Multnomah County
Tax Collection Record[1]

Fiscal Year	Percent Collected as of Levy Year[2]	Percent Collected as of 6/30/2012[3]
2012	96.89%	96.89%
2011	97.22%	98.38%
2010	96.85%	98.91%
2009	96.43%	99.69%
2008	97.07%	99.94%

(1) Percentage of total tax levy collection in Multnomah County. Pre-payment discounts are considered to be collected when outstanding taxes are calculated. The tax rates are before offsets.
(2) The percentage of taxes collected in the "year of the levy" represents taxes collected in a single levy year, beginning July 1 and ending June 30.
(3) The percentage of taxes shown in the column represents taxes collected cumulatively from July 1 of a given levy year through June 30, 2012.

Source: Multnomah County Department of Assessment and Taxation.

Major Taxpayers
(As of Fiscal Year 2013)
City of Gresham

Taxpayer	Business/Service	Tax [1]	Assessed Value [2]	Percent of Value
Boeing Company[3]	Manufacturing	$ 2,948,675	$ 178,208,580	2.57%
Microchip Technology Inc.	Semiconductors	2,051,767	130,477,290	1.88%
Comcast Corporation	Telecommunications	1,195,796	73,912,500	1.07%
Portland General Electric	Electrical Utility	1,153,325	72,380,010	1.04%
New Albertson's Inc.	Distribution center	1,006,809	60,851,676	0.88%
GE Capital	Lease holder - manufacturing facility	934,195	59,410,520	0.86%
US National Bank of Oregon	Finance	637,471	38,526,740	0.56%
Frontier Communications	Telecommunications	583,698	36,949,000	0.53%
Semiconductor Components	Semiconductors	545,141	34,458,720	0.50%
Owens Corning Foam	Manufacturing	468,890	28,338,230	0.41%
Subtotal - ten of District's largest taxpayers			713,513,266	10.29%
All other District's taxpayers			6,222,383,824	89.71%
Total District			$ 6,935,897,090	100.00%

Multnomah County

Taxpayer	Business/Service	Tax [1]	Assessed Value [2]	Percent of Value
Port of Portland	Airport, Marine, Property Mgmt.	$ 11,258,878	$ 538,039,290	0.84%
Comcast Corporation	Telecommunications	7,436,062	375,816,900	0.59%
Portland General Electric	Electrical Utility	6,971,070	434,897,917	0.68%
PacifiCorp (Pacific Power)	Electrical Utility	5,333,201	332,377,000	0.52%
Weston Investment Co. LLC	Real Estate	5,256,618	251,667,430	0.39%
LC Portland LLC	Real Estate	4,016,088	178,597,560	0.28%
Evraz Inc. NA	Steel manufacturer	3,501,051	217,362,464	0.34%
555 SW Oak LLC	US Bank Tower	3,004,602	134,475,160	0.21%
Boeing Company	Manufacturing	2,948,675	178,208,580	0.28%
Alaska Airlines Inc.	Transportation	2,922,404	173,934,000	0.27%
Subtotal - ten of County's largest taxpayers			2,815,376,301	4.40%
All other County's taxpayers			61,185,716,723	95.60%
Total County			$ 64,001,093,024	100.00%

(1) Tax amount is the total tax paid by the taxpayer within the boundaries of the City and County, respectively. This amount is distributed to individual local governments by the County. A breakdown of amounts paid to each individual local government is not available.
(2) Assessed value does not exclude offsets such as urban renewal and farm tax credits.
(3) Boeing Company is the world's largest aerospace company and leading manufacturer of commercial jetliners and defense, space and security systems. Boeing operates a manufacturing facility in the City.

Source: Multnomah County Department of Assessment and Taxation.

Strategic Investments Program

The Strategic Investments Program ("SIP") was authorized by the Legislative Assembly in 1993 to provide tax incentives for capital investments by "traded-sector" businesses, including manufacturing. SIP recipients receive a 15 year property tax exemption on new construction over $25 million outside of urban areas, and over $100 million in urban areas. The exemption value ($25 million or $100 million) then increases three percent per year. SIP recipients pay an annual Community Service Fee which is equal to 25 percent of the value of the tax break, which is allocated to local governments through local negotiations. The Community Service Fee is not considered a property tax and thus is outside of the Measure 5 Limit. LSI Logic and Microchip are SIP recipients located in the City.

Other Taxes

Oregon cities and counties generally have broad authority to impose taxes on activities within their boundaries. Certain Oregon cities and counties currently impose business license taxes, food and beverage taxes, motor vehicle fuel taxes, transient room taxes and other taxes. Generally these taxes must be either approved by the voters or may be subject to referral by the voters.

The Legislative Assembly generally has the authority to limit or prohibit local governments from imposing taxes, and has limited a number of local government taxes, including transient room taxes and real estate transfer taxes. Each local government has its own mix of taxes, as well as fees and other revenue sources.

Local Government Fees

Oregon cities and counties generally have broad authority to impose and collect fees for services. Many cities and counties collect sewer, water, electric and other enterprise fees, building permit fees, and surface water management fees.

Other local governments, such as special purpose districts, generally require legislative authorization to impose fees for services. Local governments that are authorized to operate utility systems generally are authorized to impose fees for services that are sufficient to pay for their costs of operating and financing their utility systems.

The Legislative Assembly generally has the authority to limit or prohibit local governments from imposing fees for services. Cities are currently authorized to collect franchise fees from utilities, while other local governments are prohibited from doing so.

State of Oregon Funding

Oregon cities and counties receive a share of the revenues the State receives from taxing motor vehicle fuels. The Oregon Constitution requires that these revenues be used only to pay for costs of public roads. Oregon cities and counties also receive a share of the revenues the State of Oregon receives from tobacco taxes and liquor taxes.

The State of Oregon also appropriates money to Oregon counties to operate the justice system, and it provides a wide variety of funding for other purposes.

The State of Oregon is generally not obligated to continue to provide these revenues to local governments.

Federal Funding

Oregon local governments receive federal funding for a variety of purposes. That funding is generally restricted to specific purposes.

Financial Factors

Financial Reporting and Accounting Policies

The City's basic financial statements were prepared in conformity with generally accepted accounting principles ("GAAP") as prescribed by the Governmental Accounting Standards Board ("GASB").

Auditing

Each Oregon municipal corporation must obtain an audit and examination of its funds and account groups at least once each year pursuant to the Oregon Municipal Audit Law, ORS 297.405-297.555. Municipalities having annual expenditures of less than $500,000, with the exception of counties and school districts, are exempt from this requirement. All Oregon counties and school districts, regardless of amount of annual expenditures, must obtain an audit annually. The required audit may be performed by the State Division of Audits or by independent public accountants certified by the State as capable of auditing municipal corporations.

The City audits for the Fiscal Years 2008 through 2012 ("City Audited Financial Statements") were performed by Merina & Company, LLC, CPAs, West Linn, Oregon. The audit report for Fiscal Year 2012 indicates the financial statements, in all material respects, fairly present the City's financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information and the respective changes in financial position and the cash flows, where applicable, in conformance with accounting principles generally accepted in the United States of America. The City has contracted Isler CPA, LLC to perform the audits for Fiscal Years 2013, 2014 and 2015. Neither Merina & Company, LLC, CPAs nor Isler CPA, LLC were requested to review this Official Statement and neither have completed any additional auditing review procedures subsequent to the issuance of the report on the 2012 Fiscal Year.

Future financial statements may be obtained from the Electronic Municipal Market Access ("EMMA") system, a centralized repository operated by the Municipal Securities Rulemaking Board ("MSRB"), located at: www.emma.msrb.org.

Summaries of the City's Net Assets and Changes in Net Assets follow:

Governmental Activities - Statement of Net Assets
(Fiscal Years)

Assets	2008	2009	2010	2011	2012
Cash and cash equivalents	$ 7,180,633	$ 8,104,202	$ 5,933,585	$ 12,192,417	$ 18,054,611
Investments	52,663,507	50,694,621	58,377,299	48,927,811	42,179,425
Receivables, net	7,590,019	9,324,109	10,541,106	9,557,367	9,401,314
Property taxes receivable, net	1,212,318	1,425,097	1,436,768	1,374,873	1,685,385
Assessments receivable, net	84,662	53,315	12,221	7,181	6,360
Internal balances	(3,494,737)	(3,744,916)	(4,805,551)	(4,088,220)	(3,861,183)
Prepaid	16,225,053	15,032,083	14,240,921	13,449,759	12,658,597
Other assets	1,162,597	1,086,838	956,018	612,433	498,807
Restricted cash and cash equivalents	705,341	709,273	1,493,088	1,426,801	2,523,190
Restricted investments	5,377,118	4,019,889	15,332,612	5,915,011	5,666,358
Capital assets:					
Non-depreciable	463,779,676	468,742,872	480,782,350	471,105,282	471,900,223
Depreciable, net	513,453,968	484,772,368	443,874,823	418,866,416	382,113,634
Total Assets	1,065,940,155	1,040,219,751	1,028,175,240	979,347,131	942,826,721
Liabilities					
Accounts payable	2,292,955	1,945,173	2,742,551	2,938,468	2,345,165
Accrued interest payable	234,779	198,870	242,465	217,009	208,001
Other accrued liabilities	66,579	318,139	824,406	159,770	2,932,172
Unearned revenue	2,535,378	2,823,376	3,329,899	3,949,237	3,857,877
Long-term liabilities:					
Due within one year	14,123,288	3,936,452	14,585,183	7,889,223	9,341,634
Due in more than one year	33,114,363	46,161,992	53,603,269	50,842,000	48,921,341
Total Liabilities	52,367,342	55,384,002	75,327,773	65,995,707	67,606,190
Net Assets					
Invested in capital assets, net of related debt	959,587,544	930,557,477	901,963,958	863,746,464	828,386,469
Restricted for:					
Transportation system construction and maintenance	10,830,268	11,158,819	11,527,485	11,972,929	11,571,600
System development	22,627,887	20,771,019	17,372,915	14,947,502	12,551,182
Building development review and inspection	6,234,505	5,318,072	3,899,686	2,642,924	2,270,141
Urban renewal	261,322	796,660	0	3,781,890	2,525,814
Law enforcement equipment	69,756	306,853	34,053	34,053	34,053
Debt service	1,755,034	3,729,370	15,566,453	6,902,161	6,504,713
Unrestricted	12,206,497	12,197,479	2,482,917	9,323,501	11,376,559
Total Net Assets	**$ 1,013,572,813**	**$ 984,835,749**	**$ 952,847,467**	**$ 913,351,424**	**$ 875,220,531**

NOTE: The Net Assets presents information on all the City's assets and liabilities with the difference between the two reported as net assets.

Source: City Comprehensive Annual Financial Reports.

Governmental Activities - Statement of Revenues, Expenses and Changes in Net Assets
(Fiscal Years)

Revenues:	**2008**	**2009**	**2010**	**2011**	**2012**
Program Revenues:					
Charges for services	$ 43,837,972	$ 38,343,170	$ 21,349,515	$ 25,160,894	$ 23,308,650
Operating grants and contributions	6,705,941	6,681,022	9,278,757	10,679,998	10,432,437
Capital grants and contributions	997,885	1,339,745	9,620,224	4,492,794	1,953,926
General Revenues:					
Taxes:					
Property taxes	22,850,875	23,939,439	25,132,892	25,846,750	26,380,647
Property taxes for debt service	494,742	352,972	14,198	12,178	37,346
License fees	7,982,996	8,309,305	8,207,930	7,980,453	8,936,935
Business income taxes	5,279,450	3,579,065	3,428,710	3,778,125	4,215,128
Hotel and motel taxes	615,729	563,215	454,954	460,311	495,019
Other taxes	188,428	203,380	103,368	230,942	163,055
Unrestricted grants and contributions	2,437,816	2,996,833	2,012,939	2,093,534	2,392,870
Unrestricted interest and investment earnings	3,803,933	3,021,915	1,026,427	736,259	711,744
Transfers	(2,933,300)	(3,194,472)	(2,127,139)	(2,030,812)	(2,220,401)
Total Revenues	92,262,467	86,135,589	78,502,775	79,441,426	76,807,356
Expenses:					
General government	18,146,106	16,730,137	16,979,629	18,132,134	18,508,873
Public safety	39,275,265	39,556,615	29,698,462	29,307,610	30,006,778
Transportation	40,355,901	40,528,021	48,023,728	48,966,993	49,006,201
Urban design and planning	136,843	3,175,576	3,161,075	3,539,297	2,611,405
Community Development	8,136,790	4,731,928	3,611,731	3,376,329	2,913,104
Economic development services (1)	0	1,356,940	381,287	481,400	519,584
Environmental services	4,811,198	5,795,545	4,534,573	5,229,337	3,762,583
Urban renewal	1,000,233	1,108,867	2,449,717	7,161,360	5,000,945
Interest on long-term debt	2,480,035	1,889,024	1,823,668	2,743,009	2,608,776
Total Expenses	114,342,371	114,872,653	110,663,870	118,937,469	114,938,249
Increase (decrease) in net assets	(22,079,904)	(28,737,064)	(32,161,095)	(39,496,043)	(38,130,893)
Net assets - July 1	1,035,652,717	1,013,572,813	985,008,562	952,847,467	913,351,424
Total Net Assets	**$ 1,013,572,813**	**$ 984,835,749**	**$ 952,847,467**	**$ 913,351,424**	**$ 875,220,531**

(1) Economic development services were accounted for in the general government expenses for Fiscal Year 2008.

NOTE: The Statement of Revenues, Expenses and Changes in Net Assets presents information showing how the City's net assets changed during a given Fiscal Year. All changes in net assets are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of the related cash flows. Revenues and expenses are reported in this statement for some items that will result in cash flows in future periods, such as uncollected taxes and earned, but unused, vacation leave.

Source: City Comprehensive Annual Financial Reports

A five-year summary of the City's General Fund Balance Sheet and Statement of Revenues, Expenditures and Changes in Fund Balance follows.

General Fund Balance Sheet
(Fiscal Years)

Assets	**2008**	**2009**	**2010**	**2011**	**2012**
Cash and cash equivalents	$ 1,004,602	$ 722,481	$ 777,537	$ 1,263,088	$ 2,042,599
Investments	6,028,411	3,529,665	6,269,331	4,537,880	4,488,812
Receivables, net	2,009,909	2,404,346	2,034,532	2,035,757	2,035,797
Property taxes receivable, net	1,109,027	1,292,210	1,303,345	1,239,296	1,514,560
Due from other funds	1,288,739	1,483,095	1,971,189	2,365,028	3,203,806
Other assets	93,322	53,481	63,942	26,638	21,343
Total Assets	11,534,010	9,485,278	12,419,876	11,467,687	13,306,917
Liabilities and Fund Balances					
Liabilities:					
Accounts payable	$ 643,871	$ 257,754	$ 835,793	$ 463,700	$ 638,620
Other accrued liabilities	50,000	26,862	0	0	279,671
Deferred revenue	1,012,027	1,391,669	1,160,731	1,132,531	1,402,687
Total Liabilities:	1,705,898	1,676,285	1,996,524	1,596,231	2,320,978
Fund Balances:					
Reserved for inventory Unassigned	9,828,112	7,808,993	10,423,352	9,871,456	10,985,939
Total Fund Balances	9,828,112	7,808,993	10,423,352	9,871,456	10,985,939
Total Liabilities and Fund Balance	$ 11,534,010	$ 9,485,278	$ 12,419,876	$ 11,467,687	$ 13,306,917

Source: City Comprehensive Annual Financial Reports.

General Fund Statement of Revenues, Expenditures and Changes in Fund Balance
(Fiscal Years)

Revenues	2008	2009	2010	2011	2012
Taxes	$ 27,228,003	$ 25,932,369	$ 26,691,809	$ 27,443,420	$ 28,110,089
Licenses and permits	743,821	397,897	348,074	337,900	341,039
Intergovernmental	7,906,511	7,965,033	7,983,910	7,982,089	8,368,062
Charges for services	560,528	398,377	297,697	243,115	263,690
License fees	6,671,079	7,066,646	6,973,968	6,808,352	7,759,590
Miscellaneous	588,484	435,218	272,698	221,829	228,975
Internal service charges	526,774	578,777	411,083	612,854	672,797
Total Revenues	44,225,200	42,774,317	42,979,239	43,649,559	45,744,242
Expenditures					
Public safety	38,430,756	38,871,139	36,203,603	38,054,017	38,474,879
Urban design and planning	0	1,282,278	0	0	0
Community development	2,487,817	843,877	836,363	942,037	927,260
Environmental services	2,728,410	2,706,722	1,975,127	1,949,678	2,074,592
Economic development services	0	555,865	492,422	642,641	734,209
Debt service	451	143,882	4,671,210	0	0
Total Expenditures	43,647,434	44,403,763	44,178,725	41,588,373	42,210,940
Excess (deficiency) of revenues over expenditures	577,766	(1,629,446)	(1,199,486)	2,061,186	3,533,302
Other Financing Sources (Uses)					
Issuance of debt	408,353	0	5,332,095	0	0
Transfers in	267,465	302,224	533,485	696,299	529,294
Transfers out	(1,612,192)	(691,897)	(2,051,735)	(3,309,381)	(2,948,113)
Total Other Financing Sources (Uses)	(936,374)	(389,673)	3,813,845	(2,613,082)	(2,418,819)
Change in fund balance	(358,608)	(2,019,119)	2,614,359	(551,896)	1,114,483
Fund balance at beginning of year	10,186,720	9,828,112	7,808,993	10,423,352	9,871,456
Ending fund balance	$ 9,828,112	$ 7,808,993	$ 10,423,352	$ 9,871,456	$ 10,985,939

Source: City Comprehensive Annual Financial Reports.

Budgetary Process

The City's budget is prepared in accordance with provisions of the Oregon Local Budget Law which provides standard procedures for preparing, presenting and administering the operating budget for all local governments. The law mandates public involvement in budget preparation and public exposure of its proposed programs. The law also requires that the budget be balanced.

Prior to adoption, the proposed budget must be approved by a budget committee consisting of the City's Board members. In an advertised public meeting, the budget committee reviews the budget and the "budget message," which explains the budget preparation philosophy and significant changes from the prior year.

Following budget approval by the budget committee, the Tax Supervising and Conservation Commission of Multnomah County, Oregon reviews and certifies the approved budget. The governing body then holds a public hearing and considers citizens' testimony and, if necessary, alters the budget subject to statutory limitations upon increasing taxes or fund allocations without further publication and hearing. A budget summary and notice of hearing are published prior to the hearing. Publication is governed by strict requirements as to time and mode.

The City levies a tax each year for general operations under its permanent rate limit and under any authorized Local Option Levies. Taxes levied for repayment of general obligation debt are not limited.

The governing body acts on a formal resolution which adopts the budget, authorizes taxes to be levied and sets out a schedule of appropriations. This resolution must be adopted not later than June 30. A copy of the budget resolution and property tax certification forms must be submitted to the county Department of Assessment and Taxation before July 15 so that the taxes may be levied.

Unexpected additional resources may be added to the budget through the use of a supplemental budget and appropriation resolution. Supplemental budgets less than 10 percent of the fund's original budget may be adopted by the City Council at a regular meeting. A supplemental budget greater than 10 percent of the fund's original budget requires hearings before the public, publication in newspapers and approval by the City Council. Original and supplemental budgets may be modified by the use of appropriation transfers within a fund or from the General Fund to any other fund. Such transfers require authorization by an official resolution or ordinance of the City Council.

General Fund Budget
(Fiscal Years)

Resources	Revised 2012	Adopted 2013	Adopted 2014
Taxes	$ 28,046,100	$ 28,200,100	$ 29,239,000
Licenses and Permits	331,000	336,000	327,500
Intergovernmental Revenue	7,877,700	8,334,200	8,101,000
Charges for Services	207,800	203,100	196,000
Utility License Fees	8,868,000	8,962,000	8,048,100
Interest Income	50,000	75,000	60,000
Miscellaneous Income	72,300	74,600	72,700
Interfund Transfers	547,100	561,050	205,000
Internal Service Charges	665,142	676,723	727,604
Other/Loan Proceeds	0	0	3,616,400
Beginning Balance	6,233,000	6,129,000	5,866,000
Total Resources	**$ 52,898,142**	**$ 53,551,773**	**$ 56,459,304**
Expenditures			
Police	$ 24,069,093	$ 25,001,360	$ 24,021,761
Fire and Emergency Svcs	16,555,432	16,935,869	17,031,112
Community Development	964,415	965,028	997,000
Economic Development Srvc	849,642	808,296	833,346
Environmental Services	2,335,471	2,355,504	2,200,744
Interfund Transfers	2,969,833	3,024,425	7,369,700
Contingency	673,000	691,000	746,000
Debt Service	0	0	66,400
Unappropriated	4,481,256	3,770,291	3,193,241
Total Expenditures	**$ 52,898,142**	**$ 53,551,773**	**$ 56,459,304**

Source: City Adopted Fiscal Year 2014 Budget.

Investments

ORS 294.035 authorizes Oregon municipalities to invest in obligations, ranging from U.S. Treasury obligations and Agency securities to municipal obligations, bankers' acceptances, commercial paper, certificates of deposit, corporate debt and guaranteed investment contracts, all subject to certain size and maturity limitations. No municipality may have investments with maturities in excess of 18 months without adopting a written

investment policy which has been reviewed and approved by the Oregon Short Term Fund Board. ORS 294.052 authorizes Oregon municipalities to invest proceeds of bonds or certificates of participation and amounts held in a fund or account for such bonds or certificates of participation under investment agreements if the agreements: (i) produce a guaranteed rate of return; (ii) are fully collateralized by direct obligations of, or obligations guaranteed by, the United States; and (iii) require that the collateral be held by the municipality, an agent of the municipality or a third-party safekeeping agent.

Municipalities are also authorized to invest approximately $45.4 million (adjusted for inflation) in the Local Government Investment Pool (the "Pool") of the Oregon Short-Term Fund, which is managed by the State Treasurer's office. There is an exception to the aggregate deposit limits if the funds are placed in the Pool on a pass-through basis. Local governments must remove pass-through funds, which result in exceeding the aggregate deposit limit, within 10 business days. Municipalities are also authorized to invest funds for component units, such as urban renewal agencies, in excess of the limitation. Such investments are managed in accordance with the "prudent person rule" (ORS 293.726) and administrative regulations of the State Treasurer which may change from time to time. Eligible investments presently include all of those listed above, as well as repurchase agreements and reverse repurchase agreements. A listing of investments held by the Oregon Short-Term Fund is available on the Oregon State Treasury website under "Other OSTF Reports – OSTF Detailed Monthly Reports" at www.ost.state.or.us/about/boards/OSTF/About.htm.

Pension System

General. The City participates in a retirement pension benefit program under the State of Oregon Public Employees Retirement System ("PERS" or the "System"). After six full months of employment, all City employees are required to participate in PERS.

T1/T2 Pension Programs. Employees hired before August 29, 2003 participate in the "Tier 1" and "Tier 2" pension programs (the "T1/T2 Pension Programs"). The benefits provided through the T1/T2 Pension Programs are based primarily on a defined benefit model and provide retirement and disability benefits, annual cost-of-living adjustments, and death benefits to members and their beneficiaries. Different benefit structures apply to participants depending on their date of hire. Effective January 1, 2004, T1/T2 Pension Program participant contributions fund individual retirement accounts under the separate defined contribution program described below. Participant contributions may be paid by the employee or the employer, depending on the individual contract negotiated between the two. See "Employer Contribution Rates" herein.

OPSRP. Employees hired on or after August 29, 2003 participate in the Oregon Public Service Retirement Plan ("OPSRP") unless membership was previously established in the T1/T2 Pension Programs. OPSRP is a hybrid defined contribution/defined benefit pension plan with two components. Employer contributions fund the defined benefit program and employee contributions fund individual retirement accounts under the separate defined contribution program.

Actuarial Valuation. Oregon statutes require an actuarial valuation of the System at least once every two years. Based on the biennial actuarial valuation as of December 31 of odd-numbered years the Public Employees Retirement Board ("PERB") establishes the contribution rates that employers will pay to fund the T1/T2 Pension Programs, OPSRP and the PERS-sponsored Retirement Health Insurance Account program ("RHIA") described herein. Actuarial valuations are performed annually as of December 31 of each year, with the valuations as of December 31 of even-numbered years (such as 2010) used for advisory purposes only and valuations as of December 31 of odd-number years (such as 2011) used to set payroll contribution rates. Actuarial valuations are performed for the entire System (the "System Valuation"), and for each participating employer, including the City (the "City Valuation"). Valuations are released nine to eleven months after the valuation date. PERS' current actuary is Milliman, Inc. ("Milliman") which replaced the prior actuary, Mercer (US), Inc. in January 2012.

Valuation Date	Release Date	Rates Effective
December 31, 2009	October 2010	July 1, 2011 – June 30, 2013
December 31, 2010	November 2011	Advisory only
December 31, 2011	October 2012	July 1, 2013 – June 30, 2015

The 2011 System Valuation indicated that the System-wide funded status decreased from approximately 87 percent at December 31, 2010 to 82 percent at December 31, 2011 due to lower than assumed investment returns, taking into account offsets for deposits made by individual employers from bond proceeds or cash on hand into Side Accounts (see "Pension Bonds and Side Accounts" herein).

Employer Assets, Liabilities, and Unfunded Actuarial Liabilities. An employer's unfunded actuarial liability ("UAL") is the excess of the actuarially determined present value of the employer's benefit obligations to employees over the existing actuarially determined assets available to pay those benefits.

City UAL. The City's T1/T2 Pension Programs assets and liabilities are based on an actuarial analysis performed on the City's employee base.

OPSRP's assets and liabilities are pooled on a program-wide basis. These assets and liabilities are not tracked or calculated on an employer basis. The City's allocated share of OPSRP's assets and liabilities is based on the City's proportionate share of OPSRP's pooled payroll (the "City Allocated OPSRP UAL"). Changes in the City's relative growth in payroll will cause the City Allocated OPSRP UAL to shift.

Pension Bonds and Side Accounts. In May 2004, the City issued pension bonds to make an $18,091,808 lump-sum payment to PERS. The payment was deposited in the PERS fund to finance the City's transition liability and all or a portion of the City Allocated T1/T2 UAL and City Allocated OPSRP UAL, reducing the City's contribution rates, although debt service payments are also due on the pension bonds.

The City's net unfunded pension UAL is the total of the City Allocated T1/T2 UAL, City Allocated OPSRP UAL, and City Side Account. The City's net unfunded pension UAL as of the 2009 Valuation and 2011 Valuation is shown in the following table.

City of Gresham Net Unfunded Pension UAL

	2009 Valuation	2011 Valuation
T1/T2 UAL	$ 30,522,139	$ 43,447,228
Allocated pooled OPSRP UAL	399,081	664,479
City Side Account	(16,806,214)	(15,951,622)
Net unfunded pension actuarial accrued liability	$ 14,115,006	$ 28,160,085

Source: 2009 City Valuation and 2011 City Valuation.

The funded status of PERS and of the City as reported by Milliman, will change over time depending on a variety of factors, including the market performance of the securities in which the Oregon Public Employees Retirement Fund ("OPERF") is invested, future changes in compensation and benefits of covered employees, demographic characteristics of members, methodologies and assumptions used by the actuary in estimating the assets and liabilities of PERS, and other actions taken by the PERB.

Significant actuarial assumptions and methods used in the valuations included: (a) Projected Unit Credit actuarial cost method, (b) asset valuation method based on market value, (c) rate of return on the investment of present and future assets of 8%, (d) payroll growth rate of 3.75%, (e) consumer price inflation of 2.75% per year, and (f) UAL amortization method of a level percentage of payroll over 21 years (fixed) for the T1/T2 Pension Programs and 16 years (fixed) for OPSRP.

The PERB is expected to consider changes to the above-described actuarial assumptions and methods, including the contribution rate collar described below, at its July 2013 meeting. The District cannot predict what changes, if any, the PERB may adopt.

Employer Contribution Rates. Employer contribution rates are calculated as a percent of covered payroll. The rates are based on the current and projected cost of benefits and the anticipated level of funding available from the OPERF, including anticipated investment performance of the fund. Contribution rates are subject to future adjustment based on factors such as the result of subsequent actuarial valuations, litigation, decisions by the PERS Board and changes in benefits resulting from legislative modifications. Pursuant to ORS 238.225 all employers participating in PERS are required to make their contribution to PERS based on the employer contribution rates set by the PERS Board. Employees are required to contribute 6 percent of their annual salary to the respective programs. Employers are allowed to pay the employees' contribution in addition to the required employers' contribution. The City has elected to make the employee contribution.

Contribution Rate Collar. In January 2010 the PERS Board adopted a revised implementation of the rate collar limiting increases in employer contribution rates from biennium to biennium (the "Rate Collar"). The Rate Collar limits increases in employer contribution rates before rate reductions from side accounts are deducted, and does not cover charges associated with RHIA and Retirement Health Insurance Premium Account ("RHIPA"). Under normal conditions, the Rate Collar is the greater of three percent of payroll or 20 percent of the current base rate. If the funded status of independent employers is below 80 percent, the Rate Collar increases by 0.3 percent for every percentage point under the 80 percent funded level until it reaches six percent at the 70 percent funded level (if under the three percent parameter), or by two percent for every percentage point under the 80 percent funded level (if under the 20 percent of current base rate parameter). The average collar that will be applied in the 2013-15 biennium will defer rates by 2.2% of payroll system-wide into future biennia.

City Contribution Rates. The City's current contribution rates are based on the 2009 Valuation. The following table shows the City's contribution rates effective July 1, 2011 to June 30, 2013 (2009 Valuation) and the rates effective July 1, 2013 through June 30, 2015 (2011 Valuation). At its meeting on May 31, 2013, the PERB adopted a methodology by which all jurisdictions will receive the reduction of 2.5% of payroll in their payroll rates for the 2013-15 biennium. Jurisdictions will also receive the deferral of up to the additional 1.9% of payroll contemplated by the budget note; however, no jurisdiction may pay less than the rate which that jurisdiction paid in the 2011-13 biennium.

City of Gresham Pension Contribution Rates

	2009 Valuation			2011 Valuation[2]		
	T1/T2	OPSRP General	OPSRP P&F	T1/T2	OPSRP General	OPSRP P&F
Normal cost rate	11.39%	6.13%	8.84%	12.07%	6.27%	9.00%
T1/T2 UAL rate	0.31	0.31	0.31	(0.37)	(0.37)	(0.37)
OPSRP UAL rate	0.08	0.08	0.08	0.15	0.15	0.15
Side account rate relief	(3.53)	(3.53)	(3.53)	(3.52)	(3.52)	(3.52)
Retiree Healthcare rate (RHIA)[1]	0.59	0.50	0.50	0.59	0.49	0.49
Total net contribution rate	**8.84%**	**3.49%**	**6.20%**	**8.92%**	**3.02%**	**5.75%**

(1) Contribution rates to fund RHIA benefits are included in the total City employer contribution rate, but are not a pension cost. See "Other Postemployment Benefits – Retirement Health Insurance Account" below.
(2) The City's T1/T2 UAL contribution rates for the 2013-15 biennium were revised from the initial 2011 City Valuation as described above.

Source: 2009 City Valuation, 2011 City Valuation and the Summary of PERS Employer Contribution Rates for the 2013-15 biennium.

Other Postemployment Benefits

Retirement Health Insurance Account. PERS retirees who receive benefits through the Tier 1 and Tier 2 plans and are enrolled in certain PERS administered health insurance programs, may receive a subsidy towards the payment of health insurance premiums. Under ORS 238.420, retirees may receive a subsidy for Medicare supplemental health insurance of up to $60 per month towards the cost of their health insurance premium

under the RHIA plan. The RHIA program's assets and liabilities are pooled on a system-wide basis and are not tracked or calculated on an employer basis. According to the 2011 System Valuation, this program had a UAL of approximately $221.5 million. The City's allocated share of the RHIA program's assets and liabilities is based on the City's proportionate share of the program's pooled payroll. According to the 2011 City Valuation, the City's allocated share of the RHIA program's UAL was $ 1,008,866.

GASB 45. GASB 45 requires the City to determine the extent of its liabilities for post employment benefits and record the liability in its financial statements on an actuarial basis. This includes the requirement under ORS 243.303 of offering the same healthcare benefits for current City employees to all retirees and their dependents until such time as the retirees are eligible for Medicare. GASB 45 refers to this as an "implicit subsidy" and requires that the corresponding liability be determined and reported. The City implemented this pronouncement for the fiscal year ended June 30, 2008.

The City's annual other post employment benefit ("OPEB") cost is calculated based on the annual required contribution (the "ARC"), an amount actuarially determined in accordance with the parameters of GASB 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal costs each year and amortize any unfunded actuarial liabilities over a period not to exceed 15 years. The following table details the City's ARC and Net OPEB Obligation.

Annual Required Contribution

	2008	2009	2010	2011	2012
Annual required contribution	$ 1,364,519	$ 1,457,780	$ 1,450,970	$ 1,538,825	$ 1,272,935
Interest on prior net OPEB obligation	-	47,851	95,013	136,672	159,496
Adjustment to annual required contribution	-	(75,059)	(149,036)	(214,383)	(270,980)
Annual OPEB cost	1,364,519	1,430,572	1,396,947	1,461,114	1,161,451
Explicit benefit payments	-	-	-	-	-
Implicit benefit payments	(301,155)	(382,539)	(471,183)	(510,875)	(490,518)
Increase in net obligation	1,063,364	1,048,033	925,764	950,239	670,933
Net OPEB obligation - beginning of Fiscal Year	-	1,063,364	2,111,397	3,037,161	3,987,400
Net OPEB obligation - end of Fiscal Year	$ 1,063,364	$ 2,111,397	$ 3,037,161	$ 3,987,400	$ 4,658,333
% of Annual OPEB Cost Contributed	22%	27%	34%	35%	42%

Source: City Audited Financial Statements.

The City obtains an updated actuarial valuation of the plan every two years. The actuarial valuation as of August 1, 2012 is not yet available. The following table presents the UAAL from the three actuarial valuations completed since the adoption of GASB 45.

Unfunded Actuarial Accrued Liability

Valuation Date	Actuarial Value of Assets	Accrued Liability	Unfunded Accrued Liability	Funded Ratio	Covered Payroll	Percentage of Covered Payroll
8/1/2010	$ -	$ 9,376,832	$ 9,376,832	0%	$ 40,100,382	23%
8/1/2008	-	10,028,577	10,028,577	0%	37,629,676	27%
8/1/2006	-	9,074,347	9,074,347	0%	35,001,977	26%

Source: City Audited Financial Statements.

See Note "Post Employment Benefits and Other than Pensions" of the City's audited financial statements for Fiscal Year 2012 for more information on the City's liability under GASB 45.

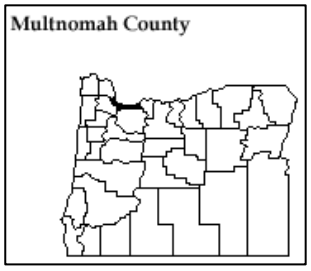
Risk Management

The City is exposed to various risks of loss. A description of the risks is provided in the City's audited financial statements. The audited financial statement for Fiscal Year 2012 is attached hereto as Appendix B.

Demographic Information

General

The City is part of the Portland-Vancouver-Hillsboro Metropolitan Statistical Area (the "Portland PMSA"), which includes Clackamas, Columbia, Multnomah, Washington and Yamhill Counties in Oregon; Clark and Skamania Counties in Washington.



Historical data have been collected from generally accepted standard sources, usually from public bodies. This section bases information on the Portland PMSA, Multnomah County and the City.

Population

The following table shows the historical population for the State, Multnomah County and the City:

Population

July 1[1]	State of Oregon	Multnomah County	City of Gresham
2012	3,883,735	748,445	105,970
2011	3,857,625	741,925	105,795
2010	3,837,300	736,785	105,595
2009	3,823,465	724,680	101,015
2008	3,791,075	717,880	100,655
2007	3,745,455	710,025	99,225
2006	3,690,505	701,545	97,745
2005	3,631,440	692,825	95,900
2004	3,582,600	685,950	94,250
2003	3,541,500	677,850	93,660
April 1[2]			
2010	3,831,074	735,334	105,594
2000	3,421,399	660,486	90,205
1990	2,842,321	583,887	68,249

(1) Source: Center for Population Research and Census, Portland State University.

(2) Source: U.S. Census Count on April 1.

Economic Overview

Portland PMSA. The economy of the Portland metropolitan area is broad and widely diversified. The Portland PMSA includes the State's largest employers, including Intel, Providence Health System, Safeway, Oregon Health & Sciences University, Fred Meyer, Kaiser Foundation Health Plan, Legacy Health System, and Nike.

Currently, trade, transportation and utilities accounts for 19.14 percent of the total non-farm employment in the Portland PMSA, while government jobs accounts for 14.7 percent, education and health services 14.6 percent, professional and business services 13.7 percent, manufacturing 11.2 percent, and leisure and hospitality 9.8 percent.

The number of acres harvested and gross farm sales in the County are as follows:

Multnomah County
Harvested Acreage and Gross Farm Sales

Year	Harvested Acreage	Gross Farm Sales ($ in thousands)		
		Crop Sales	Animal Products Sales	Total Gross Farm Sales
2012	9,652	$ 53,266	$ 3,508	$ 56,774
2011	9,725	51,646	3,505	55,151
2010	9,151	54,145	3,138	57,283
2009	8,595	60,007	2,821	62,828
2008	8,467	76,296	2,851	79,147
2007	9,541	79,321	2,855	82,176

Source: Oregon State University Extension Service's Oregon Agriculture Information Network, Harvested Acreage Summary Report, Gross Farm Sales Reports, Commodity Report; April 23, 2013.

Income. Historical personal income and per capita income levels for the County and the State are shown below:

Multnomah County and State of Oregon
Total Personal and Per Capita Income

Year	Multnomah County				State of Oregon			
	Personal Income ($000 Omitted)	Dividends, Interest, Rent ($000 Omitted)	Per Capita Income	Per Capita Dividends, Interest, Rent	Personal Income ($000 Omitted)	Dividends, Interest, Rent ($000 Omitted)	Per Capita Income	Per Capita Dividends, Interest, Rent
2012	N/A	N/A	N/A	N/A	$ 151,241,129	$ 27,452,959	$ 38,786	$ 7,040
2011	$ 31,161,157	$ 5,369,055	$ 41,658	$ 7,178	146,778,178	27,671,779	37,909	7,147
2010	29,424,258	4,958,444	39,899	6,724	139,395,112	26,031,153	36,317	6,782
2009	28,440,292	5,012,462	39,081	6,888	138,453,340	28,181,017	36,191	7,366
2008	29,687,197	5,969,166	41,638	8,372	139,306,268	29,341,456	36,824	7,756
2007	28,234,192	5,480,081	40,462	7,853	133,821,268	27,217,289	35,849	7,291
2006	27,043,127	5,269,118	39,550	7,706	127,403,090	25,405,934	34,644	6,908

Source: U.S. Department of Commerce, Bureau of Economic Analysis, March 27, 2013.

Employment. Non-farm employment within the Portland PMSA is described in the following tables:

Portland PMSA
Labor Force Summary (1)
(by place of residence)

							2013 Change from				
	2008	2009	2010	2011	2012	2013 (2)	2008	2009	2010	2011	2012
Civilian Labor Force	1,171,267	1,175,710	1,176,065	1,195,738	1,186,738	1,170,625	-642	-5,085	-5,440	-25,113	-16,113
Unemployment	68,322	125,168	122,078	109,302	96,800	91,683	23,361	-33,485	-30,395	-17,619	-5,117
Percent of Labor Force	5.8%	10.6%	10.4%	9.1%	8.2%	7.8%	xx	xx	xx	xx	xx
Total Employment	1,102,945	1,050,542	1,053,987	1,086,436	1,089,938	1,078,942	-24,003	28,400	24,955	-7,494	-10,996

Non-Agricultural Wage & Salary Employment (3)

							2013 Change from				
	2008	2009	2010	2011	2012	2013 (2)	2008	2009	2010	2011	2012
Total Nonfarm Payroll Employment	1,035,500	972,400	953,800	975,900	1,006,600	1,009,200	-26,300	36,800	55,400	33,300	2,600
Total Private	888,900	824,100	806,200	830,700	861,600	861,000	-27,900	36,900	54,800	30,300	-600
Natural resources and mining	1,500	1,200	1,100	1,000	1,000	900	-600	-300	-200	-100	-100
Construction	61,400	49,200	44,100	45,000	48,200	46,200	-15,200	-3,000	2,100	1,200	-2,000
Manufacturing	123,300	108,600	105,400	108,300	114,200	113,400	-9,900	4,800	8,000	5,100	-800
Trade, transportation, and utilities	204,000	189,600	185,500	190,600	193,600	193,200	-10,800	3,600	7,700	2,600	-400
Information	24,800	22,900	22,000	22,200	22,500	22,900	-1,900	0	900	700	400
Financial activities	68,100	64,200	62,500	62,100	62,200	62,300	-5,800	-1,900	-200	200	100
Professional and business services	136,100	124,400	123,300	129,700	138,700	138,700	2,600	14,300	15,400	9,000	0
Educational and health services	132,700	134,900	135,300	143,200	145,200	147,600	14,900	12,700	12,300	4,400	2,400
Leisure and hospitality	99,700	94,000	92,600	94,700	99,700	98,700	-1,000	4,700	6,100	4,000	-1,000
Other services	37,300	35,200	34,400	34,100	36,500	37100	-200	1,900	2,700	3,000	600
Government	146,600	148,300	147,700	145,200	145,000	148,200	1,600	-100	500	3,000	3,200

(1) Civilian labor force includes employed and unemployed individuals 16 years and older by place of residence. Employed includes nonfarm payroll employment, self-employed, unpaid family workers, domestics, agriculture and labor disputants. Data are adjusted for multiple job-holding and commuting.
(2) Data for month of March 2013.
(3) Nonfarm payroll data are based on the 1987 Standard Industrial Classification manual. The data are by place of work. Persons working multiple jobs are counted more than once. The data excludes the self-employed, volunteers, unpaid family workers, and domestics.

Source: State of Oregon Employment Department, May 2013.

Major Employers in the City

Company	Service	No. Employees
Boeing of Portland	Aircraft parts and equipment	1,742
U.S. Bank Columbia Center	Finance	1,636
Mt. Hood Community College	Education	1,100
Gresham-Barlow School District	Education	1,003
ACS Commercial Solutions	Data processing, hosting	680
Centennial School District	Education	645
Legacy Mount Hood Medical Center Inc.	Health Care	601
City of Gresham	Government	556
ON Semiconductor	Semiconductors	504
Microchip Technology Inc.	Semiconductors	408
Albertson's Distribution Center	Groceries/shipping/distribution	384
T.A.B. Retail Remodeling	Consulting services	350
Boyd Coffee Company	Coffee	240
Scenic Fruit Co	Manufactures quick frozen, cold pack fruits	200
Opti-Craft Inc. (Essilor Laboratories of America Inc.)	Manufactures optical elements, assemblies	180
Rest Harbor Extended Care Center Inc.	Health Care	155
Village Health Care I LLC	Long-term care facility	100

Source: City of Gresham audit, Hoover's business database; May 2013.

Building Permits. Residential building permits are an indicator of growth within a region. The number and valuation of new single-family and multi-family residential building permits in the City are listed below:

City of Gresham
Residential Building Permits

	New Single Family		New Multi Family			Total
Year	Number	Construction Cost	Number	Units	Construction Cost	Construction Cost
2013 (1)	15	$ 3,483,087	0	0	$ 0	$ 3,483,087
2012	66	16,622,693	1	2	245,832	16,868,525
2011	42	9,050,867	0	0	0	9,050,867
2010	76	16,998,257	2	49	3,905,792	20,904,049
2009	69	14,327,424	29	155	18,700,521	33,027,945
2008	103	22,577,077	16	60	8,104,284	30,681,361

(1) As of April 1, 2013.

Source: U.S. Census Bureau, May 8, 2013.

Transportation. The City is served by Interstate 84 and Interstate 205. Bus service is provided by Tri-Met, the Portland Metropolitan Area's transportation authority, and Greyhound. Southern Pacific Railroad supplies freight service to the City.

Commercial air transportation is available at Portland International Airport ("PDX"). PDX, operated by the Port, is served by 17 scheduled passenger air carriers and three charter services. Fourteen cargo carriers service PDX. The Port also operates three general aviation airports in Troutdale, Hillsboro and Mulino. The Hillsboro Airport is the State's second busiest general aviation site and maintains the largest corporate jet fleet in the state.

Higher Education. Institutions of higher learning in the area include independent institutions such as Reed College, Lewis and Clark College, Pacific University, and church-affiliated institutions such as the University

of Portland, Warner Pacific College, Concordia University, and Columbia Pacific College. Portland State University, which is part of the Oregon University System of Higher Education, and the Oregon Health and Science University are also located in Multnomah County. Portland Community College, Mt. Hood Community College, and Clackamas Community College are part of the State's community college system.

The Initiative and Referendum Process

Article IV, Section 1 of the Oregon Constitution reserves to the people of the State the initiative power to amend the State Constitution or to enact legislation by placing measures on the statewide general election ballot for consideration by the voters. Oregon law therefore permits any registered Oregon voter to file a proposed initiative with the Oregon Secretary of State's office without payment of fees or other burdensome requirements. Consequently, a large number of initiative measures are submitted to the Oregon Secretary of State's office, and a much smaller number of petitions obtain sufficient signatures to be placed on the ballot.

Because many proposed statewide initiative measures are submitted to the Oregon Secretary of State's office that that do not qualify for the ballot, the City does not formally or systematically monitor the impact of those measures or estimate their financial effect prior to the time the measures qualify for the ballot. The City also does not formally or systematically monitor efforts to qualify measures for the ballot that would initiate new provisions for, or amend, the City's charter and ordinances. Consequently, the City does not ordinarily disclose information about proposed initiative measures that have not qualified for the ballot.

Pursuant to ORS 250.125, a five-member Committee composed of the Secretary of State, the State Treasurer, the Director of the Department of Revenue, the Director of the Department of Administrative Services, and a local government representative must prepare an estimate of the direct financial impact of each measure ("Financial Estimate Statements") to be printed in the voters' pamphlet and on the ballot.

Referendum

"Referendum" generally means measures that have been passed by a legislative body, such as the Legislative Assembly or the governing body of a district, county or other political subdivision and referred to the electors by the legislative body, or by petition prior to the measure's effective date.

In Oregon, both houses of the Legislative Assembly must vote to refer a statute or constitutional amendment for a popular vote. Such referrals cannot be vetoed by the governor. Any change to the Oregon Constitution passed by the Legislative Assembly requires referral to voters. In the case of a referendum by petition, proponents of the referendum must obtain a specified number of signatures from qualified voters. The required number of signatures is equal to four percent of the votes cast for all candidates for governor at the preceding gubernatorial election.

Initiative Process

To place a proposed statewide initiative on a general election ballot, the proponents must submit to the Secretary of State initiative petitions signed by the number of qualified voters equal to a specified percentage of the total number of votes cast for all candidates for governor at the gubernatorial election at which a governor was elected for a term of four years next preceding the filing of the petition with the Secretary of State. For the 2012 general election, the requirement was eight percent (116,284 signatures) for a constitutional amendment measure and six percent (87,213 signatures) for a statutory initiative. Any elector may sign an initiative petition for any measure on which the elector is entitled to vote. Statewide initiatives may only be filed for general elections in even-numbered years. The next general election for which statewide initiative petitions may be filed will be in November 2014.

A statewide initiative petition must be submitted to the Secretary of State not less than four months prior to the general election at which the proposed measure is to be voted upon. As a practical matter, proponents of an initiative have approximately two years in which to gather the necessary number of signatures. State law permits persons circulating initiative petitions to pay money to persons obtaining signatures for the petition.

Once an initiative measure has gathered a sufficient number of signatures and qualified for placement on the ballot, the State is required to prepare a formal estimate of the measure's financial impact. Typically, this estimate is limited to an evaluation of the direct dollar impact.

Historical Initiative Petitions. Historically, a larger number of initiative measures have qualified for the ballot than have been approved by the electors. According to the Elections Division of the Secretary of State, the total number of initiative petitions that qualified for the ballot and the numbers that passed in recent general elections are as follows:

Historical Initiative Petitions

Number of Year of General Election	Number of Initiatives that Qualified	Initiatives that were Approved
2004	6	2
2006	10	3
2008	8	0
2010	4	2
2012	7	2

NOTE: The Secretary of State posts a listing of initiatives on its web site: www.sos.state.or.us.

Source: Elections Division, Oregon Secretary of State, Initiative, Referendum and Referral Log, Elections Division.

Recent Initiative Petitions. Two initiative measures were approved at the November 6, 2012 election (Measure 79 and Measure 85). These measures may have a fiscal impact on the State's General Fund which could have an impact on the City. The City cannot estimate at this time what such impact would be, if any.

Measure 79 amended the Constitution, prohibiting real estate transfer taxes, fees, and other assessments, except those operative on December 31, 2009. The measure prohibits the State from imposing taxes, fees, or assessments on the transfer of any interest in real property. Local governments are already prohibited from imposing fees of this type.

Measure 85 amended the Constitution, allocating the corporate income/excise tax "kicker" refund to provide additional funding for K through 12 public education. The financial impact of this measure is indeterminate because it is affected by unknown future events. The "corporate kicker" will now be retained in the General Fund instead of being returned to corporate income and excise taxpayers. The Legislature, however, has full discretion over how it allocates General Fund moneys, including the total amount allocated to K through 12 public education.

City Charter

In addition to statutory and constitutional changes by the Legislative Assembly and the initiative and referendum process, the independent basis of legislative authority has been granted to cities in Oregon by municipal charters. A copy of the City Charter is available upon request from the City.

Legal Matters and Litigation

Legal Matters

Legal matters incident to the authorization, issuance and sale of Obligations are subject to the approving legal opinion of Special Counsel, substantially in the form attached hereto as Appendix A. Special Counsel has reviewed this document only to confirm that the portions of it describing the Obligations and the authority to issue them conform to the Obligations and the applicable laws under which they are issued.

Litigation

There is no litigation pending questioning the validity of the Obligations nor the power and authority of the City to issue the Obligations. There is no litigation pending which would materially affect the finances of the City or affect the City's ability to meet debt service requirements on the Obligations. The City is a defendant in various lawsuits. Most of these lawsuits are covered by the City's insurance policies. Although the outcome of these lawsuits is not presently determinable, it is the opinion of management that resolution of these matters will not have a material adverse effect on the financial condition of the City.

Under the Oregon law local public bodies, such as the City, are subject to the following limits on liability. The State of Oregon is subject to different limits.

Personal Injury and Death Claim. The liability of a local public body and its officers, employees and agents acting within the scope of their employment or duties, to any *single claimant* for covered personal injury or death claims (and not property claims) arising out of a single accident or occurrence may not exceed $500,000, for causes of action arising on or after July 1, 2009, and before July 1, 2010. From July 1, 2010 through June 30, 2015, this cap increases incrementally to $666,700. The liability limits to *all claimants* for covered personal injury or death claims (and not property claims) arising from a single accident or occurrence increase from $1 million, for causes of action arising on or after July 1, 2009, and before July 1, 2010, incrementally to $1,333,300, for causes of action arising on or after July 1, 2014, and before July 1, 2015.

For causes of action arising on or after July 1, 2015, the liability limits for both a single claimant and all claimants will be adjusted based on a determination by a State Court Administrator of the percentage increase or decrease in the cost of living for the previous calendar year as provided in the statutory formula. The adjustment may not exceed 3% for any year.

Property Damage or Destruction Claim. The liability of a public body and its officers, employees and agents acting within the scope of their employment or duties, for covered claims for damage and destruction of property that arise from causes of action arising on or after July 1, 2009 are as follows: (a) $100,000, adjusted as described below, to any single claimant, and (b) $500,000, adjusted as described below, to all claimants.

Beginning in 2010, these liability limits shall be adjusted based on a determination by a State Court Administrator of the percentage increase or decrease in the cost of living for the previous calendar year as provided in the statutory formula. The adjustment may not exceed 3% for any year.

Tax Matters

Federally Tax-Exempt Status of the 2013B Obligations

Opinion of Special Counsel. In the opinion of Hawkins Delafield & Wood LLP, Special Counsel to the City ("Special Counsel"), under existing statutes and court decisions and assuming continuing compliance with certain tax covenants described herein, (i) the portion of the payments made under the 2013B Financing Agreement designated and constituting interest ("Tax-Exempt Interest") is excluded from gross income for Federal income tax purposes pursuant to Section 103 of the Internal Revenue Code of 1986, as amended (the "Code"), and (ii) Tax-Exempt Interest is not treated as a preference item in calculating the alternative minimum tax imposed on individuals and corporations under the Code; such Tax-Exempt Interest, however, is included in the adjusted current earnings of certain corporations for purposes of calculating the alternative minimum tax imposed on such corporations. In rendering its opinion, Special Counsel has relied on certain representations, certifications of fact, and statements of reasonable expectations made by the City in connection with the 2013B Obligations, and Special Counsel has assumed compliance by the City with certain ongoing covenants to comply with applicable requirements of the Code to assure the exclusion of Interest from gross income under Section 103 of the Code.

In addition, in the opinion of Special Counsel to the City, under existing statutes, Tax-Exempt Interest is exempt from State of Oregon personal income tax.

Special Counsel expresses no opinion regarding any other Federal or state tax consequences with respect to the 2013B Obligations. Special Counsel renders its opinion under existing statutes and court decisions as of the issue date, and assumes no obligation to update, revise or supplement its opinion to reflect any action hereafter taken or not taken, or any facts or circumstances that may hereafter come to its attention, or changes in law or in interpretations thereof that may hereafter occur, or for any other reason. Special Counsel expresses no opinion on the effect of any action hereafter taken or not taken in reliance upon an opinion of other counsel on the exclusion from gross income for Federal income tax purposes of Interest, or under state and local tax law.

Certain Ongoing Federal Tax Requirements and Covenants. The Code establishes certain ongoing requirements that must be met subsequent to the issuance and delivery of the 2013B Obligations in order that Tax-Exempt Interest be and remain excluded from gross income under Section 103 of the Code. These requirements include, but are not limited to, requirements relating to use and expenditure of gross proceeds of the 2013B Obligations, yield and other restrictions on investments of gross proceeds, and the arbitrage rebate requirement that certain excess earnings on gross proceeds be rebated to the Federal government. Noncompliance with such requirements may cause Tax-Exempt Interest to become included in gross income for Federal income tax purposes retroactive to the issue date of the 2013B Obligations, irrespective of the date on which such noncompliance occurs or is discovered. The City has covenanted to comply with certain applicable requirements of the Code to assure the exclusion of Tax-Exempt Interest from gross income under Section 103 of the Code.

Certain Collateral Federal Tax Consequences. The following is a brief discussion of certain collateral Federal income tax matters with respect to the 2013B Obligations. It does not purport to address all aspects of Federal taxation that may be relevant to a particular owner of a 2013B Obligation. Prospective investors, particularly those who may be subject to special rules, are advised to consult their own tax advisors regarding the Federal tax consequences of owning and disposing of the 2013B Obligations.

Prospective owners of the 2013B Obligations should be aware that the ownership of such obligations may result in collateral Federal income tax consequences to various categories of persons, such as corporations (including S corporations and foreign corporations), financial institutions, property and casualty and life insurance companies, individual recipients of Social Security and railroad retirement benefits, individuals otherwise eligible for the earned income tax credit, and taxpayers deemed to have incurred or continued indebtedness to purchase or carry obligations the interest on which is excluded from gross income for Federal income tax purposes. Tax-Exempt Interest may be taken into account in determining the tax liability of foreign corporations subject to the branch profits tax imposed by Section 884 of the Code.

Original Issue Discount. "Original issue discount" ("OID") is the excess of the sum of all amounts payable at the stated maturity of a 2013B Obligation (excluding certain "qualified stated interest" that is unconditionally payable at least annually at prescribed rates) over the issue price of that maturity. In general, the "issue price" of a maturity means the first price at which a substantial amount of the 2013B Obligations of that maturity was sold (excluding sales to bond houses, brokers, or similar persons acting in the capacity as underwriters, placement agents, or wholesalers). In general, the issue price for each maturity of 2013B Obligations is expected to be the initial public offering price set forth on the cover page of the Official Statement. Special Counsel further is of the opinion that, for any 2013B Obligations having OID (a "Discount Obligation"), OID that has accrued and is properly allocable to the owners of the Discount Obligations under Section 1288 of the Code is excludable from gross income for Federal income tax purposes to the same extent as other Tax-Exempt Interest.

In general, under Section 1288 of the Code, OID on a Discount Obligation accrues under a constant yield method, based on periodic compounding of interest over prescribed accrual periods using a compounding rate determined by reference to the yield on that Discount Obligation. An owner's adjusted basis in a Discount Obligation is increased by accrued OID for purposes of determining gain or loss on sale, exchange, or other disposition of such Discount Obligation. Accrued OID may be taken into account as an increase in the amount of tax-exempt income received or deemed to have been received for purposes of determining various other tax consequences of owning a Discount Obligation even though there will not be a corresponding cash payment.

Owners of Discount Obligations should consult their own tax advisors with respect to the treatment of original issue discount for Federal income tax purposes, including various special rules relating thereto, and the state and local tax consequences of acquiring, holding, and disposing of Discount Obligations.

Bond Premium. In general, if an owner acquires a 2013B Obligation for a purchase price (excluding accrued interest) or otherwise at a tax basis that reflects a premium over the sum of all amounts payable on the 2013B Obligation after the acquisition date (excluding certain "qualified stated interest" that is unconditionally payable at least annually at prescribed rates), that premium constitutes "bond premium" on that 2013B Obligation (a "Premium Obligation"). In general, under Section 171 of the Code, an owner of a Premium Obligation must amortize the bond premium over the remaining term of the Premium Obligation, based on the owner's yield over the remaining term of the Premium Obligation determined based on constant yield principles (in certain cases involving a Premium Obligation callable prior to its stated maturity date, the amortization period and yield may be required to be determined on the basis of an earlier call date that results in the lowest yield on such bond). An owner of a Premium Obligation must amortize the bond premium by offsetting the qualified stated interest allocable to each interest accrual period under the owner's regular method of accounting against the bond premium allocable to that period. In the case of a tax-exempt Premium Obligation, if the bond premium allocable to an accrual period exceeds the qualified stated interest allocable to that accrual period, the excess is a nondeductible loss. Under certain circumstances, the owner of a Premium Obligation may realize a taxable gain upon disposition of the Premium Obligation even though it is sold or redeemed for an amount less than or equal to the owner's original acquisition cost. Owners of any Premium Obligations should consult their own tax advisors regarding the treatment of bond premium for Federal income tax purposes, including various special rules relating thereto, and state and local tax consequences, in connection with the acquisition, ownership, amortization of bond premium on, sale, exchange, or other disposition of Premium Obligations.

Information Reporting and Backup Withholding. Information reporting requirements apply to interest paid on tax-exempt obligations, including the 2013B Obligations. In general, such requirements are satisfied if the interest recipient completes, and provides the payor with, a Form W-9, "Request for Taxpayer Identification Number and Certification," or if the recipient is one of a limited class of exempt recipients. A recipient not otherwise exempt from information reporting who fails to satisfy the information reporting requirements will be subject to "backup withholding," which means that the payor is required to deduct and withhold a tax from the interest payment, calculated in the manner set forth in the Code. For the foregoing purpose, a "payor" generally refers to the person or entity from whom a recipient receives its payments of interest or who collects such payments on behalf of the recipient.

If an owner purchasing a 2013B Obligation through a brokerage account has executed a Form W-9 in connection with the establishment of such account, as generally can be expected, no backup withholding should occur. In any event, backup withholding does not affect the excludability of the interest on the 2013B Obligations from gross income for Federal income tax purposes. Any amounts withheld pursuant to backup withholding would be allowed as a refund or a credit against the owner's Federal income tax once the required information is furnished to the Internal Revenue Service.

Miscellaneous. Tax legislation, administrative actions taken by tax authorities, or court decisions, whether at the Federal or state level, may adversely affect the tax-exempt status of Tax-Exempt Interest under Federal or state law or otherwise prevent beneficial owners of the 2013B Obligations from realizing the full current benefit of the tax status of such Tax-Exempt Interest. In addition, such legislation or actions (whether currently proposed, proposed in the future, or enacted) and such decisions could affect the market price or marketability of the 2013B Obligations. For example, the Fiscal Year 2014 Budget proposed on April 10, 2013 by the Obama Administration recommends a 28% limitation on itemized deductions and "tax preferences," including "tax-exempt interest." The net effect of such proposal, if enacted into law, would be that an owner of a 2013B Obligation with a marginal tax rate in excess of 28% would pay some amount of federal income tax with respect to the Tax-Exempt Interest related to such 2013B Obligation. The enactment of such proposal could also impact the tax treatment of Tax-Exempt Interest for state law purposes.

Prospective purchasers of the 2013B Obligations should consult their own tax advisors regarding the foregoing matters.

Federally Taxable Status of the 2013C Obligations

Opinion of Special Counsel. In the opinion of Special Counsel to the City, the portion of the payments made under the 2013C Financing Agreement designated and constituting interest ("Taxable Interest") (i) is included in gross income for Federal income tax purposes pursuant to the Internal Revenue Code of 1986, as amended (the "Code") and (ii) is exempt, under existing statutes, from personal income taxes imposed by the State of Oregon.

The following discussion is a brief summary of the principal United States Federal income tax consequences of the acquisition, ownership and disposition of 2013C Obligations by original purchasers of the 2013C Obligations who are "U.S. Holders," as defined herein. This summary (i) is based on the Code, Treasury Regulations, revenue rulings and court decisions, all as currently in effect and all subject to change at any time, possibly with retroactive effect; (ii) assumes that the 2013C Obligations will be held as "capital assets"; and (iii) does not discuss all of the United States Federal income tax consequences that may be relevant to a holder in light of its particular circumstances or to holders subject to special rules, such as insurance companies, financial institutions, tax-exempt organizations, dealers in securities or foreign currencies, persons holding the 2013C Obligations as a position in a "hedge" or "straddle", holders whose functional currency (as defined in Section 985 of the Code) is not the United States dollar, holders who acquire 2013C Obligations in the secondary market, or individuals, estates and trusts subject to the tax on unearned income imposed by Section 1411 of the Code.

Holders of 2013C Obligations should consult with their own tax advisors concerning the United States Federal income tax and other consequences with respect to the acquisition, ownership and disposition of the 2013C Obligations as well as any tax consequences that may arise under the laws of any state, local or foreign tax jurisdiction.

Original Issue Discount. In general, if Original Issue Discount ("OID") is greater than a statutorily defined *de minimis* amount, a holder of a 2013C Obligation having a maturity of more than one year from its date of issue must include in Federal gross income (for each day of the taxable year, or portion of the taxable year, in which such holder holds such 2013C Obligation) the daily portion of OID, as it accrues (generally on a constant yield method) and regardless of the holder's method of accounting. "OID" is the excess of (i) the "stated redemption price at maturity" over (ii) the "issue price". For purposes of the foregoing: "issue price" means the first price at which a substantial amount of the 2013C Obligation is sold to the public (excluding bond houses, brokers, or similar persons or organizations acting in the capacity of underwriters, placement agents or wholesalers); "stated redemption price at maturity" means the sum of all payments, other than "qualified stated interest", provided by such 2013C Obligation; "qualified stated interest" is stated interest that is unconditionally payable in cash or property (other than debt instruments of the issuer) at least annually at a single fixed rate; and "*de minimis* amount" is an amount equal to 0.25% of the 2013C Obligation's stated redemption price at maturity multiplied by the number of complete years to its maturity. A holder may irrevocably elect to include in gross income all interest that accrues on a 2013C Obligation using the constant-yield method, subject to certain modifications.

Acquisition Discount on Short-Term Taxable Bonds. Each holder of a 2013C Obligation with a maturity not longer than one year (a "Short-Term Taxable Bond") is subject to rules of Sections 1281 through 1283 of the Code, if such holder is an accrual method taxpayer, bank, regulated investment company, common trust fund or among certain types of pass-through entities, or if the Short-Term Taxable Bond is held primarily for sale to customers, is identified under Section 1256(e)(2) of the Code as part of a hedging transaction, or is a stripped bond or coupon held by the person responsible for the underlying stripping transaction. In any such instance, interest on, and "acquisition discount" with respect to, the Short-Term Taxable Bond accrue on a ratable (straight-line) basis, subject to an election to accrue such interest and acquisition discount on a constant interest rate basis using daily compounding. "Acquisition discount" means the excess of the stated redemption price of a Short-Term Taxable Bond at maturity over the holder's tax basis therefor.

A holder of a Short-Term Taxable Bond not described in the preceding paragraph, including a cash-method taxpayer, must report interest income in accordance with the holder's regular method of tax accounting, unless such holder irrevocably elects to accrue acquisition discount currently.

Bond Premium. In general, if a 2013C Obligation is originally issued for an issue price (excluding accrued interest) that reflects a premium over the sum of all amounts payable on the 2013C Obligation other than "qualified stated interest" (a "Taxable Premium Bond"), that Taxable Premium Bond will be subject to Section 171 of the Code, relating to bond premium. In general, if the holder of a Taxable Premium Bond elects to amortize the premium as "amortizable bond premium" over the remaining term of the Taxable Premium Bond, determined based on constant yield principles (in certain cases involving a Taxable Premium Bond callable prior to its stated maturity date, the amortization period and yield may be required to be determined on the basis of an earlier call date that results in the highest yield on such bond), the amortizable premium is treated as an offset to interest income; the holder will make a corresponding adjustment to the holder's basis in the Taxable Premium Bond. Any such election is generally irrevocable and applies to all debt instruments of the holder (other than tax-exempt bonds) held at the beginning of the first taxable year to which the election applies and to all such debt instruments thereafter acquired. Under certain circumstances, the holder of a Taxable Premium Bond may realize a taxable gain upon disposition of the Taxable Premium Bond even though it is sold or redeemed for an amount less than or equal to the holder's original acquisition cost.

Disposition and Defeasance. Generally, upon the sale, exchange, redemption, or other disposition (which would include a legal defeasance) of a 2013C Obligation, a holder generally will recognize taxable gain or loss in an amount equal to the difference between the amount realized (other than amounts attributable to accrued interest not previously includable in income) and such holder's adjusted tax basis in the 2013C Obligation.

The City may cause the deposit of moneys or securities in escrow in such amount and manner as to cause the 2013C Obligations to be deemed to be no longer outstanding under the 2013C Escrow Agreement (a "defeasance"). For Federal income tax purposes, such defeasance could result in a deemed exchange under Section 1001 of the Code and a recognition by such owner of taxable income or loss, without any corresponding receipt of moneys. In addition, the character and timing of receipt of payments on the 2013C Obligations subsequent to any such defeasance could also be affected.

Information Reporting and Backup Withholding. In general, information reporting requirements will apply to non-corporate holders of the Bonds with respect to payments of principal, payments of interest, and the accrual of OID on a 2013C Obligation and the proceeds of the sale of a 2013C Obligation before maturity within the United States. Backup withholding may apply to holders of 2013C Obligations under Section 3406 of the Code. Any amounts withheld under the backup withholding rules from a payment to a beneficial owner, and which constitutes over-withholding, would be allowed as a refund or a credit against such beneficial owner's United States Federal income tax provided the required information is furnished to the Internal Revenue Service.

U.S. Holders. The term "U.S. Holder" means a beneficial owner of a 2013C Obligation that is: (i) a citizen or resident of the United States, (ii) a corporation, partnership or other entity created or organized in or under the laws of the United States or of any political subdivision thereof, (iii) an estate the income of which is subject to United States Federal income taxation regardless of its source or (iv) a trust whose administration is subject to the primary jurisdiction of a United States court and which has one or more United States fiduciaries who have the authority to control all substantial decisions of the trust.

Miscellaneous. Tax legislation, administrative actions taken by tax authorities, or court decisions, whether at the Federal or state level, may adversely affect the tax-exempt status of Taxable Interest under Oregon state law or otherwise prevent beneficial owners of the 2013C Obligations from realizing the full current benefit of the tax status of such Taxable Interest. In addition, such legislation or actions (whether currently proposed, proposed in the future, or enacted) and such decisions could affect the market price or marketability of the 2013C Obligations. For example, the Fiscal Year 2014 Budget proposed on April 10, 2013 by the Obama Administration recommends a 28% limitation on itemized deductions and "tax preferences" at the federal tax level, including "tax-exempt interest." The enactment of such proposal could impact the tax treatment of Taxable Interest for state law purposes.

Prospective purchasers of the 2013C Obligations should consult their own tax advisors regarding the foregoing matters.

IRS Circular 230 Disclosure. The advice under the caption, "Tax Matters— Federally Taxable Status of the 2013C Obligations", concerning certain income tax consequences of the acquisition, ownership and disposition of the 2013C Obligations, was written to support the marketing of the 2013C Obligations. To ensure compliance with requirements imposed by the Internal Revenue Service, each prospective purchaser of the 2013C Obligations is advised that (i) any Federal tax advice contained in this official statement (including any attachments) or in writings furnished by Special Counsel to the City is not intended to be used, and cannot be used by any taxpayer, for the purpose of avoiding penalties that may be imposed on the taxpayer under the Code, and (ii) the taxpayer should seek advice based on the taxpayer's particular circumstances from an independent tax advisor.

ERISA Considerations

The Employee Retirement Income Security Act of 1974, as amended ("ERISA"), imposes certain requirements on employee plans subject to Title I of ERISA ("ERISA Plans"), and on those persons who are fiduciaries with respect to ERISA Plans. Investments by ERISA Plans are subject to ERISA's general fiduciary requirements under Title I, Part 4 of ERISA, including, but not limited to, the requirements of investment prudence and diversification and the requirement that an ERISA Plan's investments be made in accordance with the documents governing the Plan.

Section 406 of ERISA and Section 4975 of the Code prohibit certain transactions involving the assets of an ERISA Plan (as well as those plans that are not subject to Title I of ERISA but are subject to Section 4975 of the Code, such as individual retirement accounts (together with ERISA Plans, "Plans")) and certain persons (referred to as "parties in interest" or "disqualified persons" (each a "Party in Interest")) having certain relationships to such Plans, unless a statutory or administrative exemption is applicable to the transaction. A Party in Interest who engages in a prohibited transaction may be subject to excise taxes and other penalties and liabilities under ERISA and the Code.

The fiduciary of a Plan that proposes to purchase and hold any 2013C Obligations should consider, among other things, whether such purchase and holding may involve (i) the direct or indirect extension of credit to a Party in Interest, (ii) the sale or exchange of any property between a Plan and a Party in Interest and (iii) the transfer to, or use by or for the benefit of, a Party in Interest, of any Plan assets within the meaning of 29 CFR Sec. 2510.3-102 as modified by ERISA Section 3(42). Depending on the identity of the Plan fiduciary making the decision to acquire or hold Obligations on behalf of a Plan and other factors, U.S. Department of Labor Prohibited Transaction Class Exemption ("PTCE") 75-1 (relating to certain broker-dealer transactions), PTCE 84-14 (relating to transactions effected by independent "qualified professional asset managers"), PTCE 90-1 (relating to investments by insurance company pooled separate accounts), PTCE 91-38 (relating to investments by bank collective investment funds), PTCE 95-60 (relating to investments by an insurance company general account), or PTCE 96-23 (relating to transactions directed by certain "in-house asset managers") (collectively, the "Class Exemptions") could provide an exemption from the prohibited transaction provisions of ERISA and Section 4975 of the Code. In addition, Section 408(b)(17) of ERISA and Section 4975(d)(20) of the Code generally provide for a statutory exemption from the prohibitions of Section 406(a) of ERISA and Section 4975 of the Code for certain transactions between Plans and persons who are Parties in interest solely by reason of

providing services to such Plans or that are affiliated with such service providers, provided generally that such persons are not fiduciaries (or affiliates of such fiduciaries) with respect to the "plan assets" of any Plan involved in the transaction and that certain other conditions are satisfied.

By its acceptance of a 2013C Obligation, each Purchaser will be deemed to have represented and warranted that either (i) no "plan assets" of any Plan have been used to purchase such 2013C Obligation, or (ii) the Underwriters are not a Party in Interest with respect to the "plan assets" of any Plan used to purchase such 2013C Obligation, or (iii) the purchase and holding of such 2013C Obligation is exempt from the prohibited transaction restrictions of ERISA and Section 4975 of the Code pursuant to a statutory exemption or an administrative class exemption.

Each Plan fiduciary (and each fiduciary for a governmental or church plan subject to the rules similar to those imposed on Plans under ERISA) should consult with its legal advisor concerning an investment in any of the 2013C Obligations.

Continuing Disclosure

The Securities and Exchange Commission Rule 15c2-12 (the "Rule") requires at least annual disclosure of current financial information and timely disclosure of certain events with respect to the Obligations. Pursuant to the Rule, the City has agreed to provide audited financial information and certain financial information or operating data at least annually, and timely notice of certain events (collectively, "Continuing Disclosure") to the Municipal Securities Rulemaking Board ("MSRB") through its Electronic Municipal Market Access ("EMMA") system (so long as such method of disclosure continues to be approved by the Securities and Exchange Commission for such purposes).

Prior Undertakings. Prior to July 1, 2009, Continuing Disclosure filings were required to be made with four nationally recognized municipal securities information repositories ("NRMSIRs"). Beginning July 1, 2009, Continuing Disclosure is required to be filed with the MSRB's Electronic Municipal Market Access system. The City has entered into prior undertakings to provide Continuing Disclosure filings for its Stormwater Revenue Refunding Bonds, Series 2006, Pension Obligations, Series 2004 (Federally Taxable), Water Revenue Refunding Bonds, Series 2003, and Stormwater Revenue Refunding Bonds, Series 2002. All of the City's undertakings require its annual Continuing Disclosure filing within 270 days of the end of the Fiscal Year (March 27).

Compliance with Prior Undertakings - Pension Obligations, Series 2004 (Federally Taxable). The City made its annual Continuing Disclosure filing for Fiscal Year 2012 on time. City staff was previously under the impression that the Pension Obligation trustee was responsible for making all Continuing Disclosure filings for the Pension Obligations and therefore had not attached their prior Continuing Disclosure filings to the Pension Bonds. The City filed its Fiscal Year 2008, 2009, 2010 and 2011 audited financials for its Pension Obligations on May 31, 2013.

Compliance with Prior Undertakings - Stormwater Revenue Refunding Bonds, Series 2006, Stormwater Revenue Refunding Bonds, Series 2002. The City made its annual Continuing Disclosure filings for Fiscal Years 2012, 2011, 2010, and 2009 on time. The City attempted to make its annual Continuing Disclosure filing for Fiscal Year 2008 prior to the deadline, but the City was unaware that the filing on made on the DisclosureUSA website was never completed. The City subsequently made the annual Continuing Disclosure filing for Fiscal Year 2008 on May 31, 2013.

Compliance with Prior Undertakings - Water Revenue Refunding Bonds, Series 2003. The City failed to make its Fiscal Year 2008 filing deadline, but subsequently made its filing on May 5, 2009. The City is otherwise in compliance with its Continuing Disclosure filings for the Water Revenue Refunding Bonds, Series 2003.

A copy of the form of the City's Continuing Disclosure Certificates for the Obligations are attached hereto as Appendix D.

Financial Advisor

In connection with the authorization and issuance of the Obligations, the City has retained Seattle-Northwest Securities Corporation, Portland, Oregon, as its financial advisor (the "Financial Advisor").

The Financial Advisor is not obligated to undertake, and has not undertaken, either to make an independent verification of or to assume responsibility for, the accuracy, completeness, or fairness of the information contained in this Official Statement.

The Financial Advisor has entered into a definitive Agreement and Plan of Merger dated April 16, 2013 with Piper Jaffray Companies and certain of its wholly-owned subsidiaries, pursuant to which the Financial Advisor has agreed to merge its operations with Piper Jaffray & Co. (the Merger). As a result of the Merger, Piper Jaffray & Co. will acquire the Financial Advisor. Subject to regulatory approval and the satisfaction of certain other closing conditions, the Merger is expected to close on July 12, 2013.

Rating

As noted on the cover page of this Official Statement, Moody's Investors Service has assigned its underlying rating of "Aa3" to the Obligations. The rating reflects only the views of the rating agency and an explanation of the significance of the rating may be obtained from the rating agency. There is no assurance that the rating will be retained for any given period of time or that the rating will not be revised downward or withdrawn entirely by the rating agency if, in its judgment, circumstances so warrant. Any such downward revision or withdrawal of the rating will be likely to have an adverse effect on the market price of the Obligations.

Purchaser of the 2013B Obligations

The 2013B Obligations are being purchased by Robert W. Baird & Co. Incorporated at a price of $4,963,940.91 and will be reoffered at a price of $5,014,081.50. The purchaser of the 2013B Obligations may offer and sell the 2013B Obligations to certain dealers (including dealers depositing the 2013B Obligations into investment trusts) and others at prices lower than the initial offering prices corresponding to the yields set forth on page i of this Official Statement, and such initial offering prices may be changed from time to time by such purchaser. After the initial public offering, the public offering prices may be varied from time to time.

In connection with the offering of the 2013B Obligations, the purchaser of the 2013B Obligations may overallot or effect transactions which stabilize or maintain the market price of the 2013B Obligations at levels above that which might otherwise prevail in the open market. Such stabilizing, if commenced, may be discontinued or recommenced at any time.

Purchaser of the 2013C Obligations

The 2013C Obligations are being purchased by Sterne, Agee & Leach, Inc. at a price of $7,484,572.50 and will be reoffered at a price of $7,610,000.00. The purchaser of the 2013C Obligations may offer and sell the 2013C Obligations to certain dealers (including dealers depositing the 2013C Obligations into investment trusts) and others at prices lower than the initial offering prices corresponding to the yields set forth on page i of this Official Statement, and such initial offering prices may be changed from time to time by such purchaser. After the initial public offering, the public offering prices may be varied from time to time.

In connection with the offering of the 2013C Obligations, the purchaser of the 2013C Obligations may overallot or effect transactions which stabilize or maintain the market price of the 2013C Obligations at levels above that which might otherwise prevail in the open market. Such stabilizing, if commenced, may be discontinued or recommenced at any time.

Certificate with Respect to Official Statement

At the time of the original delivery of and payment for the Obligations, the City will deliver a certificate of its authorized representative to the effect that he has examined this Official Statement and the financial and other data concerning the City contained herein and that to the best of his knowledge and belief, (i) the Official Statement, both as of its date and as of the date of delivery of the Obligations, does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements therein, in the light of the circumstances under which they were made, not misleading and (ii) between the date of the Official Statement and the date of delivery of the Obligations there has been no material adverse change in the affairs (financial or other), financial condition or results of operations of the City except as set forth in or contemplated by the Official Statement.

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Appendix A

Form of Special Counsel Opinion

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July 30, 2013

City of Gresham
1333 NW Eastman Parkway
Gresham, OR 97030

Re: City of Gresham
Multnomah County, Oregon
$4,655,000 Full Faith and Credit Project and Refunding Obligations, Series 2013B (Tax-Exempt)

Ladies and Gentlemen:

We have acted as special counsel to the City of Gresham, Multnomah County, Oregon (the "City") in connection with the Financing Agreement (the "Financing Agreement") by and between the City and U.S. Bank National Association as escrow agent (the "Escrow Agent"), dated as of July 30, 2013. The Financing Agreement and an Escrow Agreement (the "Escrow Agreement") by and between the City and the Escrow Agent, dated as of July 30, 2013 authorize the Full Faith and Credit Project and Refunding Obligations, Series 2013B (Tax-Exempt) (the "2013B Obligations"), which are dated July 30, 2013, and which are in the aggregate principal amount of $4,655,000. The 2013B Obligations represent undivided proportional interests in the Financing Payments to be made by the City pursuant to the Financing Agreement. The 2013B Obligations are issued pursuant to Oregon Revised Statutes Sections 271.390 and 287A.360, Resolution No. 3129 adopted by the City Council of the City on May 21, 2013 (the "Resolution"), the Financing Agreement and the Escrow Agreement. Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Escrow Agreement.

We have examined the applicable law, a duly certified transcript of proceedings of the City, prepared in part by us, and other documents which we deem necessary to render this opinion.

We have not been engaged or undertaken to review the accuracy, completeness, or sufficiency of the official statement or other offering material which has been supplied to the purchasers of the 2013B Obligations, and we express no opinion relating thereto.

As to questions of fact material to our opinion, we have relied on representations of the City contained in the Resolution, the Financing Agreement, the Escrow Agreement, and other certified proceedings and certifications of officials of the City and others furnished to us without undertaking to verify such representations and certifications by independent investigation.

On the basis of the foregoing examination, and in reliance thereon, and on the basis of our examination of such other matters of fact and questions of law as we deem relevant under the

circumstances, and subject to the limitations expressed herein, we are of the opinion, under existing law, as follows:

A. The Resolution, the Financing Agreement, and the Escrow Agreement have been legally authorized and issued under and pursuant to the constitution and statutes of the State of Oregon, and are valid and legally binding obligations of the City enforceable against the City in accordance with their terms, subject to: (i) bankruptcy, insolvency, fraudulent conveyance, reorganization, moratorium and other laws affecting creditors' rights generally (whether now or hereafter in existence); (ii) the application of equitable principles and the exercise of judicial discretion in appropriate cases; (iii) common law and statutes affecting the enforceability of contractual obligations generally; and (iv) principles of public policy concerning, affecting, or limiting the enforcement of rights or remedies against governmental entities such as the City.

B. The 2013B Obligations represent proportional ownership interests in financing payments to be made by the City pursuant to the Financing Agreement (the "Financing Payments"). The Financing Payments for the 2013B Obligations are payable from the general non-restricted revenues of the City and other funds which may be available for that purpose, including any taxes levied within the restrictions of Sections 11 and 11b, Article XI of the Constitution of the State of Oregon. The obligation of the City to make payments is a full faith and credit obligation of the City, and is not subject to annual appropriation. The registered owners of the 2013B Obligations do not have a lien or security interest on the property financed or refinanced with the proceeds of the 2013B Obligations.

C. Under existing statutes and court decisions and assuming continuing compliance with certain tax covenants described below, (i) the portion of the Financing Payments designated as and constituting interest received by the holders of the 2013B Obligations ("Interest") is excluded from gross income for Federal income tax purposes pursuant to Section 103 of the Internal Revenue Code of 1986, as amended (the "Code"), and (ii) Interest is not treated as a preference item in calculating the alternative minimum tax imposed on individuals and corporations under the Code; Interest, however, is included in the adjusted current earnings of certain corporations for purposes of calculating the alternative minimum tax imposed on such corporations. Special Counsel further is of the opinion that, for any 2013B Obligations having original issue discount (a "Discount Obligation"), original issue discount that has accrued and is properly allocable to the owners of the Discount Obligations under Section 1288 of the Code is excludable from gross income for Federal income tax purposes to the same extent as other interest on the 2013B Obligations. In rendering our opinion, we have relied on certain representations, certifications of fact, and statements of reasonable expectations made by the City and others in connection with the 2013B Obligations, and we have assumed compliance by the City with certain ongoing covenants to comply with applicable requirements of the Code to assure the exclusion of Interest from gross income under Section 103 of the Code.

The Code establishes certain requirements that must be met subsequent to the issuance and delivery of the 2013B Obligations in order that, for Federal income tax purposes, Interest not be included in gross income pursuant to Section 103 of the Code. These requirements include, but are not limited to, requirements relating to the use and expenditure of proceeds of the 2013B Obligations, restrictions on the investment of proceeds of the 2013B Obligations prior to expenditure and the requirement that certain earnings be rebated to the Federal government. Noncompliance with such requirements may cause Interest to become subject to Federal income taxation retroactive to the date of issue of the 2013B Obligations, irrespective of the date on which such noncompliance occurs or is ascertained.

On the date of delivery of the 2013B Obligations, the City will execute a Tax Certificate (the "Tax Certificate") containing provisions and procedures pursuant to which such requirements can be satisfied. In executing the Tax Certificate, the City covenants that it will comply with the provisions and procedures set forth therein and that they will do and perform all acts and things necessary or desirable to assure that Interest will, for Federal income tax purposes, be excluded from gross income.

In rendering the opinion in paragraph C hereof, we have relied upon and assumed (i) the material accuracy of the representations, statements of intention and reasonable expectation, and certifications of fact contained in the Tax Certificate with respect to matters affecting the status of Interest, and (ii) compliance by the City with the procedures and covenants set forth in the Tax Certificate as to such tax matters.

D. Interest is exempt from Oregon personal income tax.

Except as stated in paragraphs C and D above, we express no opinion as to any other Federal, state or local tax consequences arising with respect to the 2013B Obligations or the ownership or disposition thereof. We render our opinion under existing statutes and court decisions as of the issue date, and we assume no obligation to update, revise or supplement this opinion after the issue date to reflect any action hereafter taken or not taken, or any facts or circumstances, or any change in law or in interpretations thereof, or otherwise, that may hereafter arise or occur, or for any other reason. Furthermore, we express no opinion herein as to the effect of any action hereafter taken or not taken in reliance upon an opinion of counsel other than ourselves on the exclusion from gross income for Federal income tax purposes of Interest.

This opinion is given as of the date hereof, and we assume no obligation to update, revise or supplement this opinion to reflect any action hereafter taken or not taken, or any facts or circumstances that may hereafter come to our attention or any changes in law that may hereafter arise or occur or for any other reason.

This opinion is limited to matters of Oregon law and applicable federal law, and we assume no responsibility as to the applicability of laws of other jurisdictions.

This opinion is provided to you as a legal opinion only, and not as a guaranty or warranty of the matters discussed herein. No opinions may be inferred or implied beyond the matters expressly stated herein. No qualification, limitation or exception contained herein shall be construed in any way to limit the scope of the other qualifications, limitations and exceptions. For purposes of this opinion, the terms "law" and "laws" do not include unpublished judicial decisions, and we disclaim the effect of any such decision on the opinions expressed.

We have acted solely as special counsel to the City regarding the sale and issuance of the 2013B Obligations and have not represented any other party in connection with the 2013B Obligations.

We have not been engaged or undertaken to review the accuracy, completeness, or sufficiency of the official statement or other offering materials relating to the 2013B Obligations, and we express no opinion relating thereto. We express no opinion as to the creditworthiness of the City, the investment quality of the 2013B Obligations or the adequacy of the security for the 2013B Obligations.

The opinions expressed herein are solely for your benefit in connection with the above referenced financing and may not be relied on in any manner or for any purpose by any person or entity other than

the addressees listed above and the owners of the 2013B Obligations, nor may copies be furnished to any other person or entity, without the prior written consent of Hawkins Delafield & Wood LLP.

Very truly yours,

July 30, 2013

City of Gresham
1333 NW Eastman Parkway
Gresham, OR 97030

Re: City of Gresham
Multnomah County, Oregon
$7,610,000 Full Faith and Credit Obligations, Series 2013C
(Federally Taxable - Qualified Energy Conservation Bonds - Direct Subsidy)

Ladies and Gentlemen:

We have acted as special counsel to the City of Gresham, Multnomah County, Oregon (the "City") in connection with the Financing Agreement (the "Financing Agreement") by and between the City and U.S. Bank National Association as escrow agent (the "Escrow Agent"), dated as of July 30, 2013. The Financing Agreement and an Escrow Agreement (the "Escrow Agreement") by and between the City and the Escrow Agent, dated as of July 30, 2013 authorize the Full Faith and Credit Obligations, Series 2013C (Federally Taxable - Qualified Energy Conservation Bonds - Direct Subsidy) (the "2013C Obligations"), which are dated July 30, 2013, and which are in the aggregate principal amount of $7,610,000. The 2013C Obligations represent undivided proportional interests in the Financing Payments to be made by the City pursuant to the Financing Agreement. The 2013C Obligations are issued pursuant to Oregon Revised Statutes Sections 271.390 and Resolution No. 3129 adopted by the City Council of the City on May 21, 2013 (the "Resolution"), the Financing Agreement, and the Escrow Agreement. Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Escrow Agreement.

We have examined the applicable law, a duly certified transcript of proceedings of the City, prepared in part by us, and other documents which we deem necessary to render this opinion.

We have not been engaged or undertaken to review the accuracy, completeness, or sufficiency of the official statement or other offering material which has been supplied to the purchasers of the 2013C Obligations, and we express no opinion relating thereto.

As to questions of fact material to our opinion, we have relied on representations of the City contained in the Resolution, the Financing Agreement, and the Escrow Agreement, and other certified proceedings and certifications of officials of the City and others furnished to us without undertaking to verify such representations and certifications by independent investigation.

On the basis of the foregoing examination, and in reliance thereon, and on the basis of our examination of such other matters of fact and questions of law as we deem relevant under the

circumstances, and subject to the limitations expressed herein, we are of the opinion, under existing law, as follows:

A. The Resolution, the Financing Agreement, and the Escrow Agreement have been legally authorized and issued under and pursuant to the constitution and statutes of the State of Oregon, and are valid and legally binding obligations of the City enforceable against the City in accordance with their terms, subject to: (i) bankruptcy, insolvency, fraudulent conveyance, reorganization, moratorium and other laws affecting creditors' rights generally (whether now or hereafter in existence); (ii) the application of equitable principles and the exercise of judicial discretion in appropriate cases; (iii) common law and statutes affecting the enforceability of contractual obligations generally; and (iv) principles of public policy concerning, affecting, or limiting the enforcement of rights or remedies against governmental entities such as the City.

B. The 2013C Obligations represent proportional ownership interests in financing payments to be made by the City pursuant to the Financing Agreement (the "Financing Payments"). The Financing Payments for the 2013C Obligations are payable from the general non-restricted revenues of the City and other funds which may be available for that purpose, including any taxes levied within the restrictions of Sections 11 and 11b, Article XI of the Constitution of the State of Oregon. The obligation of the City to make payments is a full faith and credit obligation of the City, and is not subject to annual appropriation. The registered owners of the 2013C Obligations do not have a lien or security interest on the property financed with the proceeds of the 2013C Obligations.

C. The portion of the Financing Payments designated as and constituted interest received by the holders of the 2013C Obligations ("Interest") is not excludable from gross income for Federal income tax purposes.

D. Interest is exempt from Oregon personal income tax.

Except as stated in paragraphs C and D above, we express no opinion as to any other Federal, state or local tax consequences arising with respect to the 2013C Obligations or the ownership or disposition thereof. We render our opinion under existing statutes and court decisions as of the issue date, and we assume no obligation to update, revise or supplement this opinion after the issue date to reflect any action hereafter taken or not taken, or any facts or circumstances, or any change in law or in interpretations thereof, or otherwise, that may hereafter arise or occur, or for any other reason.

This opinion is given as of the date hereof, and we assume no obligation to update, revise or supplement this opinion to reflect any action hereafter taken or not taken, or any facts or circumstances that may hereafter come to our attention or any changes in law that may hereafter arise or occur or for any other reason.

This opinion is limited to matters of Oregon law and applicable federal law, and we assume no responsibility as to the applicability of laws of other jurisdictions.

This opinion is provided to you as a legal opinion only, and not as a guaranty or warranty of the matters discussed herein. No opinions may be inferred or implied beyond the matters expressly stated herein. No qualification, limitation or exception contained herein shall be construed in any way to limit the scope of the other qualifications, limitations and exceptions. For purposes of this opinion, the terms "law" and "laws" do not include unpublished judicial decisions, and we disclaim the effect of any such decision on the opinions expressed.

We have acted solely as special counsel to the City regarding the sale and issuance of the 2013C Obligations and have not represented any other party in connection with the 2013C Obligations.

We have not been engaged or undertaken to review the accuracy, completeness, or sufficiency of the official statement or other offering materials relating to the 2013C Obligations, and we express no opinion relating thereto. We express no opinion as to the creditworthiness of the City, the investment quality of the 2013C Obligations or the adequacy of the security for the 2013C Obligations.

The opinions expressed herein are solely for your benefit in connection with the above referenced financing and may not be relied on in any manner or for any purpose by any person or entity other than the addressees listed above and the owners of the 2013C Obligations, nor may copies be furnished to any other person or entity, without the prior written consent of Hawkins Delafield & Wood LLP.

Very truly yours,

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Appendix B

Financial Statements

The City's Auditor has not performed any further review of the City's financial statements since the date of the audit contained herein. The Auditor was not requested to review this Official Statement and has not completed any additional auditing review procedures subsequent to the issuance of its report on the 2012 Fiscal Year.

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CITY OF GRESHAM, OREGON

COMPREHENSIVE ANNUAL FINANCIAL REPORT
For the Fiscal Year Ended June 30, 2012

Prepared by
Finance & Management Services Department

City Of Gresham, Oregon
Comprehensive Annual Financial Report
For the Fiscal Year Ended June 30, 2012

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CITY OF GRESHAM 1333 N.W. Eastman Parkway | Gresham, OR 97030

December 29, 2012

To Mayor Shane Bemis, Council Members, and the Citizens of Gresham:

The Department of Finance and Management Services is pleased to submit the Comprehensive Annual Financial Report (CAFR) of the City of Gresham, Oregon for the fiscal year ended June 30, 2012. The report is published in accordance with Oregon Revised Statutes which require all municipal corporations to publish audited financial statements within six months after the close of the fiscal year.

The CAFR includes information on the financial condition and operations of the City, and management is responsible for the contents. Our assertions are based upon a comprehensive framework of internal control that provides reasonable, rather than absolute, assurance that the financial statements are free of any material misstatements.

The certified public accounting firm Merina & Company, LLP performed an audit of the basic financial statements and other information using generally accepted auditing standards and governmental auditing standards. Their unqualified opinion on the basic financial statements is located in the front of the financial section of the CAFR.

Management's discussion and analysis (MD&A) immediately follows the independent auditors' report and provides a narrative introduction, overview, and analysis of the basic financial statements. It provides additional information to this letter and this letter should be read in conjunction with it.

CITY PROFILE

The City of Gresham is located in northwestern Oregon, in the eastern part of the Portland metropolitan area, in Multnomah County. It is comprised of approximately 23.4 square miles reaching north to the Columbia River and south to the county line. With an estimated population of 105,970, Gresham is the fourth largest city in Oregon. Major manufacturing industries include aircraft frames, integrated circuits for the microelectronics industry, and industrial equipment.

Gresham was incorporated in 1905. It is a "home rule city" operating under a city charter adopted in 1978. The City Charter and City Code are consistent with the Oregon constitution and statutes. The Council-Manager form of government is vested in an elected seven-member volunteer City Council, which includes the Mayor. The Mayor and Council members provide community leadership and develop policies to guide the City by setting goals, passing ordinances and adopting resolutions, appointing advisory committees, authorizing contracts, adopting budgets, and hiring the City Manager and City Attorney.

The City Manager is the administrative head of the City, and is responsible for ensuring that Council policies are implemented using appropriated resources to achieve desired service results in the community. He also oversees the day-to-day operations of the City. The City Attorney provides legal advice to the Council and staff and defends the City in litigation.

The City provides a full range of services which are delivered by eleven departments: Police, Fire & Emergency Services, Economic Development Services, Community Development, Urban Design & Planning Services, Environmental Services, Governance and Management, Finance & Management Services, Information Technology, and City Attorney's Office. The functions of each department are outlined in an organization chart in the Introductory Section.

Budget Process. The City's annual budget is prepared in accordance with the provisions of Oregon Local Budget Law. Under the applicable provisions, there must be public participation in the budget process and the adopted budget must be balanced. The City Council must adopt the budget no later than June 30. The annual budget serves as the foundation for the City's financial planning and control.

Budgetary Control. The City maintains ongoing budgetary control throughout the year using its financial management system. Budgetary control (expenditures cannot legally exceed appropriated amounts) is established at the department level within each fund. The City also maintains an encumbrance accounting system as one technique of accomplishing budgetary control. Encumbered amounts lapse at year-end.

Component Unit. On November 4, 2003, Gresham voters approved the formation of the Rockwood-West Gresham Urban Renewal Area. The Area is an urban renewal agency within the City of Gresham and was organized to undertake projects and activities pursuant to the Rockwood-West Gresham Renewal Plan. The Gresham Redevelopment Commission, which also serves as the Gresham City Council, oversees the 1,211-acre area. The Area is a blended component unit of the City and is therefore an integral part of the reporting entity.

Factors Impacting the City's Financial Condition

The Mayor and City Council have firmly established the City's commitment to progressive and responsive government. Under their direction the City continues to emphasize efficient delivery of prioritized services and planning for a higher standard of living for residents. The continued low performance of economic factors at the national and regional levels remain a challenge for the City as it works to maintain a sound financial condition to meet the service needs of the community.

Local Economy.

Oregon, like many states, was hit hard by the housing boom and subsequent bust. Since 2008, housing prices have declined by at least 20 percent and remain suppressed. Housing prices continu to be a negative factor on the recovery. Once the existing inventory is reduced, including foreclosures and shadow inventory, a rebound in new construction can take effect. Estimates of when this may occur fall into the 2014 to 2016 timeframe for the state with a nearer term turn around expected in urban locations such as the Portland Metro area.

The unemployment rate in Oregon has consistently declined since reaching a high of 11.6 percent in June of 2009. The rate was 8.5 percent in the third quarter. In the Portland Metro/Gresham area the third quarter rate was 7.5 percent (the lowest rate in Oregon), compared to 8.5 percent in the previous year. The private sector has added jobs since early 2010 with notable increases in the construction, electronic products, health services, and hospitality industries. However, employment in housing-related industry remains flat, and public sector cuts have been significant.

Initially, the public sector was an economic driver with increased spending on infrastructure projects using federal grants. Now that the majority of these monies have been spent, many state and local governments are being forced to endure additional budget cuts.

The Oregon constitution establishes a limit of 3 percent annual increase in the taxable assessed value of existing property, the primary funding source for local government. Over the past two decades this has contributed to reductions in general government services as revenue has lagged behind escalating costs. However, it has minimized the impact to taxable revenue on existing property during the current economic downturn. Any continued decline in housing prices will impact property tax revenues because the constitutionally set value is diminished when real market values decline below taxable assessed values.

The City of Gresham's low property tax rate (when compared to equivalent municipalities), in combination with the economy's impact on business revenues, has reduced services to the community to unacceptable levels at a time when residents' personal financial struggles make the need for services even greater. The 2012-13 budget continues last year's three-pronged strategy of cost containment, workforce reduction and revenue enhancement combined with maximizing innovative and ambitious strategies for quality service. However, maintaining service is difficult as the City work force has been reduced by 70 positions or 12 percent overall since 2008/09.

Long-term Financial Planning. The City updates its long-term financial forecasts annually to incorporate changing financial conditions. These plans have a minimum five-year horizon. Deficits were forecasted for the General Fund well before the impacts of the current economy were known. For the last five years, city leadership has taken actions to address the financial challenges through cost containment, strategic service reductions and economic development efforts to stimulate revenue growth as the local economy recovers.

More work needs to be done to correct the structural deficit created by the state wide property tax limitation measures enacted over the last 17 years.. To this end, the City continues to have a strong presence in discussions at the state legislative level and has provided information and presentations around the state in preparation for future actions.

Financial Policies. The City has a series of financial policies detailed each year in the adopted budget, which encompass debt usage, revenue sources, budgeting, and accounting. Investing and portfolio management policies are contained in a separate document.

The City's Investment Policy defines eligible types of securities and transactions with the following objectives: preservation of capital and protection of investment principal, sufficient liquidity to meet operating needs, diversification to avoid risks regarding security types or individual financial institutions, and attainment of a market value rate of return throughout fiscal and economic cycles. Careful adherence to policy has protected the City's investments from the enormous volatility in the market particularly in the past three years. Overall, the City's investment portfolio continues to outperform the benchmarks established in the policy.

Major Initiatives. The Mayor and Council's commitment to responsive and efficient service delivery is highlighted in the Council Work Plan. The annual plan explains the work the City expects to conduct on behalf of its residents during the year, along with projected milestones and completion dates. The 2012 Council Work Plan was adopted in January and outlined 20 projects focusing on three distinct areas, Building Community, Realizing Opportunities and Practicing Sustainability.

Building Community refers to both people and places. The City worked aggressively on both fronts to encourage more citizens to engage in building the City's future as well as creating places for community interaction. Projects in this category included improvements in community appearance and parks, review of development codes and housing policies, and support of volunteer programs such as the Citizen Involvement and Youth Advisory Committees. The Residential Streets Strategy project developed into a record-setting level of residential pavement maintenance referred to as "The Road Ahead."

Realizing Opportunities focused staff efforts to partner with business, civic and government communities to achieve our livability goals, provide employment opportunities and nurture new business growth. Projects in this category included Legislative Priorities, the Traded Sector Jobs strategy, and the highly successful Small Business Assistance/Incentives Program.

Practicing Sustainability has become an integral part of City business practices. This is demonstrated through a wide variety of initiatives and projects that protect and enhance the natural environment of our community. From developing innovative green street standards to managing the urban forest, Gresham understands how to develop in ways that protect the natural resources that we depend on for life, sustenance and inspiration. Council Work Plans and year-end reports are published on the City's website.

AWARDS AND ACKNOWLEDGEMENTS

Awards. For the 32nd consecutive year, the Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to the City of Gresham for its 2011 Comprehensive Annual Financial Report (CAFR). To be awarded a Certificate of Achievement, a government must publish an easily readable and efficiently organized CAFR that satisfies both generally accepted accounting principles and applicable legal requirements.

We believe this CAFR meets the Certificate of Achievement Program's requirements and are submitting it to the GFOA for review.

Acknowledgements. The preparation of the comprehensive annual financial report was made possible by the staff of the Finance & Management Services Department with assistance and collaboration from the Budget and Financial Planning department. Melanie Wynne, Ann Travers, Trang Nguyen, Mark Takahata, Orion Jarrell, Terryl Aguon, and Mark Tolliver, deserve special recognition for their work. All of the staff of the Finance & Management Services Department has our sincere appreciation for their assistance and contributions to the completion of the report.

Without the leadership and support of the City Council, preparation of the report would not have been possible.

Respectfully submitted,

Bernard Beeger
Finance and Management Services Director

City of Gresham, Oregon
Gresham City Hall
1333 NW Eastman Parkway
Gresham, Oregon 97030
www.GreshamOregon.gov

Mayor and City Council as of June 30, 2012

	Name	Position	Term Expires
Mayor:	Shane Bemis Eric.Chambers@GreshamOregon.gov		January 2015
Councilors:	Karylinn Echols, Council President Karylinn.Echols@GreshamOregon.gov	3	January 2013
	David Widmark David.Widmark@GreshamOregon.gov	1	January 2013
	Josh Fuhrer Josh.Fuhrer@GreshamOregon.gov	2	January 2015
	John Kilian John.Kilian@GreshamOregon.gov	4	January 2015
	Paul Warr-King Paul.Warr-King@GreshamOregon.gov	5	January 2013
	Lori Stegmann Lori.Stegmann@GreshamOregon.gov	6	January 2015

Principal Officials:

Erik Kvarsten, City Manager
Bernard Seeger, Finance and Management Services Director
Steve Fancher, Environmental Services Director
Cathy Harrington, Office of Neighborhoods & Community Engagement Director
Pat Hartley, Information Technology Director
Craig Junginger, Police Chief
Scott Lewis, Fire Chief
Sharron Monohon, Budget & Financial Planning Director
Carol Murray, Human Resources & Community Services Director
David Ris, City Attorney
Rachael Fuller, Acting Urban Design and Planning Services Director
Eric Schmidt, Community Development Services Director/Building Official
Laura Shepard, Communications Director
Janet Young, Economic Development Services Director
Jonathan Harker, Urban Design & Planning Director

The Mayor, City Council, and Principal Officials can be reached at the City Hall address above.

Councilor David Widmark

Mayor Shane Bemis

Councilor Josh Fuhrer

Councilor Karylinn Echols

Gresham's Leadership

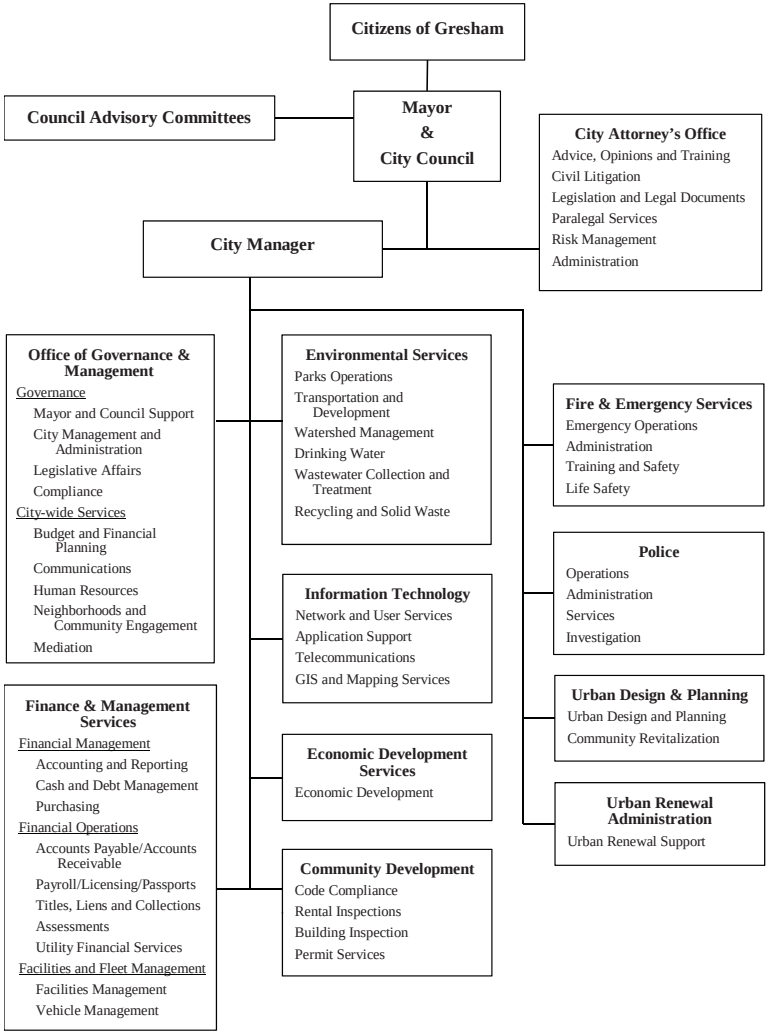
Councilor John Kilian

Councilor Paul Warr-King

Councilor Lori Stegmann

City Manager Erik Kvarsten

City of Gresham, Oregon Departments and Programs
Year Ended June 30, 2012



Certificate of Achievement for Excellence in Financial Reporting

Presented to

City of Gresham
Oregon

For its Comprehensive Annual
Financial Report
for the Fiscal Year Ended
June 30, 2011

A Certificate of Achievement for Excellence in Financial Reporting is presented by the Government Finance Officers Association of the United States and Canada to government units and public employee retirement systems whose comprehensive annual financial reports (CAFRs) achieve the highest standards in government accounting and financial reporting.

President

Executive Director

MERINA
& COMPANY, LLP
Certified Public Accountants and Consultants

CERTIFIED PUBLIC ACCOUNTANTS AND CONSULTANTS

PARTNERS
KAMALA K. AUSTIN, CPA • TONYA M. MOFFITT, CPA

INDEPENDENT AUDITOR'S REPORT

The Honorable Mayor and City Council
City of Gresham, Oregon
Gresham, Oregon

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gresham, Oregon, as of and for the year ended June 30, 2012, which collectively comprise the City's basic financial statements as listed in the table of contents. These financial statements are the responsibility of the City of Gresham, Oregon's management. Our responsibility is to express opinions on these financial statements based on our audit.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and the significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinions.

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gresham, Oregon, as of June 30, 2012, and the respective changes in financial position, and, where applicable, cash flows thereof for the year then ended in conformity with accounting principles generally accepted in the United States of America.

In accordance with *Government Auditing Standards*, we have also issued our report dated December 28, 2012, on our consideration of the City of Gresham, Oregon's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* and should be considered in assessing the results of our audit.

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and required supplementary information, as listed in the table of contents, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context.

5499 AMY STREET ˙ WEST LINN, OREGON 97068 ˙PHONE: (503) 723-0300 ˙ FAX: (503) 723-9946 WWW.MERINACPAS.COM

We have applied certain limited procedures to the management's discussion and analysis in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

The required supplementary information, as listed in the table of contents, is the responsibility of management and was derived from and relate directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City of Gresham, Oregon's financial statements as a whole. The introductory section, supplementary information, statistical section, and continuing disclosure, as listed in the table of contents, are presented for purposes of additional analysis and are not a required part of the financial statements. The accompanying schedule of expenditures of federal awards is presented for purposes of additional analysis as required by U.S. Office of Management and Budget Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*, and is also not a required part of the financial statements. The supplementary information and the schedule of expenditures of federal awards are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole. The introductory, statistical, and continuing disclosure sections have not been subjected to the auditing procedures applied in the audit of the basic financial statements and, accordingly, we do not express an opinion or provide any assurance on them.

Merina & Company

Merina & Company, LLP
West Linn, Oregon
December 28, 2012

City of Gresham, Oregon
Management's Discussion and Analysis
For the Fiscal Year Ended June 30, 2012

As the financial management of the City of Gresham, Oregon we offer readers this narrative overview and analysis of the City's financial activities during the fiscal year. It focuses on the year's financial activities, significant changes in the City's financial position, deviations from the approved budget, and individual fund issues.

The Management's Discussion and Analysis (MD&A) should be read in conjunction with the information provided in the Letter of Transmittal and the Basic Financial Statements included in the Comprehensive Annual Financial Report (CAFR).

Financial Highlights

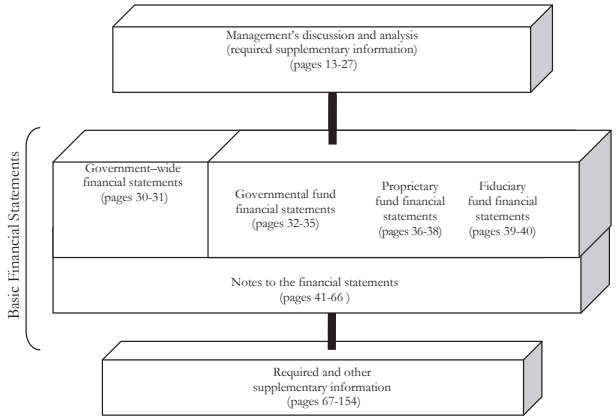
- The assets of the City exceeded its liabilities at the close of the fiscal year by $1.2 billion (net assets). Of this amount, $88.8 million in unrestricted net assets (primarily intended for utility infrastructure replacement) may be used to meet the City's ongoing obligations to citizens and creditors.
- On a government-wide basis, the City's total net assets decreased by $32.5 million. Governmental activities showed a decrease of $38.1 million caused by taxing limitations, transportation infrastructure depreciation, and transfers to business-type activities. Business-type activities net assets increased by $5.7 million with slight increases in service revenues for long-term capital asset maintenance.
- On a fund basis, the City's governmental funds reported combined ending fund balances of $53.4 million. A $2.9 million decrease from the prior year primarily due to revenue constraints while maintaining service levels.
- At year-end, the unreserved, undesignated fund balance for the General Fund was $11.0 million or 26% of General Fund operating expenditures during the year. The fund Balance for the General Fund includes amounts due from other funds.
- The City added over $21.5 million in capital assets including the acquisition of land for the Rockwood public safety facility, city-wide street pavement improvements, completion of seismic upgrades at several public safety facilities, a solar array at City Hall, and upgrades at the wastewater treatment plant such as building and process improvements, and construction of a fats, oil, and grease receiving station.
- The City's current liabilities increased $4.5 million. This increase was primarily due to investment activity where the City initiated the purchase of an investment before the end of the year and settled the trade immediately after year end.

Overview of the Financial Statements

Report Layout

This discussion and analysis is intended to serve as an introduction to the City's basic financial statements. The basic financial statements are included within the financial section of the CAFR and are comprised of three components: 1) government-wide financial statements, 2) fund-based financial statements, and 3) notes to the financial statements. The financial section also contains supplementary information.

The graphic below is provided to help in understanding how the financial section is presented and to direct the reader to the pages where specific components can be found.



Government-wide Financial Statements

The government-wide financial statements are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private-sector business.

The statement of net assets presents information on all of the City's assets and liabilities, with the difference between the two reported as net assets. Over time, increases or decreases in net assets may serve as a useful indicator of whether the financial position of the City is improving or deteriorating.

The statement of activities presents information showing how the City's net assets changed during the most recent fiscal year. All changes in net assets are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (for example, uncollected taxes and earned but unused compensated leave).

Both of the government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (governmental activities) from other functions that are intended to recover all or a significant portion of their costs through user fees

and charges (business-type activities). The governmental activities include General Government (administration and support services), Public Safety, Transportation, Urban Design and Planning, Development Services, Economic Development Services, Environmental Services (Parks and Recreation, and Solid Waste), and Urban Renewal. The business-type activities include Water, Stormwater, and Wastewater.

Fund Financial Statements

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities. The City, like other state and local governments, uses fund accounting to ensure compliance with finance-related legal requirements. All of the funds of the City are divided into three categories: governmental funds, proprietary funds, and fiduciary funds.

Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, governmental fund financial statements focus on near-term inflows and outflows of spendable resources, as well as balances of those resources available at the end of the fiscal year. Such information may be useful in evaluating a government's near-term financial requirements.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented as governmental activities. By doing so, readers may better understand the long-term impact of the government's near-term funding decisions. Both the governmental fund balance sheet and the governmental fund statement of revenues, expenditures, and changes in fund balances provide a reconciliation to facilitate this comparison between governmental funds and governmental activities.

The City reports information separately in the governmental funds balance sheet and in the governmental funds statement of revenues, expenditures, and changes in fund balances for the General Fund, Transportation Fund, System Development Charges Fund, Grants Fund, and Rockwood UR Debt Service Fund, all of which are considered major funds under Generally Accepted Accounting Principles. Data from the City's other governmental funds are aggregated into a column titled "Nonmajor Governmental Funds."

Proprietary funds are classified as enterprise funds and internal service funds. Enterprise funds are used to report the same functions presented as business-type activities in the government-wide financial statements. Internal service funds are used to accumulate and allocate costs internally among the City's various functions. The City uses internal service funds to account for its facilities and fleet services, workers' compensation reserves, information technology services, general liability reserves, equipment replacement reserves, legal services, utility financial services, and general management and administration.

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The proprietary fund financial statements provide separate information for water, stormwater, and wastewater operations, all of which are accounted for as major funds. The internal service funds are aggregated into one column and presentation in the proprietary fund financial statements.

Fiduciary funds are used to account for resources held for the benefit of parties outside the government. Fiduciary funds are not reflected in the government-wide financial statements because the resources of those funds are not available to support the City's own programs. The accounting used for fiduciary funds is much like that used for proprietary funds.

Notes to the Financial Statements and Supplementary Information

The notes provide additional information that is essential to a full understanding of the data provided in the financial statements. combining statements and budgetary comparison schedules are presented for all governmental funds, enterprise funds, internal service funds, and fiduciary funds as supplementary information immediately following the notes to the financial statements.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

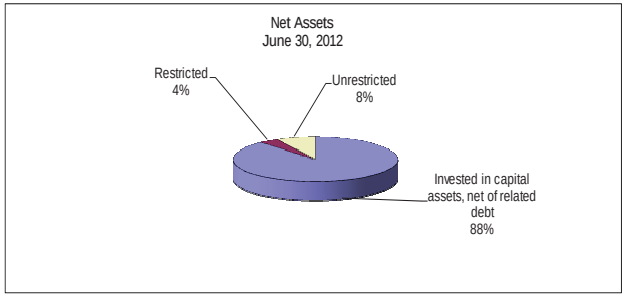
The following paragraphs provide an analysis of the City's overall financial position and results of operations. To reduce complexity, dollar amounts are presented in millions. Insignificant rounding difference may exist between amounts presented here and amounts presented in the financial statements.

Financial Position

As mentioned earlier, net assets serve as a useful indicator of a government's financial position. The following table shows a summary of the statements of net assets at fiscal year-end and for the previous year-end:

City of Gresham, Oregon
Summary of the Statements of Net Assets
(in millions)

	Governmental Activities		Business-type Activities		Total	
ASSETS	2012	2011	2012	2011	2012	2011
Current and other assets	$ 88.8	$ 89.4	$ 91.8	$ 90.1	$ 180.6	$ 179.5
Capital assets	854.0	890.0	235.6	232.3	1,089.6	1,122.3
Total assets	942.8	979.4	327.4	322.4	1,270.2	1,301.8
LIABILITIES						
Current and other liabilities	9.3	7.3	5.3	2.9	14.6	10.2
Long-term liabilities	58.3	58.7	33.8	36.9	92.1	95.6
Total liabilities	67.6	66.0	39.1	39.8	106.7	105.8
NET ASSETS						
Invested in capital assets, net of related debt	828.4	863.8	201.0	196.1	1,029.4	1,059.9
Restricted	35.4	40.3	9.9	9.6	45.3	49.9
Unrestricted	11.4	9.3	77.4	77.0	88.8	86.3
Total net assets	$ 875.2	$ 913.4	$ 288.3	$ 282.7	$ 1,163.5	$ 1,196.1



The City ended the year with $1.2 billion in total net assets. Approximately 88% of that amount reflects the City's investment in capital assets (land, infrastructure, buildings, improvements, machinery and equipment) less any related outstanding debt used to acquire those assets. The City uses capital assets to provide services to citizens; consequently, these assets are not available for future spending. Another 4% of the City's net assets are subject to external restrictions on how they may be used. This category includes restrictions for the purchase and construction of growth related infrastructure systems, transportation system construction and maintenance, utility systems rate stabilization and debt requirements, and building reviews and inspections. The remaining 8% of net assets, referred to as unrestricted, may be used to meet ongoing obligations to citizens and creditors. The majority of these funds are intended for longer-term utility system infrastructure replacement and maintenance.

During the fiscal year, the overall financial position of the City declined. This is primarily attributable to depreciation expense on transportation infrastructure, and the impact of taxing limitations and the slowed economy. A more detailed analysis of both governmental and business-type net assets follows.

Governmental Activities. Total net assets of governmental activities decreased by $38.1 million. Current and other assets (primarily cash and investments, receivables, and prepaid pension costs) decreased by $600 thousand while current liabilities increased by $2 million. The decline in working capital is a result of maintaining public service levels while tax and grant revenues are constrained.

The City added $9.7 million in governmental capital assets during the year. However, this is offset by depreciation of $45.6 million, with asset dispositions of $13 thousand (net of depreciation). Depreciation on transportation infrastructure amounted to $43.2 million. The net effect to capital assets is a reduction of $36.0 million. See the notes to the financial statements for more detailed information on capital assets.

Long term liabilities decreased $400 thousand. The decrease is a net impact of the renewal of a line of credit, an additional draw on the line of credit, and normal debt service payments.

Business-type Activities. Total net assets of business-type activities increased by $5.6 million. Current and other assets increased by $1.7 million. This change was due to the net effect of capital asset purchases, debt payments, tax receipts and federal project reimbursements.

Business-type activities added $11.8 million in capital assets. As discussed in the Capital Asset section, this investment was primarily for utility infrastructure with some equipment purchases. Depreciation on utility systems capital assets was $8.4 million for the year and disposals were approximately $55 thousand. The resulting net increase in capital assets was $3.4 million..

Long-term liabilities of business-type activities decreased by a net $3.1 million. The City completed an early redemption of a 1999 revenue bond and made all scheduled debt service payments.

Results of Operations

In addition to the analysis of net assets provided above it is useful to analyze the financial operations that took place during the year. The following table provides a summary of the changes in net assets:

City of Gresham, Oregon
Summary of Changes in Net Assets
(in millions)

	Governmental Activities		Business-type Activities		Total	
REVENUES	2012	2011	2012	2011	2012	2011
Program Revenues:						
Charges for services	$ 23.3	$ 25.2	$ 34.8	$ 33.7	$ 58.1	$ 58.9
Operating grants and contributions	10.4	10.7	-	-	10.4	10.7
Capital grants and contributions	2.0	4.5	2.2	1.2	4.2	5.7
General Revenues:						
Property taxes	26.4	25.8	-	-	26.4	25.8
Other taxes	13.8	12.4	-	-	13.8	12.4
Unrestricted grants and contributions	2.4	2.1	-	-	2.4	2.1
Unrestricted interest and investment earnings	0.7	0.7	0.9	0.9	1.6	1.6
Total revenues	79.0	81.4	37.9	35.8	116.9	117.2
EXPENSES						
General government	0.9	1.4	-	-	0.9	1.4
Public safety	41.4	39.7	-	-	41.4	39.7
Transportation	51.4	51.1	-	-	51.4	51.1
Urban design and planning	3.7	4.8	-	-	3.7	4.8
Community Development	4.0	4.6	-	-	4.0	4.6
Economic development services	0.7	0.7	-	-	0.7	0.7
Environmental services	5.2	6.7	-	-	5.2	6.7
Urban renewal	5.0	7.2	-	-	5.0	7.2
Interest on long-term debt	2.6	2.7	-	-	2.6	2.7
Water	-	-	11.0	10.3	11.0	10.3
Stormwater	-	-	6.8	7.1	6.8	7.1
Wastewater	-	-	16.5	16.4	16.5	16.4
Total expenses	114.9	118.9	34.3	33.8	149.2	152.7
Excess before transfers	(35.9)	(37.5)	3.6	2.0	(32.3)	(35.5)
Transfers, Net	(2.2)	(2.0)	2.2	2.0	-	-
Change in net assets	(38.1)	(39.5)	5.8	4.0	(32.3)	(35.5)
Net assets - beginning	913.3	952.8	282.7	278.7	1,196.0	1,231.5
Net Assets - ending	$ 875.2	$ 913.3	$ 288.5	$ 282.7	$ 1,163.7	$ 1,196.0

The City-wide change in net assets was a decrease of $32.3 million. The impact of operations from governmental activities is much different from those of business-type activities.

Governmental Activities. Net assets of governmental activities decreased by $38.1 million. The most significant causes of this decline were related to ongoing tax revenue limitations, the continued impact of the economic downturn on operating revenues, depreciation on

transportation system infrastructure, and transfers of existing resources from governmental activities to business-type activities.

Revenues of governmental activities are primarily tax based rather than fee based. The property tax structure in Oregon significantly limits this source of revenue for public safety activities. Gresham's permanent tax rate of $3.61 per $1,000 of assessed value is one of the lowest rates in Oregon for large cities. The taxable assessed value of existing properties is limited to 3% growth per year, irrespective of changes to fair market value. New construction is valued near existing property rather than at fair market value.

The relatively low permanent tax rate and valuation method for new construction were identified in the City's 2007 Long-Term Financial Plan as significantly hindering the ability to meet basic services. While property tax resources have not kept pace with the cost of living indexes for several years, the growth in taxable assessed value had remained consistently near the statutory 3% growth cap. Now, with assessed property values catching up to, or even being limited by, fair market values the property tax base is no longer expanding at a consistent rate. Future property tax revenue growth will be dependent on growth in the fair market value of property

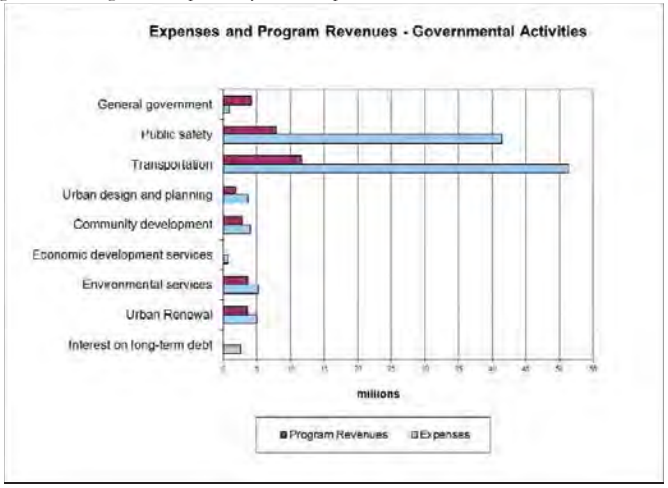
Resources for public safety and business development services have been significantly impacted by the economy. Business income taxes and Hotel and Motel taxes increased slightly over last year but remain at roughly the 2009 level. However, this stable rate is $1.5 million lower than the 2008 level of revenue. Construction activity has diminished significantly in Gresham, as it has across the nation, and is projected to remain at a reduced level in the upcoming years. Fees for services such as plan reviews, engineering, mapping and inspections have remained low as a result. The City continues to forgo significant increases in development fees to help relieve the burden on citizens and businesses that are also affected by the downturn.

In February of 2009, the United States Congress passed the American Recovery and Reinvestment Act of 2009 in response to the economic crisis. During the year, $637 thousand in grant funding was used to help with budget shortfalls in public safety. The City hired six police officers and also funded overtime for these six police officers. Other use of funding include equipment and supplies, record scanning , tactical headsets, and SWAT uniforms.

On January 1, 2011 the state gas tax was increased for the first time since 1991 (an increase of 6 cents per gallon to 30 cents per gallon). However, depreciation on transportation infrastructure continued to outpace available revenues resulting in a $39.7 million net loss for Transportation. It should be noted that maintenance and future replacement costs of transportation assets are only partially reflected in annual depreciation. Capital assets are depreciated based on historical (original) cost; current maintenance and replacement costs are much higher.

In accordance with financial reporting requirements, resources from the collection of business-type system development charges are reported as governmental activities. During the year $3.3 million of these resources were transferred to business-type activities for the construction of utility capital assets and debt service. New system development revenues from housing and commercial development were flat. As a result, net assets restricted for system development were reduced by $2.4 million.

The following graph shows the expenses of each governmental function compared to the program revenues generated specifically from its operations:



General government support services (administrative, financial, legal, and management services) generate some external revenues but are primarily funded from charges to the functions they support. The public safety function (Police, Fire, and Emergency Services) generates program revenues as well, but property taxes, business income taxes, state shared revenues, and utility license fee revenues fund the majority of its costs. City policy requires that all general property taxes be used for public safety services. For the fiscal year, general property taxes accounted for 64% of the total revenues needed to support public safety.

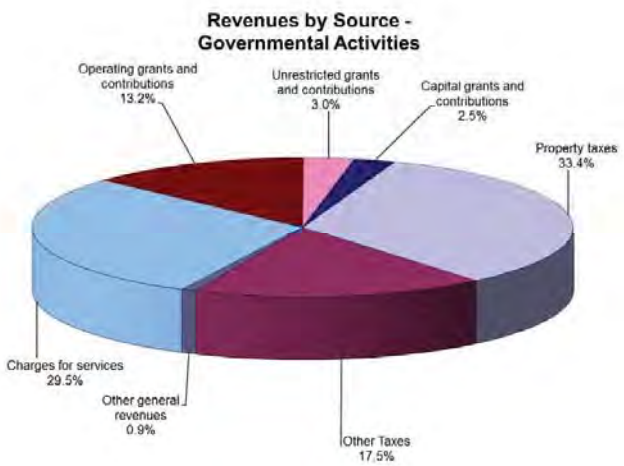
Transportation programs are funded with city gas tax revenues, intergovernmental revenues (primarily county gas taxes) and various other revenue sources such as grants and system development charges. When depreciation on capital assets is added to other operating expenses, direct costs far exceed program revenues. Capital grants and developer contributions (included in program revenues) added new capital assets that will need to be maintained by the City using existing resources.

The urban design and planning, and development services functions provide a variety of growth and development services. Activities are funded with Federal Housing and Urban Development Department grant revenues, charges for building permits, development planning and inspection fees, and other grants.

Economic development services include business retention, expansion and relocation services, as well as support for new businesses. General revenues fund this function.

Environmental Services, which is the Parks and Recreation program, Solid Waste and Recycling program, receive some fee revenues for parks programs with the majority of support coming from general revenues.

The graph below is a visual representation of the various sources of revenues used to support governmental activities:



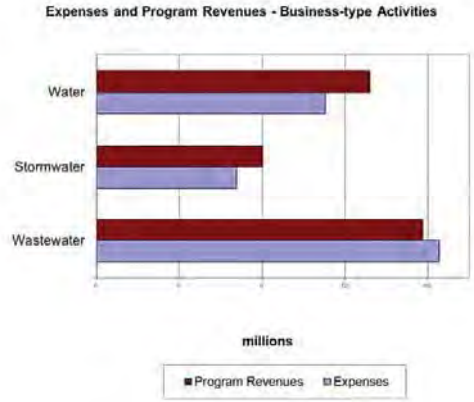
Business-type Activities. The change in net assets for business-type activities was an increase of $5.6 million. Utility payments and service fees for water, stormwater, and wastewater activities exceeded direct expenses by $500 thousand.

The City received $1.5 million in privately financed public improvements from developments. This was a $1.3 million increase from the prior year.

As noted earlier, business-type activities received $2.2 million in transfers from system development charge resources reported as governmental activities. The funds were used for a variety of capacity increasing purposes and for the payment of debt.

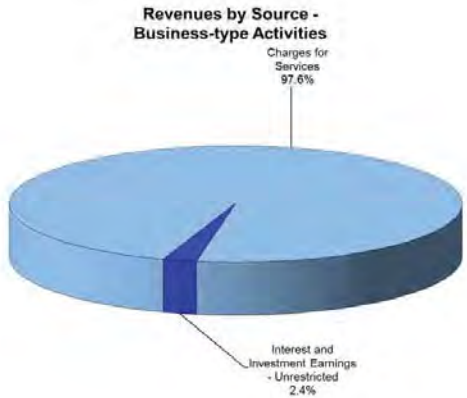
Investment earnings of $900 thousand were recorded for business-type activities. This is consistent with the previous year. However, investment returns are down over 60% from 2009. Although the City has not relied on investment earnings to fund operations, earnings on reserves for future utility infrastructure projects have been negatively impacted.

The following graph shows the expenses and program revenues generated by each business-type function:



Water, Stormwater, and Wastewater program revenues are the rates and charges received from the City's utility customers and are used for systems operation, maintenance, and system replacement. Additional program revenues include capital grants from private developers (constructed utility infrastructure to benefit specific developments) and grant funds from external agencies.

The following graph is a visual representation of the various sources of revenues used to support business-type activities:



Financial Analysis of the Government's Funds

The City uses fund accounting to ensure and demonstrate compliance with finance related legal requirements. The following paragraphs analyze the City's *major* governmental and proprietary funds on an individual basis. The financial statements of governmental funds show more detail than related governmental activities and focus on near-term inflows, outflows, and ending balances of spendable resources. The statements of proprietary funds show detail for each utility included in business-type activities, with the same focus used in government-wide reporting.

At the end of the fiscal year, the combined fund balances for governmental funds was $53.4 million, of which $21.5 million (40%) was in the major funds. Fund balances of all governmental funds decreased by $3.6 million from the prior year. This is the net result of changes in a variety of funds including the payment of debt issued in the prior years, purchase of capital assets, and the result of operations.

The General Fund had an ending balance of $11.0 million, an increase of $1.1 million from the prior year. Revenues increased by $2.1 million. The increase is a result of growth in business income tax and increased utility license receipts from utilities. Total tax revenues in this fund increased by $700 thousand from the prior year. Business income tax grew by 12% or $400 thousand. Property taxes receipts increased 1.0% which is significantly less than the 3% annual maximum increase in taxable assessed property value consistent with state constitutional requirements which indicates tax revenue may continue to grow at less than 3% per year.

State-shared intergovernmental revenues increased by 12% or $400 thousand with half the increase in Liquor Tax receipts. Utility license fees increased due to increased utility billings in the City. Similar to last year, the City maintained General Fund cash reserves with controlled reductions in spending.

The Transportation Fund ending balance decreased $800 thousand. About $5.7 million in gas tax revenue was received during the year to provide for road maintenance. There was a $700 thousand increase from the prior year due to State adoption of an additional 6 cent per gallon tax on January 1, 2011. Transfers out of $2.8 million were provided to the Transportation Construction Fund for capital improvement projects.

The System Development Charges Fund accounts for transportation, park, water, stormwater, and wastewater system connection impact charges. The ending balance in this fund decreased by $2.4 million to $12.6 million. About $1.5 million in system development charges (SDC) and related interest were collected during the year. After having a slight rebound in prior year ($800 thousand increase) SDC collections in 2012 dropped by $700 thousand and is back near the lows set after 2009 and 2010.

The Rockwood UR Debt Service Fund had a deficit ending balance of $11.9 million. This is offset by the City Backed Urban Renewal Fund balance of $18.4 million. A $18.4 million dollar advance from the City Backed Urban Renewal Fund to the The Rockwood West-Gresham Urban Renewal Area (Area) is responsible for the offsetting fund balances The Area is a separate legal entity and is budgeted separately from the City under Oregon budget law. For financial reporting purposes, the Area's funds are blended with the City's.

The Grants Fund accounts for the expenditure of federal, state and locally funded grants excluding ARRA (American reinvestment and recovery act) grants. Grant fund revenue and transfers out decreased by $1.8 million due to decreased funding and fewer major projects.

Net assets for the proprietary funds increased by $5.7 million during the year. The Water Fund and Stormwater Fund had operating income ($1.5 million and $600 thousand, respectively) while the Wastewater Fund had an operating loss of $500 thousand. The result of operations for the proprietary funds was net operating income of $1.6 million. Net assets in utility funds are accumulated over time for replacement of infrastructure in addition to operations.

Combined transfers in for the utility funds were $3.8 million, which were offset by transfers out of $1.6 million, resulting in a net transfer to the utility funds of $2.2 million. Transfers out consisted primarily payments for central city services and permits while transfers in consisted of monies from the System Development Charges Fund. The transfer proceeds were used to acquire capital assets and repay outstanding debt, and so contributed significantly to the improved net asset positions of the funds.

Restrictions on the use of net assets of proprietary funds are mostly related to the requirements of debt agreements. Since the resources are intended for use on the restricted purposes, the restrictions do not adversely affect the availability of fund resources for future use.

General Fund Budgetary Highlights

The original General Fund budget was amended during the year to appropriate an unanticipated grant and positive variance in the prior year's ending fund balance. These changes are reflected in the final budget column of the General Fund budgetary schedule which is presented as required supplementary information in the CAFR. City Council approval is required to make appropriation changes during the year.

During the year the general fund budget for transfer in financing was increased by $12 thousand for grant funding received for a police and traffic safety grant. The police expenditures were increased to allow the grant to be spent. An additional $30 thousand was appropriated to police for capital outlay for items not purchased in the prior year. This $30 thousand was available as unanticipated beginning fund balance

The difference between actual revenues and final budgeted amounts in the General Fund resulted in a variance of less than one percent. This difference is a net of two substantial effects. The City increased utility license fees by 2%. This was contested by the utilities and the increased revenue was not realized resulting in a $1.1 million revenue shortfall. Helping to partially offset this was an unanticipated increase in state shared revenues of $500 thousand.

While property tax collections were less than budgeted by $100 thousand, business income tax receipts offset the property tax shortfall. Property tax collections were able to increase 1% despite a weak housing market. Falling property values have been limiting the growth in taxable assessed value to less than 3% in many cases, and limiting growth in property taxes.

On the expenditure side, budget and actual differences for operating departments reflect a continued City-wide effort to reduce costs. Government and private sector organizations are projecting a prolonged stagnant economy, and the original budget reflects the continued service level reductions.

During the year, department staff were directed to continue focusing on reductions that include holding vacant staff positions and materials and services deferrals. Expenditures in Police, Fire & Emergency Services, and Environmental Services were kept under budget by $1.1 million, $211 thousand and $239 thousand, respectively.

Capital Asset and Debt Administration

Capital Assets

As of year-end, the City had $1.1 billion invested in a broad range of capital assets, including public safety vehicles and equipment, software, buildings, park facilities, land, easements, roads, bridges, and water, stormwater, and wastewater systems. This amount includes a net decrease (including additions, deletions, and depreciation) of $32.6 million from last year.

Governmental activities' capital assets increased by a net $9.3 million before depreciation. This was primarily attributed to transportation system improvements including city-wide street pavement improvements and safety streetscape upgrades on NE Hood Street, developer contributions and right-of-way dedications, completion of seismic upgrades to several public safety facilities, and a solar array at City Hall. Additionally, the Rockwood-West Gresham Urban Renewal Area was in in the final stages of the Burnside Boulevard/187th/Stark Street improvements and the initial phase of the Rockwood public safety facility. Other construction improvement projects and replacement of aging equipment and vehicles comprised most of the remaining increase.

Business-type activities' assets increased by a net $11.5 million before depreciation. Capital improvement projects at the wastewater treatment plant including building and process improvements and construction of a fats, oil, and grease receiving station, plus several other infrastructure improvements throughout the City such as the replacement of medium and large commercial water meters and replacement of a deteriorated waterline in the Northwest and Hollybrook Neighborhood District comprised most of the increase. Private developer contributions and replacement of aging machinery and equipment also contributed to the increase in assets. Depreciation on business-type assets was $8.4 million.

Additional information on the City's capital assets can be found in the notes to the financial statements in the section titled Capital Assets

Long-term Debt

As of year-end, the City had $82.4 million in bonds and notes outstanding. Of that amount, $8.8 million is due within one year. Total long-term debt decreased by $4.7 million.

City of Gresham, Oregon
Outstanding Bonds and Notes Payable
(in millions)

	Governmental Activities		Business-type Activities		Total	
	2012	2011	2012	2011	2012	2011
Notes Payable & Other Long-term Debt	$48.6	$50.1	$25.5	$27.0	$74.1	$77.1
Revenue Bonds			8.3	10.0	8.3	10.0
Total	$48.6	$50.1	$33.8	$37.0	$82.4	$87.1

Long-term debt from governmental activities decreased by $1.5 million. During the year, the City borrowed $2.6 million on an existing line of credit to finance urban renewal and transportation projects. The City had previously paid off borrowings under the line of $1.4 million. The remaining $2.7 million of reductions were the result of normal debt service payments with the attendant decrease in principal balance outstanding.

Business-type activities' long-term debt decreased by $3.0 million. This change was a combination of additions of $400 thousand along with payments and redemptions totaling $3.6 million. The $400 thousand issuance during 2012 was comprised entirely of water project borrowings on the line of credit. The reduction in debt of $3.6 million included the final payment of $600 thousand to redeem the 1999 Water Revenue bonds along with $3.0 million of regularly scheduled debt service.

Detailed information on the City's long-term debt activity can be found in the notes to the financial statements in the section titled Long-term Liabilities.

The City's underlying bond ratings were unchanged during the year. The Aa2 rating from Moody's Investors Service and the AA rating from Standard and Poor's reflect the strong financial underpinnings that support the City's Water and Stormwater revenue bonds.

	Underlying Ratings		Insured Ratings	
	Moody's Investors Service	Standard and Poor's	Moody's Investors Service	Standard and Poor's
Stormwater Revenue Refunding Bonds, Series 2002	Aa2	AA	Aa2	AA+
Stormwater Revenue Refunding Bonds, Series 2006	Aa2	AA	Aa2	AA
Water Revenue Refunding Bonds, Series 2003	Aa2	AA	Aa2	AA

Financial Conditions and Next Year's Budgets and Rates

- Due to the property tax structure and general economic conditions overall revenues are not projected to keep pace with the cost of providing the current levels of service in the City. Despite attempting to maximize the value of tax dollars, the widening gap between revenue and current-service-level expenses will cause the City to seek new revenue sources or reduce levels of service provided.
- The State's property tax regulations set permanent rates and limit growth in existing property values to a maximum of 3% per year. The assessed values for new residential and commercial construction are also adjusted to reflect the growth limitation so they receive the same tax benefits as existing properties. Gresham's permanent tax rate is $3.6129 per $1,000 of tax-assessed value. For the fiscal year, Gresham's total assessed value was $6,896,727,020. This was an overall growth of 1.4%. The rate of increase falling below the maximum rate allowed indicates that assessed property value is no longer significantly under real market value.
- The City continues to aggressively seek and use federal grants to supplement services and improve infrastructure. During FY 2012 the city spent $3.7 million in federal program funds.

- The City annually reviews utility rates and business fees to evaluate their effectiveness in supporting operating and capital needs. On January 1, 2012 the utility funds applied an annual increases to their rates and fees in order to meet minimum required service levels. Future rate increases are under consideration.
- Major capital projects budgeted for 2012-13 include: $16.2 million for wastewater system improvement projects; $1.2 million for street surface maintenance and improvements; $1.0 million for street improvements to NE Cleveland; $1.1 million for intersection improvements at Pleasant Valley and Highland Drive; $1.0 million for safety upgrades to NE Hood Street; $1.0 million for pedestrian and bicycle improvements to SE Division Street; $2.8 million for trail improvements along the Max line; $1.0 million for improvements to Main City Park; $1.5 million for an interactive fountain at the Arts Plaza; $5.8 million for various water infrastructure improvement projects; and $2.0 million to continue the next phase of stormwater underground injection control improvements.
- The 2012 Council Work Plan focuses on three main priorities: 1) Building Community, 2) Realizing Opportunities, and 3) Practicing Sustainability. Additional information on the Council Work Plan can be found in the transmittal letter.

Requests for Information

This financial report is designed to provide citizens, taxpayers, customers, investors, and creditors with a general overview of the City's finances and to show the City's accountability for the money it receives. Questions about this report or requests for additional financial information should be addressed to the City of Gresham Finance & Management Services Department, Accounting Services Division, 1333 NW Eastman Parkway, Gresham, Oregon 97030-3813

Basic Financial Statements

City of Gresham, Oregon
Statement of Net Assets
June 30, 2012

	Governmental Activities	Business-type Activities	Total
ASSETS			
Cash and cash equivalents	$ 18,054,611	$ 15,522,251	$ 33,576,862
Investments	42,179,425	36,992,769	79,172,194
Receivables, net	9,401,314	7,674,884	17,076,198
Property taxes receivable, net	1,685,385	-	1,685,385
Assessments receivable, net	6,360	-	6,360
Internal balances	(3,861,183)	3,861,183	-
Prepaid	12,658,597	-	12,658,597
Other assets	498,807	380,148	878,955
Restricted cash and cash equivalents	2,523,190	8,424,223	10,947,413
Restricted investments	5,666,358	18,918,362	24,584,720
Capital assets:			
Non-depreciable	471,900,223	21,507,326	493,407,549
Depreciable, net	382,113,634	214,154,618	596,268,252
Total assets	942,826,721	327,435,764	1,270,262,485
LIABILITIES			
Accounts payable	2,345,165	1,305,240	3,650,405
Accrued interest payable	208,001	242,248	450,249
Other accrued liabilities	2,932,172	3,702,276	6,634,448
Unearned revenue	3,857,877	-	3,857,877
Long-term liabilities:			
Due within one year	9,341,634	3,462,906	12,804,540
Due in more than one year	48,921,341	30,365,076	79,286,417
Total liabilities	67,606,190	39,077,746	106,683,936
NET ASSETS			
Invested in capital assets, net of related debt	828,386,469	201,004,436	1,029,390,905
Restricted for:			
Transportation system construction and maintenance	11,571,600	-	11,571,600
System development	12,551,182	-	12,551,182
Building development review and inspection	2,270,141	-	2,270,141
Utility and public facilities construction	-	903,000	903,000
Loan covenant requirement	-	4,745,576	4,745,576
Urban renewal	2,525,814	-	2,525,814
Law enforcement equipment	34,053	-	34,053
Rate stabilization	-	3,229,000	3,229,000
Debt service	6,504,713	1,053,894	7,558,607
Unrestricted	11,376,559	77,422,112	88,798,671
Total net assets	$ 875,220,531	$ 288,358,018	$ 1,163,578,549

The notes to the basic financial statements are an integral part of this statement.

City of Gresham, Oregon
Statement of Activities
For the Fiscal Year Ended June 30, 2012

Functions	Direct Expenses	Indirect Expenses Allocation	Program Revenues: Charges for Services	Program Revenues: Operating Grants and Contributions	Program Revenues: Capital Grants and Contributions	Net (Expense) Revenue and Changes in Net Assets: Governmental Activities	Net (Expense) Revenue and Changes in Net Assets: Business-type Activities	Net (Expense) Revenue and Changes in Net Assets: Total
Governmental activities:								
General government	$ 18,508,873	$ (17,595,093)	$ 3,978,220	$ 220,898	$ -	$ 3,285,338	$ -	$ 3,285,338
Public safety	30,006,778	11,412,523	5,900,559	1,927,942	40,576	(33,550,224)	-	(33,550,224)
Transportation	49,006,201	2,355,518	4,361,142	5,757,017	1,560,572	(39,682,988)	-	(39,682,988)
Urban design and planning	2,611,405	1,031,944	285,700	1,613,045	-	(1,744,604)	-	(1,744,604)
Community Development	2,913,104	1,111,640	2,808,480	-	-	(1,216,264)	-	(1,216,264)
Economic development services	519,584	210,677	-	-	-	(730,261)	-	(730,261)
Environmental services	3,762,583	1,472,791	2,511,339	913,535	255,723	(1,554,777)	-	(1,554,777)
Urban renewal	5,000,945	-	3,463,210	-	97,055	(1,440,680)	-	(1,440,680)
Interest on long-term debt	2,608,776	-	-	-	-	(2,608,776)	-	(2,608,776)
Total governmental activities	114,938,249	-	23,308,650	10,432,437	1,953,926	(79,243,236)	-	(79,243,236)
Business-type activities:								
Water	11,047,719	-	12,341,723	-	854,776	-	2,148,780	2,148,780
Stormwater	6,748,674	-	7,069,240	-	954,449	-	1,275,015	1,275,015
Wastewater	16,541,486	-	15,395,361	-	343,352	-	(802,773)	(802,773)
Total business-type activities	34,337,879	-	34,806,324	-	2,152,577	-	2,621,022	2,621,022
Total government	$ 149,276,128	$ -	$ 58,114,974	$ 10,432,437	$ 4,106,503	(79,243,236)	2,621,022	(76,622,214)
General Revenues:								
Taxes:								
Property taxes						26,380,647	-	26,380,647
Property taxes for debt service						37,346	-	37,346
License fees						8,936,935	-	8,936,935
Business income taxes						4,215,128	-	4,215,128
Hotel and motel taxes						495,019	-	495,019
Other taxes						163,055	-	163,055
Unrestricted grants and contributions						2,392,870	-	2,392,870
Unrestricted interest and investment earnings						711,744	876,379	1,588,123
Transfers						(2,220,401)	2,220,401	-
Total general revenues and transfers						41,112,343	3,096,780	44,209,123
Change in net assets						(38,130,893)	5,717,802	(32,413,091)
Net assets - beginning						913,351,424	282,640,216	1,195,991,640
Net assets - ending						$ 875,220,531	$ 288,358,018	$ 1,163,578,549

The notes to the basic financial statements are an integral part of this statement.

City of Gresham, Oregon
Balance Sheet
Governmental Funds
June 30, 2012

	General Fund	Transportation Fund	System Development Charge Fund	Grants Fund	Rockwood UR Debt Service Fund	Nonmajor Governmental Funds	Total Governmental Funds
ASSETS							
Cash and cash equivalents	$ 2,042,599	$ 2,270,816	$ 3,739,754	$ 10,891	$ 1,451,948	$ 3,945,665	$ 13,461,673
Investments	4,488,812	5,438,430	8,956,425	26,084	3,434,735	8,984,169	31,328,655
Receivables, net	2,035,797	1,295,687	373,056	4,664,047	-	997,961	9,366,548
Property taxes receivable, net	1,514,560	-	-	-	166,767	4,058	1,685,385
Assessments receivable, net	-	-	-	-	-	6,360	6,360
Due from other funds	3,203,806	1,259,676	-	-	-	1,427,135	5,890,617
Other assets	21,343	24,269	39,969	116	15,328	40,094	141,119
Advance to Rockwood UR Debt Service Fund	-	-	-	-	-	18,359,167	18,359,167
Restricted cash and cash equivalents	-	338,422	-	-	554,578	394,468	1,287,468
Restricted investments	-	759,997	-	-	1,245,422	885,864	2,891,283
Total assets	$ 13,306,917	$ 11,387,297	$ 13,109,204	$ 4,701,138	$ 6,868,778	$ 35,044,941	$ 84,418,275
LIABILITIES AND FUND BALANCES							
Liabilities:							
Accounts payable	$ 638,620	$ 434,721	$ -	$ -	$ -	$ 650,701	$ 1,724,042
Other accrued liabilities	279,671	338,836	558,022	1,625	213,998	797,980	2,190,132
Deferred revenue	1,402,687	-	-	3,413,830	154,890	354,528	5,325,935
Deposits	-	813,554	-	-	-	834,298	1,647,852
Due to other funds	-	-	-	1,285,683	-	471,783	1,757,466
Advance from City Backed Urban Renewal Fund	-	-	-	-	18,359,167	-	18,359,167
Total liabilities	2,320,978	1,587,111	558,022	4,701,138	18,728,055	3,109,290	31,004,594
Fund balances:							
Restricted	-	9,800,186	12,551,182	-	-	25,966,727	48,318,095
Assigned	-	-	-	-	-	5,968,924	5,968,924
Unassigned	10,985,939	-	-	-	(11,859,277)	-	(873,338)
Total fund balances	10,985,939	9,800,186	12,551,182	-	(11,859,277)	31,935,651	53,413,681
Total liabilities and fund balances	$ 13,306,917	$ 11,387,297	$ 13,109,204	$ 4,701,138	$ 6,868,778	$ 35,044,941	$ 84,418,275

The notes to the basic financial statements are an integral part of this statement.

City of Gresham, Oregon

Reconciliation of the Balance Sheet of Governmental Funds to Governmental Activities on the Statement of Net Assets
June 30, 2012

Total fund balances - governmental funds		$ 53,413,681
Total net assets reported for governmental activities in the statement of net assets is different because:		
Capital assets used in governmental activities are not financial resources and therefore are not reported in the governmental funds:		
Governmental capital assets	1,257,450,370	
Less: Accumulated depreciation & amortization	(403,436,513)	854,013,857
Internal service funds are used by management to charge the costs of certain activities to individual funds. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net assets:		
Internal service funds total net assets	13,219,726	
Capital assets included in total above	(12,654,915)	
Accrued Interest payable	22,625	
Compensated absences included in total below	815,000	
Bonds, notes, and leases payable, net included in total below	5,529,073	6,931,509
Assets not available to pay for current-period expenditures are deferred in the governmental funds, but are to be fully accrued on the statement of net assets:		
Prepaid assets	12,658,597	
Issuance costs	263,526	
Deferred amounts on refundings	141,695	
Bond discount, net of accumulated amortization	2,606	
Deferred revenue for taxes and assessments	1,567,993	14,634,417
Liabilities not due and payable in the current period are not reported in the governmental funds, but are reported on the statement of net assets. Debt related amortizable assets and liabilities are recognized in the governmental funds as other financing sources and uses when debt is issued or refunded. And accrued interest on bonds and notes payable is recognized in the governmental funds as an expenditure when due:		
Bonds, notes, and leases payable	(48,551,530)	
Unamortized bond premiums, net	(20,768)	
Accrued interest payable	(208,001)	
Compensated absences	(4,992,634)	(53,772,933)
Total net assets - governmental activities		$ 875,220,531

The notes to the basic financial statements are an integral part of this statement.

City of Gresham, Oregon

Statement of Revenues, Expenditures, and Changes in Fund Balances
Governmental Funds
For the Fiscal Year Ended June 30, 2012

	General Fund	Transportation Fund	System Development Charge Fund	Grants Fund	Rockwood UR Debt Service Fund	Nonmajor Governmental Funds	Total Governmental Funds
REVENUES							
Taxes	$ 28,110,089	$ -	$ -	$ -	$ 2,710,548	$ 2,504	$ 30,823,141
Licenses and permits	341,039	-	-	-	-	1,898,911	2,239,950
Intergovernmental	8,368,062	8,861,264	-	3,675,724	118,851	8,182,305	29,206,206
Charges for services	263,690	59,359	1,381,949	-	-	1,927,595	3,632,593
License fees	7,759,590	-	-	-	-	1,177,345	8,936,935
Miscellaneous	228,975	124,343	157,448	9,960	67,044	335,968	923,738
Internal service charges	672,797	1,123,746	-	-	-	1,732,147	3,528,690
Total revenues	45,744,242	10,168,712	1,539,397	3,685,684	2,896,443	15,256,775	79,291,253
EXPENDITURES							
Current:							
General government	-	-	-	-	-	6,305	6,305
Public safety	38,474,879	-	-	-	-	1,297,738	39,772,617
Transportation	-	7,158,728	-	-	-	1,050,247	8,208,975
Urban design and planning	-	-	-	-	-	3,596,322	3,596,322
Community development	927,260	-	-	-	-	2,946,804	3,874,064
Environmental services	2,074,592	-	-	-	-	3,058,082	5,132,674
Economic development services	734,209	-	-	-	-	-	734,209
Urban renewal	-	-	-	-	-	4,802,798	4,802,798
Debt service	-	-	-	-	3,326,882	5,695,804	9,022,686
Capital outlay	-	-	-	-	-	6,353,435	6,353,435
Total expenditures	42,210,940	7,158,728	-	-	3,326,882	28,807,535	81,504,085
Excess (deficiency) of revenues over (under) expenditures	3,533,302	3,009,984	1,539,397	3,685,684	(430,439)	(13,550,760)	(2,212,832)
OTHER FINANCING SOURCES (USES)							
Issuance of debt	-	-	-	-	-	2,605,000	2,605,000
Transfers in	529,294	65,088	-	-	59,418	12,880,974	13,534,774
Transfers out	(2,948,113)	(3,861,330)	(3,935,717)	(3,685,684)	-	(3,077,259)	(17,508,103)
Total other financing sources (uses)	(2,418,819)	(3,796,242)	(3,935,717)	(3,685,684)	59,418	12,408,715	(1,368,329)
Net change in fund balances	1,114,483	(786,258)	(2,396,320)	-	(371,021)	(1,142,045)	(3,581,161)
Fund balances - beginning (as reported)	9,871,456	10,306,944	14,947,502	-	(11,488,256)	32,686,296	56,323,942
Prior period adjustment	-	279,500	-	-	-	391,400	670,900
Fund balances - beginning (restated)	9,871,456	10,586,444	14,947,502	-	(11,488,256)	33,077,696	56,994,842
Fund balances - ending	$ 10,985,939	$ 9,800,186	$ 12,551,182	$ -	$ (11,859,277)	$ 31,935,651	$ 53,413,681

The notes to the basic financial statements are an integral part of this statement.

City of Gresham, Oregon

Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances of Governmental Funds to Governmental Activities on the Statement of Activities
For the Fiscal Year Ended June 30, 2012

Net change in fund balances - governmental funds		$ (3,581,161)
Amounts reported for governmental activities in the statement of activities are different because:		
Governmental funds, which include internal service funds report capital outlays as expenditures and do not report capital asset contributions. In the statement of activities, those contributions are reported as revenues. However, in the statement of activities the cost of capital assets is allocated as depreciation and amortization expense over the assets estimated useful lives:		
Capital asset expenditures and contributions		
Capitalized expenditures	8,253,734	
Contributions	1,451,386	
Less:		
Depreciation & amortization expense	(45,649,528)	
		(35,944,408)
Governmental funds report dispositions and proceeds from sales of capital assets, while such proceeds are offset with net capitalized assets resulting in gains and losses in the statement of activities:		
Loss on disposition of capital assets		(13,433)
Debt proceeds provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the statement of net assets. Repayment of principal is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net assets. Detail of the impact of these transactions are as follow:		
Proceeds from governmental debt issuance	(2,605,000)	
Debt principal repayments from governmental funds	4,141,720	
		1,536,720
Internal service funds are used by management to charge the costs of certain activities to individual funds. The net expense of most activities of internal service funds is reported with governmental activities.		
Internal service fund change in net assets	1,315,327	
Less:		
Capital asset activity included in total above	(29,744)	
Debt principal repayments included in total above	(685,000)	
Amortization of premium, discount, issue costs, and deferred amount included in total below	47,241	
Accrued interest reversal and accrual included in total below	(1,553)	
		646,271
Some revenues reported in the statement of activities do not provide current financial resources and, therefore, are not reported in governmental funds. And revenues reported in governmental funds because they did not provide current financial resources in prior years are not reported in the statement of activities:		
Change in property tax receivable	304,998	
Change in miscellaneous receivables	(820)	
		304,178
Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds:		
Amortization of deferred amounts from refunding	(47,232)	
Amortization of prepaid asset	(791,162)	
Amortization of premium and discount	8,139	
Amortization of issuance costs	(28,777)	
Change in accrued interest	9,008	
Change in compensated absences	(229,036)	(1,079,060)
Change in net assets - governmental activities		$ (38,130,893)

The notes to the basic financial statements are an integral part of this statement.

City of Gresham, Oregon

Statement of Net Assets
Proprietary Funds
June 30, 2012

	Enterprise Funds				
	Water	Stormwater	Wastewater	Total	Internal Service Funds
ASSETS					
Current assets:					
Cash and cash equivalents	$ 3,054,391	$ 2,951,252	$ 9,516,608	$ 15,522,251	$ 4,592,938
Investments	7,312,396	7,068,025	22,612,348	36,992,769	10,850,770
Receivables, net	1,589,617	1,333,731	4,751,536	7,674,884	34,766
Due from other funds	1,241,346	1,013,525	1,606,312	3,861,183	1,043,987
Total current assets	13,197,750	12,366,533	38,486,804	64,051,087	16,522,461
Noncurrent assets:					
Advance to other funds	1,102,500	-	400,000	1,502,500	-
Other assets	99,568	131,770	148,809	380,147	94,162
Restricted cash and cash equivalents	2,035,698	734,809	5,653,716	8,424,223	1,235,722
Restricted investments	4,571,587	1,650,169	12,696,606	18,918,362	2,775,075
Capital assets:					
Non-depreciable	2,873,472	5,279,506	13,354,348	21,507,326	521,442
Depreciable, net	64,289,638	47,802,319	102,062,661	214,154,618	12,133,473
Total noncurrent assets	74,972,463	55,598,573	134,316,140	264,887,176	16,759,874
Total assets	88,170,213	67,965,106	172,802,944	328,938,263	33,282,335
LIABILITIES					
Current liabilities:					
Accounts payable	305,410	221,617	778,213	1,305,240	621,123
Deposits	-	-	4,492	4,492	-
Accrued interest payable	65,094	29,190	147,964	242,248	22,625
Other accrued liabilities	484,148	1,517,962	1,700,166	3,702,276	3,936,532
Compensated absences	22,000	16,600	28,000	66,600	122,200
Bonds, notes and loans payable	1,251,967	317,231	1,822,615	3,391,813	711,075
Total current liabilities	2,128,619	2,102,600	4,481,450	8,712,669	5,413,555
Noncurrent liabilities:					
Deposits	131,917	61,246	25,654	218,817	-
Unearned revenue	-	-	-	-	99,935
Due to other funds	-	-	-	-	9,038,321
Advance from other funds	400,000	-	1,102,500	1,502,500	-
Compensated absences	124,600	99,864	158,600	383,064	692,800
Bonds, notes and loans payable	5,547,881	3,400,810	20,814,504	29,763,195	4,817,998
Total noncurrent liabilities	6,204,398	3,561,920	22,101,258	31,867,576	14,649,054
Total liabilities	8,333,017	5,664,520	26,582,708	40,580,245	20,062,609
NET ASSETS					
Invested in capital assets, net of related debt	59,963,262	49,363,784	91,677,390	201,004,436	7,164,767
Restricted for:					
Utility construction	-	-	903,000	903,000	-
Loan covenant requirement	-	-	4,745,576	4,745,576	-
Rate stabilization	-	500,000	2,729,000	3,229,000	-
Debt service	221,482	332,412	500,000	1,053,894	-
Unrestricted	19,652,452	12,104,390	45,665,270	77,422,112	6,054,959
Total net assets	$ 79,837,196	$ 62,300,586	$ 146,220,236	$ 288,358,018	$ 13,219,726

The notes to the basic financial statements are an integral part of this statement.

City of Gresham, Oregon
Statement of Revenues, Expenses, and Changes in Fund Net Assets
Proprietary Funds
For the Fiscal Year Ended June 30, 2012

	Enterprise Funds				
	Water	Stormwater	Wastewater	Total	Internal Service Funds
OPERATING REVENUES					
Charges for services	$ 11,659,516	$ 6,820,344	$ 14,130,736	$ 32,610,596	$ 17,422,456
Miscellaneous	618,152	248,142	1,239,798	2,106,092	282,187
Total operating revenues	12,277,668	7,068,486	15,370,534	34,716,688	17,704,643
OPERATING EXPENSES					
Personal services	2,710,402	2,275,188	2,780,955	7,766,545	9,860,623
Professional and technical services	88,884	387,281	4,009,994	4,486,159	1,161,996
Property services	324,513	119,962	93,375	537,850	905,136
Other services	82,159	107,021	39,576	228,756	1,071,807
Supplies	337,421	90,535	183,868	611,824	1,397,401
Insurance claims	-	-	-	-	1,077,325
Water purchase	1,998,604	-	-	1,998,604	-
Internal services	2,330,714	1,574,896	3,196,340	7,101,950	735,126
Other materials and services	395,079	152,623	1,516,936	2,064,638	1,468,638
Depreciation and amortization	2,530,393	1,801,532	4,032,898	8,364,823	726,506
Total operating expenses	10,798,169	6,509,038	15,853,942	33,161,149	18,404,558
Operating income (loss)	1,479,499	559,448	(483,408)	1,555,539	(699,915)
NONOPERATING REVENUES (EXPENSES)					
Miscellaneous revenue	73,749	8,830	35,762	118,341	347,293
Interest and investment income	152,802	112,814	582,058	847,674	177,898
Interest expense	(249,550)	(239,636)	(632,559)	(1,121,745)	(350,826)
Disposition of capital assets	-	-	(54,985)	(54,985)	48,465
Total nonoperating revenues (expenses)	(22,999)	(117,992)	(69,724)	(210,715)	222,830
Income (loss) before contributions and transfers	1,456,500	441,456	(553,132)	1,344,824	(477,085)
Capital contributions	854,776	954,449	343,352	2,152,577	39,484
Transfers in	396,396	863,777	2,583,647	3,843,820	2,076,928
Transfers out	(524,393)	(574,113)	(524,913)	(1,623,419)	(324,000)
Change in net assets	2,183,279	1,685,569	1,848,954	5,717,802	1,315,327
Total net assets - beginning	77,653,917	60,615,017	144,371,282	282,640,216	11,904,399
Total net assets - ending	$ 79,837,196	$ 62,300,586	$ 146,220,236	$ 288,358,018	$ 13,219,726

The notes to the basic financial statements are an integral part of this statement.

City of Gresham, Oregon
Statement of Cash Flows
Proprietary Funds
For the Fiscal Year Ended June 30, 2012

	Enterprise Funds				
	Water	Stormwater	Wastewater	Total	Internal Service Funds
Cash flows from operating activities:					
Receipts from customers	$ 11,489,598	$ 6,553,942	$ 14,480,489	$ 32,524,029	$ 17,417,430
Payments to suppliers for goods and services	(4,948,002)	(1,611,213)	(7,943,068)	(14,502,283)	(6,584,914)
Payments to employees for services	(2,707,702)	(2,274,524)	(2,784,255)	(7,766,481)	(9,775,123)
Other operating receipts	692,730	256,972	1,280,052	2,229,754	629,480
Net cash provided by (used in) operating activities	4,526,624	2,925,177	5,033,218	12,485,019	1,686,873
Cash flows from noncapital financing activities:					
Receipts from other funds	476,914	863,777	2,760,098	4,100,789	2,887,710
Payments to other funds	(524,393)	(604,045)	(524,913)	(1,653,351)	(614,804)
Net cash provided by (used in) noncapital financing activities	(47,479)	259,732	2,235,185	2,447,438	2,272,906
Cash flows from capital and related financing activities:					
Acquisition and construction of capital assets	(1,559,505)	(942,603)	(7,094,001)	(9,596,109)	(716,766)
Proceeds from debt	425,000	-	-	425,000	-
Principal paid debt	(1,597,837)	(302,234)	(1,890,349)	(3,790,420)	(646,075)
Interest paid on bonds and notes	(255,174)	(241,777)	(642,875)	(1,139,826)	(352,379)
Other capital and financing receipts	-	-	-	-	50,340
Other capital and financing payments	-	-	(54,985)	(54,985)	(1,875)
Net cash used in capital and related financing activities	(2,987,516)	(1,486,614)	(9,682,210)	(14,156,340)	(1,666,755)
Cash flows from investing activities:					
Change in investments	488,981	(184,184)	6,872,370	7,177,167	6,360
Interest on investments	152,802	112,814	582,058	847,674	177,898
Net cash provided by (used in) investing activities	641,783	(71,370)	7,454,428	8,024,841	184,258
Net increase (decrease) in cash and cash equivalents	2,133,412	1,626,925	5,040,621	8,800,958	2,477,282
Cash and cash equivalents - beginning	2,956,677	2,059,136	10,129,703	15,145,516	3,351,378
Cash and cash equivalents - ending	$ 5,090,089	$ 3,686,061	$ 15,170,324	$ 23,946,474	$ 5,828,660
Classified on the Statement of Net Assets as:					
Cash and cash equivalents	$ 3,054,391	$ 2,951,252	$ 9,516,608	$ 15,522,251	$ 4,592,938
Restricted cash and cash equivalents	2,035,698	734,809	5,653,716	8,424,223	1,235,722
	$ 5,090,089	$ 3,686,061	$ 15,170,324	$ 23,946,474	$ 5,828,660
Reconciliation of operating income to net cash provided by operating activities:					
Operating income (loss)	$ 1,479,499	$ 559,448	$ (483,408)	$ 1,555,539	$ (699,915)
Adjustments to reconcile operating income to net cash provided by operating activities:					
Depreciation and amortization	2,530,393	1,801,532	4,032,898	8,364,823	726,506
Changes in assets and liabilities:				-	
Receivables	(169,918)	(266,402)	349,753	(86,567)	(18,367)
Accounts payable	88,106	109,299	(533,316)	(335,911)	143,110
Other assets	37,118	26,522	57,651	121,291	20,215
Other liabilities	564,863	691,573	1,573,878	2,830,314	1,168,031
Other	(3,437)	3,205	35,762	35,530	347,293
Net cash provided by operating activities	$ 4,526,624	$ 2,925,177	5,033,218	$ 12,485,019	$ 1,686,873
Noncash capital and related financing activities:					
Contributed capital assets	$ 854,776	$ 954,449	$ 343,352	$ 2,152,577	$ 39,484

Noncash investing, capital, and financing activities:
During the year, the City's unrealized gain on the fair value of investments was $418,036.

The notes to the basic financial statements are an integral part of this statement.

City of Gresham, Oregon
Statement of Fiduciary Net Assets
Fiduciary Funds
June 30, 2012

	Private-purpose Trust Fund	Agency Fund
	Downtown Economic Improvement Fund	Benefits Fund
ASSETS		
Cash and cash equivalents	$ -	$ 450,695
Receivables, net	-	44,258
Investments	-	1,079,380
Other assets	-	4,820
Total assets	$ -	$ 1,579,153
LIABILITIES		
Liabilities:		
Accounts payable	$ -	$ 46,051
Other liabilities	-	1,533,102
Total liabilities	-	$ 1,579,153
NET ASSETS		
Held in trust	$ -	

The notes to the basic financial statements are an integral part of this statement.

City of Gresham, Oregon
Statement of Changes in Fiduciary Net Assets
Private Purpose Trust Fund
For the Fiscal Year Ended June 30, 2012

	Downtown Economic Improvement Fund
ADDITIONS	
Licenses and permits	$ -
Total additions	-
DEDUCTIONS	
Payments to Gresham Downtown Development Association	1,815
Change in net assets	(1,815)
Net assets - beginning	1,815
Net assets - ending	$ -

The notes to the basic financial statements are an integral part of this statement.

City of Gresham, Oregon
Notes to the Financial Statements
June 30, 2012

Summary of Significant Accounting Policies

Financial Reporting Entity

The City of Gresham, Oregon (City) is a municipal corporation governed by an elected mayor and six-member council, elected for staggered terms of four years. The Mayor, who serves as chairperson and an additional voting member of the Council, is also elected to serve a term of four years. The affairs of the City are conducted under the administration of the City Manager who is appointed by the Council.

The City is a primary government since it has a separately elected governing body, is a legally separate entity, and is fiscally independent. The City has one component unit that is a legally separate entity which is, in substance, a part of the City's operation and therefore blended into the basic financial statements. There are other governmental agencies, school districts, and special service districts that provide services within the City's boundaries. However, since the City is not financially accountable for these entities, they do not qualify as component units and are not included in the basic financial statements.

Blended Component Unit

The Rockwood-West Gresham Urban Renewal Area (Area) was created in the fall of 2003, when voters approved the creation of an urban renewal area for 20 years with maximum principal indebtedness of $92.0 million. The City of Gresham Council members serve as the Area's governing body, known as the Gresham Redevelopment Commission (Commission).

An Intergovernmental Agreement (IGA) exists between the City and the Commission for urban renewal project funding, internal service charges and debt issuance and repayment. The Area has remaining debt capacity of $68,479,695 at fiscal year-end 2012. The Commission's activities are reported in the Rockwood UR Capital Projects Fund and the Rockwood UR Debt Service Fund.

Complete financial statements for the Area may be obtained from the City's website (www.GreshamOregon.gov) or the City of Gresham, Accounting Services Division, 1333 NW Eastman Parkway, Gresham, OR 97030-3813.

Basic Financial Statements

The basic financial statements include both government-wide and fund financial statements. The government-wide financial statements report information on all of the nonfiduciary activities of the City and its component unit. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support.

Basic Financial Statements (continued)

The government-wide Statement of Activities demonstrates the degree to which the direct expenses of a given function are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function. Taxes and other items not properly included among program revenues are reported as *general revenues*.

Fund financial statements are provided for governmental funds, proprietary funds, and fiduciary funds, though fiduciary funds are excluded from the government-wide financial statements. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

Measurement Focus, Basis of Accounting and Financial Statement Presentation

The government-wide and proprietary fund financial statements are reported using the *economic resources measurement focus* and the *accrual basis of accounting*. The fiduciary funds are reported in the same manner, except the agency fund has no measurement focus under accrual accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they become both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the City considers revenues to be available if they are collected within sixty days from the end of the current fiscal year. In the governmental fund financial statements, expenditures are generally recorded when a liability is incurred. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Major revenue sources recognized under the City's availability policy include property taxes, license payments, business income taxes, as well as significant State shared revenues. Grant revenues are an exception to the policy and are recognized as soon as all eligibility requirements have been met. Interest income is considered subject to accrual and is recognized as revenue when earned. Licenses, permits, and other revenue items are considered measurable and available when cash is received by the City. The City reports the following funds as major governmental funds:

The *General Fund* is the City's primary operating fund. The principal sources of revenue are property taxes, state shared revenue, business income tax, license fees, and charges for services. General Fund expenditures are for police, fire, emergency medical services, community and economic development, and parks maintenance.

The *Transportation Fund* accounts primarily for State of Oregon shared gas tax revenues used to construct, maintain, and repair streets.

Measurement Focus, Basis of Accounting and Financial Statement Presentation (continued)

The *System Development Charge Fund* accounts for collections of transportation, parks, water, stormwater, and wastewater system connection impact charges that are transferred to other funds for use on system development.

The *Grants Fund* accounts for federal, state, local, and other grant revenues designated for a specific purpose. Generally, revenues are received and then transferred on a reimbursement basis to the operating or capital funds that made the related expenditures.

The *Rockwood UR Debt Service Fund* accounts for debt service on funding for the Rockwood-West Gresham Urban Renewal Area.

The City reports the following funds as major proprietary funds:

The *Water Fund* accounts for the activities of the City's water system.

The *Stormwater Fund* accounts for the activities of the City's stormwater system.

The *Wastewater Fund* accounts for the activities of the City's wastewater system.

Additionally, the City has the following fund types:

The *special revenue funds* account for proceeds of specific revenue sources that are legally restricted to expenditure for specified purposes.

The *capital projects funds* account for financial resources used for the acquisition and construction of major capital facilities other than those financed by proprietary funds.

The *debt service funds* account for the accumulation of resources for, and the payment of, general long-term debt principal and interest.

The *internal service funds* account for property management, vehicle maintenance, legal and liability management, equipment replacement, and information and administrative services provided to other departments of the City on a cost reimbursement basis.

The *private-purpose trust fund* accounts for resources held by the City in a trustee capacity for an organization devoted to downtown economic development.

The *agency fund* accounts for assets held in a custodial capacity. The City maintains an agency fund to account for liabilities, like payroll benefits and withholdings that are due to private organizations and other governments.

As a general rule, the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are charges for goods and services between the government's enterprise functions and various other city functions. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Proprietary funds distinguish *operating* revenues and expenses from *non-operating* items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the City's enterprise and internal service funds are charges to customers for sales and services. Operating expenses for enterprise and internal service funds include the cost of sales and

Measurement Focus, Basis of Accounting and Financial Statement Presentation (continued)

services, administrative expenses, and depreciation and amortization of capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

When both restricted and unrestricted resources are available for use, it is the City's policy to use restricted resources first and then unrestricted resources as they are needed.

New Accounting Pronouncement – GASB Statement No. 61 and 62

The Governmental Accounting Standards Board (GASB) has issued Statement No. 61, The Financial Reporting Entity: Omnibus and Statement No. 62, Codification of Accounting and Financial Reporting Guidance in Pre-November 30, 1989 FASB and AICPA Pronouncements. The City implemented GASB Statement No. 61 and 62 in the year ending June 30, 2012.

Assets, Liabilities, and Net Assets or Equity

Cash and Cash Equivalents, and Investments

The City's cash and cash equivalents consists of cash on hand, demand deposits, and shares of the Local Government Investment Pool. Investments for the City, as well as for its component unit, are reported at fair value based on quoted market prices as of year-end. Interest earned on cash and investments is allocated monthly based on each fund's average cash balance as a proportion of the City's total cash and investments.

Receivables

Transactions between funds that are representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as "due to/from other fund" where repayment is expected over a short-term period and "advances from/to other funds" when the anticipated repayment time frame is long-term. Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances."

Property taxes are assessed on all taxable property as of July 1, the beginning of the fiscal year, and become a lien against the property on that date. Property taxes are levied in October. Collection dates are November 15, February 15, and May 15. A three percent discount is allowed if full payment is made by November 15th and a two percent discount is allowed if two-thirds payment is made by November 15th. Taxes unpaid and outstanding on May 16 are considered delinquent, but are deemed to be substantially collectible or recoverable through liens.

Inventories

The cost of inventories is recorded as expenditure/expense when purchased.

Restricted Net Assets

Assets with restricted use are reported separately on the Statement of Net Assets. Restrictions are made by debt agreements, contracts, requirements imposed by federal and state agencies, and by contributors.

Capital Assets

Capital assets, which include property, plant, equipment, infrastructure, easements, and software assets, are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. Capital assets are defined as assets with an initial, individual cost of more than $5,000 and an estimated useful life greater than one year. Such assets are recorded at historical cost or estimated historical cost. Donated capital assets are recorded at estimated fair market value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are expensed when incurred and not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed.

The City's capital assets are depreciated or amortized using the straight-line method over the following estimated useful lives:

Assets	Years
Building and building improvements	10-50
Land improvements	10-30
Water, stormwater and wastewater systems	40
Transportation systems	10-50
Machinery and equipment	5-20
Software	5-15

Compensated Absences

It is the City's policy to permit employees to accumulate earned but unused vacation, holiday, and sick pay benefits. There is no liability for unpaid accumulated sick leave since the City does not pay these amounts when employees separate from service with the City. Vacation pay is accrued when incurred in the government-wide and proprietary fund financial statements. The City recognizes accrued compensation balance changes as a budgetary expense. A liability for these amounts is reported in the governmental funds only if they have matured, for example, as a result of employee resignations and retirements.

Long-term Debt

In the government-wide financial statements and proprietary fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net assets. Premiums, discounts, issuance costs and deferred refunding amounts are accumulated and amortized as interest expense over the life of the debt using the straight-line method.

Long-term Debt (continued)

In the fund financial statements, governmental fund types expense bond discounts and issuance costs while recognizing bond premiums during the current period. The par value of the debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuance are reported as other financing uses. Issuance costs, whether or not withheld from the actual proceeds received, are reported as debt service expenditures.

The Tax Reform Act of 1986 requires that governmental entities issuing tax-exempt debt after August 1986 calculate and rebate arbitrage earnings to the federal government. Specifically, the excess of the aggregated amount earned on investments purchased with bond proceeds over the amount that would have been earned if the proceeds were invested at a rate equal to the bond yield, is rebated to the federal government. At June 30, 2012, eight of the City's long-term debt issues were subject to federal arbitrage regulations, but no rebate liability was incurred this fiscal year. The issues which are not subject to rebate are either issued as taxable obligations or are monies borrowed from non-bond sources.

Fund Balance

Fund balances, presented in the governmental fund financial statements, represent a resource for future periods that is the difference between assets and liabilities reported in a governmental fund. Fund balance of governmental funds is reported in various categories based on the nature of any limitations requiring the use of resources for specific purposes. The City evaluated each of its funds at June 30, 2012 and classified fund balances into the following five categories:

Nonspendable - amounts that cannot be spent because they are not in spendable form, such as inventory, or required to be maintained intact.

Restricted – amounts constrained to specific purposes by their providers or by enabling legislation.

Committed - amounts that have been committed by formal action by the entity's "highest level of decision-making authority" which the City considers to be a Council Resolution. Committed amounts may not be used for any other purpose unless City Council removes the constraint by similar resolution.

Assigned – amounts that have been allocated by the City action where the government's intent is to use the funds for a specific purpose. Assigned fund balance is established by City Council through adoption or amendment of the budget as intended for specific purpose.

Unassigned – amounts that have no restrictions on them or any deficit fund balances.

Additional information is provided for governmental funds, with respect to the specific purpose of each fund on pages 63 and 77.

Indirect Expenses Allocation

In the fund financial statements, the City accounts for general government expenses in internal services funds. Costs are mainly recovered through internal service charges to direct operating funds. In the Statement of Activities, these costs are reported as expenses of the general government function and allocated to direct functions in a separate column titled Indirect Expenses Allocation. The remaining net expense in the general government function represents direct activity of that function including its share of allocated indirect costs.

STEWARDSHIP, COMPLIANCE, AND ACCOUNTABILITY

Budgetary Information

The City prepares its budget in accordance with the legal requirements set forth in Oregon Local Budget Law. The City Council adopts the budget, makes appropriations, and declares the tax levy no later than June 30th before the year budgeted.

In accordance with State law, annual budgets are adopted for all funds except the agency fund type. Budgets are prepared similar to the modified accrual basis of accounting for all fund types.

The resolution authorizing appropriations for each fund sets the level by which expenditures cannot legally exceed appropriations. Total expenditures by department, as well as non-operating functions such as debt service and interfund transfers, are the legal level of control. All changes and amendments to total department expenditures for each fund require the approval of the City Council.

Unexpected additional resources may be added to the budget through the use of a supplemental budget, an appropriation or contingency transfer, or an appropriation of additional resources. These additions require the approval of the City Council. During the fiscal year, the City adopted two supplemental budgets and made a number of appropriation transfers and additional resource appropriations.

Deficit Fund Equity

The Rockwood UR Debt Service Fund had a negative fund balance of $11,859,277 at June 30, 2012. The negative fund balance represents an advance from the City Backed Urban Renewal Fund used to refinance prior obligations, in addition to funding planned new projects. The advance will be repaid over time by tax increment collections. The City Backed Urban Renewal Fund carries the receivable balance of the advance and has an offsetting positive fund balance.

DETAILED NOTES ON ALL ACTIVITIES AND FUNDS

Cash, Cash Equivalents, and Investments

Cash with financial institutions primarily consist of bank demand deposits. The total book balance at year-end was $6,878,890. The total statement bank balance was $8,331,834. Of these deposits, $250,000 was fully covered by the federal depository insurance's general deposit rules and $8,081,834 was in a qualified depository bank and collateralized in compliance with ORS 295. The difference between the book balance and the bank balance represents outstanding items at year-end.

The City's investment policy is reviewed annually by the City's Finance and Management Services Department, the City's Finance Committee, and the Oregon Short-Term Fund Board. The Oregon Short-Term Fund Board consists of the State Treasurer and six members appointed by the Governor and State Treasurer. The investment policy is then presented to the City Council for final adoption. At year-end, the City was in compliance with all investment policy requirements.

Cash, Cash Equivalents, and Investments (continued)

State of Oregon statutes and the City's investment policies authorize the City to invest in U.S. Treasury obligations, U.S. Agency obligations, certain federal instrumentality securities, commercial paper, corporate bonds, bankers acceptances, Oregon Short-Term Fund, repurchase agreements, obligations of certain states, time deposits, certificates of deposit, and savings accounts.

The City invests in the Local Government Investment Pool (LGIP). The LGIP is not registered with the U.S. Securities and Exchange Commission as an investment company. The Oregon Revised Statutes and the Oregon Investment Council govern the LGIP's investment policies. The State Treasurer is the investment officer for the LGIP and is responsible for all funds in the LGIP. These funds must be invested and the investments managed, as a prudent investor would, exercising reasonable care, skill, and caution. Investments in the LGIP are further governed by portfolio guidelines issued by the Oregon Short-Term Fund Board, which establish diversification percentages and specify the types and maturities of investments. The Oregon Audits Division audits the LGIP annually. The Division's most recent audit report on the LGIP was unqualified. The fair value of pool shares is equal to the City's proportionate position in the pool.

Interest Rate Risk

In accordance with its investment policy, the City manages its exposure to declines in fair value resulting from changes in interest rates by limiting the weighted average maturity (WAM) of its investment portfolio to less than twenty-four months. To the extent possible, investments shall be matched with anticipated cash flow requirements and known future liabilities. At year-end, the WAM of the City's portfolio was 705 days.

At year-end, the City had the following investments and maturities at fair value:

		Investment Maturity				
	Risk Concentration	Under 30 days	30 Days to 1 Year	1 Year to 3 Years	3 Years to 5 Years	Fair Value June 30, 2012
Cash Equivalent						
Cash/LGIP	30.02%	$ 44,974,970	$ -	$ -	$ -	$ 44,974,970
Investments						
Corporate Bonds	8.06%	-	4,052,098	8,026,707	-	12,078,805
US Agency	61.92%	-	56,227,620	17,276,115	19,253,754	92,757,489
	100.00%	$ 44,974,970	$ 60,279,718	$ 25,302,822	$ 19,253,754	$ 149,811,264
		30.02%	40.24%	16.89%	12.85%	

Shown on the Statement of Net Assets as: Cash and cash equivalents	$ 33,576,862
Investments	79,172,194
Restricted cash and cash equivalents	10,947,413
Restricted investments	24,584,720
Shown on the Statement of Fiduciary Net Assets as: Cash and cash equivalents	450,695
Investments	1,079,380
	$ 149,811,264

Concentration Risk and Credit Risk

The City's investment policy does not allow for an investment in any one issuer that is in excess of 5 percent of the City's total investments., with the exception of US Treasuries, US Agencies and Instrumentalities. Credit risk is a ratings based assessment of the likelihood of an issuer defaulting

Concentration Risk and Credit Risk (continued)

on its repayment obligations. The City mitigates its exposure to credit risk by limiting purchases to the highest ratings groups at time of purchase. At year end the City held only 8.06 percent of its portfolio in entities subject to normal credit risk considerations. Investments held at year-end are categorized by credit rating and concentration as follows:

Investment-Type	Minimum Allowable Credit Quality Criteria (at the time of purchase)	S&P	Moodys	Fair Value June 30, 2012	Percentage of Total FV
Cash/LGIP	-	-	-	$ 44,974,970	30.02%
Corporate Bonds	AA / Aa2	AAA	Aaa	5,424,850	3.62%
Corporate Bonds	AA / Aa2	AA+	A1	6,653,955	4.44%
US Agency: FFCB	AA+ / Aaa	AA+	Aaa	4,002,356	2.67%
US Agency: FHLB	AA+ / Aaa	AA+	Aaa	11,196,434	7.48%
US Agency: FHLMC	AA+ / Aaa	AA+	Aaa	36,235,536	24.19%
US Agency: FNMA	AA+ / Aaa	AA+	Aaa	41,323,163	27.58%
				$ 149,811,264	

Receivables

The composition of receivables at fiscal year-end for the City's individual major funds and aggregated nonmajor and internal service funds was as follows:

	Accounts	Taxes	Assessments	Gross Receivables	Allowance for Doubtful Accounts	Receivables, Net
Governmental Activities						
General	$ 2,519,421	$ 1,514,560	$ -	$ 4,033,981	$ (483,624)	$ 3,550,357
Transportation	1,328,531	-	-	1,328,531	(32,844)	1,295,687
System development charges	373,056	-	-	373,056	-	373,056
Grants	4,664,047	-	-	4,664,047	-	4,664,047
Rockwood UR debt service	-	166,767	-	166,767	-	166,767
Nonmajor governmental	1,133,894	4,058	6,360	1,144,312	(135,933)	1,008,379
Internal service	53,066	-	25,718	78,784	(44,018)	34,766
	$ 10,072,015	$ 1,685,385	$ 32,078	$ 11,789,478	$ (696,419)	11,093,059
Business-Type Activities						
Water	$ 1,648,989	$ -	$ -	$ 1,648,989	$ (59,372)	1,589,617
Stormwater	1,529,437	-	-	1,529,437	(195,706)	1,333,731
Wastewater	4,972,984	-	-	4,972,984	(221,448)	4,751,536
	$ 8,151,410	$ -	$ -	$ 8,151,410	$ (476,526)	7,674,884
			Total receivables			$ 18,767,943
			Shown on the Statement of Net Assets as:			
			Receivables, net			$ 17,076,198
			Property taxes receivable, net			1,685,385
			Assessments receivable, net			6,360
						$ 18,767,943

Receivables (continued)

Assessments receivable represent the uncollected amounts levied against benefited property for the cost of local improvements.

Wastewater charges collected by the Multnomah County Tax Assessor's office are not considered taxes receivable.

Prepaid

The City recognized a net pension asset in the Statement of Net Assets in connection with the debt the City issued in 2004 to fund the City's Public Employees Retirement System unfunded accrued actuarial liability. The pension asset is amortized on a straight-line basis over 24 years, the life of the debt, resulting in $791,162 of amortization expense annually. The remaining unamortized net pension asset was $12.7 million at fiscal year-end.

Capital Assets

In the governmental activities section of the Statement of Activities, capital asset reclassification or transfers between governmental funds and internal service funds have been eliminated. In the like manner, capital asset transfers between enterprise funds have been eliminated in the business-type activities section.

Capital asset activity during the fiscal year was as follows:

	Beginning Balance	Increases	Decreases	Reclassifications	Ending Balance
Governmental Activities					
Non-depreciated & non-amortized:					
Land	$ 27,085,563	$ 884,230	$ -	$ -	$ 27,969,793
Construction in progress	3,471,855	6,449,819	-	(7,152,238)	2,769,436
Easements	440,525,864	613,130	-	-	441,138,994
Licenses	22,000	-	-	-	22,000
Total non-depr. & non-amort.	471,105,282	7,947,179	-	(7,152,238)	471,900,223
Depreciated & amortized:					
Buildings	20,879,268	138,573	-	967,163	21,985,004
Improvements	14,078,303	-	-	104,437	14,182,740
Machinery and equipment	16,209,424	844,121	(435,222)	110,785	16,729,108
Infrastructure	724,418,810	756,956	-	5,969,853	731,145,619
Software	1,489,385	18,291	-	-	1,507,676
Total depr. & amort. at historical cost	777,075,190	1,757,941	(435,222)	7,152,238	785,550,147
Less accumulated depr. & amort. for:					
Buildings	(8,969,585)	(537,145)	-	-	(9,506,730)
Improvements	(1,474,214)	(568,524)	-	-	(2,042,738)
Machinery and equipment	(9,934,049)	(1,189,873)	421,789	-	(10,702,133)
Infrastructure	(336,717,841)	(43,289,428)	-	-	(380,007,269)
Software	(1,113,085)	(64,558)	-	-	(1,177,643)
Total accumulated depr. & amort.	(358,208,774)	(45,649,528)	421,789	-	(403,436,513)
Depreciated & amortized, net	418,866,416	(43,891,587)	(13,433)	7,152,238	382,113,634
Governmental Activities capital assets, net	$ 889,971,698	$ (35,944,408)	$ (13,433)	$ -	$ 854,013,857

Depreciation and amortization expense was charged to governmental activities as follows:

Public safety	$ 792,721
Transportation	43,230,646
Community development	88,522
Environmental services	665,168
Internal service funds	726,505
Urban renewal	145,966
Total depreciation and amortization expense	$ 45,649,528

Capital Assets (continued)

	Beginning Balance	Increases	Decreases	Reclassifications	Ending Balance
Business-Type Activities					
Non-depreciated & non-amortized:					
Land	$ 9,052,588	$ 135,234	$ -	$ -	$ 9,187,822
Construction in progress	5,661,048	9,330,717	-	(3,233,263)	11,758,502
Easements	364,891	196,111	-	-	561,002
Total non-depr. & non-amort.	15,078,527	9,662,062	-	(3,233,263)	21,507,326
Depreciated & amortized:					
Buildings	4,278,108	-	(57,908)	284,076	4,504,276
Improvements	16,568	-	-	-	16,568
Machinery and equipment	7,292,506	685,144	(111,815)	101,105	7,966,940
Infrastructure	315,510,925	1,456,466	(107,857)	2,848,082	319,707,616
Software	40,531	-	-	-	40,531
Total depr. & amort. at historical cost	327,138,638	2,141,610	(277,580)	3,233,263	332,235,931
Less accumulated depr. & amort. for:					
Buildings	(1,861,617)	(105,327)	57,908	-	(1,909,036)
Improvements	(16,568)	-	-	-	(16,568)
Machinery and equipment	(3,260,853)	(469,701)	109,464	-	(3,621,090)
Infrastructure	(104,776,911)	(7,784,551)	55,222	-	(112,506,240)
Software	(23,135)	(5,244)	-	-	(28,379)
Total accumulated depr. & amort.	(109,939,084)	(8,364,823)	222,594	-	(118,081,313)
Depreciated & amortized, net	217,199,554	(6,223,213)	(54,986)	3,233,263	214,154,618
Business-Type Activities capital assets, net	$ 232,278,081	$ 3,438,849	$ (54,986)	$ -	$ 235,661,944

Depreciation and amortization expense was charged to business-type activities as follows:

Water	$ 2,530,393
Stormwater	1,801,532
Wastewater	4,032,898
Total depreciation and amortization expense	$ 8,364,823

Capitalized Interest

In the proprietary funds, interest costs are capitalized as a component of constructed capital assets from the commencement of work until the constructed assets are ready for their intended use. During the fiscal year, total interest costs for business-type activities were $1,420,682, of which $298,937 was capitalized, resulting in an adjusted interest expense of $1,121,745.

Interfund Receivables, Payables and Transfers

Interfund receivables and payables consists primarily of grant billings at fiscal year-end that are recorded as receivables and due to other funds in the Grants Fund, resources accumulated in the Equipment Replacement Fund for the purchase of capital assets for other funds, and for miscellaneous transfers between funds.

Interfund Receivables, Payables and Transfers (continued)

Interfund due to/from other funds balances and advances at fiscal year-end were as follows:

Due to/Advance from	Due from/Advance to	Amount	
General	Grants	$ 58,990	
	Nonmajor Governmental	461,968	
	Internal Service	2,682,848	$ 3,203,806
Transportation	Internal Service	1,259,676	1,259,676
Nonmajor Governmental	Nonmajor Governmental	9,815	
	Internal Service	557,738	
	Grants	859,582	
	Rockwood UR Debt Service	18,359,167	19,786,302
Water	Wastewater	1,102,500	
	Internal Service	1,241,346	2,343,846
Stormwater	Grants	34,869	
	Internal Service	978,656	1,013,525
Wastewater	Grants	40,000	
	Water	400,000	
	Internal Service	1,566,312	2,006,312
Internal Service	Grants	292,242	
	Various Internal Service Components	751,745	1,043,987
			$ 30,657,454

Interfund transfers during the fiscal year were as follows:

Transfer To	Transfer From	Amount		Purpose
General	Water, Stormwater, and Wastewater	$ 75,000		Confined space rescue
	Grants	115,855		Project support
	Nonmajor Governmental	338,439	$ 529,294	Project support, closing out fund
Transportation	System Development Charge	5,688		Line of credit fees and interest payments
	Stormwater	45,300		Street sweeping
	Nonmajor Governmental	14,100	65,088	Project administration
Rockwood UR Debt Service	Nonmajor Governmental	59,418	59,418	Debt service
Nonmajor Governmental	System Development Charge	595,634		Project support, interest distributions
	Water, Stormwater, and Wastewater	983,480		Project support, permits
	General	2,419,623		Project support, interest reimb, permits
	Nonmajor Governmental	2,665,302		Project support, permits
	Grants	2,926,418		Project support
	Transportation	3,290,517	12,880,974	Project support
Water	Grants	37,556		Project support
	System Development Charge	358,840	396,396	Debt payments, interest distributions
Stormwater	Grants	34,869		Project support
	Transportation	397,000		Project support
	System Development Charge	431,908	863,777	Project support, debt payments, interest dist
Wastewater	Grants	40,000		Project support
	System Development Charge	2,543,647	2,583,647	Project support, debt payments
Internal Service	Transportation	173,813		Project support
	Internal Service	324,000		Project support, beginning balance transfer
	Water, Stormwater, and Wastewater	519,639		Project support
	General	528,490		Police storage rent, fire facilities, project support
	Grants	530,986	2,076,928	Project support
			$ 19,455,522	

Long-term Liabilities

Long-term liability activity during the fiscal year was as follows:

Governmental Activities	Beginning Balance	Additions	Reductions	Ending Balance	Amounts Due Within One Year	Amounts Due in More Than One Year
Bonds and notes payable	$ 49,980,898	$ 2,605,000	$ 4,034,368	$ 48,551,530	$ 5,265,283	$ 43,286,247
Capital leases	107,352	-	107,352	-	-	-
	50,088,250	2,605,000	4,141,720	48,551,530	5,265,283	43,286,247
Prem., Disc. and Def. Refunding Amt.	(162,626)	-	(39,093)	(123,533)	(39,093)	(84,440)
Total bonds and notes payable	49,925,624	2,605,000	4,102,627	48,427,997	5,226,190	43,201,807
Other liabilities:						
Accrued claims payable	2,763,620	605,543	174,671	3,194,492	3,194,492	-
Compensated absences	4,678,098	410,064	95,528	4,992,634	742,700	4,249,934
Deposits	1,363,881	457,294	173,323	1,647,852	178,252	1,469,600
Governmental Activities Long-Term Liabilities	$ 58,731,223	$ 4,077,901	$ 4,546,149	$ 58,262,975	$ 9,341,634	$ 48,921,341
Business-Type Activities						
Notes payable	$ 26,978,436	$ 425,000	$ 1,888,925	$ 25,514,511	$ 2,360,793	$ 23,153,718
Revenue bonds	9,980,000	-	1,685,000	8,295,000	1,135,000	7,160,000
	36,958,436	425,000	3,573,925	33,809,511	3,495,793	30,313,718
Prem., Disc. and Def. Refunding Amt.	(760,508)	-	(106,006)	(654,502)	(103,979)	(550,523)
Total bonds and notes payable	36,197,928	425,000	3,467,919	33,155,009	3,391,814	29,763,195
Other liabilities:						
Compensated absences	449,600	4,164	4,100	449,664	66,600	383,064
Deposits	217,988	55,354	50,033	223,309	4,492	218,817
Business-Type Activities Long-Term Liabilities	$ 36,865,516	$ 484,518	$ 3,522,052	$ 33,827,982	$ 3,462,906	$ 30,365,076

Governmental activities include other liabilities of governmental funds and most internal service funds. The majority of the compensated absences liability has typically been liquidated by the General, Transportation, Building, and Administrative Services Funds with the remainder by various governmental and internal service funds. The Infrastructure Development and Transportation Funds have typically liquidated deposit liabilities. Accrued claims payable have been liquidated by the Liability Management Fund.

Bonds and Notes Payable

The City had $74.1 million in outstanding bonds and notes (excluding Revenue bonds) to fund the following:

$ 26,836,203	Property, buildings and infrastructure
18,660,000	Pension bonds
2,400,000	Urban renewal projects
655,327	Miscellaneous other
48,551,530	Governmental activities bonds and notes payable
22,827,014	Wastewater system improvements
2,687,497	Water system improvements
25,514,511	Business-Type activities notes payable
$ 74,066,041	Total outstanding bonds and notes payable

Bonds and Notes Payable (continued)

Projects constructed and repayment sources for each bond and note issue are as follows:

Bonds and Notes	Project	Repayment Source
Governmental Activities		
City Hall, Series 2002	City Hall	City operations, proportionately
2004 Limited Tax Obligation	Pension obligation	City operations, proportionately
Special Public Works	Springwater planning	General Fund and SDCs
CDBG SOS Loan	Owner connections to wastewater system	Assessments
Gresham-URA Line of Credit	Transportation and Bikes & Footpaths	Revenues and SDCs
Gresham-URA Line of Credit	Urban renewal	GRDC/Tax Increment
2010 Financing Agreement Gresham-URA	Fire Ladder Truck, Sports Park, Center for Arts	General Fund and SDCs
2010 Financing Agreement Gresham-URA	Urban renewal	GRDC/Tax Increment
Business-Type Activities		
South Gresham Interceptor	Wastewater improvements	Wastewater Revenues and SDCs
Second Clarifier	Wastewater improvements	Wastewater Revenues and SDCs
Linneman Pump Station	Wastewater improvements	Wastewater Revenues and SDCs
2009 Wastewater Financing Agmt.	Wastewater improvements	Wastewater Revenues and SDCs
Jenne Road Interceptor	Wastewater improvements	Wastewater Revenues and SDCs
Water Meter Replacement Note	Water improvements	Water Revenues
Gresham-URA Line of Credit	Water improvements	Water Revenues

Bond and note principal transactions during the fiscal year were as follows:

Governmental Activities	Coupon Rates on Outstanding	Original Issue	Amount Outstanding Beginning	Issued	Matured/ Redeemed	Amount Outstanding Ending
Bonds Payable						
Governmental Funds						
2004 Limited Tax Obligations	5.350% to 6.095%	$ 19,280,000	$ 18,910,000	$ -	$ 250,000	$ 18,660,000
Subtotal bonds payable		19,280,000	18,910,000	-	250,000	18,660,000
Internal service funds						
City Hall, Series 2002	4.500% to 5.375%	10,265,000	6,335,000	-	685,000	5,650,000
Subtotal bonds payable		10,265,000	6,335,000	-	685,000	5,650,000
Total bonds payable		29,545,000	25,245,000	-	935,000	24,310,000
Notes Payable						
Governmental Funds						
CDBG SOS Loan	0.000%	423,606	46,306	-	5,691	40,615
Darby Ridge Property	0.000%	500,000	300,000	-	300,000	-
Special Public Works, 2003	3.625% to 4.625%	795,000	638,912	-	24,200	614,712
2008 Gresham/URA Line of Credit Facility	variable	20,500,000	1,350,000	-	1,350,000	-
2011 Gresham/URA Line of Credit Facility	variable	10,000,000	-	2,605,000	-	2,605,000
2010 Gresham/URA Financing Agmt.	3.550% to 5.250%	23,470,000	22,400,680	-	1,419,477	20,981,203
Total notes payable		55,688,606	24,735,898	2,605,000	3,099,368	24,241,530
Total Governmental Activities bonds and notes payable		$ 85,233,606	$ 49,980,898	$ 2,605,000	$ 4,034,368	$ 48,551,530
Business-Type Activities						
South Gresham Interceptor	2.980%	$ 648,089	$ 554,252	$ -	$ 28,607	$ 525,645
Second Clarifier	2.980%	407,058	391,398	-	16,129	375,269
Linneman Pump Station	2.980%	3,576,911	3,297,556	-	145,998	3,151,558
2009 Wastewater Fin. Agmt.	3.500%	19,351,000	16,778,000	-	1,461,000	15,317,000
Jenne Road Interceptor	2.980%	3,595,998	3,595,998	-	138,456	3,457,542
Water Meter Replacement Notes	3.000%	2,361,232	2,361,232	-	98,735	2,262,497
2011 Gresham/UR Line of Credit Facility	variable	10,000,000	-	425,000	-	425,000
Total Business-Type notes payable		$ 39,940,288	$ 26,978,436	$ 425,000	$ 1,888,925	$ 25,514,511

Bonds and Notes Payable (continued)

Debt service requirements to maturity for bonds and notes payable are as follows:

Governmental Activities

	2004 Limited Tax Obligation (Pension Bonds)		City Hall, Series 2002		Special Public Works 2003	
Fiscal Year	Principal	Interest	Principal	Interest	Principal	Interest
2013	$ 320,000	$ 1,121,332	$ 750,000	$ 276,025	$ 24,349	$ 27,075
2014	400,000	1,104,212	820,000	242,275	24,506	26,192
2015	485,000	1,081,928	895,000	205,375	29,678	25,261
2016	580,000	1,054,423	975,000	165,100	29,865	24,074
2017	680,000	1,020,952	1,055,000	118,788	30,059	22,879
2018-2022	5,310,000	4,352,915	1,155,000	62,081	168,700	94,452
2023-2027	9,630,000	2,269,168	-	-	210,807	52,697
2028-2029	1,255,000	76,492	-	-	96,748	6,720
	$ 18,660,000	$ 12,081,422	$ 5,650,000	$ 1,069,644	$ 614,712	$ 279,350

	Gresham/URA Line of Credit Facility		Gresham/URA Financing Agmt		CDBG SOS Loans	
Fiscal Year	Principal	Interest *	Principal	Interest	Principal **	Interest
2013	$ 2,605,000	$ 40,000	$ 1,565,934	$ 985,276	$ -	$ -
2014	-	-	1,631,270	909,664	-	-
2015	-	-	1,699,453	830,850	-	-
2016	-	-	1,770,613	748,695	-	-
2017	-	-	1,844,883	663,050	-	-
2018-2022	-	-	10,226,412	1,906,156	-	-
2023	-	-	2,242,638	80,424	40,615	-
	$ 2,605,000	$ 40,000	$ 20,981,203	$ 6,124,115	$ 40,615	$ -

Business-Type Activities

	South Gresham Interceptor		Second Clarifier		Linneman Pump Station	
Fiscal Year	Principal	Interest	Principal	Interest	Principal	Interest
2013	$ 29,466	$ 15,446	$ 16,613	$ 11,061	$ 150,382	$ 92,804
2014	30,350	14,562	17,113	10,561	154,896	88,290
2015	31,261	13,651	17,626	10,048	159,546	83,640
2016	32,200	12,712	18,156	9,518	164,337	78,849
2017	33,167	11,745	18,700	8,974	169,270	73,916
2018-2022	181,381	43,179	102,271	36,099	925,698	290,232
2023-2027	187,820	14,267	118,571	19,799	1,073,255	142,675
2028-2030	-	-	66,219	2,991	354,174	10,606
	$ 525,645	$ 125,562	$ 375,269	$ 109,051	$ 3,151,558	$ 861,012

	2009 Wastewater Fin. Agmt.		Jenne Road Interceptor		Water Meter Replacement Notes	
Fiscal Year	Principal	Interest	Principal	Interest	Principal	Interest
2013	$ 1,506,000	$ 522,918	$ 142,495	$ 101,981	$ 90,837	$ 67,875
2014	1,551,000	469,822	146,773	97,703	93,562	65,150
2015	1,599,000	415,100	151,180	93,296	96,369	62,343
2016	1,647,000	358,733	155,718	88,758	99,260	59,452
2017	1,697,000	300,650	160,393	84,083	102,238	56,474
2018-2022	7,317,000	585,795	877,151	345,229	559,078	234,481
2023-2027	-	-	1,016,968	205,412	648,125	145,435
2028-2031	-	-	806,864	48,800	573,028	42,776
	$ 15,317,000	$ 2,653,018	$ 3,457,542	$ 1,065,262	$ 2,262,497	$ 733,986

	Water Portion of Line of Credit	
Fiscal Year	Principal	Interest *
2013	$ 425,000	$ 6,000
2014	$ -	$ -
2015	$ -	$ -
2016	$ -	$ -
2017	$ -	$ -
2018-2022	$ -	$ -
2023	$ -	$ -
	$ 425,000	$ 6,000

* Gresham/Urban Renewal Area Line of Credit Interest is dependent on the principal balance outstanding and current LIBOR based interest rates.

** CDBG SOS Loans have no set repayment schedule.

Revenue Bonds

The City issues revenue bonds to satisfy a variety of capital financing requirements. The bonds are backed solely by fees and charges collected for services provided, generally on the basis of usage. Revenue bonds outstanding include water and stormwater system facilities bonds. All the Water Revenue Bonds are paid from the Water Debt Service Fund. All the Stormwater Revenue Bonds are paid from the Stormwater Debt Service Fund.

The City's revenue bonds are insured and third party sureties cover the related debt reserve requirements. The City was in compliance with its bond covenants during the fiscal year and at year-end. Principal debt service transactions during the fiscal year were as follows:

Business-Type Activities	Coupon Rates on Outstanding	Original Issue	Amount Outstanding Beginning	Issued	Matured/ Redeemed	Amount Outstanding Ending
Water Revenue Bonds						
Series 1999	4.150% to 4.200%	$ 7,170,000	$ 600,000	$ -	$ 600,000	$ -
Series 2003	3.400% to 4.050%	8,870,000	5,030,000	-	730,000	4,300,000
Stormwater Revenue Bonds						
Series 2002	3.800% to 4.100%	3,520,000	1,500,000	-	355,000	1,145,000
Series 2006	4.250% to 5.000%	2,850,000	2,850,000	-	-	2,850,000
		$ 22,410,000	$ 9,980,000	$ -	$ 1,685,000	$ 8,295,000

Debt service requirements to maturity for revenue bonds are as follows:

Fiscal Year	2003 Water Principal	2003 Water Interest
2013	$ 765,000	$ 145,104
2014	795,000	118,188
2015	830,000	88,920
2016	865,000	57,346
2017	340,000	34,668
2018-2019	705,000	28,683
	$ 4,300,000	$ 472,909

Fiscal Year	2002 Stormwater Principal	2002 Stormwater Interest	2006 Stormwater Principal	2006 Stormwater Interest
2013	$ 370,000	$ 38,425	$ -	$ 133,575
2014	380,000	23,795	-	133,575
2015	395,000	8,097	-	133,575
2016	-	-	420,000	133,575
2017	-	-	440,000	113,700
2018-2021	-	-	1,990,000	226,875
	$ 1,145,000	$ 70,317	$ 2,850,000	$ 874,875

Line of Credit

The City has a revolving line of credit with taxable and tax-exempt components to fund the continuing costs related to the Rockwood-West Gresham Urban Renewal Area. The City entered into a contractual agreement with the Gresham Redevelopment Commission, whereby the City obtained the line of credit to finance the continuing costs of capital projects identified by the Commission along with two City sponsored projects.

Line of Credit (continued)

The line of credit is revolving and was entered into on July 15, 2011 (replacing the previous line of credit) with a maturity date of July 15, 2014 and a limit of $10.0 million. Urban Renewal Area borrowings under the line are repaid with tax increment revenues (see ORS 457.440) collected by the Commission. At June 30, 2012, borrowings outstanding under the line were $3.0 million.

Other Borrowings

The City has drawn funds from the State of Oregon through the Department of Environmental Quality Clean Water State Revolving Loan Program. The funds are requested and disbursed for approved projects constructed through the Stormwater Fund. When completed, the outstanding draws are consolidated as a loan with prescribed terms and payments. At June 30, 2012, the City had borrowings of $1.1 million on one Stormwater project.

The City has also drawn funds from the State of Oregon through the Oregon Infrastructure Finance Authority of the Business Development Department. These funds are also requested and disbursed on approved projects constructed through the Water Fund. The draws will also be consolidated as a loan upon project completion. At June 30, 2012, the City had a repayable balance of $21 thousand on one Water project.

Redemption

During the year, the City completed an early redemption of $0.6 million of the 1999 Water Revenue bonds. The early payment, begun in fiscal year 2011, saved the City approximately $80 thousand in interest costs over the next two years.

Operating Leases

The City leases equipment and some space in buildings primarily for storage. Office equipment leases typically have a fixed rental with a usage based variable component. Operating leases for governmental activities were $172,633 and for business-type activities $11,382. Total costs for operating leases were $184,015 for the fiscal year-ended June 30, 2012. None of the leases extend beyond 2017.

Future minimum payments for operating leases, based on fiscal year 2012's level of usage, are as follows:

Fiscal Year	Governmental Activities	Business-Type Activities	Total
2013	$ 138,308	$ 7,945	$ 146,253
2014	38,063	7,945	46,008
2015	13,218	7,945	21,163
2016	6,479	3,657	10,136
2017	625	-	625
Totals	$ 196,693	$ 27,492	$ 224,185

Prior Period Adjustment

In prior periods, the City accrued an expense in certain governmental funds for compensated absence balances earned by employees. A prior period adjustment is being made to remove the cumulative effect of prior period compensated absence expense accruals.

	Transportation Fund	Nonmajor Special Revenue Funds	Total Prior Period Adjustment
Fund balances - beginning (as reported)	$ 10,306,944	$ 8,402,784	
Prior period adjustment	279,500	391,400	$ 670,900
Fund balances - beginning (restated)	$ 10,586,444	$ 8,794,184	

Risk Management

The City is exposed to various risks of loss related to torts; theft of, or damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters for which the City carries commercial insurance.

The City is self-insured for workers' compensation claims. The City purchases excess insurance for any one claim that exceeds $450,000 for Fire and Police workers and $350,000 for all other employees. The operations of the self-insurance program are reported in the Workers' Compensation Fund, an Internal Service Fund. Revenues are generated from charges to other funds for insurance coverage, while expenses consist of reported and expected claims, administrative operating costs and the premium for excess insurance. Settled claims have not exceeded insurance coverage in any of the past three fiscal years.

The City purchases commercial insurance for general liability and automobile claims. Operating resources for the year consist mainly of charges to other funds and interest income. Settled claims have not exceeded insurance coverage in any of the last three fiscal years.

Changes in the workers' compensation and general liability claims during the current and prior fiscal year were as follows:

Workers' Compensation Claims

Fiscal Year	Beginning Balance	New Claims and changes in estimates	Claim payments	Ending Balance
2011	$ 1,889,530	$ 799,881	$ (574,171)	$ 2,115,240
2012	2,115,240	653,957	(533,467)	2,235,730

Liability Claims

Fiscal Year	Beginning Balance	New Claims and changes in estimates	Claim payments	Ending Balance
2011	$ 515,003	$ 467,642	$ (334,265)	$ 648,380
2012	648,380	483,832	(184,212)	948,000

Post Employment Benefits Other than Pensions

Plan Description

The City's defined benefit postemployment healthcare plan is administered by Benefit & Risk Management Services, Inc. (BRMS), an agent multiple-employer healthcare plan provider. The plan provides eligible retirees and their dependents under age 65 the same health care coverage at the same premium rates as offered to active employees. The retiree is responsible for the premiums. Benefit provisions are established through negotiations between the City and representatives of collective bargaining units or through resolutions passed by City Council. The City's postemployment healthcare plan administrator issues a publicly available financial report that includes financial statements and required supplementary information for BRMS. This report may be obtained by writing to the BRMS Main Office, 80 Iron Point Circle, Suite 200, Folsom, CA 95630.

Funding Policy

The City has not established a trust fund to supplement the cost for the net OPEB obligation. Contribution requirements are negotiated between the City and union representatives. Eligible members receiving postemployment benefits are responsible for any portion of the healthcare premiums.

Annual OPEB Cost and Net OPEB Obligation

The City's annual other post employment benefit (OPEB) cost (expense) is calculated based on the *annual required contribution of the employer* (ARC), an amount actuarially determined in accordance with the guidance of GASBS No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal costs each year and amortize any unfunded actuarial liabilities (or funding excess) over a period not to exceed 15 years. The following table shows the components of the City's annual OPEB cost for the fiscal year-ending June 30, 2012, the amount actually contributed to the plan, and changes in the City's net OPEB obligation:

Fiscal Year	Annual OPEB Cost	Percentage of OPEB Cost Contributed	Net OPEB Obligation
2010	$ 1,396,947	34%	$ 3,037,161
2011	$ 1,461,114	35%	$ 3,987,400
2012	$ 1,161,451	42%	$ 4,658,333

Annual OPEB Cost and Net OPEB Obligation (continued)

The City's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan, and the net OPEB obligation for 2012 is as follows:

Determination of Annual Required Contribution	
Normal cost at year end	$ 587,596
Amortization on UAAL	685,339
Annual Required Contribution (ARC)	$ 1,272,935
Determination of Net OPEB Obligation	
Annual Required Contribution	$ 1,272,935
Interest on prior year Net OPEB Obligation	159,496
Adjustment to ARC	(270,980)
Annual OPEB Cost	$ 1,161,451
Explicit Benefit Payments	-
Implicit Benefit Payments	(490,518)
Increase in Net OPEB Obligation	$ 670,933
Net OPEB Obligation - beginning of year	$ 3,987,400
Net OPEB Obligation - ending of year	$ 4,658,333

Funded Status and Funding Progress

As of August 1, 2010, the most recent actuarial valuation date, the plan was zero percent funded. The actuarial accrued liability for benefits was $9,376,832, and the actuarial value of assets was $0, resulting in an unfunded actuarial accrued liability (UAAL) of $9,376,932. The following table shows a schedule of funding progress.

Actuarial Valuation Date	AVA [1]	AAL [2] Unit Credit	UAAL [3]	Funded Ratio	Covered Payroll	UAAL [3] as a % of Covered Payroll
8/1/2006	$ -	$ 9,074,347	$ 9,074,347	0%	$ 35,001,977	26%
8/1/2008	-	10,028,577	10,028,577	0%	37,629,676	27%
8/1/2010	-	9,376,832	9,376,832	0%	40,100,382	23%

[1] Actuarial Value of Assets
[2] Actuarial Accrued Liability
[3] Unfunded Actuarial Accrued Liability

Actuarial Methods and Assumptions

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events into the future. Examples include assumptions about future employment, mortality and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revisions as actual results are compared with past expectations and new estimates are made about the future.

Actuarial Methods and Assumptions (continued)

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by employer and the plan members) and include the types of benefits provided at the time of each valuation and historical pattern of sharing of benefit costs between the employer and the plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

In the most recently conducted, actuarial valuation (as of August 1, 2010), the projected unit credit method actuarial cost was used. This method attempts to track the actual economic pattern of benefit accrual over an employee's working lifetime. Amortization of the UAAL is calculated using the level percentage method of projected payroll over a rolling period of 15 years. Amortization amounts are based on projected salary increases of 3.75% per year, with cost of living increases expected at 2.75% per year. The discount rate is selected based on historical and expected returns on the City's short-term investment portfolio. A discount rate of 4.0%, based on long-term annual investment returns for Oregon's LGIP, was used in the most recent actuarial valuation for the closed period. The report states health care costs will increase 8.5% in 2011 and 7.5% in 2012 for the major medical component, which is representative for the overall plan.

Pension Plan

Plan Description

Substantially all City employees are participants in the State of Oregon Public Employees Retirement System (OPERS); an agent multiple-employer defined benefit pension plan that acts as a common investment and administrative agent for government units in the State of Oregon. Benefits generally vest after contributions are made in five consecutive calendar years. Retirement is allowed at age 58 with full benefits, and retirement is generally available after age 55 with reduced benefits. Compulsory withdrawals must begin by age 70½. Retirement benefits are payable in lump sum or monthly amounts using several payment options. OPERS also provides death and disability benefits. These benefit provisions and state statutes establish other requirements (for more detail see Oregon Revised Statutes, Chapter 238). The Board of Directors of OPERS has the authority under state statutes to amend the Plan's benefits and contribution rates. OPERS issues publicly available financial reports that include financial statements and required supplementary information. The reports can be obtained from the Oregon Public Employees Retirement System, P.O. Box 23700, Tigard, Oregon 97281-3700.

Funding Policy

Employer contributions are required by state statute and are made at actuarially determined rates as adopted by the Oregon Public Employees Retirement Board (OPERB). Covered employees are required to contribute 6% of their salary to the Plan, but the employer is allowed to pay any or all of the employees' contribution in addition to the required employers' contribution. The City has elected to contribute the 6% "pick-up" or $2,310,388 of the employees' contribution.

Annual Pension Cost

All OPERS participating employers are required by law to submit the contributions as adopted by the Retirement Board. At year-end the City's annual pension cost exclusive of the 6% "pick-up" was approximately $2,909,492.

The Oregon Legislative Assembly created a second level or "Tier" of OPERS benefits that modified service and disability retirement allowances payable to persons who established PERS membership on or after January 1, 1996 ("Tier Two" members). Future interest credits are assumed at 8.5% for Tier One and 8.0% for Tier Two members.

Effective August 29, 2003, the Oregon Legislative Assembly passed HB 2020 which creates a successor retirement plan to PERS, effective for all new hires after passage of the bill. The new plan, named the Oregon Public Service Retirement Plan (OPSRP), is administered by the PERS Board and incorporates both a defined benefit and a defined contribution portion within the same plan.

The City's pension liability and the annual required contribution rate were determined using the "projected unit credit" actuarial cost method. The unfunded actuarial liability is amortized on a level percentage of covered payroll over a 20 year period on an open basis. The actuarial assumptions included (a) 8% investment rate of return compounded annually (b) projected salary increases of 3.75% with additional increases for promotion and longevity that vary by age and service (c) cost of living increases of 2.75% per year and (d) certain demographic assumptions. The actuarial value of assets is based on market value.

The following tables present three-year trend information for the City's employee pension plan:

Three-Year Trend Information

Fiscal Year	Annual Pension Cost (APC)	Contribution	Percentage of APC Contributed
2010	1,410,016	1,410,016	100%
2011	1,428,592	1,428,592	100%
2012	2,909,492	2,909,492	100%

Date Dec. 31	AVA [1]	AAL [2]	UAAL [3]	Percent Funded	Covered Payroll	Percentage of Covered Payroll
2009	189,958,934	203,674,858	13,715,924	93%	37,704,039	36%
2010	201,010,560	214,467,396	13,456,836	94%	39,906,096	34%
2011	198,059,438	225,555,045	27,495,607	88%	38,944,096	71%

[1] Actuarial Value of Assets
[2] Actuarial Accrued Liability
[3] Unfunded Actuarial Accrued Liability

Fund Balance Components

The City reduces restricted amounts first when expenditures are incurred for purposes for which both restricted and unrestricted (committed, assigned, or unassigned) amounts are available. The City reduces committed amounts first, followed by assigned amounts, and then unassigned amounts when expenditures are incurred for purposes for which amounts in any of those unrestricted fund balance classifications could be used.

Fund balances at fiscal year-end were categorized as follows:

Fund Balances	General Fund	Transportation Fund	System Development Charge Fund	Rockwood UR Debt Service Fund	Nonmajor Governmental Funds	Total Governmental Funds
Restricted:						
Transportation Projects	$ -	$ 9,800,186	$ -	$ -	$ -	$ 9,800,186
City System Development	-	-	7,867,152	-	-	7,867,152
Debt Service	-	-	4,684,030	-	18,384,399	23,068,429
Streetlights	-	-	-	-	1,823,866	1,823,866
Rental Inspections	-	-	-	-	464,235	464,235
Building Inspection & Permits	-	-	-	-	2,270,141	2,270,141
Urban Renewal Area	-	-	-	-	2,516,033	2,516,033
Misc. Grants and Programs	-	-	-	-	508,053	508,053
	-	9,800,186	12,551,182	-	25,966,727	48,318,095
Assigned to:						
Infrastructure Development	-	-	-	-	1,768,564	1,768,564
Urban Design and Planning	-	-	-	-	784,999	784,999
Solid Waste	-	-	-	-	407,415	407,415
Misc. Grants and Programs	-	-	-	-	38,757	38,757
Capital Projects	-	-	-	-	2,940,545	2,940,545
Debt Service	-	-	-	-	28,644	28,644
	-	-	-	-	5,968,924	5,968,924
Unassigned:	10,985,939	-	-	(11,859,277)	-	(873,338)
Total Fund Balances	$ 10,985,939	$ 9,800,186	$ 12,551,182	$ (11,859,277)	$ 31,935,651	$ 53,413,681

Construction Commitments

The City has entered into contracts for construction, as follows:

Project Description	Contract Commitment	Expended as of June 30, 2012	Remaining Commitment
WWTP Process Improvements	$ 2,683,760	$ 2,564,380	$ 119,380
Street Surfacing Improvements	1,232,186	963,450	268,736
Linneman Parallel Force Main Ph I	731,654	323,265	408,389
Main City Park Improvements	582,900	82,897	500,003
Public Safety Facility	524,979	125,469	399,510
UIC Implementation	442,477	215,452	227,025
Burnside-Civic Storm Drain	295,086	139,649	155,437
Gabbert Reservoir Replacement	135,457	18,672	116,785
	$ 6,628,499	$ 4,433,234	$ 2,195,265

Contingent Liabilities

The City is a defendant in various lawsuits. Most of these lawsuits are covered by the City's insurance policies. Although the outcome of these lawsuits is not presently determinable, it is the opinion of management that resolution of these matters will not have a material adverse effect on the financial condition of the City.

Claims not covered by the City's insurer are recognized when it appears probable that the loss has been incurred and the amount in question can be reasonably estimated.

Subsequent Events

Redemption

The City completed an early redemption of the 2002 Advance Refunding City Hall Full Faith and Credit obligation on July 2, 2012. The Series has now been completely redeemed. The total interest savings from this redemption was approximately $1.1 million.

Required Supplementary Information

Major Funds – General and Special Revenue

General Fund – Accounts for police, fire, emergency medical services, community and economic development, and parks maintenance expenditures and is the City's main operating fund. The principal sources of revenue are property taxes, state shared revenue, business income tax, license fees, and charges for services.

Transportation Fund—Accounts primarily for gasoline tax apportionments from the State of Oregon used for transportation operations.

System Development Charges Fund—Accounts for collections of water, stormwater, wastewater, transportation impact, and parks system development and/or improvement fees. Requirements consist of transfers to the enterprise, special revenue, and capital improvement funds within which the revenues will be expended.

Grants Fund—Accounts for the expenditure of federal, state and locally funded revenues. Requirements consist of transfers on a reimbursement basis to various funds that made the related expenditures.

Budgetary Basis—The basis of budgeting for all major funds is the modified accrual basis of accounting. The resolution authorizing appropriations for each fund sets the legal level of control by which expenditures cannot legally exceed appropriations. Total expenditures by department, as well as non-operating functions such as debt service and interfund transfers, are the legal level of control. The budgetary comparison schedules report Final Budget and Actual balances at the legal level of control to demonstrate compliance with Oregon budget law.

City of Gresham, Oregon

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
General Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Taxes	$ 28,046,100	$ 28,046,100	$ 28,110,089	$ 63,989
Licenses and permits	331,000	331,000	341,039	10,039
Intergovernmental	7,877,700	7,877,700	8,368,062	490,362
Charges for services	207,800	207,800	263,689	55,889
License fees	8,868,000	8,868,000	7,759,590	(1,108,410)
Miscellaneous	122,300	122,300	225,492	103,192
Internal service charges	665,142	665,142	672,797	7,655
Total revenues	46,118,042	46,118,042	45,740,758	(377,284)
EXPENDITURES				
Police	24,027,093	24,069,093	22,963,006	1,106,087
Fire and emergency services	16,555,432	16,555,432	16,344,115	211,317
Community development	964,415	964,415	920,770	43,645
Economic development services	849,642	849,642	735,526	114,116
Environmental services	2,335,471	2,335,471	2,095,546	239,925
Operating contingency	673,000	673,000	-	673,000
Total expenditures	45,405,053	45,447,053	43,058,963	2,388,090
Excess of revenues over expenditures	712,989	670,989	2,681,795	2,010,806
OTHER FINANCING SOURCES (USES)				
Transfers in	535,100	547,100	529,294	(17,806)
Transfers out	(2,969,833)	(2,969,833)	(2,948,113)	21,720
Total other financing sources (uses)	(2,434,733)	(2,422,733)	(2,418,819)	3,914
Net change in fund balances	(1,721,744)	(1,751,744)	262,976	2,014,720
Fund balances - beginning	6,203,000	6,233,000	7,730,713	1,497,713
Fund balances - ending	$ 4,481,256	$ 4,481,256	7,993,689	$ 3,512,433
Unrealized gain (loss) on investments			17,825	
Accrued compensation			291,577	
Due from other funds			2,682,848	
Fund balances - generally accepted accounting principles basis, ending			$ 10,985,939	

City of Gresham, Oregon

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Transportation Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Intergovernmental	$ 8,440,000	$ 8,440,000	$ 8,861,264	$ 421,264
Charges for services	13,200	13,200	59,360	46,160
Miscellaneous	105,000	105,000	123,208	18,208
Internal service charges	1,117,000	1,117,000	1,123,746	6,746
Total revenues	9,675,200	9,675,200	10,167,578	492,378
EXPENDITURES				
Environmental services	8,056,253	8,056,253	7,293,831	762,422
Operating contingency	1,221,500	1,221,500	-	1,221,500
Total expenditures	9,277,753	9,277,753	7,293,831	1,983,922
Excess of revenues over expenditures	397,447	397,447	2,873,747	2,476,300
OTHER FINANCING SOURCES (USES)				
Transfers in	1,646,460	1,646,460	65,088	(1,581,372)
Transfers out	(8,354,450)	(8,354,450)	(3,861,330)	4,493,120
Total other financing sources (uses)	(6,707,990)	(6,707,990)	(3,796,242)	2,911,748
Net change in fund balances	(6,310,543)	(6,310,543)	(922,495)	5,388,048
Fund balances - beginning	6,967,200	6,967,200	9,153,337	2,186,137
Fund balances - ending	$ 656,657	$ 656,657	8,230,842	$ 7,574,185
Unrealized gain (loss) on investments			24,804	
Accrued compensation			284,864	
Due from other funds			1,259,676	
Fund balances - generally accepted accounting principles basis, ending			$ 9,800,186	

City of Gresham, Oregon

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
System Development Charge Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Charges for services	$ 1,639,000	$ 1,639,000	$ 1,381,949	$ (257,051)
Miscellaneous	176,000	176,000	158,051	(17,949)
Total revenues	1,815,000	1,815,000	1,540,000	(275,000)
EXPENDITURES				
Total expenditures	-	-	-	-
Excess of revenues over expenditures	1,815,000	1,815,000	1,540,000	(275,000)
OTHER FINANCING (USES)				
Transfers out	(7,025,794)	(7,025,794)	(3,935,717)	3,090,077
Total other financing (uses)	(7,025,794)	(7,025,794)	(3,935,717)	3,090,077
Net change in fund balances	(5,210,794)	(5,210,794)	(2,395,717)	2,815,077
Fund balances - beginning	10,984,000	10,984,000	14,911,333	3,927,333
Fund balances - ending	$ 5,773,206	$ 5,773,206	12,515,616	$ 6,742,410
Unrealized gain (loss) on investments			35,566	
Fund balances - generally accepted accounting principles basis, ending			$ 12,551,182	

City of Gresham, Oregon

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Grants Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Intergovernmental	$ 7,923,228	$ 8,798,928	$ 3,675,723	$ (5,123,205)
Miscellaneous	-	-	9,961	9,961
Total revenues	7,923,228	8,798,928	3,685,684	(5,113,244)
EXPENDITURES				
Total expenditures	-	-	-	-
Excess of revenues over expenditures	7,923,228	8,798,928	3,685,684	(5,113,244)
OTHER FINANCING (USES)				
Transfers out	(7,923,228)	(8,798,928)	(3,685,684)	5,113,244
Total other financing (uses)	(7,923,228)	(8,798,928)	(3,685,684)	5,113,244
Net change in fund balances	-	-	-	-
Fund balances - beginning	-	-	-	-
Fund balances - ending	$ -	$ -	$ -	$ -

Combining and Individual Fund Statements and Schedules - Nonmajor Governmental Funds and Major Debt Service Funds

Major Funds – Debt Service

Rockwood UR Debt Service Fund –Accounts for debt service on funding for the Rockwood-West Gresham Urban Renewal Area.

Budgetary Basis—The basis of budgeting for all major funds is the modified accrual basis of accounting. The resolution authorizing appropriations for each fund sets the legal level of control by which expenditures cannot legally exceed appropriations. Total expenditures by department, as well as non-operating functions such as debt service and interfund transfers, are the legal level of control. The budgetary comparison schedules report Final Budget and Actual balances at the legal level of control to demonstrate compliance with Oregon budget law

City of Gresham, Oregon

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Rockwood UR Debt Service Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Taxes	$ 2,963,000	$ 2,963,000	$ 2,710,548	$ (252,452)
Intergovernmental	-	-	118,851	118,851
Miscellaneous	67,600	67,600	65,643	(1,957)
Total revenues	3,030,600	3,030,600	2,895,042	(135,558)
EXPENDITURES				
Debt service	6,348,900	6,348,900	3,326,882	3,022,018
Total expenditures	6,348,900	6,348,900	3,326,882	3,022,018
Net change in fund balances	(3,318,300)	(3,318,300)	(431,840)	2,886,460
Fund balances - beginning	6,761,600	6,761,600	6,912,834	151,234
Fund balances - ending	$ 3,443,300	$ 3,443,300	6,480,994	$ 3,037,694
Unrealized gain (loss) on investments			18,896	
Advance from City Backed Urban Renewal Fund			(18,359,167)	
Fund balances - generally accepted accounting principles basis, ending			$ (11,859,277)	

City of Gresham, Oregon
Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2012

	Special Revenue Funds	Capital Projects Funds	Debt Service Funds	Total
ASSETS				
Cash and cash equivalents	$ 2,261,539	$ 1,667,583	$ 16,543	$ 3,945,665
Investments	5,416,213	3,528,334	39,622	8,984,169
Receivables, net	992,955	5,006	-	997,961
Property taxes receivable, net	-	-	4,058	4,058
Assessments receivable, net	-	-	6,360	6,360
Due from other funds	1,108,577	318,558	-	1,427,135
Other assets	24,171	15,746	177	40,094
Advance to Rockwood UR Debt Service Fund	-	-	18,359,167	18,359,167
Restricted cash and cash equivalents	370,390	20,762	3,316	394,468
Restricted investments	831,792	46,626	7,446	885,864
Total assets	$ 11,005,637	$ 5,602,615	$ 18,436,689	$ 35,044,941
LIABILITIES AND FUND BALANCES				
Liabilities:				
Accounts payable	$ 472,495	$ 178,206	$ -	$ 650,701
Other accrued liabilities	360,558	424,193	13,229	797,980
Deferred revenue	344,111	-	10,417	354,528
Deposits	766,910	67,388	-	834,298
Due to other funds	471,783	-	-	471,783
Total liabilities	2,415,857	669,787	23,646	3,109,290
Fund balances:				
Restricted	5,590,045	1,992,283	18,384,399	25,966,727
Assigned	2,999,735	2,940,545	28,644	5,968,924
Total fund balances	8,589,780	4,932,828	18,413,043	31,935,651
Total liabilities and fund balances	$ 11,005,637	$ 5,602,615	$ 18,436,689	$ 35,044,941

City of Gresham, Oregon
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances
Nonmajor Governmental Funds
For the Fiscal Year Ended June 30, 2012

	Special Revenue Funds	Capital Projects Funds	Debt Service Funds	Total
REVENUES				
Taxes	$ -	$ -	$ 2,504	$ 2,504
Licenses and permits	1,898,911	-	-	1,898,911
Intergovernmental	2,534,082	2,303,748	3,344,475	8,182,305
Charges for services	1,867,680	59,915	-	1,927,595
License fees	1,177,345	-	-	1,177,345
Miscellaneous	291,592	42,541	1,835	335,968
Internal service charges	347,716	-	1,384,431	1,732,147
Total revenues	8,117,326	2,406,204	4,733,245	15,256,775
EXPENDITURES				
Current:				
General government	6,305	-	-	6,305
Public safety	1,297,738	-	-	1,297,738
Transportation	1,050,247	-	-	1,050,247
Urban design and planning	3,596,322	-	-	3,596,322
Community development	2,946,804	-	-	2,946,804
Environmental services	3,058,082	-	-	3,058,082
Urban renewal	1,339,594	3,463,204	-	4,802,798
Debt service	-	3,355	5,692,449	5,695,804
Capital outlay	-	6,353,435	-	6,353,435
Total expenditures	13,295,092	9,819,994	5,692,449	28,807,535
Excess of expenditures over revenues	(5,177,766)	(7,413,790)	(959,204)	(13,550,760)
OTHER FINANCING SOURCES (USES)				
Issuance of debt	2,400,000	205,000	-	2,605,000
Transfers in	5,576,203	6,341,426	963,345	12,880,974
Transfers out	(3,002,841)	-	(74,418)	(3,077,259)
Total other financing sources (uses)	4,973,362	6,546,426	888,927	12,408,715
Net change in fund balances	(204,404)	(867,364)	(70,277)	(1,142,045)
Fund balances - beginning (as reported)	8,402,784	5,800,192	18,483,320	32,686,296
Prior period adjustment	391,400	-	-	391,400
Fund balances - beginning (restated)	8,794,184	5,800,192	18,483,320	33,077,696
Fund balances - ending	$ 8,589,780	$ 4,932,828	$ 18,413,043	$ 31,935,651

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Special Revenue Funds

Special revenue funds are used to account for the proceeds of specific revenue sources that are legally restricted to expenditure for specified purposes. Funds included in this fund type are:

Streetlight Fund—Accounts for license fee revenues collected for streetlight repair and maintenance.

Rental Inspection Fund—Accounts for revenues and operations of mandatory inspections of rental units in Gresham to address concerns of substandard housing.

Infrastructure Development Fund—Accounts for revenues and operations of development engineering, public works construction inspections, and surveying.

Dedicated Stimulus Fund – Accounts for the revenue and expenditures of the ARRA stimulus dollars.

Urban Design & Planning Fund – Accounts for revenues and operations of the City's development planning functions. Development planning fees supply revenue for this fund, in addition to interfund transfers from the General Fund and Urban Renewal Fund.

Dedicated Revenue Fund – Accounts for the receipt of solid waste fees and other dedicated revenues and their related expenditures.

Building Fund—Accounts for the revenue received from building inspections and construction permits. Expenditures are primarily for customer service, code enforcement, and administration.

Urban Renewal Support Fund – Accounts for services that the City provides to the Rockwood-West Gresham Urban Renewal Area.

Designated Purpose Fund—Accounts for monies donated for specific purposes, most importantly for public safety.

City of Gresham, Oregon
Combining Balance Sheet
Nonmajor Special Revenue Funds
June 30, 2012

	Streetlight Fund	Rental Inspection Fund	Infrastructure Development Fund	Dedicated Stimulus Fund	Urban Design & Planning Fund	Dedicated Revenue Fund	Building Fund	Urban Renewal Support Fund	Designated Purpose Fund	Total
ASSETS										
Cash and cash equivalents	$ 568,428	$ 115,020	$ 454,880	$ 1,951	$ 212,179	$ 15,967	$ 576,289	$ 210,435	$ 106,390	$ 2,261,539
Investments	1,361,342	275,465	1,089,402	4,674	508,152	38,240	1,380,167	503,976	254,795	5,416,213
Receivables, net	48,833	11,700	13,705	509,210	-	60,696	4,700	-	344,111	992,955
Due from other funds	-	60,019	186,309	-	-	334,531	311,410	-	216,308	1,108,577
Other assets	6,075	1,229	4,862	21	2,268	171	6,159	2,249	1,137	24,171
Restricted cash and cash equivalents	-	5,607	152,359	-	41,614	7,949	82,131	9,335	71,395	370,390
Restricted investments	-	12,593	342,155	-	93,453	17,851	184,443	20,965	160,332	831,792
Total assets	$ 1,984,678	$ 481,633	$ 2,243,672	$ 515,856	$ 857,666	$ 475,405	$ 2,545,299	$ 746,960	$ 1,154,468	$ 11,005,637
LIABILITIES AND FUND BALANCES										
Liabilities:										
Accounts payable	$ 75,995	$ 235	$ 4,320	$ 20,676	$ 10,612	$ 65,608	$ 32,494	$ 191,810	$ 70,745	$ 472,495
Other accrued liabilities	84,817	17,163	67,874	23,397	31,660	2,382	85,990	31,400	15,875	360,558
Long-term liabilities:										
Deferred revenue	-	-	-	-	-	-	-	-	344,111	344,111
Deposits	-	-	402,914	-	30,395	-	156,674	-	176,927	766,910
Due to other funds	-	-	-	471,783	-	-	-	-	-	471,783
Total liabilities	160,812	17,398	475,108	515,856	72,667	67,990	275,158	223,210	607,658	2,415,857
Fund balances:										
Restricted	1,823,866	464,235	-	-	-	-	2,270,141	523,750	508,053	5,590,045
Assigned	-	-	1,768,564	-	784,999	407,415	-	-	38,757	2,999,735
Total fund balances	1,823,866	464,235	1,768,564	-	784,999	407,415	2,270,141	523,750	546,810	8,589,780
Total liabilities and fund balances	$ 1,984,678	$ 481,633	$ 2,243,672	$ 515,856	$ 857,666	$ 475,405	$ 2,545,299	$ 746,960	$ 1,154,468	$ 11,005,637

City of Gresham, Oregon

Combining Statement of Revenues, Expenditures, and Changes in Fund Balances
Nonmajor Special Revenue Funds
For the Fiscal Year Ended June 30, 2012

	Streetlight Fund	Rental Inspection Fund	Infrastructure Development Fund	Dedicated Stimulus Fund	Urban Design & Planning Fund	Dedicated Revenue Fund	Building Fund	Urban Renewal Support Fund	Designated Purpose Fund	Total
REVENUES										
Licenses and permits	$ -	$ 808,181	$ -	$ -	$ -	$ -	$ 1,090,730	$ -	$ -	$ 1,898,911
Intergovernmental	-	-	2,064	1,293,804	-	-	-	1,211,518	26,696	2,534,082
Charges for services	-	-	270,237	-	246,641	488,936	861,866	-	-	1,867,680
License fees	1,177,345	-	-	-	-	-	-	-	-	1,177,345
Miscellaneous	17,184	48,864	21,290	-	8,597	1,646	26,589	98	167,324	291,592
Internal service charges	-	-	299,099	-	48,617	-	-	-	-	347,716
Total revenues	1,194,529	857,045	592,690	1,293,804	303,855	490,582	1,979,185	1,211,616	194,020	8,117,326
EXPENDITURES										
Current:										
General government	-	-	-	-	-	-	-	-	6,305	6,305
Public safety	-	-	-	633,093	-	-	-	-	664,645	1,297,738
Transportation	1,050,247	-	-	-	-	-	-	-	-	1,050,247
Urban design and planning	-	-	-	31,916	2,076,219	1,458,187	-	-	30,000	3,596,322
Community development	-	611,332	-	-	-	-	2,304,022	-	31,450	2,946,804
Environmental services	-	-	1,768,071	570,799	-	719,097	-	-	115	3,058,082
Urban renewal	-	-	-	-	-	-	-	1,339,594	-	1,339,594
Total expenditures	1,050,247	611,332	1,768,071	1,235,808	2,076,219	2,177,284	2,304,022	1,339,594	732,515	13,295,092
Excess (deficiency) of revenues over (under) expenditures	144,282	245,713	(1,175,381)	57,996	(1,772,364)	(1,686,702)	(324,837)	(127,978)	(538,495)	(5,177,766)
OTHER FINANCING SOURCES (USES)										
Issuance of debt	-	-	-	-	-	-	-	2,400,000	-	2,400,000
Transfers in	-	-	1,129,600	-	2,058,200	1,620,583	91,800	-	676,020	5,576,203
Transfers out	(14,100)	(68,700)	-	(57,996)	(91,800)	-	(247,846)	(2,502,319)	(20,080)	(3,002,841)
Total other financing sources (uses)	(14,100)	(68,700)	1,129,600	(57,996)	1,966,400	1,620,583	(156,046)	(102,319)	655,940	4,973,362
Net change in fund balances	130,182	177,013	(45,781)	-	194,036	(66,119)	(480,883)	(230,297)	117,445	(204,404)
Fund balances - beginning (as reported)	1,692,184	264,822	1,713,745	-	465,163	452,134	2,642,924	742,447	429,365	8,402,784
Prior period adjustment	1,500	22,400	100,600	-	125,800	21,400	108,100	11,600	-	391,400
Fund balances - beginning (restated)	1,693,684	287,222	1,814,345	-	590,963	473,534	2,751,024	754,047	429,365	8,794,184
Fund balances - ending	$ 1,823,866	$ 464,235	$ 1,768,564	$ -	$ 784,999	$ 407,415	$ 2,270,141	$ 523,750	$ 546,810	$ 8,589,780

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Streetlight Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
License fees	$ 1,156,000	$ 1,156,000	$ 1,177,345	$ 21,345
Miscellaneous	15,000	15,000	16,073	1,073
Total revenues	1,171,000	1,171,000	1,193,418	22,418
EXPENDITURES				
Environmental services	1,258,188	1,258,188	1,048,747	209,441
Operating contingency	177,600	177,600	-	177,600
Total expenditures	1,435,788	1,435,788	1,048,747	387,041
Excess (deficiency) of revenues over (under) expenditures	(264,788)	(264,788)	144,671	409,459
OTHER FINANCING (USES)				
Transfers out	(274,100)	(274,100)	(14,100)	260,000
Total other financing (uses)	(274,100)	(274,100)	(14,100)	260,000
Net change in fund balances	(538,888)	(538,888)	130,571	669,459
Fund balances - beginning	1,508,000	1,508,000	1,687,889	179,889
Fund balances - ending	$ 969,112	$ 969,112	1,818,460	$ 849,348
Unrealized gain (loss) on investments			5,406	
Fund balances - generally accepted accounting principles basis, ending			$ 1,823,866	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Rental Inspection Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Licenses and permits	$ 771,500	$ 771,500	$ 808,181	$ 36,681
Miscellaneous	5,600	5,600	48,311	42,711
Total revenues	777,100	777,100	856,492	79,392
EXPENDITURES				
Community development	692,783	692,783	614,010	78,773
Operating contingency	35,000	35,000	-	35,000
Total expenditures	727,783	727,783	614,010	113,773
Excess of revenues over expenditures	49,317	49,317	242,482	193,165
OTHER FINANCING (USES)				
Transfers out	(68,700)	(68,700)	(68,700)	-
Total other financing (uses)	(68,700)	(68,700)	(68,700)	-
Net change in fund balances	(19,383)	(19,383)	173,782	193,165
Fund balances - beginning	156,000	156,000	211,087	55,087
Fund balances - ending	$ 136,617	$ 136,617	384,869	$ 248,252
Unrealized gain (loss) on investments			1,147	
Accrued compensation			18,200	
Due from other funds			60,019	
Fund balances - generally accepted accounting principles basis, ending			$ 464,235	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Infrastructure Development Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Intergovernmental	$ -	$ -	$ 2,064	$ 2,064
Charges for services	223,000	223,000	270,238	47,238
Miscellaneous	15,300	15,300	20,339	5,039
Internal service charges	675,000	675,000	299,099	(375,901)
Total revenues	913,300	913,300	591,740	(321,560)
EXPENDITURES				
Environmental services	2,097,441	2,097,441	1,791,452	305,989
Operating contingency	318,000	318,000	-	318,000
Total expenditures	2,415,441	2,415,441	1,791,452	623,989
Excess of expenditures over revenues	(1,502,141)	(1,502,141)	(1,199,712)	302,429
OTHER FINANCING SOURCES				
Transfers in	1,129,600	1,129,600	1,129,600	-
Total other financing sources	1,129,600	1,129,600	1,129,600	-
Net change in fund balances	(372,541)	(372,541)	(70,112)	302,429
Fund balances - beginning	1,534,500	1,534,500	1,554,997	20,497
Fund balances - ending	$ 1,161,959	$ 1,161,959	1,484,885	$ 322,926
Unrealized gain (loss) on investments			5,770	
Accrued compensation			91,600	
Due from other funds			186,309	
Fund balances - generally accepted accounting principles basis, ending			$ 1,768,564	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Dedicated Stimulus Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Intergovernmental	$ 2,139,720	$ 2,174,720	$ 1,293,804	$ (880,916)
Total revenues	2,139,720	2,174,720	1,293,804	(880,916)
EXPENDITURES				
Police	615,948	650,948	633,093	17,855
Urban design and planning	77,732	77,732	31,916	45,816
Environmental services	824,496	824,496	570,799	253,697
Total expenditures	1,518,176	1,553,176	1,235,808	317,368
Excess of revenues over expenditures	621,544	621,544	57,996	(563,548)
OTHER FINANCING (USES)				
Transfers out	(621,544)	(621,544)	(57,996)	563,548
Total other financing (uses)	(621,544)	(621,544)	(57,996)	563,548
Net change in fund balances	-	-	-	-
Fund balances - beginning	-	-	-	-
Fund balances - ending	$ -	$ -	$ -	$ -

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Urban Design & Planning Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Charges for services	$ 276,000	$ 276,000	$ 246,641	$ (29,359)
Miscellaneous	2,000	2,000	7,774	5,774
Internal service charges	-	-	48,617	48,617
Total revenues	278,000	278,000	303,032	25,032
EXPENDITURES				
Urban design and planning	2,376,256	2,376,256	2,055,091	321,165
Total expenditures	2,376,256	2,376,256	2,055,091	321,165
Excess of expenditures over revenues	(2,098,256)	(2,098,256)	(1,752,059)	346,197
OTHER FINANCING SOURCES (USES)				
Transfers in	2,058,200	2,058,200	2,058,200	-
Transfers out	(91,800)	(91,800)	(91,800)	-
Total other financing sources (uses)	1,966,400	1,966,400	1,966,400	-
Net change in fund balances	(131,856)	(131,856)	214,341	346,197
Fund balances - beginning	253,314	253,314	463,574	210,260
Fund balances - ending	$ 121,458	$ 121,458	677,915	$ 556,457
Unrealized gain (loss) on investments			2,412	
Accrued compensation			104,672	
Fund balances - generally accepted accounting principles basis, ending			$ 784,999	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Dedicated Revenue Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Charges for services	$ 489,000	$ 489,000	$ 488,936	$ (64)
Miscellaneous	-	-	1,522	1,522
Total revenues	489,000	489,000	490,458	1,458
EXPENDITURES				
Urban design and planning	1,863,733	2,495,233	1,462,587	1,032,646
Environmental services	756,975	772,975	719,097	53,878
Operating contingency	60,000	60,000	-	60,000
Total expenditures	2,680,708	3,328,208	2,181,684	1,146,524
Excess of expenditures over revenues	(2,191,708)	(2,839,208)	(1,691,226)	1,147,982
OTHER FINANCING SOURCES				
Transfers in	2,109,205	2,756,705	1,620,583	(1,136,122)
Total other financing sources	2,109,205	2,756,705	1,620,583	(1,136,122)
Net change in fund balances	(82,503)	(82,503)	(70,643)	11,860
Fund balances - beginning	330,576	330,576	452,031	121,455
Fund balances - ending	$ 248,073	$ 248,073	381,388	$ 133,315
Unrealized gains (loss) on investment			227	
Accrued compensation			25,800	
Fund balances - generally accepted accounting principles basis, ending			$ 407,415	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Building Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Licenses and permits	$ 988,000	$ 988,000	$ 1,090,730	$ 102,730
Charges for services	960,000	960,000	861,866	(98,134)
Miscellaneous	65,000	65,000	26,772	(38,228)
Total revenues	2,013,000	2,013,000	1,979,368	(33,632)
EXPENDITURES				
Community development	2,504,416	2,504,416	2,326,324	178,092
Operating contingency	127,125	127,125	-	127,125
Total expenditures	2,631,541	2,631,541	2,326,324	305,217
Excess of expenditures over revenues	(618,541)	(618,541)	(346,956)	271,585
OTHER FINANCING SOURCES (USES)				
Transfers in	91,800	91,800	91,800	-
Transfers out	(248,500)	(248,500)	(247,846)	654
Total other financing sources (uses)	(156,700)	(156,700)	(156,046)	654
Net change in fund balances	(775,241)	(775,241)	(503,002)	272,239
Fund balances - beginning	2,597,000	2,597,000	2,345,574	(251,426)
Fund balances - ending	$ 1,821,759	$ 1,821,759	1,842,572	$ 20,813
Unrealized gain (loss) on investments			6,259	
Accrued compensation			109,900	
Due from other funds			311,410	
Fund balances - generally accepted accounting principles basis, ending			$ 2,270,141	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Urban Renewal Support Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Intergovernmental	$ 1,956,300	$ 1,956,300	$ 1,211,518	$ (744,782)
Total revenues	1,956,300	1,956,300	1,211,518	(744,782)
EXPENDITURES				
Urban renewal	1,834,190	2,434,190	1,358,294	1,075,896
Total expenditures	1,834,190	2,434,190	1,358,294	1,075,896
Excess of expenditures over revenues	122,110	(477,890)	(146,776)	331,114
OTHER FINANCING SOURCES (USES)				
Issuance of debt	8,892,700	8,892,700	2,400,000	(6,492,700)
Other requirements	(8,892,800)	(8,892,800)	(2,400,000)	6,492,800
Transfers out	(115,000)	(115,000)	(102,319)	12,681
Total other financing sources (uses)	(115,100)	(115,100)	(102,319)	12,781
Net change in fund balances	7,010	(592,990)	(249,095)	343,895
Fund balances - beginning	113,000	713,000	740,455	27,455
Fund balances - ending	$ 120,010	$ 120,010	491,360	$ 371,350
Unrealized gain (loss) on investments			2,090	
Accrued compensation			30,300	
Fund balances - generally accepted accounting principles basis, ending			$ 523,750	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Designated Purpose Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Intergovernmental	$ 40,000	$ 40,000	$ 26,696	$ (13,304)
Miscellaneous	141,500	161,500	166,850	5,350
Contributions and donations	50,000	50,000	-	(50,000)
Total revenues	231,500	251,500	193,546	(57,954)
EXPENDITURES				
Office of governance and management	20,440	20,440	6,305	14,135
Police	1,076,753	1,186,953	664,667	522,286
Fire and emergency services	134,750	134,750	54,778	79,972
Urban design and planning	55,287	55,287	30,000	25,287
Community development	75,000	75,000	31,450	43,550
Economic development services	126,000	126,000	-	126,000
Environmental services	70,000	70,000	115	69,885
Total expenditures	1,558,230	1,668,430	787,315	881,115
Excess of expenditures over revenues	(1,326,730)	(1,416,930)	(593,769)	823,161
OTHER FINANCING SOURCES (USES)				
Transfers in	1,084,100	1,194,300	676,020	(518,280)
Transfers out	(20,080)	(20,080)	(20,080)	-
Total other financing sources (uses)	1,064,020	1,174,220	655,940	(518,280)
Net change in fund balances	(262,710)	(242,710)	62,171	304,881
Fund balances - beginning	375,531	375,531	428,150	52,619
Fund balances - ending	$ 112,821	$ 132,821	490,321	$ 357,500
Unrealized gain (loss) on investments			1,689	
Accrued compensation			54,800	
Fund balances - generally accepted accounting principles basis, ending			$ 546,810	

Capital Projects Funds

Capital projects funds are used to account for financial resources used for the acquisition and construction of major capital facilities other than those financed by proprietary funds. Funds included in this fund type are:

Footpaths and Bike Routes Fund—Accounts for revenues from investment income and transfers from the Transportation Fund. Expenditures consist of the construction, repair, and maintenance of footpaths and bike routes.

Park Fund—Accounts for revenues earmarked for park capital improvements including transfers of system development charges, transfers of grants and donations from other funds, and investment income. Expenditures consist of various park, trail development and open space acquisition projects.

Public Facility Improvement Fund—Accounts for the acquisition or construction of general capital facilities and infrastructure improvements.

Transportation Construction Fund – Accounts for the acquisition and construction of streets.

Local Improvement District Fund—Accounts for the construction of local improvement districts.

City UR Capital Improvement Fund – Accounts for Urban Renewal Area improvements.

Rockwood UR Capital Projects Fund—Accounts for the Urban Renewal Area operations.

City of Gresham, Oregon
Combining Balance Sheet
Nonmajor Capital Projects Funds
June 30, 2012

	Footpaths and Bike Routes Fund	Park Fund	Public Facility Improvement Fund	Transportation Construction Fund	Local Improvement District Fund	City UR Capital Improvement Fund	Rockwood UR Capital Projects Fund	Total
ASSETS								
Cash and cash equivalents	$ 163,806	$ 297,937	$ 77,583	$ 467,446	$ 509	$ 48,496	$ 611,806	$ 1,667,583
Investments	335,393	466,273	185,805	1,062,527	1,218	11,890	1,465,228	3,528,334
Receivables, net	5,006	-	-	-	-	-	-	5,006
Due from other funds	24,749	187,350	-	43,219	-	63,240	-	318,558
Other assets	1,497	2,081	829	4,742	5	53	6,539	15,746
Restricted cash and cash equivalents	-	-	-	20,762	-	-	-	20,762
Restricted investments	-	-	-	46,626	-	-	-	46,626
Total assets	$ 530,451	$ 953,641	$ 264,217	$ 1,645,322	$ 1,732	$ 123,679	$ 2,083,573	$ 5,602,615
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable	$ 692	$ 12,903	$ 2,271	$ 49,183	$ -	$ 113,157	$ -	$ 178,206
Other accrued liabilities	20,896	33,414	11,576	266,200	76	741	91,290	424,193
Deposits	-	-	-	67,388	-	-	-	67,388
Total liabilities	21,588	46,317	13,847	382,771	76	113,898	91,290	669,787
Fund balances:								
Nonspendable								
Restricted	-	-	-	-	-	-	1,992,283	1,992,283
Assigned	508,863	907,324	250,370	1,262,551	1,656	9,781	-	2,940,545
Total fund balances	508,863	907,324	250,370	1,262,551	1,656	9,781	1,992,283	4,932,828
Total liabilities and fund balances	$ 530,451	$ 953,641	$ 264,217	$ 1,645,322	$ 1,732	$ 123,679	$ 2,083,573	$ 5,602,615

City of Gresham, Oregon
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances
Nonmajor Capital Projects Funds
For the Fiscal Year Ended June 30, 2012

	Footpaths and Bike Routes Fund	Park Fund	Public Facility Improvement Fund	Transportation Construction Fund	Local Improvement District Fund	City UR Capital Improvement Fund	Rockwood UR Capital Projects Fund	Total
REVENUES								
Intergovernmental	$ 57,570	$ -	$ -	$ -	$ -	$ 2,246,178	$ -	$ 2,303,748
Charges for services	-	85	-	59,830	-	-	-	59,915
Miscellaneous	4,090	9,016	2,564	1,013	17	-	25,841	42,541
Total revenues	61,660	9,101	2,564	60,843	17	2,246,178	25,841	2,406,204
EXPENDITURES								
Urban renewal	-	-	-	-	-	2,316	3,460,888	3,463,204
Capital improvements	271,160	354,020	23,114	3,361,892	-	2,343,249	-	6,353,435
Debt service	-	3,355	-	-	-	-	-	3,355
Total expenditures	271,160	357,375	23,114	3,361,892	-	2,345,565	3,460,888	9,819,994
Excess (deficiency) of revenues over (under) expenditures	(209,500)	(348,274)	(20,550)	(3,301,049)	17	(99,387)	(3,435,047)	(7,413,790)
OTHER FINANCING SOURCES (USES)								
Issuance of debt	6,000	-	-	199,000	-	-	-	205,000
Transfers in	276,596	433,393	-	3,134,382	-	97,055	2,400,000	6,341,426
Total other financing sources (uses)	282,596	433,393	-	3,333,382	-	97,055	2,400,000	6,546,426
Net change in fund balances	73,096	85,119	(20,550)	32,333	17	(2,332)	(1,035,047)	(867,364)
Fund balances - beginning	435,767	822,205	270,920	1,230,218	1,639	12,113	3,027,330	5,800,192
Fund balances - ending	$ 508,863	$ 907,324	$ 250,370	$ 1,262,551	$ 1,656	$ 9,781	$ 1,992,283	$ 4,932,828

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Footpaths And Bike Routes Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Intergovernmental	$ 54,400	$ 54,400	$ 57,570	$ 3,170
Miscellaneous	2,000	2,000	3,330	1,330
Total revenues	56,400	56,400	60,900	4,500
EXPENDITURES				
Capital improvements	1,980,400	1,980,400	271,160	1,709,240
Total expenditures	1,980,400	1,980,400	271,160	1,709,240
Excess of expenditures over revenues	(1,924,000)	(1,924,000)	(210,260)	1,713,740
OTHER FINANCING SOURCES				
Issuance of debt	364,000	364,000	6,000	(358,000)
Transfers in	1,816,424	1,816,424	276,596	(1,539,828)
Total other financing sources	2,180,424	2,180,424	282,596	(1,897,828)
Net change in fund balances	256,424	256,424	72,336	(184,088)
Fund balances - beginning	164,500	164,500	435,195	270,695
Fund balances - ending	$ 420,924	$ 420,924	507,531	$ 86,607
Unrealized gain (loss) on investments			1,332	
Fund balances - generally accepted accounting principles basis, ending			$ 508,863	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Park Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Charges for services	$ -	$ -	$ 85	$ 85
Miscellaneous	8,000	8,000	9,120	1,120
Total revenues	8,000	8,000	9,205	1,205
EXPENDITURES				
Capital improvements	2,267,193	2,267,193	354,020	1,913,173
Debt service	59,270	59,270	59,270	-
Total expenditures	2,326,463	2,326,463	413,290	1,913,173
Excess of expenditures over revenues	(2,318,463)	(2,318,463)	(404,085)	1,914,378
OTHER FINANCING SOURCES				
Transfers in	2,335,797	2,335,797	433,393	(1,902,404)
Total other financing sources	2,335,797	2,335,797	433,393	(1,902,404)
Net change in fund balances	17,334	17,334	29,308	11,974
Fund balances - beginning	750,000	750,000	876,164	126,164
Fund balances - ending	$ 767,334	$ 767,334	$ 905,472	$ 138,138
Unrealized gain (loss) on investments			1,852	
Fund balances - generally accepted accounting principles basis, ending			$ 907,324	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Public Facility Improvement Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Miscellaneous	$ 2,600	$ 2,600	$ 2,606	$ 6
Total revenues	2,600	2,600	2,606	6
EXPENDITURES				
Capital improvements	130,000	130,000	23,114	106,886
Total expenditures	130,000	130,000	23,114	106,886
Excess of expenditures over revenues	(127,400)	(127,400)	(20,508)	106,892
Net change in fund balances	(127,400)	(127,400)	(20,508)	106,892
Fund balances - beginning	253,500	253,500	270,140	16,640
Fund balances - ending	$ 126,100	$ 126,100	249,632	$ 123,532
Unrealized gain (loss) on investments			738	
Fund balances - generally accepted accounting principles basis, ending			$ 250,370	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Transportation Construction Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Charges for services	$ -	$ -	$ 59,830	$ 59,830
Miscellaneous	-	-	267	267
Total revenues	-	-	60,097	60,097
EXPENDITURES				
Capital improvements	7,465,300	7,465,300	3,361,892	4,103,408
Total expenditures	7,465,300	7,465,300	3,361,892	4,103,408
Excess of expenditures over revenues	(7,465,300)	(7,465,300)	(3,301,795)	4,163,505
OTHER FINANCING SOURCES				
Issuance of debt	1,812,600	1,812,600	199,000	(1,613,600)
Transfers in	5,702,631	5,702,631	3,134,382	(2,568,249)
Total other financing sources	7,515,231	7,515,231	3,333,382	(4,181,849)
Net change in fund balances	49,931	49,931	31,587	(18,344)
Fund balances - beginning	1,239,200	1,239,200	1,226,548	(12,652)
Fund balances - ending	$ 1,289,131	$ 1,289,131	1,258,135	$ (30,996)
Unrealized gain (loss) on investments			4,416	
Fund balances - generally accepted accounting principles basis, ending			$ 1,262,551	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Local Improvement District Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Miscellaneous	$ -	$ -	$ 16	$ 16
Total revenues	-	-	16	16
EXPENDITURES				
Capital improvements	1,000,000	1,000,000	-	1,000,000
Total expenditures	1,000,000	1,000,000	-	1,000,000
Excess (deficiency) of revenues over (under) expenditures	(1,000,000)	(1,000,000)	16	1,000,016
OTHER FINANCING SOURCES				
Issuance of debt	1,000,000	1,000,000	-	(1,000,000)
Total other financing sources	1,000,000	1,000,000	-	(1,000,000)
Net change in fund balances	-	-	16	16
Fund balances - beginning	1,600	1,600	1,635	35
Fund balances - ending	$ 1,600	$ 1,600	1,651	$ 51
Unrealized gain (loss) on investments			5	
Fund balances - generally accepted accounting principles basis, ending			$ 1,656	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
City UR Capital Improvement Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Intergovernmental	$ 6,936,400	$ 6,936,400	$ 2,246,178	$ (4,690,222)
Total revenues	6,936,400	6,936,400	2,246,178	(4,690,222)
EXPENDITURES				
Capital improvements	10,980,200	10,980,200	2,343,249	8,636,951
Total expenditures	10,980,200	10,980,200	2,343,249	8,636,951
Excess of expenditures over revenues	(4,043,800)	(4,043,800)	(97,071)	3,946,729
OTHER FINANCING SOURCES				
Transfers in	376,000	376,000	97,055	(278,945)
Total other financing sources	376,000	376,000	97,055	(278,945)
Net change in fund balances	(3,667,800)	(3,667,800)	(16)	3,667,784
Fund balances - beginning	3,674,600	3,674,600	9,750	(3,664,850)
Fund balances - ending	$ 6,800	$ 6,800	9,734	$ 2,934
Unrealized gain (loss) on investments			47	
Fund balances - generally accepted accounting principles basis, ending			$ 9,781	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Rockwood UR Capital Projects Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Miscellaneous	$ 7,800	$ 7,800	$ 27,696	$ 19,896
Total revenues	7,800	7,800	27,696	19,896
EXPENDITURES				
Urban renewal	12,560,500	12,560,500	3,460,888	9,099,612
Operating contingency	750,000	750,000	-	750,000
Total expenditures	13,310,500	13,310,500	3,460,888	9,849,612
Excess of expenditures over revenues	(13,302,700)	(13,302,700)	(3,433,192)	9,869,508
OTHER FINANCING SOURCES				
Loan proceeds	8,892,700	8,892,700	2,400,000	(6,492,700)
Total other financing sources	8,892,700	8,892,700	2,400,000	(6,492,700)
Net change in fund balances	(4,410,000)	(4,410,000)	(1,033,192)	3,376,808
Fund balances - beginning	4,447,200	4,447,200	3,019,657	(1,427,543)
Fund balances - ending	$ 37,200	$ 37,200	1,986,465	$ 1,949,265
Unrealized gain (loss) on investments			5,818	
Fund balances - generally accepted accounting principles basis, ending			$ 1,992,283	

Debt Service Funds

Debt service funds are used to account for the accumulation of resources for, and the payment of, general long-term debt principal and interest. Funds included in this fund type are:

General Obligation Bond Debt Service Fund—Accounts for property taxes and interest income used to pay general obligation debt.

General Government Debt Service Fund—Accounts for debt service payments on obligations of governmental funds.

Springwater Debt Service Fund –-Accounts for debt service on interim financing provided for the development and future annexation of the Springwater area.

Local Improvement Debt Service Fund—Accounts for the collection of assessments from benefited property owners to pay local improvement district debt.

Pension Bond Debt Service Fund—Accounts for debt service on pension bonds issued as a means of reducing the cost of City payments to the Public Employees Retirement System.

City-Backed UR Debt Service Fund – Accounts for interim financing loaned to the Rockwood-West Gresham Urban Renewal Commission. The urban renewal debt is repaid by the Urban Renewal Area's tax increment collection.

City of Gresham, Oregon
Combining Balance Sheet
Nonmajor Debt Service Funds
June 30, 2012

	General Obligation Bond Debt Fund	General Government Debt Fund	Springwater Debt Service Fund	City Backed Urban Renewal Fund	Local Improvement Debt Service Fund	Pension Bond Debt Service Fund	Total
ASSETS							
Cash and cash equivalents	$ 670	$ 4	$ 61	$ 7,748	$ 8,045	$ 15	$ 16,543
Investments	1,605	10	147	18,557	19,268	35	39,622
Property taxes receivable, net	4,058	-	-	-	-	-	4,058
Assessments receivable, net	-	-	-	-	6,360	-	6,360
Advance to Rockwood UR Debt Service Fund	-	-	-	18,359,167	-	-	18,359,167
Restricted cash and cash equivalents	-	963	-	2,353	-	-	3,316
Restricted investments	-	2,162	-	5,284	-	-	7,446
Other assets	7	-	1	83	86	-	177
Total assets	$ 6,340	$ 3,139	$ 209	$ 18,393,192	$ 33,759	$ 50	$ 18,436,689
LIABILITIES AND FUND BALANCES							
Liabilities:							
Other accrued liabilities	$ 100	$ 3,125	$ 9	$ 8,793	$ 1,200	$ 2	$ 13,229
Deferred revenue	4,058	-	-	-	6,359	-	10,417
Total liabilities	4,158	3,125	9	8,793	7,559	2	23,646
Fund balances:							
Restricted	-	-	-	18,384,399	-	-	18,384,399
Assigned	2,182	14	200		26,200	48	28,644
Total fund balances	2,182	14	200	18,384,399	26,200	48	18,413,043
Total liabilities and fund balances	$ 6,340	$ 3,139	$ 209	$ 18,393,192	$ 33,759	$ 50	$ 18,436,689

City of Gresham, Oregon
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances
Nonmajor Debt Service Funds
For the Fiscal Year Ended June 30, 2012

	General Obligation Bond Debt Fund	General Government Debt Fund	Springwater Debt Service Fund	City Backed Urban Renewal Fund	Local Improvement Debt Service Fund	Pension Bond Debt Service Fund	Total
REVENUES							
Taxes	$ 2,504	$ -	$ -	$ -	$ -	$ -	$ 2,504
Intergovernmental revenues	-	14,395	-	3,330,080	-	-	3,344,475
Miscellaneous	41	9	2	215	1,568	-	1,835
Internal service charges	-	-	-	-	-	1,384,431	1,384,431
Total revenues	2,545	14,404	2	3,330,295	1,568	1,384,431	4,733,245
EXPENDITURES							
Debt service	-	977,736	-	3,330,282	-	1,384,431	5,692,449
Total expenditures	-	977,736	-	3,330,282	-	1,384,431	5,692,449
Excess (deficiency) of revenues over (under) expenditures	2,545	(963,332)	2	13	1,568	-	(959,204)
OTHER FINANCING SOURCES (USES)							
Transfers in	-	963,345	-	-	-	-	963,345
Transfers out	(15,000)	-	-	(59,418)	-	-	(74,418)
Total other financing sources (uses)	(15,000)	963,345	-	(59,418)	-	-	888,927
Net change in fund balances	(12,455)	13	2	(59,405)	1,568	-	(70,277)
Fund balances - beginning	14,637	1	198	18,443,804	24,632	48	18,483,320
Fund balances - ending	$ 2,182	$ 14	$ 200	$ 18,384,399	$ 26,200	$ 48	$ 18,413,043

City of Gresham, Oregon

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
General Obligation Bond Debt Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Taxes	$ 2,750	$ 2,750	$ 2,504	$ (246)
Miscellaneous	-	-	69	69
Total revenues	2,750	2,750	2,573	(177)
EXPENDITURES				
Total expenditures	-	-	-	-
Excess of revenues over expenditures	2,750	2,750	2,573	(177)
OTHER FINANCING (USES)				
Transfers out	(15,000)	(15,000)	(15,000)	-
Total other financing (uses)	(15,000)	(15,000)	(15,000)	-
Net change in fund balances	(12,250)	(12,250)	(12,427)	(177)
Fund balances - beginning	12,964	12,964	14,603	1,639
Fund balances - ending	$ 714	$ 714	2,176	$ 1,462
Unrealized gain (loss) on investments			6	
Fund balances - generally accepted accounting principles basis, ending			$ 2,182	

City of Gresham, Oregon

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
General Government Debt Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Federal BAB subsidy	$ 14,395	$ 14,395	$ 14,395	$ -
Total revenues	14,395	14,395	14,395	-
EXPENDITURES				
Debt service	2,559,112	2,559,112	977,736	1,581,376
Total expenditures	2,559,112	2,559,112	977,736	1,581,376
Excess of expenditures over revenues	(2,544,717)	(2,544,717)	(963,341)	1,581,376
OTHER FINANCING SOURCES				
Transfers in	2,544,717	2,544,717	963,345	(1,581,372)
Total other financing sources	2,544,717	2,544,717	963,345	(1,581,372)
Net change in fund balances	-	-	4	4
Fund balances - beginning	-	-	1	1
Fund balances - ending	$ -	$ -	5	$ 5
Unrealized gain (loss) on investments			9	
Fund balances - generally accepted accounting principles basis, ending			$ 14	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Springwater Debt Service Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Miscellaneous	$ -	$ -	$ 2	$ 2
Total revenues	-	-	2	2
EXPENDITURES				
Total expenditures	-	-	-	-
Excess of revenues over expenditures	-	-	2	2
Net change in fund balances	-	-	2	2
Fund balances - beginning	-	-	197	197
Fund balances - ending	$ -	$ -	199	$ 199
Unrealized gain (loss) on investments			1	
Fund balances- generally accepted accounting principles basis, ending			$ 200	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
City Backed Urban Renewal Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Intergovernmental	$ 6,349,000	$ 6,349,000	$ 3,330,080	$ (3,018,920)
Miscellaneous	900	900	202	(698)
Total revenues	6,349,900	6,349,900	3,330,282	(3,019,618)
EXPENDITURES				
Debt service	6,348,986	6,348,986	3,330,282	3,018,704
Total expenditures	6,348,986	6,348,986	3,330,282	3,018,704
Net change in fund balances	914	914	-	(914)
Fund balances - beginning	61,000	61,000	25,136	(35,864)
Fund balances - ending	$ 61,914	$ 61,914	25,136	$ (36,778)
Unrealized gain (loss) on investments			96	
Advance to Rockwood UR Debt Service Fund			18,359,167	
Fund balances - generally accepted accounting principles basis, ending			$ 18,384,399	

City of Gresham, Oregon

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Local Improvement Debt Service Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Miscellaneous	$ -	$ -	$ 1,553	$ 1,553
Total revenues	-	-	1,553	1,553
EXPENDITURES				
Total expenditures	-	-	-	-
Excess of revenues over expenditures	-	-	1,553	1,553
Net change in fund balances	-	-	1,553	1,553
Fund balances - beginning	-	-	24,570	24,570
Fund balances - ending	$ -	$ -	26,123	$ 26,123
Unrealized gain (loss) on investments			77	
Fund balances - generally accepted accounting principles basis, ending			$ 26,200	

City of Gresham, Oregon

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Pension Bond Debt Service Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Internal service charges	$ 1,384,457	$ 1,384,457	$ 1,384,431	$ (26)
Total revenues	1,384,457	1,384,457	1,384,431	(26)
EXPENDITURES				
Debt service	1,384,457	1,384,457	1,384,431	26
Total expenditures	1,384,457	1,384,457	1,384,431	26
Net change in fund balances	-	-	-	-
Fund balances - beginning	-	-	48	48
Fund balances - ending	$ -	$ -	$ 48	$ 48

Enterprise Funds
Major Business-Type Funds

Enterprise funds are used to account for activities for which fees are charged to external customers for goods or services. The City reports three major enterprise funds in the basic financial statements under generally accepted accounting principles. For budgetary and operating purposes, a combination of separately budgeted funds account for activities relating to water, stormwater, and wastewater services.

Water Fund

Water Fund—Accounts for the City's water utility operations.
Water Revenue Bond Fund—Bond sinking fund for the payment of water revenue bonds.
Water Construction Fund—Accounts for projects to expand or improve the City's water system infrastructure.

Stormwater Fund

Stormwater Fund—Accounts for the City's stormwater utility operations.
Stormwater Revenue Bond Fund—Bond sinking fund for the payment of stormwater revenue bonds.
Stormwater Construction Fund—Accounts for projects to expand or improve the City's stormwater system infrastructure.

Wastewater Fund

Wastewater Fund —Accounts for the City's wastewater utility operations.
WWTP State Revolving Loan Fund —Accounts for debt service on the City's Wastewater Treatment Plant financing.
Wastewater Construction Fund—Accounts for projects to expand or improve the City's wastewater system infrastructure.

City of Gresham, Oregon
Combining Statement of Net Assets
Water Fund
June 30, 2012

	Water Fund	Water Debt Service Fund	Water Construction Fund	Total
ASSETS				
Current assets:				
Cash and cash equivalents	$ 1,282,629	$ 88,128	$ 1,683,634	$ 3,054,391
Investments	3,069,163	211,059	4,032,174	7,312,396
Receivables, net	1,589,617	-	-	1,589,617
Due from other funds	1,241,346	-	-	1,241,346
Total current assets	7,182,755	299,187	5,715,808	13,197,750
Noncurrent assets:				
Advances to other funds	1,102,500	-	-	1,102,500
Other assets	80,632	942	17,994	99,568
Restricted cash and cash equivalents	2,035,698	-	-	2,035,698
Restricted investments	4,571,587	-	-	4,571,587
Capital assets:				
Non-depreciable	2,873,472	-	-	2,873,472
Depreciable, net	64,289,638	-	-	64,289,638
Total noncurrent assets	74,953,527	942	17,994	74,972,463
Total assets	82,136,282	300,129	5,733,802	88,170,213
LIABILITIES				
Current liabilities:				
Accounts payable	210,770	-	94,640	305,410
Accrued interest payable	-	65,094	-	65,094
Other accrued liabilities	215,231	13,553	255,364	484,148
Compensated absences	22,000	-	-	22,000
Bonds, notes and loans payable	1,251,967	-	-	1,251,967
Total current liabilities	1,699,968	78,647	350,004	2,128,619
Noncurrent liabilities:				
Deposits	131,917	-	-	131,917
Advances from other funds	400,000	-	-	400,000
Compensated absences	124,600	-	-	124,600
Bonds, notes and loans payable	5,547,881	-	-	5,547,881
Total noncurrent liabilities	6,204,398	-	-	6,204,398
Total liabilities	7,904,366	78,647	350,004	8,333,017
NET ASSETS				
Invested in capital assets, net of related debt	59,963,262	-	-	59,963,262
Restricted for:				
Debt service	-	221,482	-	221,482
Unrestricted	14,268,654	-	5,383,798	19,652,452
Total net assets	$ 74,231,916	$ 221,482	$ 5,383,798	$ 79,837,196

City of Gresham, Oregon
Combining Statement of Revenues, Expenses, and Changes in Fund Net Assets
Water Fund
For the Fiscal Year Ended June 30, 2012

	Water Fund	Water Debt Service Fund	Water Construction Fund	Eliminations	Total
OPERATING REVENUES					
Charges for services	$ 11,659,516	$ -	$ -		$ 11,659,516
Miscellaneous	616,972	203	977		618,152
Total operating revenues	12,276,488	203	977		12,277,668
OPERATING EXPENSES					
Personal services	2,710,402	-	-		2,710,402
Professional and technical services	88,884	-	-		88,884
Property services	324,513	-	-		324,513
Other services	82,159	-	-		82,159
Supplies	337,421	-	-		337,421
Water purchase	1,998,604	-	-		1,998,604
Internal services	2,330,714	-	-		2,330,714
Other materials and services	-	-	395,079		395,079
Depreciation and amortization	2,530,393	-	-		2,530,393
Total operating expenses	10,403,090	-	395,079		10,798,169
Operating income (loss)	1,873,398	203	(394,102)		1,479,499
NONOPERATING REVENUES (EXPENSES)					
Miscellaneous revenue (expense)	61,415	(754)	13,088		73,749
Interest and investment income	100,303	-	52,499		152,802
Interest expense	(59,765)	(189,785)	-		(249,550)
Total nonoperating revenues (expenses)	101,953	(190,539)	65,587		(22,999)
Income (loss) before contributions and transfers	1,975,351	(190,336)	(328,515)		1,456,500
Capital contributions	854,776	-	-		854,776
Transfers in	596,132	231,834	42,480	$ (474,050)	396,396
Transfers out	(756,227)	-	(242,216)	$ 474,050	(524,393)
Change in net assets	2,670,032	41,498	(528,251)		2,183,279
Total net assets - beginning	71,561,884	179,984	5,912,049		77,653,917
Total net assets - ending	$ 74,231,916	$ 221,482	$ 5,383,798		$ 79,837,196

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Water Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Intergovernmental	$ 45,000	$ 45,000	$ 39,840	$ (5,160)
Charges for services	11,746,000	11,746,000	11,659,517	(86,483)
Miscellaneous	244,000	244,000	284,218	40,218
Internal service charges	425,000	425,000	568,618	143,618
Total revenues	12,460,000	12,460,000	12,552,193	92,193
EXPENDITURES				
Environmental services	8,456,904	8,456,904	7,976,473	480,431
Debt service	225,000	225,000	213,400	11,600
Operating contingency	1,245,800	1,245,800	-	1,245,800
Total expenditures	9,927,704	9,927,704	8,189,873	1,737,831
Excess of revenues over expenditures	2,532,296	2,532,296	4,362,320	1,830,024
OTHER FINANCING SOURCES (USES)				
Transfers in	351,400	351,400	353,916	2,516
Transfers out	(3,357,890)	(3,357,890)	(2,895,026)	462,864
Total other financing sources (uses)	(3,006,490)	(3,006,490)	(2,541,110)	465,380
Net change in fund balances	(474,194)	(474,194)	1,821,210	2,295,404
Fund balances - beginning	8,724,000	8,724,000	10,026,419	1,302,419
Fund balances - ending	$ 8,249,806	$ 8,249,806	11,847,629	$ 3,597,823
Capital assets, net of depreciation			67,163,110	
Unrealized gain (loss) on investments			31,484	
Due from other funds			1,241,346	
Advance to other funds			1,102,500	
Bond issue costs, net			66,936	
Due to other governments			(21,241)	
Advance from Wastewater Fund			(400,000)	
Debt payable			(6,799,848)	
Net assets - generally accepted accounting principles basis, ending			$ 74,231,916	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Water Debt Service Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Total revenues	-	-	-	-
EXPENDITURES				
Debt service	$ 1,793,650	$ 1,793,650	$ 1,664,329	$ 129,321
Total expenditures	1,793,650	1,793,650	1,664,329	129,321
Excess of expenditures over revenues	(1,793,650)	(1,793,650)	(1,664,329)	129,321
OTHER FINANCING SOURCES				
Transfers in	1,790,000	1,790,000	1,700,000	(90,000)
Total other financing sources	1,790,000	1,790,000	1,700,000	(90,000)
Net change in fund balances	(3,650)	(3,650)	35,671	39,321
Fund balances - beginning	272,000	272,000	250,067	(21,933)
Fund balances - ending	$ 268,350	$ 268,350	285,738	$ 17,388
Unrealized gain (loss) on investments			838	
Accrued interest			(65,094)	
Net assets - generally accepted accounting principles basis, ending			$ 221,482	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Water Construction Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Miscellaneous	$ 40,000	$ 40,000	$ 65,587	$ 25,587
Contributions and donations	-	-	500,000	500,000
Total revenues	40,000	40,000	565,587	525,587
EXPENDITURES				
Capital improvements	6,814,800	6,814,800	2,254,169	4,560,631
Total expenditures	6,814,800	6,814,800	2,254,169	4,560,631
Excess of expenditures over revenues	(6,774,800)	(6,774,800)	(1,688,582)	5,086,218
OTHER FINANCING SOURCES				
Issuance of debt	2,532,200	2,532,200	446,241	(2,085,959)
Transfers in	1,626,804	1,626,804	713,113	(913,691)
Total other financing sources	4,159,004	4,159,004	1,159,354	(2,999,650)
Net change in fund balances	(2,615,796)	(2,615,796)	(529,228)	2,086,568
Fund balances - beginning	6,422,800	6,422,800	5,897,014	(525,786)
Fund balances - ending	$ 3,807,004	$ 3,807,004	5,367,786	$ 1,560,782
Unrealized gain (loss) on investments			16,012	
Net assets - generally accepted accounting principles basis, ending			$ 5,383,798	

City of Gresham, Oregon
Combining Statement of Net Assets
Stormwater Fund
June 30, 2012

	Stormwater Fund	Stormwater Debt Service Fund	Stormwater Construction Fund	Total
ASSETS				
Current assets:				
Cash and cash equivalents	$ 1,516,122	$ 111,043	$ 1,324,087	$ 2,951,252
Investments	3,630,997	265,941	3,171,087	7,068,025
Receivables, net	1,088,814	-	244,917	1,333,731
Due from other funds	1,013,525	-	-	1,013,525
Total current assets	7,249,458	376,984	4,740,091	12,366,533
Noncurrent assets:				
Other assets	116,432	1,187	14,151	131,770
Restricted cash and cash equivalents	734,809	-	-	734,809
Restricted investments	1,650,169	-	-	1,650,169
Capital assets:				
Non-depreciable	5,279,506	-	-	5,279,506
Depreciable, net	47,802,319	-	-	47,802,319
Total noncurrent assets	55,583,235	1,187	14,151	55,598,573
Total assets	62,832,693	378,171	4,754,242	67,965,106
LIABILITIES				
Current liabilities:				
Accounts payable	203,796	-	17,821	221,617
Other accrued liabilities	1,303,821	16,569	197,572	1,517,962
Accrued interest payable	-	29,190	-	29,190
Compensated absences	16,600	-	-	16,600
Bonds, notes and loans payable	317,231	-	-	317,231
Total current liabilities	1,841,448	45,759	215,393	2,102,600
Noncurrent liabilities:				
Deposits	35,836	-	25,410	61,246
Compensated absences	99,864	-	-	99,864
Bonds, notes and loans payable	3,400,810	-	-	3,400,810
Total noncurrent liabilities	3,536,510	-	25,410	3,561,920
Total liabilities	5,377,958	45,759	240,803	5,664,520
NET ASSETS				
Invested in capital assets, net of related debt	49,363,784	-	-	49,363,784
Restricted for:				
Rate stabilization	500,000	-	-	500,000
Debt service	-	332,412	-	332,412
Unrestricted	7,590,951	-	4,513,439	12,104,390
Total net assets	$ 57,454,735	$ 332,412	$ 4,513,439	$ 62,300,586

City of Gresham, Oregon
Combining Statement of Revenues, Expenses, and Changes in Fund Net Assets
Stormwater Fund
For the Fiscal Year Ended June 30, 2012

	Stormwater Fund	Stormwater Debt Service Fund	Stormwater Construction Fund	Eliminations	Total
OPERATING REVENUES					
Charges for services	$ 6,820,344	$ -	$ -		$ 6,820,344
Miscellaneous	244,931	163	3,048		248,142
Total operating revenues	7,065,275	163	3,048		7,068,486
OPERATING EXPENSES					
Personal services	2,275,188	-	-		2,275,188
Professional and technical services	387,281	-	-		387,281
Property services	119,962	-	-		119,962
Other services	107,021	-	-		107,021
Supplies	90,535	-	-		90,535
Internal services	1,574,896	-	-		1,574,896
Other materials and services	-	-	152,623		152,623
Depreciation and amortization	1,801,532	-	-		1,801,532
Total operating expenses	6,356,415	-	152,623		6,509,038
Operating income (loss)	708,860	163	(149,575)		559,448
NONOPERATING REVENUES (EXPENSES)					
Miscellaneous revenue (expense)	9,282	(452)	-		8,830
Interest and investment income	75,862	-	36,952		112,814
Interest expense	(69,470)	(170,166)	-		(239,636)
Total nonoperating revenues (expenses)	15,674	(170,618)	36,952		(117,992)
Income (loss) before contributions and transfers	724,534	(170,455)	(112,623)		441,456
Capital contributions	954,449	-	-		954,449
Transfers in	634,851	181,709	838,246	$ (791,029)	863,777
Transfers out	(1,365,142)	-	-	$ 791,029	(574,113)
Change in net assets	948,692	11,254	725,623		1,685,569
Total net assets - beginning	56,506,043	321,158	3,787,816		60,615,017
Total net assets - ending	$ 57,454,735	$ 332,412	$ 4,513,439		$ 62,300,586

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Stormwater Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Licenses and permits	$ -	$ -	$ 6,473	$ 6,473
Intergovernmental	8,000	8,000	1,011	(6,989)
Charges for services	6,806,000	6,806,000	6,820,344	14,344
Miscellaneous	341,000	341,000	141,059	(199,941)
Internal service charges	202,000	202,000	232,580	30,580
Total revenues	7,357,000	7,357,000	7,201,467	(155,533)
EXPENDITURES				
Environmental services	4,978,425	4,978,425	4,680,663	297,762
Operating contingency	732,000	732,000	-	732,000
Total expenditures	5,710,425	5,710,425	4,680,663	1,029,762
Excess of revenues over expenditures	1,646,575	1,646,575	2,520,804	874,229
OTHER FINANCING SOURCES (USES)				
Transfers in	645,000	645,000	634,851	(10,149)
Transfers out	(2,998,490)	(2,998,490)	(2,384,313)	614,177
Total other financing sources (uses)	(2,353,490)	(2,353,490)	(1,749,462)	604,028
Net change in fund balances	(706,915)	(706,915)	771,342	1,478,257
Fund balances - beginning	7,022,000	7,022,000	7,296,936	274,936
Fund balances - ending	$ 6,315,085	$ 6,315,085	8,068,278	$ 1,753,193
Capital assets, net of depreciation			53,081,825	
Unrealized gain (loss) on investments			21,384	
Due from other funds			978,656	
Bond issue costs, net			100,228	
Due to other governments			(1,077,595)	
Debt payable, net			(3,718,041)	
Net assets - generally accepted accounting principles basis, ending			$ 57,454,735	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Stormwater Debt Service Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Total revenues	-	-	-	-
EXPENDITURES				
Debt service	$ 541,598	$ 541,598	$ 541,050	$ 548
Excess of expenditures over revenues	(541,598)	(541,598)	(541,050)	548
OTHER FINANCING SOURCES				
Transfers in	550,000	550,000	550,000	-
Total other financing sources	550,000	550,000	550,000	-
Net change in fund balances	8,402	8,402	8,950	548
Fund balances - beginning	384,196	384,196	351,596	(32,600)
Fund balances - ending	$ 392,598	$ 392,598	360,546	$ (32,052)
Unrealized gain (loss) on investments			1,056	
Accrued interest			(29,190)	
Net assets - generally accepted accounting principles basis, ending			$ 332,412	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Stormwater Construction Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Miscellaneous	$ 63,200	$ 63,200	$ 36,952	$ (26,248)
Total revenues	63,200	63,200	36,952	(26,248)
EXPENDITURES				
Capital improvements	5,519,300	5,519,300	1,048,420	4,470,880
Total expenditures	5,519,300	5,519,300	1,048,420	4,470,880
Excess of expenditures over revenues	(5,456,100)	(5,456,100)	(1,011,468)	4,444,632
OTHER FINANCING SOURCES				
Issuance of debt	848,600	848,600	244,917	(603,683)
Transfers in	2,859,365	2,859,365	1,489,126	(1,370,239)
Total other financing sources	3,707,965	3,707,965	1,734,043	(1,973,922)
Net change in fund balances	(1,748,135)	(1,748,135)	722,575	2,470,710
Fund balances - beginning	4,041,800	4,041,800	3,778,272	(263,528)
Fund balances - ending	$ 2,293,665	$ 2,293,665	4,500,847	$ 2,207,182
Unrealized gain (loss) on investments			12,592	
Net assets - generally accepted accounting principles basis, ending			$ 4,513,439	

City of Gresham, Oregon
Combining Statement of Net Assets
Wastewater Fund
June 30, 2012

	Wastewater Fund	Wastewater Debt Service Fund	Wastewater Construction Fund	Total
ASSETS				
Current assets:				
Cash and cash equivalents	$ 6,913,140	$ 208,451	$ 2,395,017	$ 9,516,608
Investments	16,554,276	499,224	5,558,848	22,612,348
Receivables, net	2,929,227	1,821,199	1,110	4,751,536
Due from other funds	1,566,312	-	40,000	1,606,312
Total current assets	27,962,955	2,528,874	7,994,975	38,486,804
Noncurrent assets:				
Advances to other funds	400,000	-	-	400,000
Other assets	121,774	2,228	24,807	148,809
Restricted cash and cash equivalents	5,456,047	197,669	-	5,653,716
Restricted investments	12,252,699	443,907	-	12,696,606
Capital assets:				
Non-depreciable	13,354,348	-	-	13,354,348
Depreciable, net	102,062,661	-	-	102,062,661
Total noncurrent assets	133,647,529	643,804	24,807	134,316,140
Total assets	161,610,484	3,172,678	8,019,782	172,802,944
LIABILITIES				
Current liabilities:				
Accounts payable	403,277	-	374,936	778,213
Deposits	4,492	-	-	4,492
Accrued interest payable	-	147,964	-	147,964
Other accrued liabilities	1,031,399	31,104	637,663	1,700,166
Compensated absences	28,000	-	-	28,000
Bonds, notes and loans payable	1,822,615	-	-	1,822,615
Total current liabilities	3,289,783	179,068	1,012,599	4,481,450
Noncurrent liabilities:				
Deposits	25,654	-	-	25,654
Advance from other funds	1,102,500	-	-	1,102,500
Compensated absences	158,600	-	-	158,600
Bonds, notes and loans payable	20,814,504	-	-	20,814,504
Total noncurrent liabilities	22,101,258	-	-	22,101,258
Total liabilities	25,391,041	179,068	1,012,599	26,582,708
NET ASSETS				
Invested in capital assets, net of related debt	91,677,390	-	-	91,677,390
Restricted for:				
Construction	903,000	-	-	903,000
Loan covenant requirement	4,604,000	141,576	-	4,745,576
Rate stabilization	2,729,000	-	-	2,729,000
Debt service	-	500,000	-	500,000
Unrestricted	36,306,053	2,352,034	7,007,183	45,665,270
Total net assets	$ 136,219,443	$ 2,993,610	$ 7,007,183	$ 146,220,236

City of Gresham, Oregon
Combining Statement of Revenues, Expenses, and Changes in Fund Net Assets
Wastewater Fund
For the Fiscal Year Ended June 30, 2012

	Wastewater Fund	Wastewater Debt Service Fund	Wastewater Construction Fund	Eliminations	Total
OPERATING REVENUES					
Charges for services	$ 14,130,736	$ -	$ -		$ 14,130,736
Miscellaneous	1,238,755	1,043	-		1,239,798
Total operating revenues	15,369,491	1,043	-		15,370,534
OPERATING EXPENSES					
Personal services	2,780,955	-	-		2,780,955
Professional and technical services	4,009,994	-	-		4,009,994
Property services	93,375	-	-		93,375
Other services	39,576	-	-		39,576
Supplies	183,868	-	-		183,868
Internal services	3,196,340	-	-		3,196,340
Other materials and services	-	-	1,516,936		1,516,936
Depreciation and amortization	4,032,898	-	-		4,032,898
Total operating expenses	14,337,006	-	1,516,936		15,853,942
Operating income (loss)	1,032,485	1,043	(1,516,936)		(483,408)
NONOPERATING REVENUES (EXPENSES)					
Miscellaneous revenue (expense)	46,010	-	(10,248)		35,762
Interest and investment income	401,708	80,009	100,341		582,058
Interest expense	(44,451)	(588,108)	-		(632,559)
Loss on disposition of capital assets	(54,985)	-	-		(54,985)
Total nonoperating revenues (expenses)	348,282	(508,099)	90,093		(69,724)
Income (loss) before contributions and transfers	1,380,767	(507,056)	(1,426,843)		(553,132)
Capital contributions	343,352	-	-		343,352
Transfers in	6,546,557	563,596	42,758	$ (4,569,264)	2,583,647
Transfers out	(1,088,509)	-	(4,005,668)	$ 4,569,264	(524,913)
Change in net assets	7,182,167	56,540	(5,389,753)		1,848,954
Total net assets - beginning	129,037,276	2,937,070	12,396,936		144,371,282
Total net assets - ending	$ 136,219,443	$ 2,993,610	$ 7,007,183		$ 146,220,236

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Wastewater Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Taxes	$ -	$ -	$ 56	$ 56
Licenses and permits	10,000	10,000	8,502	(1,498)
Intergovernmental	93,000	93,000	129,646	36,646
Charges for services	14,733,000	14,733,000	14,130,736	(602,264)
Miscellaneous	695,100	695,100	647,720	(47,380)
Internal service charges	1,532,000	1,532,000	1,080,111	(451,889)
Total revenues	17,063,100	17,063,100	15,996,771	(1,066,329)
EXPENDITURES				
Environmental services	11,463,187	11,463,187	10,782,896	680,291
Debt service	152,000	152,000	138,975	13,025
Operating contingency	1,689,000	1,689,000	-	1,689,000
Total expenditures	13,304,187	13,304,187	10,921,871	2,382,316
Excess of revenues over expenditures	3,758,913	3,758,913	5,074,900	1,315,987
OTHER FINANCING SOURCES (USES)				
Transfers in	2,560,900	2,560,900	2,540,889	(20,011)
Transfers out	(16,822,190)	(16,822,190)	(5,326,780)	11,495,410
Total other financing sources (uses)	(14,261,290)	(14,261,290)	(2,785,891)	11,475,399
Net change in fund balances	(10,502,377)	(10,502,377)	2,289,009	12,791,386
Fund balances - beginning	34,722,000	34,722,000	40,121,379	5,399,379
Fund balances - ending	$ 24,219,623	$ 24,219,623	42,410,388	$ 18,190,765
Capital assets, net of depreciation			115,417,009	
Unrealized gain (loss) on investments			117,454	
Due from other funds			1,566,312	
Advance to other fund			400,000	
Bond issue costs, net			47,899	
Advance from other funds			(1,102,500)	
Debt payable, net			(22,637,119)	
Net assets - generally accepted accounting principles basis, ending			$ 136,219,443	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Wastewater Debt Service Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Miscellaneous	$ 106,000	$ 106,000	$ 80,009	$ (25,991)
Total revenues	106,000	106,000	80,009	(25,991)
EXPENDITURES				
Debt service	2,634,828	2,634,828	2,634,828	-
Total expenditures	2,634,828	2,634,828	2,634,828	-
Excess of expenditures over revenues	(2,528,828)	(2,528,828)	(2,554,819)	(25,991)
OTHER FINANCING SOURCES				
Transfers in	2,600,000	2,600,000	2,600,000	-
Total other financing sources	2,600,000	2,600,000	2,600,000	-
Net change in fund balances	71,172	71,172	45,181	(25,991)
Fund balances - beginning	3,058,289	3,058,289	3,092,537	34,248
Fund balances - ending	$ 3,129,461	$ 3,129,461	3,137,718	$ 8,257
Unrealized gain (loss) on investments			3,856	
Accrued interest			(147,964)	
Net assets - generally accepted accounting principles basis, ending			$ 2,993,610	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Wastewater Construction Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Miscellaneous	$ 86,000	$ 86,000	$ 100,641	$ 14,641
Total revenues	86,000	86,000	100,641	14,641
EXPENDITURES				
Capital improvements	23,026,600	23,026,600	7,724,471	15,302,129
Total expenditures	23,026,600	23,026,600	7,724,471	15,302,129
Excess of expenditures over revenues	(22,940,600)	(22,940,600)	(7,623,830)	15,316,770
OTHER FINANCING SOURCES				
Transfers in	14,630,100	14,630,100	2,244,625	(12,385,475)
Total other financing sources	14,630,100	14,630,100	2,244,625	(12,385,475)
Net change in fund balances	(8,310,500)	(8,310,500)	(5,379,205)	2,931,295
Fund balances - beginning	16,599,800	16,599,800	12,364,314	(4,235,486)
Fund balances - ending	$ 8,289,300	$ 8,289,300	6,985,109	$ (1,304,191)
Unrealized gain (loss) on investments			22,074	
Net assets - generally accepted accounting principles basis, ending			$ 7,007,183	

Internal Service Funds

Internal service funds are used to account for activity that provides goods and services primarily to other funds and departments within the City. Funds included in this fund type are:

Facilities & Fleet Management Fund—Accounts for occupancy expenses, construction, and bond transactions of all City owned and leased administrative buildings. For budgetary and operating purposes, the activities of the Facilities & Fleet Management Fund, City Facility Capital Improvement Fund, and City Hall Debt Service Fund are accounted for separately.

Workers' Compensation Fund—Accounts for the City's workers' compensation self-insurance program.

Information Technology Fund—Accounts for all City information technology and telecommunication services. For budgetary and operating purposes the activities of the Information Technology Fund, and the IT System Replacement Fund are accounted for separately.

Liability Management Fund—Accounts for risk management activities of the City (except for workers' compensation), including operation of the general and auto liability self-insurance program.

Equipment Replacement Fund—Accounts for annual charges, accumulation of resources for, and eventual replacement of vehicles and other capital equipment.

Legal Services Fund—Accounts for all City legal services.

Utility Financial Services Fund—Accounts for financial management services provided to the City's water, stormwater and wastewater utilities.

Administrative Services Fund—Accounts for general City administrative services.

City of Gresham, Oregon
Combining Statement of Net Assets
Internal Service Funds
June 30, 2012

	Facilities & Fleet Management Fund	Workers' Compensation Fund	Information Technology Fund	Liability Management Fund	Equipment Replacement Fund	Legal Services Fund	Utility Financial Services Fund	Administrative Services Fund	Total
ASSETS									
Current assets:									
Cash and cash equivalents	$ 222,924	$ 532,059	$ 88,483	$ 92,828	$ 2,929,764	$ 39,291	$ 352,914	$ 334,675	$ 4,592,938
Investments	533,888	1,154,494	211,909	222,315	7,016,560	94,098	845,203	772,303	10,850,770
Receivables, net	1,599	-	1,079	-	14,986	-	8,602	8,500	34,766
Due from other funds	398,391	-	541,717	-	-	-	35,940	67,939	1,043,987
Total current assets	1,156,802	1,686,553	843,188	315,143	9,961,310	133,389	1,242,659	1,183,417	16,522,461
Noncurrent assets:									
Other assets	48,123	5,152	945	992	31,312	420	3,772	3,446	94,162
Restricted cash and cash equivalents	19,872	688,826	30,009	292,078	-	30,070	31,878	142,989	1,235,722
Restricted investments	44,628	1,546,904	67,391	655,922	-	67,530	71,589	321,111	2,775,075
Capital assets:									
Non-depreciable	498,057	-	23,385	-	-	-	-	-	521,442
Depreciable, net	11,533,799	6,596	540,738	-	-	-	26,422	25,918	12,133,473
Total noncurrent assets	12,144,479	2,247,478	662,468	948,992	31,312	98,020	133,661	493,464	16,759,874
Total assets	13,301,281	3,934,031	1,505,656	1,264,135	9,992,622	231,409	1,376,320	1,676,881	33,282,335
LIABILITIES									
Current liabilities:									
Accounts payable	201,815	1,308	37,965	57,332	218,950	3,529	23,146	77,078	621,123
Accrued interest payable	22,625	-	-	-	-	-	-	-	22,625
Other accrued liabilities	33,263	2,307,660	13,203	961,851	437,160	5,863	68,184	109,348	3,936,532
Compensated absences	9,700	-	14,600	-	-	14,600	13,700	69,600	122,200
Bonds, notes and loans payable	711,075	-	-	-	-	-	-	-	711,075
Total current liabilities	978,478	2,308,968	65,768	1,019,183	656,110	23,992	105,030	256,026	5,413,555
Noncurrent liabilities:									
Unearned revenue	-	-	-	-	-	-	99,935	-	99,935
Due to other funds	-	-	-	-	9,038,321	-	-	-	9,038,321
Compensated absences	54,800	-	82,800	-	-	83,000	77,700	394,500	692,800
Bonds, notes and loans payable	4,817,998	-	-	-	-	-	-	-	4,817,998
Total noncurrent liabilities	4,872,798	-	82,800	-	9,038,321	83,000	177,635	394,500	14,649,054
Total liabilities	5,851,276	2,308,968	148,568	1,019,183	9,694,431	106,992	282,665	650,526	20,062,609
NET ASSETS									
Invested in capital assets, net of related debt	6,541,708	6,596	564,123	-	-	-	26,422	25,918	7,164,767
Unrestricted	908,297	1,618,467	792,965	244,952	298,191	124,417	1,067,233	1,000,437	6,054,959
Total net assets	$ 7,450,005	$ 1,625,063	$ 1,357,088	$ 244,952	$ 298,191	$ 124,417	$ 1,093,655	$ 1,026,355	$ 13,219,726

City of Gresham, Oregon
Combining Statement of Revenues, Expenses, and Changes In Fund Net Assets
Internal Service Funds
For the Fiscal Year Ended June 30, 2012

	Facilities & Fleet Management Fund	Workers' Compensation Fund	Information Technology Fund	Liability Management Fund	Equipment Replacement Fund	Legal Services Fund	Utility Financial Services Fund	Administrative Services Fund	Total
OPERATING REVENUES									
Charges for services, internal	$ 3,987,182	$ 1,040,016	$ 2,065,254	$ 876,000	$ 1,055,731	$ 1,059,190	$ 1,809,356	$ 5,074,457	$ 16,967,186
Charges for services, external	-	-	30,253	-	-	15	400,813	24,189	455,270
Miscellaneous	218,539	2,188	31,519	913	6,305	189	714	21,820	282,187
Total operating revenues	4,205,721	1,042,204	2,127,026	876,913	1,062,036	1,059,394	2,210,883	5,120,466	17,704,643
OPERATING EXPENSES									
Personal services	1,085,011	173,230	1,792,624	-	-	873,620	1,285,681	4,650,457	9,860,623
Professional and technical services	427,344	66,801	230,254	4,975	-	76,429	77,978	278,215	1,161,996
Property services	733,321	-	119,362	-	-	4,298	7,121	41,034	905,136
Other services	11,341	127,843	2,285	547,142	-	7,271	64,075	311,850	1,071,807
Supplies	916,821	5,971	34,217	-	133,498	4,243	90,208	212,443	1,397,401
Claims paid	-	587,971	-	489,354	-	-	-	-	1,077,325
Internal services	4,236	-	-	-	-	55,590	454,979	220,321	735,126
Other materials and services	143,130	-	-	-	1,325,508	-	-	-	1,468,638
Depreciation and amortization	548,783	733	142,935	-	-	-	4,815	29,240	726,506
Total operating expenses	3,869,987	962,549	2,321,677	1,041,471	1,459,006	1,021,451	1,984,857	5,743,560	18,404,558
Operating income (loss)	335,734	79,655	(194,651)	(164,558)	(396,970)	37,943	226,026	(623,094)	(699,915)
NONOPERATING REVENUES (EXPENSES)									
Miscellaneous revenue	113,420	52,386	1,322	18,486	145,599	-	2,883	13,197	347,293
Interest and investment income	9,057	36,781	5,211	8,969	91,104	1,893	11,868	13,015	177,898
Interest expense	(350,826)	-	-	-	-	-	-	-	(350,826)
Disposition of capital assets	-	-	(1,875)	-	50,340	-	-	-	48,465
Total nonoperating revenues (expenses)	(228,349)	89,167	4,658	27,455	287,043	1,893	14,751	26,212	222,830
Income (loss) before transfers	107,385	168,822	(189,993)	(137,103)	(109,927)	39,836	240,777	(596,882)	(477,085)
Capital contributions	39,484	-	-	-	-	-	-	-	39,484
Transfers in	812,985	-	411,652	-	200,000	-	-	652,291	2,076,928
Transfers out	-	-	(200,000)	-	-	-	(124,000)	-	(324,000)
Change in net assets	959,854	168,822	21,659	(137,103)	90,073	39,836	116,777	55,409	1,315,327
Total net assets - beginning	6,490,151	1,456,241	1,335,429	382,055	208,118	84,581	976,878	970,946	11,904,399
Total net assets - ending	$ 7,450,005	$ 1,625,063	$ 1,357,088	$ 244,952	$ 298,191	$ 124,417	$ 1,093,655	$ 1,026,355	$ 13,219,726

City of Gresham, Oregon
Combining Statement of Cash Flows
Internal Service Funds
For the Fiscal Year Ended June 30, 2012

	Property Management	Workers' Compensation	Information Services	Liability Management	Equipment Replacement	Legal Services	Utility Financial Services	Administrative Services	Total
Cash flows from operating activities:									
Receipts from customers	$ 3,993,940	$ 1,040,016	$ 2,095,074	$ 876,000	$ 1,040,745	$ 1,059,205	$ 2,220,554	$ 5,091,896	$ 17,417,430
Payments to suppliers for goods and services	(2,223,908)	(593,715)	(353,082)	(719,648)	(842,832)	(151,477)	(639,050)	(1,061,202)	(6,584,914)
Payments to employees for services	(1,108,611)	(173,230)	(1,763,624)	-	-	(863,820)	(1,321,681)	(4,544,157)	(9,775,123)
Other operating receipts	331,959	54,574	32,841	19,399	151,904	189	3,597	35,017	629,480
Net cash provided by operating activities	993,380	327,645	11,209	175,751	349,817	44,097	263,420	(478,446)	1,686,873
Cash flows from noncapital financing activities:									
Receipts from other funds	812,985	-	411,652	-	988,355	-	-	674,718	2,887,710
Payments to other funds	(95,979)	-	(388,199)	-	-	-	(130,626)	-	(614,804)
Net cash provided by (used in) noncapital financing activities	717,006	-	23,453	-	988,355	-	(130,626)	674,718	2,272,906
Cash flows from capital and related financing activities:									
Acquisition and construction of capital assets	(618,311)	(7,329)	(91,126)	-	-	-	-	-	(716,766)
Principal paid on notes payable and capital lease maturities	(646,075)	-	-	-	-	-	-	-	(646,075)
Interest paid on bonds and notes	(352,379)	-	-	-	-	-	-	-	(352,379)
Other capital and financing receipts	-	-	-	-	50,340	-	-	-	50,340
Other capital and financing payments	-	-	(1,875)	-	-	-	-	-	(1,875)
Net cash provided by (used in) capital and related financing activities	(1,616,765)	(7,329)	(93,001)	-	50,340	-	-	-	(1,666,755)
Cash flows from investing activities:									
Change in investments	427	130,578	83,969	(9,416)	(195,700)	(12,587)	15,242	(6,153)	6,360
Interest on investments	9,057	36,781	5,211	8,969	91,104	1,893	11,868	13,015	177,898
Net cash provided by (used in) investing activities	9,484	167,359	89,180	(447)	(104,596)	(10,694)	27,110	6,862	184,258
Net increase (decrease) in cash and cash equivalents	103,105	487,675	30,841	175,304	1,283,916	33,403	159,904	203,134	2,477,282
Cash and cash equivalents - beginning	139,691	733,210	87,651	209,602	1,645,848	35,958	224,888	274,530	3,351,378
Cash and cash equivalents - ending	$ 242,796	$ 1,220,885	$ 118,492	$ 384,906	$ 2,929,764	$ 69,361	$ 384,792	$ 477,664	$ 5,828,660
Classified on the Statement of Net Assets as:									
Cash and cash equivalents	$ 222,924	$ 532,059	$ 88,483	$ 92,828	$ 2,929,764	$ 39,291	$ 352,914	$ 334,675	$ 4,592,938
Restricted cash and cash equivalents	19,872	688,826	30,009	292,078	-	30,070	31,878	142,989	1,235,722
	$ 242,796	$ 1,220,885	$ 118,492	$ 384,906	$ 2,929,764	$ 69,361	$ 384,792	$ 477,664	$ 5,828,660
Reconciliation of operating income to net cash provided by operating activities:									
Operating income (loss)	$ 335,734	$ 79,655	$ (194,651)	$ (164,558)	$ (396,970)	$ 37,943	$ 226,026	$ (623,094)	$ (699,915)
Adjustments to reconcile operating income to net cash provided by operating activities:									
Depreciation and amortization	548,783	733	142,935	-	-	-	4,815	29,240	726,506
Changes in assets and liabilities:									
Receivables	6,758	-	(433)	-	(14,986)	-	(2,956)	(6,750)	(18,367)
Accounts payable	(20,266)	1,308	19,058	7,410	172,257	(9,526)	2,266	(29,397)	143,110
Other assets	8,769	1,143	775	942	6,757	17	798	1,014	20,215
Other liabilities	182	192,420	42,203	313,471	437,160	15,663	29,588	137,344	1,168,031
Other	113,420	52,386	1,322	18,486	145,599	-	2,883	13,197	347,293
Net cash from operating activities	$ 993,380	$ 327,645	$ 11,209	$ 175,751	$ 349,817	$ 44,097	$ 263,420	$ (478,446)	$ 1,686,873

City of Gresham, Oregon
Combining Statement of Net Assets
Facilities & Fleet Management Fund
June 30, 2012

	Facilities & Fleet Management Fund	City Facility Capital Improvement Fund	City Hall Debt Service Fund	Total
ASSETS				
Current assets:				
Cash and cash equivalents	$ 131,364	$ 76,296	$ 15,264	$ 222,924
Investments	314,608	182,723	36,557	533,888
Receivables, net	1,599	-	-	1,599
Due from other funds	152,118	246,273	-	398,391
Total current assets	599,689	505,292	51,821	1,156,802
Noncurrent assets:				
Other assets	47,145	815	163	48,123
Restricted cash and cash equivalents	19,872	-	-	19,872
Restricted investments	44,628	-	-	44,628
Capital assets:				
Non-depreciable	498,057	-	-	498,057
Depreciable, net	11,533,799	-	-	11,533,799
Total noncurrent assets	12,143,501	815	163	12,144,479
Total assets	12,743,190	506,107	51,984	13,301,281
LIABILITIES				
Current liabilities:				
Accounts payable	160,388	41,427	-	201,815
Accrued interest payable	-	-	22,625	22,625
Other accrued liabilities	19,601	11,384	2,278	33,263
Compensated absences	9,700	-	-	9,700
Bonds, notes and loans payable	711,075	-	-	711,075
Total current liabilities	900,764	52,811	24,903	978,478
Noncurrent liabilities:				
Compensated absences	54,800	-	-	54,800
Bonds, notes and loans payable	4,817,998	-	-	4,817,998
Total noncurrent liabilities	4,872,798	-	-	4,872,798
Total liabilities	5,773,562	52,811	24,903	5,851,276
NET ASSETS				
Invested in capital assets, net of related debt	6,541,708	-	-	6,541,708
Unrestricted	427,920	453,296	27,081	908,297
Total net assets	$ 6,969,628	$ 453,296	$ 27,081	$ 7,450,005

City of Gresham, Oregon
Combining Statement of Revenues, Expenses, and Changes in Fund Net Assets
Facilities & Fleet Management Fund
For the Fiscal Year Ended June 30, 2012

	Facilities & Fleet Management Fund	City Facility Capital Improvement Fund	City Hall Debt Service Fund	Eliminations	Total
OPERATING REVENUES					
Charges for services, internal	$ 3,987,182	$ -	$ -		$ 3,987,182
Miscellaneous	149,655	68,855	29		218,539
Total operating revenues	4,136,837	68,855	29		4,205,721
OPERATING EXPENSES					
Personal services	1,085,011	-	-		1,085,011
Professional and technical services	427,344	-	-		427,344
Property services	733,321	-	-		733,321
Other services	11,341	-	-		11,341
Supplies	916,821	-	-		916,821
Internal services	4,236	-	-		4,236
Other materials and services	-	143,130	-		143,130
Depreciation and amortization	548,783	-	-		548,783
Total operating expenses	3,726,857	143,130	-		3,869,987
Operating income (loss)	409,980	(74,275)	29		335,734
NONOPERATING REVENUES (EXPENSES)					
Miscellaneous revenue	62,691	50,729	-		113,420
Interest and investment income	9,057	-	-		9,057
Interest expense	(47,241)	-	(303,585)		(350,826)
Total nonoperating revenues (expenses)	24,507	50,729	(303,585)		(228,349)
Income (loss) before transfers	434,487	(23,546)	(303,556)		107,385
Capital contributions	39,484	-	-		39,484
Transfers in	634,951	552,245	310,000	$ (684,211)	812,985
Transfers out	(310,000)	(374,211)	-	$ 684,211	-
Change in net assets	798,922	154,488	6,444		959,854
Total net assets - beginning	6,170,706	298,808	20,637		6,490,151
Total net assets - ending	$ 6,969,628	$ 453,296	$ 27,081		$ 7,450,005

City of Gresham, Oregon

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Facilities & Fleet Management Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Intergovernmental	$ 139,800	$ 139,800	$ 149,446	$ 9,646
Miscellaneous	24,420	24,420	71,748	47,328
Internal service charges	3,986,833	3,986,833	3,987,182	349
Total revenues	4,151,053	4,151,053	4,208,376	57,323
EXPENDITURES				
Finance and management services	3,069,533	3,159,533	3,031,579	127,954
Fire and emergency services	170,000	170,000	169,940	60
Operating contingency	165,597	75,597	-	75,597
Total expenditures	3,405,130	3,405,130	3,201,519	203,611
Excess of revenues over expenditures	745,923	745,923	1,006,857	260,934
OTHER FINANCING SOURCES (USES)				
Transfers in	260,740	260,740	260,740	-
Transfers out	(1,039,100)	(1,239,100)	(1,239,100)	-
Total other financing sources (uses)	(778,360)	(978,360)	(978,360)	-
Net change in fund balances	(32,437)	(232,437)	28,497	260,934
Fund balances - beginning	32,437	232,437	239,051	6,614
Fund balances - ending	$ -	$ -	267,548	$ 267,548
Capital assets, net of depreciation			12,031,856	
Unrealized gain (loss) on investments			1,438	
Due from other funds			152,118	
Bond issue costs, net of amortization			45,741	
Debt payable, net			(5,529,073)	
Net assets - generally accepted accounting principles basis, ending			$ 6,969,628	

City of Gresham, Oregon

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
City Facility Capital Improvement Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Intergovernmental	$ 67,000	$ 67,000	$ 68,613	$ 1,613
Miscellaneous	-	-	50,729	50,729
Total revenues	67,000	67,000	119,342	52,342
EXPENDITURES				
Capital improvements	774,927	1,033,427	761,441	271,986
Total expenditures	774,927	1,033,427	761,441	271,986
Excess of expenditures over revenues	(707,927)	(966,427)	(642,099)	324,328
OTHER FINANCING SOURCES				
Transfers in	514,116	772,616	796,345	23,729
Total other financing sources	514,116	772,616	796,345	23,729
Net change in fund balances	(193,811)	(193,811)	154,246	348,057
Fund balances - beginning	371,800	371,800	298,324	(73,476)
Fund balances - ending	$ 177,989	$ 177,989	452,570	$ 274,581
Unrealized gain (loss) on investments			726	
Net assets - generally accepted accounting principles basis, ending			$ 453,296	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
City Hall Debt Service Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Total revenues	-	-	-	-
EXPENDITURES				
Debt service	$ 991,150	$ 991,150	$ 990,137	$ 1,013
Total expenditures	991,150	991,150	990,137	1,013
Excess of expenditures over revenues	(991,150)	(991,150)	(990,137)	1,013
OTHER FINANCING SOURCES				
Transfers in	995,000	995,000	995,000	-
Total other financing sources	995,000	995,000	995,000	-
Net change in fund balances	3,850	3,850	4,863	1,013
Fund balances - beginning	47,748	47,748	44,698	(3,050)
Fund balances - ending	$ 51,598	$ 51,598	49,561	$ (2,037)
Unrealized gain (loss) on investments			145	
Accrued interest			(22,625)	
Net assets - generally accepted accounting principles basis, ending			$ 27,081	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Workers' Compensation Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Miscellaneous	$ 14,600	$ 14,600	$ 89,167	$ 74,567
Internal service charges	1,040,016	1,040,016	1,040,016	-
Total revenues	1,054,616	1,054,616	1,129,183	74,567
EXPENDITURES				
City attorney office	1,224,166	1,224,166	969,145	255,021
Operating contingency	271,000	271,000	-	271,000
Total expenditures	1,495,166	1,495,166	969,145	526,021
Excess (deficiency) of revenues over (under) expenditures	(440,550)	(440,550)	160,038	600,588
Net change in fund balances	(440,550)	(440,550)	160,038	600,588
Fund balances - beginning	440,550	440,550	1,447,315	1,006,765
Fund balances - ending	$ -	$ -	1,607,353	$ 1,607,353
Capital assets, net of depreciation			6,596	
Unrealized gain (loss) on investments			11,114	
Net assets - generally accepted accounting principles basis, ending			$ 1,625,063	

City of Gresham, Oregon
Combining Statement of Net Assets
Information Technology Fund
June 30, 2012

	Information Technology Fund	IT System Replacement Fund	Total
ASSETS			
Current assets:			
Cash and cash equivalents	$ 88,227	$ 256	$ 88,483
Investments	211,297	612	211,909
Receivables, net	1,079	-	1,079
Due from other funds	541,717	-	541,717
Total current assets	842,320	868	843,188
Noncurrent assets:			
Other assets	943	2	945
Restricted cash and cash equivalents	30,009	-	30,009
Restricted investments	67,391	-	67,391
Capital assets:			
Non-depreciable	23,385	-	23,385
Depreciable, net	540,738	-	540,738
Total noncurrent assets	662,466	2	662,468
Total assets	1,504,786	870	1,505,656
LIABILITIES			
Current liabilities:			
Accounts payable	37,965	-	37,965
Other accrued liabilities	13,165	38	13,203
Compensated absences	14,600	-	14,600
Total current liabilities	65,730	38	65,768
Noncurrent liabilities:			
Compensated absences	82,800	-	82,800
Total noncurrent liabilities	82,800	-	82,800
Total liabilities	148,530	38	148,568
NET ASSETS			
Invested in capital assets, net of related debt	564,123	-	564,123
Unrestricted	792,133	832	792,965
Total net assets	$ 1,356,256	$ 832	$ 1,357,088

City of Gresham, Oregon
Combining Statement of Revenues, Expenses, and Changes in Fund Net Assets
Information Technology Fund
For the Fiscal Year Ended June 30, 2012

	Information Technology Fund	IT System Replacement Fund	Total
OPERATING REVENUES			
Charges for services, internal	$ 2,065,254	$ -	$ 2,065,254
Charges for services, external	30,253	-	30,253
Miscellaneous	31,519	-	31,519
Total operating revenues	2,127,026	-	2,127,026
OPERATING EXPENSES			
Personal services	1,792,624	-	1,792,624
Professional and technical services	230,254	-	230,254
Property services	119,362	-	119,362
Other services	2,285	-	2,285
Supplies	34,217	-	34,217
Depreciation and amortization	142,935	-	142,935
Total operating expenses	2,321,677	-	2,321,677
Operating income (loss)	(194,651)	-	(194,651)
NONOPERATING REVENUES (EXPENSES)			
Miscellaneous revenue	1,322	-	1,322
Interest and investment income	5,211	-	5,211
Disposition of capital assets	(1,875)	-	(1,875)
Total nonoperating revenues (expenses)	4,658	-	4,658
Income (loss) before transfers	(189,993)	-	(189,993)
Transfers in	411,652	-	411,652
Transfers out	(200,000)	-	(200,000)
Change in net assets	21,659	-	21,659
Total net assets - beginning	1,334,597	832	1,335,429
Total net assets - ending	$ 1,356,256	$ 832	$ 1,357,088

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Information Technology Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Intergovernmental	$ 21,000	$ 21,000	$ 31,541	$ 10,541
Charges for services	-	-	30,253	30,253
Miscellaneous	-	-	6,533	6,533
Internal service charges	2,265,254	2,265,254	2,065,254	(200,000)
Total revenues	2,286,254	2,286,254	2,133,581	(152,673)
EXPENDITURES				
Information technologies	2,721,987	2,721,987	2,459,942	262,045
Operating contingency	127,627	127,627	-	127,627
Total expenditures	2,849,614	2,849,614	2,459,942	389,672
Excess of expenditures over revenues	(563,360)	(563,360)	(326,361)	236,999
OTHER FINANCING SOURCES (USES)				
Transfers in	546,360	546,360	411,652	(134,708)
Transfers out	-	(200,000)	(200,000)	-
Total other financing sources (uses)	546,360	346,360	211,652	(134,708)
Net change in fund balances	(17,000)	(217,000)	(114,709)	102,291
Fund balances - beginning	17,000	217,000	364,002	147,002
Fund balances - ending	$ -	$ -	249,293	$ 249,293
Capital assets, net of depreciation			564,123	
Unrealized gain (loss) on investments			1,123	
Due from other funds			541,717	
Net assets - generally accepted accounting principles basis, ending			$ 1,356,256	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
IT System Replacement Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES	$	$	$	$
Total revenues	-	-	-	-
EXPENDITURES				
Total expenditures	-	-	-	-
Excess of revenues over expenditures	-	-	-	-
Net change in fund balances	-	-	-	-
Fund balances - beginning	$ -	$ -	$ 830	$ 830
Fund balances - ending	$ -	$ -	830	$ 830
Unrealized gain (loss) on investments			2	
Net assets - generally accepted accounting principles basis, ending			$ 832	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Liability Management Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Miscellaneous	$ 22,200	$ 22,200	$ 27,455	$ 5,255
Internal service charges	876,000	876,000	876,000	-
Total revenues	898,200	898,200	903,455	5,255
EXPENDITURES				
City attorney office	951,387	1,046,387	1,041,471	4,916
Operating contingency	310,813	215,813	-	215,813
Total expenditures	1,262,200	1,262,200	1,041,471	220,729
Excess of expenditures over revenues	(364,000)	(364,000)	(138,016)	225,984
Net change in fund balances	(364,000)	(364,000)	(138,016)	225,984
Fund balances - beginning	364,000	364,000	379,317	15,317
Fund balances - ending	$ -	$ -	241,301	$ 241,301
Unrealized gain (loss) on investments			3,651	
Net assets - generally accepted accounting principles basis, ending			$ 244,952	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Equipment Replacement Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Miscellaneous	$ 84,955	$ 84,955	$ 287,043	$ 202,088
Internal service charges	1,844,087	1,844,087	1,844,087	-
Total revenues	1,929,042	1,929,042	2,131,130	202,088
EXPENDITURES				
Finance and management services	2,534,941	2,734,941	1,459,007	1,275,934
Total expenditures	2,534,941	2,734,941	1,459,007	1,275,934
Excess (deficiency) of revenues over (under) expenditures	(605,899)	(805,899)	672,123	1,478,022
OTHER FINANCING SOURCES				
Transfers in	-	200,000	200,000	-
Total other financing sources	-	200,000	200,000	-
Net change in fund balances	(605,899)	(605,899)	872,123	1,478,022
Fund balances - beginning	7,904,711	7,904,711	8,436,527	531,816
Fund balances - ending	$ 7,298,812	$ 7,298,812	9,308,650	$ 2,009,838
Unrealized gain (loss) on investments			27,862	
Due to other funds			(9,038,321)	
Net assets - generally accepted accounting principles basis, ending			$ 298,191	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Legal Services Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Charges for services	$ -	$ -	$ 15	$ 15
Miscellaneous	-	-	1,893	1,893
Internal service charges	1,059,190	1,059,190	1,059,190	-
Total revenues	1,059,190	1,059,190	1,061,098	1,908
EXPENDITURES				
City attorney office	1,012,813	1,059,190	1,021,451	37,739
Operating contingency	46,377	-	-	-
Total expenditures	1,059,190	1,059,190	1,021,451	37,739
Excess of revenues over expenditures	-	-	39,647	39,647
Net change in fund balances	-	-	39,647	39,647
Fund balances - beginning	-	-	84,111	84,111
Fund balances - ending	$ -	$ -	123,758	$ 123,758
Unrealized gain (loss) on investments			659	
Net assets - generally accepted accounting principles basis, ending			$ 124,417	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Utility Financial Services Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Charges for services	$ 62,000	$ 62,000	$ 400,813	$ 338,813
Miscellaneous	325,000	325,000	14,751	(310,249)
Internal service charges	1,809,356	1,809,356	1,809,356	-
Total revenues	2,196,356	2,196,356	2,224,920	28,564
EXPENDITURES				
Finance and management services	2,153,738	2,153,738	1,986,668	167,070
Operating contingency	18,618	18,618	-	18,618
Total expenditures	2,172,356	2,172,356	1,986,668	185,688
Excess of revenues over expenditures	24,000	24,000	238,252	214,252
OTHER FINANCING (USES)				
Transfers out	(124,000)	(124,000)	(124,000)	-
Total other financing (uses)	(124,000)	(124,000)	(124,000)	-
Net change in fund balances	(100,000)	(100,000)	114,252	214,252
Fund balances - beginning	100,000	100,000	913,383	813,383
Fund balances - ending	$ -	$ -	1,027,635	$ 1,027,635
Capital assets, net of depreciation			26,422	
Unrealized gain (loss) on investments			3,658	
Due from other funds			35,940	
Net assets - generally accepted accounting principles basis, ending			$ 1,093,655	

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Administrative Services Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Intergovernmental	$ 7,515	$ 31,265	$ 20,830	$ (10,435)
Charges for services	18,900	18,900	24,189	5,289
Miscellaneous	-	-	26,212	26,212
Internal service charges	5,181,125	5,181,125	5,074,457	(106,668)
Total revenues	5,207,540	5,231,290	5,145,688	(85,602)
EXPENDITURES				
Office of governance and management	1,365,322	1,365,322	1,189,815	175,507
City auditor	150,687	150,687	122,481	28,206
Finance and management services	1,764,384	1,804,384	1,621,659	182,725
City-wide services	3,010,527	3,118,027	2,785,899	332,128
Operating contingency	106,500	66,500	-	66,500
Total expenditures	6,397,420	6,504,920	5,719,854	452,938
Excess of expenditures over revenues	(1,189,880)	(1,273,630)	(574,166)	367,336
OTHER FINANCING SOURCES				
Transfers in	709,880	757,380	652,291	(105,089)
Total other financing sources	709,880	757,380	652,291	(105,089)
Net change in fund balances	(480,000)	(516,250)	78,125	262,247
Fund balances - beginning	480,000	516,250	895,920	379,670
Fund balances - ending	$ -	$ -	974,045	$ 974,045
Capital assets, net of depreciation			25,918	
Unrealized gain (loss) on investments			4,422	
Due from other funds			21,970	
Net assets - generally accepted accounting principles basis, ending			$ 1,026,355	

Fiduciary Funds

Fiduciary funds are used to account for assets held in a trustee or agency capacity for others and therefore, cannot be used to support the City's own programs. The funds included in this fund type are:

Downtown Economic Improvement Fund – Private-purpose trust fund that accounts for the collection of assessments from benefited property owners in downtown Gresham. Assessments are remitted to Gresham Downtown Development Association to support economic development.

Benefits Fund – Agency fund that accounts for the accumulation and disbursement of monies for employee payroll taxes, and fringe benefits.

City of Gresham, Oregon
Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
Downtown Economic Improvement Fund
For the Fiscal Year Ended June 30, 2012

	Original Budget	Final Budget	Actual	Variance With Final Budget- Positive (Negative)
REVENUES				
Licenses and permits	$ 54,400	$ 54,400	$ -	$ (54,400)
Miscellaneous	-	-	6	6
Total revenues	54,400	54,400	6	(54,394)
EXPENDITURES				
Finance and management services	62,400	62,400	1,815	60,585
Total expenditures	62,400	62,400	1,815	60,585
Net change in fund balances	(8,000)	(8,000)	(1,809)	6,191
Fund balances - beginning	8,000	8,000	1,809	(6,191)
Fund balances - ending	$ -	$ -	-	$ -

City of Gresham, Oregon
Statement of Changes in Assets and Liabilities
Benefits Fund
For the Fiscal Year Ended June 30, 2012

	Balance June 30, 2011	Additions	Deletions	Balance June 30, 2012
ASSETS				
Cash and cash equivalents	$ 283,231	$ 31,526,994	$ 31,359,530	$ 450,695
Receivables	2,262	628,126	586,130	44,258
Investments	1,173,788	1,079,380	1,173,788	1,079,380
Other assets	6,551	4,817	6,551	4,817
Total assets	$ 1,465,832	$ 33,239,317	$ 33,125,999	$ 1,579,150
LIABILITIES				
Liabilities:				
Accounts payable	$ -	$ 1,440,037	$ 1,393,986	$ 46,051
Other liabilities	1,465,832	30,537,317	30,470,050	1,533,099
Total liabilities	$ 1,465,832	$ 31,977,354	$ 31,864,036	$ 1,579,150

Other Schedules

City of Gresham, Oregon
Schedule of Expenditures of Federal Awards
For the Fiscal Year Ended June 30, 2012

Federal Grantor/ Program Title or Cluster Title/ Pass-through Grantor	Federal CFDA Number		Expenditures of Federal Awards
U.S. Department of Housing and Urban Development			
CDBG - Entitlements Grants Cluster:			
Community Development Block Grants/Entitlement Grants	14.218	**	1,120,713
ARRA - Community Development Block Grant ARRA Entitlement Grants (CDBG-R) (Recovery Act Funded)	14.253	**	57,996
Total CDBG - Entitlements Grants Cluster			1,178,709
Oregon Housing and Community Services			
Economic Development Initiative - Special Project, Neighborhood Initiative and Miscellaneous Grants	14.251		73,969
City of Portland			
Home Investment Partnerships Program	14.239		405,936
Total U.S. Department of Housing and Urban Development			**1,658,614**
U.S. Department of Energy			
ARRA - Energy Efficiency and Conservation Block Grant Program (EECBG)	81.128	**	570,799
Total U.S. Department of Energy			**570,799**
U.S. Department of Homeland Security			
Assistance to Firefighters Grant - 2009	97.044		2,228
Assistance to Firefighters Grant - 2010	97.044		42,350
			44,578
Oregon Military Department, Office of Emergency Management			
Emergency Management Performance Grants - 2010	97.042		34,295
Emergency Management Performance Grants - 2011	97.042		134,904
			169,199
State Homeland Security Program (SHSP) - 2009	97.073		40,419
State Homeland Security Program (SHSP) - 2010	97.073		37,049
State Homeland Security Program (SHSP) - 2011	97.073		2,739
			80,207

City of Gresham, Oregon
Schedule of Expenditures of Federal Awards
For the Fiscal Year Ended June 30, 2012

Federal Grantor/ Program Title or Cluster Title/ Pass-through Grantor	Federal CFDA Number		Expenditures of Federal Awards
Pre-Disaster Mitigation	97.047		67,138
Citizen Corps - 2009	97.053		3,347
Total U.S. Department of Homeland Security			**364,470**
U.S. Department of Justice			
ARRA - Public Safety Partnership and Community Policing Grants	16.710	**	514,364
Public Safety Partnership and Community Policing Grants	16.710	**	30,204
			544,568
Bulletproof Vest Partnership Program	16.607		8,766
JAG Program Cluster:			
City of Portland			
Edward Byrne Memorial Justice Assistance Grant Program - 2008	16.738	**	163
Edward Byrne Memorial Justice Assistance Grant Program - 2010	16.738	**	4,763
Edward Byrne Memorial Justice Assistance Grant Program - 2011	16.738	**	3,983
			8,910
ARRA - Recovery Act - Edward Byrne Memorial Justice Assistance Grant (JAG) Program/Grants to Units of Local Government	16.804	**	122,372
Total JAG Program Cluster			131,282
Total U.S. Department of Justice			**684,616**

City of Gresham, Oregon
Schedule of Expenditures of Federal Awards
For the Fiscal Year Ended June 30, 2012

Federal Grantor/ Program Title or Cluster Title/ Pass-through Grantor	Federal CFDA Number	Expenditures of Federal Awards
U.S. Department of Transportation		
Oregon Association Chiefs of Police		
Alcohol Impaired Driving Countermeasures Incentive Grants I - 2010-2011	20.601	10,860
Alcohol Impaired Driving Countermeasures Incentive Grants I - 2011-2012	20.601	15,100
		25,960
Oregon Department of Transportation		
Highway Planning and Construction	20.205	366,013
		366,013
Total U.S. Department of Transportation		**391,973**
Department of Health and Human Services Centers for Disease Control and Prevention		
Multnomah County Health Department		
ARRA - Prevention and Wellness - Communities Putting Prevention to Work Funding Opportunities Announcement (FOA)	93.724	31,916
Total Department of Health and Human Services Centers for Disease Control and Prevention		**31,916**
Total		**3,702,387**

** Major Programs

City of Gresham, Oregon
Notes to the Schedule of Expenditures of Federal Awards
For the Fiscal Year Ended June 30, 2012

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards includes the federal grant activity of the City of Gresham and is presented on the modified accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of OMB Circular A-133, Audits of States, Local Governments, and Non-Profit Organizations. Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the general-purpose financial statements.

Note 2. Subrecipients

Of the federal expenditures presented in the schedule, the City of Gresham provided federal awards to subrecipients as follows:

Program Title	Federal CFDA Number	Amount Provided to Subrecipients
Community Development Block Grants/Entitlement Grants	14.218	$ 1,120,713
Home Investment Partnerships Program	14.239	$ 405,936
ARRA - Energy Efficiency and Conservation Block Grant Program (EECBG)	81.128	$ 200,000

CITY OF GRESHAM, OREGON
Combined Schedule of Property Tax Transactions All Funds
For the Fiscal Year Ended June 30, 2012

Tax Year	Receivable Balance July 1, 2011	Levy	Tax Collections	Discounts	Adjustments	Receivable Balance June 30, 2012
2011/12	$ -	$ 27,113,606	$ (25,454,913)	$ (678,345)	$ (138,372)	$ 841,976
2010/11	740,726	-	(258,600)	4,296	(53,865)	432,557
2009/10	340,278	-	(42,797)	3,203	(17,481)	283,203
2008/09	187,050	-	(107,125)	42	(2,246)	77,721
2007/08	62,775	-	(47,062)	39	(2,019)	13,733
2006/07	10,696	-	(4,564)	-	(371)	5,761
Prior	33,348	-	(2,626)	-	(288)	30,434
	$ 1,374,873	$ 27,113,606	$ (25,917,687)	$ (670,765)	$ (214,642)	$ 1,685,385

Reconciliation to fund financial statements:

	Property Tax Collections								
Fund	Current Year Collections	Prior Years' Collections	August 31, 2011	August 31, 2012	Interest and Other Adjustments	Total	Other Taxes	Total Tax Revenues for the Fiscal Year Ended June 30, 2012	Receivable Balance June 30, 2012
General	$ 22,805,816	$ 417,037	$ (106,765)	$ 111,873	$ 171,711	$ 23,399,672	$ 4,238,436	$ 27,638,108	$ 1,514,830
Debt Service	-	2,763	(806)	-	817	2,774	-	2,774.27	3,788
Urban Renewal	2,649,097	42,974	(10,665)	11,877	17,265	2,710,548	-	2,710,548	166,767
	25,454,913	462,774	(118,236)	123,750	189,793	26,112,994	4,238,436	30,351,430	1,685,385

Statistical Section

This part of the City of Gresham's comprehensive annual financial report presents detailed information as a context for understanding what the information in the financial statements, note disclosures, and required supplementary information says about the City's overall financial health.

Financial Trends
These schedules contain trend information to help the reader understand how the City's financial performance has changed over time.

Revenue Capacity
These schedules contain information to help the reader assess the City's most significant local revenue source, the property tax.

Debt Capacity
These schedules contain information to help the reader assess the affordability of the City's current levels of outstanding debt and the City's ability to issue additional debt in the future.

Demographic and Economic Information
These schedules offer demographic and economic indicators to help the reader understand the environment where the City's financial activities take place and to help make comparisons over time.

Operating Information
These schedules contain service and infrastructure data to help the reader understand how the information in the City's financial report relates to the services the City provides and the activities it performs.

Sources: Unless otherwise noted, the information in these schedules is derived from the comprehensive annual financial reports for the relevant year. The City implemented GASBS 34 in FY 2002-2003; schedules presenting government-wide information include information beginning in that year.

City of Gresham, Oregon
Net Assets by Component
o r e last ten s al yea s
(accrual basis of accounting)

	Fiscal Year									
	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012
Governmental activities										
Invested in capital assets, net of related debt	$ 21,720,312	$ 31,300,681	$ 43,466,414	$ 401,033,636	$ 986,396,751	$ 959,587,544	$ 930,557,477	$ 901,963,958	$ 863,746,464	$ 828,386,469
Restricted	17,817,054	18,871,147	45,523,956	43,046,676	40,271,381	41,778,772	42,080,793	48,400,592	40,281,459	35,457,503
Unrestricted	8,214,223	8,291,471	8,481,361	29,846,588	8,984,585	12,206,497	12,197,479	2,482,917	9,323,501	11,376,559
Total governmental activities net assets	47,751,589	58,463,299	97,471,731	473,926,900	1,035,652,717	1,013,572,813	984,835,749	952,847,467	913,351,424	875,220,531
Business-type activities										
Invested in capital assets, net of related debt	122,241,467	129,190,566	137,593,319	161,398,334	171,771,839	181,996,588	188,922,609	195,087,866	196,080,153	201,004,436
Restricted	39,859,601	36,436,287	11,800,202	10,934,290	13,988,952	11,020,687	7,858,378	8,147,682	9,640,806	9,931,470
Unrestricted	41,129,166	46,046,742	51,570,395	53,561,605	58,329,031	64,701,628	73,694,629	75,459,832	76,918,257	77,422,112
Total business-type activities net assets	203,230,254	211,673,595	200,963,916	225,894,229	244,090,822	257,718,903	270,475,616	278,695,380	282,640,216	288,358,018
Primary government										
Invested in capital assets, net of related debt	143,961,799	160,491,247	181,059,733	562,421,970	1,158,168,590	1,141,584,132	1,119,480,086	1,097,051,824	1,059,826,617	1,029,390,905
Restricted	57,676,655	55,307,434	57,324,158	53,980,966	54,261,333	52,799,459	49,939,171	56,548,274	49,922,265	45,388,973
Unrestricted	49,343,389	54,338,213	60,051,756	83,408,193	67,313,616	76,908,125	85,892,308	77,942,749	86,242,758	88,798,671
Total primary government net assets	$ 250,981,843	$ 270,136,894	$ 298,435,647	$ 699,811,129	$ 1,279,743,539	$ 1,271,291,716	$ 1,255,311,565	$ 1,231,542,847	$ 1,195,991,640	$ 1,163,578,549

Information derived from current and past years' Comprehensive Annual Financial Reports.

City of Gresham, Oregon
Changes in Net Assets
for the last ten fiscal years
(accrual basis of accounting)

	Fiscal Year									
	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012
Expenses										
Governmental activities:										
General government	$ 8,569,693	$ 6,881,175	$ 9,457,402	$ 16,994,017	$ 17,025,158	$ 18,146,106	$ 16,730,137	$ 16,979,629	$ 18,132,134	$ 18,508,873
Public safety	26,794,756	31,218,376	30,851,576	35,413,218	37,077,422	39,275,265	39,556,615	29,698,462	29,307,610	30,006,778
Transportation	3,715,414	5,663,681	5,097,581	18,486,190	43,385,483	40,355,901	40,528,021	46,532,755	48,966,993	49,006,201
Community & economic development[1]	6,442,055	6,316,916	7,491,034	6,652,451	8,263,108	8,136,790	-	-	-	-
Urban design and planning	-	-	-	-	-	-	3,175,576	3,161,075	3,539,297	2,611,405
Community development	-	-	-	-	-	136,843	4,731,928	3,611,731	3,376,329	2,913,104
Economic development services	-	-	-	-	-	-	1,356,940	381,287	481,400	519,584
Environmental services	2,143,922	2,391,014	2,335,502	3,348,340	3,766,454	4,811,198	5,795,545	4,286,201	5,229,337	3,762,583
Urban renewal	-	701,378	346,591	11,759,043	604,829	1,000,233	1,079,405	2,449,717	7,161,360	5,000,945
Interest on long-term debt	1,045,043	733,740	1,993,957	2,164,769	3,016,724	2,480,035	1,889,024	1,823,668	2,743,009	2,608,776
Total governmental activities expenses	48,710,883	53,906,280	57,573,643	94,818,028	113,139,178	114,342,371	114,843,191	108,924,525	118,937,469	114,938,249
Business-type activities:										
Water	8,428,538	7,719,050	8,316,481	10,954,759	9,360,499	9,162,370	9,819,047	9,841,207	10,345,989	11,047,719
Stormwater	4,544,329	3,476,964	3,919,584	5,793,242	5,841,203	5,972,004	6,167,605	6,232,881	7,141,091	6,748,674
Wastewater	11,178,130	10,027,003	10,169,171	12,978,962	13,005,378	13,486,633	13,885,937	14,071,421	16,359,697	16,541,486
Total business-type activities expenses	24,150,997	21,223,017	22,405,236	29,726,963	28,207,080	28,621,007	29,872,589	30,145,509	33,846,777	34,337,879
Total government expenses	$ 72,861,880	$ 75,129,297	$ 79,978,879	$ 124,544,991	$ 141,346,258	$ 142,963,378	$ 144,715,780	$ 139,070,034	$ 152,784,246	$ 149,276,128
Program Revenues										
Governmental activities:										
Charges for services:										
General government	$ 1,140,786	$ 1,534,413	$ 11,063,794	$ 6,486,860	$ 6,495,616	$ 7,972,885	$ 8,328,958	$ 3,702,204	$ 3,797,023	$ 3,978,220
Public safety	3,550,046	4,247,861	4,473,899	11,898,102	12,772,472	14,153,841	13,597,677	5,803,781	5,738,956	5,900,559
Transportation	3,248,184	3,687,297	4,008,222	7,171,281	8,192,656	7,407,838	5,470,276	4,357,869	4,252,562	4,361,142
Community & economic development[1]	4,818,749	3,691,611	5,610,139	7,444,868	6,708,330	-	-	-	-	-
Urban design and planning	-	-	-	-	-	-	2,022,454	351,013	394,869	285,700
Community Development	-	-	-	-	-	34,946	2,229,156	1,657,231	2,501,368	2,808,480
Economic development services	-	-	-	-	-	6,403,564	-	-	-	-
Environmental services	1,595,315	2,390,047	621,099	4,712,218	7,341,561	6,446,658	5,597,419	3,041,148	3,339,115	2,511,339
Urban renewal	-	-	-	8,424,278	1,626,584	1,418,240	1,067,768	2,436,269	5,137,001	3,463,210
Operating grants and contributions	5,949,346	7,897,998	9,120,036	389,489,888	7,727,761	6,705,941	6,681,022	9,278,757	10,679,998	10,432,437
Capital grants and contributions	3,400,201	4,816,021	5,482,582	5,010,107	1,295,226	997,885	1,339,745	7,880,879	4,492,794	1,953,926
Total governmental activities program revenues	23,702,627	28,265,248	40,379,771	440,637,602	52,160,206	51,541,798	46,334,475	38,509,151	40,333,686	35,695,013
Business-type activities										
Charges for services:										
Water	10,823,766	10,846,874	9,290,410	11,586,315	12,372,499	11,544,682	11,778,973	12,091,945	12,243,099	12,341,723
Stormwater	5,724,775	5,635,717	5,177,681	5,516,723	5,934,788	6,026,837	6,147,444	6,453,171	6,731,757	7,069,240
Wastewater	13,301,591	12,600,068	11,940,116	13,619,171	13,514,957	14,224,120	14,390,262	14,392,924	14,727,342	15,395,361
Operating grants and contributions	-	-	-	-	-	-	14,144	-	-	-
Capital grants and contributions	2,253,454	4,678,488	5,754,746	15,845,711	3,576,884	3,533,432	3,468,521	2,103,428	1,193,828	2,152,577
Total business-type activities program revenues	32,103,586	33,761,147	32,162,953	46,567,920	35,399,128	35,329,071	35,799,344	35,041,468	34,896,026	36,958,901
Total government program revenues	55,806,213	62,026,395	72,542,724	487,205,522	87,559,334	86,870,869	82,133,819	73,550,619	75,229,712	72,653,914

Changes in Net Assets continued

	Fiscal Year									
	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012
Net (Expense) Revenue										
Governmental activities	(22,478,406)	(23,625,415)	(17,193,872)	345,819,574	(60,978,972)	(62,800,573)	(68,508,716)	(70,415,374)	(78,603,783)	(79,243,236)
Business-type activities	5,422,739	10,522,513	9,757,717	16,840,957	7,192,048	6,708,064	5,926,755	4,895,959	1,049,249	2,621,022
Total net expenses	(17,055,667)	(13,102,902)	(7,436,155)	362,660,531	(53,786,924)	(56,092,509)	(62,581,961)	(65,519,415)	(77,554,534)	(76,622,214)
General Revenues and Other Changes in Net Assets										
Governmental activities:										
Taxes										
Property taxes, levied for general purposes	17,713,107	18,208,471	18,736,632	20,493,144	21,737,341	22,850,875	23,939,439	25,132,892	25,846,750	26,380,647
Property taxes, levied for debt service	1,510,830	905,987	1,812,169	1,025,056	1,062,605	494,742	352,972	14,198	12,178	37,346
License taxes	6,642,505	6,862,551	6,908,695	7,599,193	7,815,153	7,982,996	8,309,305	8,207,930	7,980,453	8,936,935
Business income taxes	2,159,626	2,346,436	3,022,779	4,003,031	4,633,243	5,279,450	3,579,065	3,428,710	3,778,125	4,215,128
Hotel and motel taxes	432,203	426,822	441,803	468,535	556,046	615,729	563,215	454,954	460,311	495,019
Other taxes	540,390	381,405	576,860	333,830	221,434	188,428	203,380	103,368	230,942	163,055
Grants and contributions	1,539,495	1,630,067	1,650,700	2,277,052	2,508,859	2,437,816	2,996,833	2,012,939	2,093,534	2,392,870
Interest and investment earnings	1,000,646	409,636	1,317,752	2,007,955	3,342,062	3,803,933	3,021,915	1,026,427	736,259	711,744
Transfers	446,810	3,165,750	(163,458)	(6,131,009)	(7,806,339)	(2,933,300)	(3,194,472)	(2,127,139)	(2,030,812)	(2,220,401)
Total governmental activities revenues	31,985,612	34,337,125	34,303,932	32,076,787	34,070,404	40,720,669	39,771,652	38,254,279	39,107,740	41,112,343
Business-type activities:										
Interest and investment earnings	2,134,019	1,086,578	1,267,518	1,948,347	3,208,206	3,986,717	3,249,497	1,196,466	864,775	876,379
Transfers	(446,810)	(3,165,750)	163,458	6,131,009	7,806,339	2,933,300	3,194,472	2,127,139	2,030,812	2,220,401
Total business-type activities revenue (expense)	1,687,209	(2,079,172)	1,430,976	8,079,356	11,014,545	6,920,017	6,443,969	3,323,605	2,895,587	3,096,780
Total government revenues	$ 33,672,821	$ 32,257,953	$ 35,734,908	$ 40,156,143	$ 45,084,949	$ 47,640,686	$ 46,215,621	$ 41,577,884	$ 42,003,327	$ 44,209,123
Change in Net Assets										
Governmental activities	$ 9,507,206	$ 10,711,710	$ 17,110,060	$ 377,896,361	$ (26,908,568)	$ (22,079,904)	$ (28,737,064)	$ (32,161,095)	$ (39,496,043)	$ (38,130,893)
Prior period adjustment to governmental activities	-	-	21,898,372	(1,441,192)	588,634,385	-	-	-	-	-
Business-type activities	7,109,948	8,443,341	11,188,693	24,920,313	18,206,593	13,628,081	12,370,724	8,219,564	3,944,836	5,717,802
Prior period adjustment to business-type activities	-	-	(21,898,372)	-	-	-	386,189	-	-	-
Total government	$ 16,617,154	$ 19,155,051	$ 28,298,753	$ 401,375,482	$ 579,932,410	$ (8,451,823)	$ (15,980,151)	$ (23,941,531)	$ (35,551,207)	$ (32,413,091)

[1] Community & Economic Development divided into three new departments between fiscal years 2007-08 and 2008-09.

Information derived from current and past years' Comprehensive Annual Financial Reports.

ity o Gres am re on

Fund alances o Governmental Funds[1]

for the last ten fiscal years

(modified accrual basis of accounting)

	Fiscal Year									
	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012
General Fund										
Unassigned	$ 4,359,652	$ 4,812,223	$ 7,207,064	$ 8,507,357	$ 10,186,720	$ 9,828,112	$ 7,808,993	$ 10,423,352	$ 9,871,456	$ 10,985,939
Total General Fund	4,359,652	4,812,223	7,207,064	8,507,357	10,186,720	9,828,112	7,808,993	10,423,352	9,871,456	10,985,939
Transportation Fund										
Restricted	3,269,114	4,822,028	5,570,017	7,839,028	10,004,687	9,371,232	9,716,367	10,103,391	10,306,944	9,800,186
Total Transportation Fund	3,269,114	4,822,028	5,570,017	7,839,028	10,004,687	9,371,232	9,716,367	10,103,391	10,306,944	9,800,186
System Development Charge Fund										
Restricted	31,191,843	30,290,984	33,269,103	26,964,263	21,287,613	22,627,887	20,771,018	17,372,915	14,947,502	12,551,182
Total System Development Charges Fund	31,191,843	30,290,984	33,269,103	26,964,263	21,287,613	22,627,887	20,771,018	17,372,915	14,947,502	12,551,182
Grants Fund										
Restricted	-	1,766	-	-	-	-	-	-	-	-
Total Grants Fund	-	1,766	-	-	-	-	-	-	-	-
City Backed Urban Renewal Fund										
Restricted	-	-	-	-	-	-	-	27,571,680	18,443,804	-
Total City Backed Urban Renewal Fund	-	-	-	-	-	-	-	27,571,680	18,443,804	-
Rockwood UR Debt Service Fund										
Unassigned	-	-	-	-	-	-	-	(12,105,060)	(11,488,256)	(11,859,277)
Total Rockwood UR Debt Service Fund	-	-	-	-	-	-	-	(12,105,060)	(11,488,256)	(11,859,277)
Rockwood UR Capital Projects Fund										
Unassigned	-	-	-	-	-	(7,829,127)	(8,852,911)	-	-	-
Total Rockwood UR Capital Projects Fund	-	-	-	-	-	(7,829,127)	(8,852,911)	-	-	-
Urban Renewal Support Fund										
Restricted	-	-	-	4,726	8,011,306	-	9,642,887	-	-	-
Total Urban Renewal Support Fund	-	-	-	4,726	8,011,306	-	9,642,887	-	-	-
Transportation Construction Fund										
Assigned	-	-	-	665,209	-	-	-	-	-	-
Total Transportation Construction Fund	-	-	-	665,209	-	-	-	-	-	-
Nonmajor Governmental Funds										
Restricted	4,685,464	5,960,311	6,870,851	6,736,988	8,650,599	18,096,666	2,360,705	13,579,164	9,208,059	25,966,727
Assigned	2,675,318	2,425,467	2,584,839	3,674,789	2,030,012	4,570,979	13,321,341	4,412,887	5,034,433	5,968,924
Unassigned	-	(286,768)	-	-	(6,879,097)	-	-	-	-	-
Total Nonmajor Governmental Funds	7,360,782	8,099,010	9,455,690	10,411,777	3,801,514	22,667,645	15,682,046	17,992,051	14,242,492	31,935,651
otal all Funds	46 181 391	48 026 011	55 501 874	54 392 360	53 291 840	56 665 749	54 768 400	71 358 329	56 323 942	53 413 681

[1] Includes all governmental type funds

City of Gresham, Oregon

Changes in Fund alances o Governmental Funds

for the last ten fiscal years

(modified accrual basis of accounting)

	Fiscal Year									
	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012
Revenues										
Taxes	$ 21,992,091	$ 21,900,795	$ 24,696,888	$ 26,052,496	$ 27,976,831	$ 29,169,883	$ 28,260,700	$ 29,034,739	$ 30,120,054	$ 30,823,141
Licenses and permits	2,625,733	2,344,478	2,807,261	2,552,700	2,749,184	2,917,730	2,319,221	1,869,010	2,069,498	2,239,950
Intergovernmental	12,193,705	14,907,428	17,208,155	29,718,660	21,589,216	19,792,180	27,983,753	27,354,915	29,439,638	29,206,206
Charges for services	10,775,726	9,868,422	14,840,894	10,787,849	11,256,587	10,348,551	6,229,364	3,627,949	4,182,773	3,632,593
License fees	6,642,505	6,862,552	6,908,696	7,599,193	7,815,153	7,982,996	8,309,306	8,188,851	7,980,452	8,936,935
Miscellaneous	2,062,989	1,261,941	1,518,302	1,917,795	3,402,137	3,761,087	2,827,234	1,214,733	847,642	923,738
Contributions and donations	-	-	-	-	-	-	10,000	73,978	17,210	-
Internal service charges	999,515	1,156,798	1,141,451	3,102,605	3,302,682	2,654,601	2,967,015	4,071,341	3,887,185	3,528,690
Total revenues	57,292,264	58,302,414	69,121,647	81,731,298	78,091,790	76,627,028	78,906,593	75,435,516	78,544,452	79,291,253
Expenditures										
Current:										
General government	9,863	11,633	134,820	574,324	726,626	748,065	40,343	663,066	960,022	6,305
Public safety	30,616,299	27,592,489	28,040,560	35,718,127	36,889,583	39,138,869	39,549,801	37,774,358	39,395,779	39,772,617
Transportation	4,254,997	4,195,184	3,968,823	6,919,428	8,507,446	7,935,022	7,463,775	7,369,449	7,983,123	8,208,975
Urban design and planning [1]	-	-	-	-	-	-	3,150,947	4,202,110	4,763,971	3,596,322
Community development [1]	-	-	-	-	-	136,843	4,659,635	4,618,959	4,571,322	3,874,064
Environmental services	2,393,713	2,044,364	2,055,967	3,180,947	2,923,020	5,659,255	5,932,098	5,401,021	5,531,132	5,132,674
Economic development services [1]	7,408,586	5,509,554	6,811,483	6,551,639	8,184,757	8,047,467	1,347,326	492,422	642,641	734,209
Urban renewal	-	317,599	346,591	9,040,251	651,198	990,923	1,067,727	2,505,655	5,145,898	4,802,798
Debt service:										
Interest	326,778	486,287	1,798,591	2,083,299	2,576,608	2,042,374	1,668,089	1,456,737	4,276,495	5,515,742
Principal	1,508,487	1,359,632	2,050,915	1,836,568	1,660,927	2,919,602	17,362,687	6,679,550	10,822,000	3,506,944
Capital outlay	4,035,116	5,165,093	6,432,229	19,825,012	8,615,166	3,736,930	9,300,558	8,913,457	7,324,727	6,353,435
Reserved for future expenditures	-	383,779	-	-	-	-	-	-	-	-
Total expenditures	50,553,839	47,065,614	51,639,979	85,729,595	70,735,331	71,355,350	91,542,986	80,076,784	91,417,110	81,504,085
Excess (deficiency) of revenues over (under) expenditures	6,738,425	11,236,800	17,481,668	(3,998,297)	7,356,459	5,271,678	(12,636,393)	(4,641,268)	(12,872,658)	(2,212,832)
Other inancing sources (uses)										
Debt/refunding proceeds	4,518,140	20,559,055	2,688,507	9,229,066	323,172	1,558,743	14,049,090	24,970,000	1,350,000	2,605,000
Transfers in	7,107,853	8,153,228	11,729,026	14,938,104	11,550,919	9,984,008	17,624,678	74,093,922	13,520,106	13,534,774
Transfers out	(14,924,799)	(19,112,538)	(24,423,338)	(21,278,387)	(20,331,070)	(13,440,520)	(20,934,724)	(77,832,725)	(17,031,835)	(17,508,103)
Payment to refund debt	(4,421,704)	-	-	-	-	-	-	-	-	-
Payment on pension unfunded liability and escrow	-	(18,991,925)	-	-	-	-	-	-	-	-
Total other financing sources (uses)	(7,720,510)	(9,392,180)	(10,005,805)	2,888,783	(8,456,979)	(1,897,769)	10,739,044	21,231,197	(2,161,729)	(1,368,329)
Net change in und alances	$ (982,085)	$ 1,844,620	$ 7,475,863	$ (1,109,514)	$ (1,100,520)	$ 3,373,909	$ (1,897,349)	$ 16,589,929	$ (15,034,387)	$ (3,581,161)
Total expenditures	50,553,839	47,065,614	51,639,979	85,729,595	70,735,331	71,355,350	91,542,986	80,076,784	91,417,110	81,504,085
Less: capital expenditures	(2,054,118)	(3,235,269)	(1,929,012)	(2,506,865)	(5,084,861)	(7,422,352)	(11,304,513)	(9,928,319)	(6,756,129)	(8,253,734)
Total noncapital expenditures	48,499,721	43,830,345	49,710,967	83,222,730	65,650,470	63,932,998	80,238,473	70,148,465	84,660,981	73,250,351
Governmental capital expenditures	2,054,118	3,235,269	1,929,012	2,506,865	5,084,861	7,422,352	11,304,513	9,928,319	6,756,129	8,253,734
e t service as a percentage o noncapital expenditures	3.8%	4.2%	7.7%	4.7%	6.5%	7.8%	23.7%	11.6%	17.8%	12.3%

[1] Community and Economic Development was divided into three departments in 2008: Urban Design and Planning, Community Development, and Economic Development Services.

Information derived from current and past years' Comprehensive Annual Financial Reports.

City of Gresham, Oregon
ax Revenues ource Governmental Funds
for the last ten fiscal years
(modified accrual basis of accounting)

Fiscal Year	Propert axes	otel and otel axes	usiness ncome ax	Other axes	otal axes
2003	19,326,669	432,203	2,159,626	73,603	21,992,101
2004	19,063,774	426,822	2,346,436	63,784	21,900,816
2005	21,176,363	441,803	3,022,779	55,944	24,696,889
2006	21,533,546	468,535	4,003,031	47,425	26,052,537
2007	22,732,691	556,046	4,633,243	54,857	27,976,837
2008	23,225,907	615,729	5,279,450	48,809	29,169,894
2009	24,096,964	563,215	3,579,065	21,456	28,260,700
2010	25,147,783	454,954	3,428,710	3,292	29,034,739
2011	25,876,592	460,311	3,778,125	5,053	30,120,080
2012	26,107,853	495,019	4,215,128	5,198	30,823,197

Information derived from current and prior years' Comprehensive Annual Financial Reports.

City of Gresham, Oregon
Assessed alue and Estimated Real ar et alue o axa le Propert
for the last ten fiscal years

Fiscal Year	Real Propert	Personal Propert	Pu lic tilit Propert	otal Assessed alue	otal irect ax Rate	Estimated Real ar et alue (R)	Assessed alue as a Percentage o R
2003	4,662,540,210	256,612,074	169,684,986	5,088,837,270	3.92	7,800,095,155	65.24%
2004	4,751,321,238	250,076,833	137,671,076	5,139,069,147	3.80	8,007,789,356	64.18%
2005	5,035,648,500	238,662,868	139,278,980	5,413,590,348	3.95	8,348,056,883	64.85%
2006	5,253,840,070	246,290,290	148,154,271	5,648,284,631	3.80	8,994,665,369	62.80%
2007	5,489,682,080	271,310,214	126,243,400	5,887,235,694	3.80	9,699,231,628	60.70%
2008	5,710,074,520	305,559,087	139,179,870	6,154,813,477	3.69	10,822,676,127	56.87%
2009	5,984,070,380	296,669,233	148,396,350	6,429,135,963	3.66	11,529,758,701	55.76%
2010	6,193,189,530	271,163,376	192,609,710	6,656,962,616	3.61	11,053,842,806	60.22%
2011	6,341,756,820	260,748,199	196,546,700	6,799,051,719	3.61	10,582,761,469	64.25%
2012	6,417,642,120	252,482,730	226,602,170	6,896,727,020	3.61	9,923,441,577	69.50%

Source: Multnomah County Assessor's Office.

City of Gresham, Oregon
Propert ax Rates irect and Overlapping Governments
for the last ten fiscal years
(rate per $1,000 of assessed value)

	Cit irect Rates			Overlapping Rates								
Fiscal ear	Permanent Rate	General O ligation e t ervice	otal irect Rate	t ood Communit College	ultnomah Count	ultnomah Count i rar	ultnomah Count E	chool istrict No 10[2]	Port o Portland	ri et etro ervice istrict	E ult oil ater Conserv[3]	otal irect Overlapping Rate
2003	3.61	0.31	3.92	0.52	4.58	0.59	0.46	6.83	0.07	0.41	-	17.38
2004	3.61	0.19	3.80	0.51	4.52	0.76	0.46	7.46	0.07	0.40	-	17.98
2005	3.61	0.34	3.95	0.50	4.52	0.76	0.46	7.43	0.07	0.40	-	18.09
2006	3.61	0.19	3.80	0.49	4.55	0.76	0.46	7.14	0.07	0.40	0.04	17.72
2007	3.61	0.19	3.80	0.49	4.54	0.76	0.46	7.34	0.07	0.38	0.03	17.86
2008	3.61	0.08	3.69	0.49	4.53	0.89	0.46	7.07	0.07	0.51	0.07	17.78
2009	3.61	0.05	3.66	0.49	4.50	0.89	0.46	6.22	0.07	0.48	0.09	16.86
2010	3.61	-	3.61	0.49	4.51	0.89	0.46	5.95	0.07	0.52	0.10	16.60
2011	3.61	-	3.61	0.49	4.49	0.89	0.46	5.59	0.07	0.50	0.10	16.20
2012	3.61	-	3.61	0.49	4.55	0.89	0.46	5.57	0.07	0.37	0.10	16.12

Source: Multnomah County Assessors Office.

[1]The Rockwood-West Gresham Urban Renewal Area was formed in 2003.
[2] Portions of Centennial School District No. 28 and Reynolds School District No. 7 also reside in the City of Gresham but are not included. Their tax rates are similar to School District No. 10
[3] East Multnomah Soil and Water Conservation District was formed in 2005.

City of Gresham, Oregon
Principal Propert axpa ers
Current year and nine years ago

	2012			2003		
Compan Name	Assessed alue	Ran	Percent o otal alue	Assessed alue	Ran	Percent o otal alue
Boeing Co.	$ 163,001,200	1	2.36%	$ 186,921,900	1	3.67%
Microchip Technology Inc.	126,676,990	2	1.84%	176,085,730	2	3.46%
Comcast Corporation	69,461,000	3	1.01%	-	-	-
Portland General Electric Company	67,759,571	4	0.98%	-	-	-
GE Capital	62,105,730	5	0.90%	-	-	-
New Albertson's Inc.	56,577,110	6	0.82%	43,630,700	5	0.86%
Frontier Communications	51,872,230	7	0.75%	-	-	-
U.S. National Bank of Oregon	39,514,500	8	0.57%	62,149,040	4	1.22%
Semiconductor Components	36,389,620	9	0.53%	-	-	-
Westlake Gresham Center LLC	26,060,550	10	0.38%	19,036,220	9	0.37%
LSI Logic Corp.	-	-	-	110,158,890	3	2.16%
R.R. Donnelley Norwest, Inc.	-	-	-	31,321,440	6	0.62%
Cascade Corporation	-	-	-	27,294,410	7	0.54%
Port of Portland	-	-	-	23,558,840	8	0.46%
Fred Meyer Stores, Inc.	-	-	-	17,923,140	10	0.35%
Total	$ 699,418,501		10.14%	$ 698,080,310		13.73%
Total Gresham Assessed Value	$ 6,896,727,020			$ 5,088,837,270		

argest Pu lic tilities
Current year and nine years ago

	2012			2003		
Compan Name	Assessed alue	Ran	Percent o otal alue	Assessed alue	Ran	Percent o otal alue
Comcast Corporation	$ 69,461,000	1	1.01%	$ -	-	0.00%
Portland General Electric Company	67,759,571	2	0.98%	51,940,900	2	1.02%
Frontier Communications [(1)]	51,872,230	3	0.75%	54,559,188	1	1.07%
Northwest Natural Gas Company	19,758,900	4	0.29%	15,775,600	-	0.31%
Qwest Wireless, LLC	-	-	-	35,580,078	3	0.70%
AT&T Broadband	-	-	-	20,623,270	4	0.41%

[(1)] In fiscal year 2010, Verizon Northwest Inc. changed its name to Frontier Communications.

Sources: Multnomah County Assessors Office, and the 2002-2003 Comprehensive Annual Financial Report.

City of Gresham, Oregon
Propert ax evies and Collections
for the last ten fiscal years

Fiscal Year	axes evied or the Fiscal Year	Collected Ad usted ithin the Fiscal Year o the ev		Collections Ad ustments in u se uent Years	otal Collections to ate	
		Amount	Percentage o ev		Amount	Percentage o ev
2003	$ 20,011,293	$ 18,753,106	93.71%	$ 1,255,131	$ 20,008,237	99.98%
2004	19,262,858	18,500,584	96.04%	758,419	19,259,003	99.98%
2005	22,002,756	20,682,674	94.00%	1,315,617	21,998,291	99.98%
2006	22,198,359	20,948,932	94.37%	1,246,359	22,195,291	99.99%
2007	23,393,599	22,759,569	97.29%	628,269	23,387,838	99.98%
2008	23,987,042	23,283,446	97.07%	689,863	23,973,309	99.94%
2009	25,185,209	24,285,548	96.43%	821,941	25,107,489	99.69%
2010	25,897,175	25,080,617	96.85%	533,355	25,613,972	98.91%
2011	26,689,893	25,949,168	97.22%	308,168	26,257,336	98.38%
2012	27,113,606	26,271,629	96.89%	-	26,271,629	96.89%

Source: Current and prior years' Comprehensive Annual Financial Reports and Multnomah County Assessor's Office.

City of Gresham, Oregon
Ratios o Outstanding e t pe
for the last ten fiscal years

Fiscal Year	Governmental Activities						
	General O ligation onds	Full Faith Credit onds	Other Notes	Capital eases	otter oans	Pension onds	ines o Credit
2003	$ 5,440,000	$ 11,780,000	$ 441,164	$ 272,050	$ 55,483	$ -	$ -
2004	4,155,000	10,820,000	857,187	209,136	44,524	19,280,000	432,400
2005	2,795,000	10,375,000	1,060,333	318,312	33,016	19,280,000	1,705,000
2006	1,890,000	9,895,000	2,633,943	233,898	-	19,280,000	8,500,000
2007	940,000	9,365,000	2,775,138	146,767	-	19,280,000	8,000,000
2008	480,000	8,785,000	1,561,877	465,187	-	19,280,000	8,000,000
2009	-	8,155,000	1,267,712	311,857	-	19,210,000	14,049,090
2010	-	30,430,000	1,012,977	211,267	-	19,090,000	9,338,784
2011	-	28,735,680	938,912	107,352	-	18,910,000	1,350,000
2012	-	26,631,203	655,327	-	-	18,660,000	2,605,000

Fiscal Year	usiness t pe Activities				otal (Governmental usiness)	Percentage o Personal ncome	Per Capita
	ater Revenue onds	ater Notes OC	torm ater Revenue onds	aste ater onds Notes			
2003	$ 15,445,000		$ 7,635,000	$ 26,322,690	$ 67,391,387	0.10%	720
2004	14,760,000		7,330,000	24,787,499	82,675,746	0.12%	877
2005	13,760,000		7,020,000	23,716,463	80,063,124	0.11%	835
2006	12,720,000		6,695,000	22,605,542	84,453,383	0.11%	864
2007	11,635,000		5,650,000	21,453,250	79,245,155	0.09%	799
2008	10,500,000		5,340,000	20,893,211	75,305,275	0.09%	748
2009	9,335,000		5,020,000	23,204,230	80,552,889	0.09%	797
2010	8,120,000		4,690,000	22,624,382	95,517,410	0.11%	905
2011	5,630,000	2,361,232	4,350,000	24,617,204	87,000,380	0.09%	822
2012	4,300,000	2,687,497	3,995,000	22,827,014	82,361,041	*	777

*Personal Income information for 2012 is unavailable at this time.
Details regarding the City's outstanding debt can be found in the notes to the financial statements.
Information derived from current and past years' Comprehensive Annual Financial Reports.

City of Gresham, Oregon
Ratios o General onded e t Outstanding
for the last ten fiscal years

Fiscal Year	Population	Assessed alue	Gross General O ligation onded e t	ess e t ervice Fund	Net onded e t	Net onded e t Per 100 Assessed alue	Net onded e t Per Capita
2003	93,660	5,088,837,270	5,440,000	347,244	5,092,756	0.10	54.37
2004	94,250	5,139,069,147	4,155,000	(157,848)	4,312,848	0.08	45.76
2005	95,900	5,413,590,348	2,795,000	23,995	2,771,005	0.05	29.10
2006	97,745	5,648,284,631	1,890,000	89,122	1,800,878	0.03	19.34
2007	99,225	5,887,235,694	940,000	160,843	779,157	0.01	9.47
2008	100,655	6,154,813,477	480,000	184,103	295,897	0.00	4.77
2009	101,015	6,429,135,963	-	-	-	-	-
2010	105,595	6,656,962,616	-	-	-	-	-
2011	105,795	6,799,051,719	-	-	-	-	-
2012	105,970 *	6,896,727,020	-	-	-	-	-

Information derived from current and past years' Comprehensive Annual Financial Reports.
*Source: Population Research Center, Portland State University

City of Gresham, Oregon
irect and Overlapping Governmental Activities e t
as of une

Governmental nit	e t Outstanding	Estimated Percentage Applica le	Estimated hare o irect and Overlapping e t
e t repai ith property ta es			
Metro	$ 273,485,000	4.48%	$ 12,241,189
Mt. Hood Community College	22,330,000	29.69%	6,628,817
Multnomah County	89,000,000	8.77%	7,800,850
Multnomah County School District 10J (Gresham-Barlow)	95,452,585	77.55%	74,021,380
Multnomah County School District 28J (Centennial)	32,935,434	36.13%	11,899,540
Multnomah County School District 7 (Reynolds)	142,368,579	36.96%	52,623,413
Tri-Met	240,000	4.49%	10,776
Other e t			
Metro	$ 49,385,000	4.48%	$ 2,210,472
Mt. Hood Community College	46,638,749	29.69%	13,845,039
Multnomah County	175,168,160	8.77%	15,353,489
Multnomah ESD	34,745,000	8.67%	3,011,870
Port of Portland	69,304,574	4.09%	2,834,211
Rockwood Water PUD	6,375,000	70.82%	4,515,036
u total overlapping de t	$ 1,037,428,081		$ 206,996,082
Cit direct de t			48,510,915
otal direct and overlapping de t			$ 255,506,997

Source: Oregon State Treasury, Debt Management Division

Note:
Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the City. This schedule estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the City. The State of Oregon provides overlapping debt data based on real market valuation of properties for each jurisdiction.

City of Gresham, Oregon
egal e t argin n ormation
for the last ten fiscal years
(dollars in thousands)

	Fiscal Year									
	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012
Debt limit	$ 234,002,855	$ 240,233,681	$ 250,441,706	$ 269,839,961	$ 290,976,949	$ 324,680,284	$ 345,892,761	$ 331,615,284	$ 317,482,844	$ 297,703,247
Total net debt applicable to limit	5,092,756	4,312,848	3,771,005	1,800,878	779,157	295,897	-	-	-	-
Legal debt margin	$ 228,910,099	$ 235,920,833	$ 246,670,701	$ 268,039,083	$ 290,197,792	$ 324,384,387	$ 345,892,761	$ 331,615,284	$ 317,482,844	$ 297,703,247
Total net debt applicable to the limit as a percentage of debt limit	2.18%	1.80%	1.51%	0.67%	0.27%	0.09%	0.00%	0.00%	0.00%	0.00%

Note: Oregon Revised Statutes Section 287A.050 provides a debt limit of 3% of real market value of all taxable property within City boundaries for general obligation debt

Source: Current and prior years' Comprehensive Annual Financial Reports and Multnomah County Assessor's Office

egal e t argin Calculation or Fiscal Year 2012

Real market value	$ 9,923,441,577
Debt limit (3% of real market value)	297,703,247
Debt applicable to limit:	
General Obligation Bonds	-
Less: Amount set aside for repayment of general obligation debt	-
Total net debt applicable to limit	-
Legal debt margin	$ 297,703,247

City of Gresham, Oregon
Pledged Revenue Coverage
for the last ten fiscal years

ater Revenue onds

Fiscal Year	Gross Revenues	ess Operating Expenses	Net Availa le Revenue	e t ervice Re uirements: Principal	e t ervice Re uirements: nterest	Coverage
2003	$ 8,987,454	$ 6,591,361	$ 2,396,093	$ 850,000	$ 748,498	1.50
2004	9,757,150	5,946,618	3,810,532	1,100,000	453,478	2.45
2005	10,070,382	5,990,182	4,080,200	1,100,000	514,423	2.53
2006	11,131,841	8,409,238	2,722,603	1,040,000	482,690	1.79
2007	11,590,941	7,051,862	4,539,079	1,085,000	438,670	2.98
2008	12,059,766	7,202,426	4,857,340	1,135,000	397,850	3.17
2009	12,157,271	7,348,461	4,808,810	1,165,000	362,730	3.15
2010	11,389,852	7,430,784	3,959,068	1,415,000	329,140	2.27
2011	11,651,375	7,666,521	3,984,854	1,465,000	300,844	2.26
2012	12,211,561	7,976,473	4,235,088	1,028,734	242,912	3.33

torm ater Revenue onds

Fiscal Year	Gross Revenues	ess Operating Expenses	Net Availa le Revenue	e t ervice Re uirements: Principal	e t ervice Re uirements: nterest	Coverage
2003	$ 5,452,108	$ 3,380,829	$ 2,071,279	$ 230,000	$ 338,110	3.65
2004	5,434,794	2,516,711	2,918,083	305,000	328,088	4.61
2005	5,595,961	2,773,103	2,822,858	310,000	313,149	4.53
2006	6,109,726	4,310,953	1,798,773	325,000	301,311	2.87
2007	6,160,486	4,127,419	2,033,067	305,000	262,147	3.58
2008	6,534,416	4,411,359	2,123,057	310,000	230,665	3.93
2009	6,513,101	4,454,490	2,058,611	320,000	220,815	3.81
2010	6,416,670	4,403,462	2,013,208	330,000	209,840	3.73
2011	6,642,574	4,562,811	2,079,763	340,000	198,115	3.86
2012	6,987,917	4,680,663	2,307,254	355,000	185,598	4.27

aste ater Revenue onds Notes

Fiscal Year	Gross Revenues	ess Operating Expenses	Net Availa le Revenue	e t ervice Re uirements: Principal	e t ervice Re uirements: nterest	Coverage
2003	$ 13,348,664	$ 7,332,664	$ 6,016,000	$ 995,508	$ 1,105,885	2.86
2004	12,137,126	5,764,582	6,372,544	1,352,582	1,063,515	2.64
2005	12,258,171	6,010,885	6,247,286	1,071,036	1,018,773	2.99
2006	14,720,403	8,547,686	6,172,717	1,110,921	974,017	2.96
2007	14,733,168	8,749,197	5,983,971	1,152,292	933,785	2.87
2008	16,773,350	9,452,750	7,320,600	1,208,128	907,201	3.46
2009	15,815,378	9,490,305	6,325,073	1,265,892	983,855	2.81
2010	14,779,406	9,635,109	5,144,297	1,319,575	859,062	2.36
2011	15,373,071	10,211,804	5,161,267	1,603,176	982,160	2.00
2012	15,526,926	10,782,896	4,744,030	1,912,690	861,113	1.71

Gross revenues are composed of Charges for Services, Interest and Investment earnings, and other revenues available for debt service payments.
Internal Service Charges and Transfers are normally excluded.

City of Gresham, Oregon
emographic and Economic tatistics
for the last ten fiscal years

Fiscal Year	Population	Personal ncome (in thousands)	Per Capita Personal ncome	nemplo ment Rate [1]
2003	93,660	65,958,599	32,629	8.9%
2004	94,250	70,144,100	34,018	7.8%
2005	95,900	74,282,336	35,430	6.1%
2006	97,745	79,399,001	37,145	5.0%
2007	99,225	83,764,858	38,511	5.2%
2008	100,655	87,052,644	39,436	5.6%
2009	101,015	86,822,197	38,728	12.2%
2010	105,595	90,653,694	40,590	10.2%
2011	105,795	93,449,170	41,302	9.5%
2012	105,970	*	*	8.2%

Sources:
2011 Comprehensive Annual Financial Report
Population Research Center, Portland State University
Personal income: Bureau of Economic Analysis. Information for the Portland - Vancouver - Beaverton Oregon/Washington area.
Per capita income: Bureau of Economic Analysis. Information for the Portland - Vancouver - Beaverton Oregon/Washington area.
Unemployment rate: U.S. Department of Labor, Bureau of Labor Statistics, not seasonally adjusted.

[1] As of June 30.
* Information unavailable at this time

City of Gresham, Oregon
Principal Emplo ers
current year and nine years ago

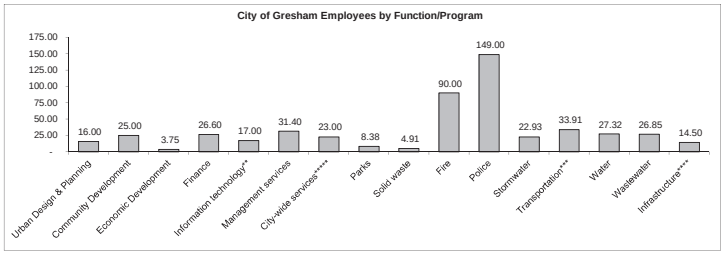
	2012			2003		
Emplo er	Emplo ees	Ran	Percentage o otal Cit Emplo ment	Emplo ees	Ran	Percentage o otal Cit Emplo ment
Boeing of Portland	1,742	1	3.40%	950	4	2.14%
U.S. Bank of Oregon Col Center	1,636	2	3.20%	1,800	1	4.05%
Gresham Barlow School District	945	3	1.85%	1,050	2	2.36%
ACS Commercial Solutions Inc.	680	4	1.33%	-	-	-
Mt. Hood Medical Center	601	5	1.17%	495	8	1.11%
City of Gresham	521	6	1.02%	541	7	1.22%
ON Semiconductor	504	7	0.98%	-	-	-
Microchip Technology Inc.	408	8	0.80%	-	-	-
Albertson's Dist Center #8252	384	9	0.75%	575	6	1.29%
Cascade Corporation	212	10	0.41%	-	-	-
Mt. Hood Community College	-	-	-	1,017	3	2.29%
LSI Logic Corporation	-	-	-	800	5	1.80%
Tri-Met Rail Operations	-	-	-	367	9	0.83%
Fred Meyer Stores, Inc.	-	-	-	265	10	0.60%
Total	7,633		14.91%	7,860		17.69%
Total of employees in Gresham	51,198			44,436		

Sources:
2003 Comprehensive Annual Financial Report
City of Gresham Business Licensing Division
Gresham-Barlow School District
City of Gresham Budget Division
U.S. Department of Labor, Bureau of Labor Statistics

City of Gresham, Oregon
Full time E uivalent Cit Government Emplo ees Function
for the last ten fiscal years

Function Program	Full time e uivalent emplo ees									
	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012
General government										
Community & economic development*	67.30	61.00	63.00	51.50	55.50	63.50	-	-	-	-
Urban Design & Planning	-	-	-	-	-	-	17.00	17.00	15.00	16.00
Community Development	-	-	-	-	-	-	43.50	42.00	38.00	25.00
Economic Development	-	-	-	-	-	-	6.50	3.50	3.75	3.75
Finance	30.35	27.45	30.95	29.95	31.15	31.40	32.40	31.20	32.10	26.60
Information technology**	-	-	-	-	13.00	12.00	13.00	13.00	13.00	17.00
Management services	57.65	51.55	49.10	45.70	48.75	40.75	42.85	40.15	41.90	31.40
City-wide services*****	-	-	-	-	-	-	-	-	-	23.00
Parks	17.70	16.70	16.58	15.08	15.08	15.08	15.08	8.59	8.59	8.38
Solid waste	2.50	3.00	4.22	4.22	4.22	4.91	4.91	4.91	4.91	4.91
Pu lic sa et										
Fire	99.75	96.05	97.00	95.00	102.00	102.00	102.00	94.00	95.50	90.00
Police	158.00	153.00	159.00	162.00	158.00	166.00	171.00	152.00	161.00	149.00
torm ater	24.23	25.29	25.29	25.29	26.54	24.60	24.11	23.88	23.88	22.93
ransportation	26.19	36.19	36.19	39.69	52.94	36.75	35.50	33.85	35.85	33.91
ater	31.69	31.69	31.69	31.69	27.44	26.24	26.99	26.76	27.26	27.32
aste ater	25.29	24.23	27.23	27.23	31.23	29.37	27.88	27.86	27.86	26.85
n rastructure	-	-	-	-	-	23.00	28.00	24.50	24.50	14.50
otal	540.65	526.15	540.25	527.35	565.85	575.60	590.72	543.20	553.10	520.55

* Note: Community & Economic Development was divided into three new departments in 2009
** Note: The FTE in Information Technology (new in 2007) were previously budgeted in Finance.
*** Note: The FTE increase in Transportation in 2007 was due to the consolidation of County roads staff which are now part of the Infrastructure Development Fund
**** Note: The FTE in the newly created Infrastructure Development Fund were previously budgeted in four other funds: Transportation, Water, Stormwater, and Wastewater
***** Note: New department in 2012.



Source: City of Gresham Budget Division

City of Gresham, Oregon
Operating ndicators Function
or the last se en years

Function Program	Fiscal Year						
	2006	2007	2008	2009	2010	2011	2012
Governmental activities							
Communit development							
Residential building permits applications issued	555	557	462	319	211	340	460
Valuation	$ 62,074,626	$ 98,152,568	$ 58,172,995	$ 20,557,096	$ 6,964,375	$ 18,875,751	$ 32,840,052
Commercial building permits application issued	241	296	436	411	374	537	550
Valuation	$ 37,028,372	$ 25,963,864	$ 99,720,759	$ 57,719,148	$ 33,664,983	$ 90,891,638	$ 69,637,169
Building inspections conducted	18,018	20,109	20,831	16,085	12,050	9,903	9,656
Police							
Part I crimes (person)	5,920	4,658	4,877	4,463	4,428	4,461	4,980
Part II crimes (property)	4,371	4,824	5,285	5,234	5,487	5,823	5,437
Calls for service	44,591	42,662	44,566	40,927	39,667	75,232	75,180
Fire							
Emergency responses	9,689	11,684	11,317	13,900	13,132	13,000	13,474
Fire inspections	2,585	2,525	2,466	2,400	1,242	1,050	1,283
usiness t pe activities							
ater							
Accounts	16,338	16,668	16,831	16,923	16,991	17,061	17,081
Average daily consumption (millions of gallons)	7	7	7	7	6	7	7
torm ater							
Accounts	23,296	23,650	23,857	23,952	24,018	24,094	24,164
aste ater							
Accounts	23,340	23,695	23,904	24,004	24,070	24,141	24,214
Average daily sewage treatment (millions of gallons)	13	13	12	13	12	12	12

Sources:
City of Gresham Community Development
City of Gresham Police Department
City of Gresham Fire Department
City of Gresham Finance and Management Services Department
City of Gresham Office of Governance and Management
City of Gresham Department of Environmental Services

Data was not compiled prior to 2006.

City of Gresham, Oregon
Capital Assets tatistics Function
or the last se en years

Function Program	Fiscal Year 2006	2007	2008	2009	2010	2011	2012
Governmental activities							
General government							
City-owned building facilities	9	9	9	9	9	9	9
Police							
Police station	1	1	1	1	1	1	1
Community police office	1	1	1	1	1	1	1
K9 officers	3	3	3	2	2	2	2
Police patrol cars	40	35	38	38	36	38	34
Police motorcycles	5	5	5	5	5	5	5
Fire							
Fire stations	6	6	6	6	6	6	6
Fire vehicles							
Ladder trucks	2	2	2	1	1	1	1
Engines (In service)	6	6	6	6	6	6	7
Specialized emergency vehicles	4	4	4	4	6	5	3
Par s							
Acres of parks & trails (developed & undeveloped)*	281	237	284	315	258	258	258
Acres of natural area*	889	927	933	933	942	942	842
Acres from other providers*	-	-	-	-	584	584	584
Playgrounds	13	16	16	16	16	16	16
Baseball/softball diamonds	12	12	12	12	14	14	14
Soccer/football fields	8	8	8	8	10	10	10
usiness t pe activities							
ater							
Local storage capacity (in millions of gallons)	28.4	28.5	28.5	28.5	27.2	27.2	27.3
torm ater							
Catch basins	7,122	7,122	7,978	8,222	8,182	8,122	8,154
Drywells	1,010	1,010	1,010	1,100	1,098	1,100	1,100
aste ater							
Wastewater plant capacity (millions of gallons per day)	20	20	20	20	20	20	20
ransportation							
Street lights	7,500	7,788	7,910	7,970	8,157	7,957	7,969
Traffic signals	97	95	99	106	106	115	102
Transportation signs**	20,000	21,862	21,429	21,491	21,491	20,723	21,014
Miles of streets ***	304	309	315	316	891	891	897

*An in-depth analysis was done by the Parks Department in 2006-2007 that reclassified some acreage previously counted as park land to natural area land. A subsequent review in 2009-2010 further separated land owned by other providers, but maintained by the City.

**These include City owned signs maintained by the County.

**In 2009, the Transportation Department changed to a more accurate method of calculating miles of streets. They are now calculated using lane miles instead of center lane miles.

Sources:
City of Gresham Police Department
City of Gresham Fire Department
City of Gresham Department of Environmental Services
City of Gresham Finance & Management Services Department

Data was not compiled prior to 2006.

City of Gresham, Oregon
iscellaneous tatistics
Current ear

Elections

Number of registered voters for last primary election (May 15, 2012	54,970
Number of votes cast in last primary electior	15,534
Percentage of registered voters voting in the last primary electioı	28%
Number of registered voters for last general election (November 6, 2012	60,323
Number of votes cast in last general election	46,684
Percentage of registered voters voting in the last general electioı	77%

Census population count or the last six decades

1960	3,944
1970	9,875
1980	33,005
1990	68,235
2000	90,205
2010	105,594

Age distri ution o population or the last six decades

Year	Percent Under 18	Percent 18-64	Percent Over 65
1960	30.0	52.0	18.0
1970	36.8	53.8	9.4
1980	30.5	61.3	8.2
1990	27.4	62.6	10.0
2000	27.5	62.7	9.8
2010	26.4	62.9	10.7

ncome level o population or the last six decades

1960	Median (family)	5,737
1970	Median (family)	10,933
1980	Median (family)	24,266
1990	Median (family)	36,664
2000	Median (family)	51,126
2010	Median (family)	47,515

istorical ata

City Founded	1905
City Incorporated	1905
First Charter Adopted	1948
Present Charter Adopted	1978
Present Charter Amended	1980,1983, 1984, 1986 1994, 1996, 1998, 2005, 2012
Form of Government	Council-Manager
Area - Square Miles	23.44

Sources:
U.S. Census Bureau
Elections information: Multnomah County Elections Divisior
Area - Square Miles: City of Gresham Information Technology Departmen
All other information: 2010-2011 Comprehensive Annual Financial Repor

Audit Comments and Disclosures Required by State Regulations

MERINA & COMPANY, LLP
Certified Public Accountants and Consultants

CERTIFIED PUBLIC ACCOUNTANTS AND CONSULTANTS

PARTNERS
KAMALA K. AUSTIN, CPA • TONYA M. MOFFITT, CPA

INDEPENDENT AUDITOR'S REPORT
REQUIRED BY OREGON STATE REGULATION

We have audited the basic financial statements of the City of Gresham, Oregon, as of and for the year ended June 30, 2012 and have issued our report thereon dated December 28, 2012. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States.

Compliance

As part of obtaining reasonable assurance about whether the City of Gresham, Oregon's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grants, including the provisions of Oregon Revised Statutes as specified in the Oregon Administrative Rules 162-10-000 through 162-10-320 of the *Minimum Standards for Audits of Oregon Municipal Corporations*, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion.

We performed procedures to the extent we considered necessary to address the required comments and disclosures which included, but were not limited to the following:

- Deposits of public funds with financial institutions (ORS Chapter 295).
- Indebtedness limitations, restrictions, and repayments.
- Budgets legally required (ORS Chapter 294).
- Insurance and fidelity bonds in force or required by law.
- Programs funded from outside sources.
- Highway revenues used for public highways, roads, and streets.
- Authorized investment of surplus funds. (ORS Chapter 294).
- Public contracts and purchasing (ORS Chapters 279A, 279B, and 279C).
- Accountability for collecting or receiving money by elected officials. The City does not have any elected officials collecting or receiving money.

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In connection with our testing, nothing came to our attention that caused us to believe the City of Gresham, Oregon was not in substantial compliance with certain provisions of laws, regulations, contracts, and grants, including the provisions of Oregon Revised Statutes as specified in the Oregon Administrative Rules 162-10-000 through 162-10-320 of the *Minimum Standards for Audits of Oregon Municipal Corporations.*

OAR 162-10-0230 Internal Control

In planning and performing our audit, we considered the City of Gresham, Oregon's internal control over financial reporting as a basis for designing our auditing procedures for the purpose of expressing our opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City of Gresham, Oregon's internal control over financial reporting. Accordingly, we do not express an opinion on the effectiveness of the City of Gresham, Oregon's internal control over financial reporting.

This report is intended solely for the information and use of the Honorable Mayor and City Council, Oregon Secretary of State Audits Division, and management, and is not intended to be and should not be used by anyone other than these specified parties.

Merina & Company

Merina & Company, LLP
West Linn, Oregon
December 28, 2012

MERINA & COMPANY, LLP
Certified Public Accountants and Consultants

CERTIFIED PUBLIC ACCOUNTANTS AND CONSULTANTS

PARTNERS
KAMALA K. AUSTIN, CPA • TONYA M. MOFFITT, CPA

REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS*

The Honorable Mayor and City Council
City of Gresham, Oregon
Gresham, Oregon

We have audited the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gresham, Oregon, as of and for the year ended June 30, 2012, which collectively comprise the City of Gresham, Oregon's basic financial statements and have issued our report thereon dated December 28, 2012. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States.

Internal Control Over Financial Reporting

Management of the City of Gresham, Oregon is responsible for establishing and maintaining effective internal control over financial reporting. In planning and performing our audit, we considered the City of Gresham, Oregon's internal control over financial reporting as a basis for designing our auditing procedures for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City of Gresham, Oregon's internal control over financial reporting. Accordingly, we do not express an opinion on the effectiveness of the City of Gresham, Oregon's internal control over financial reporting.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis.

Our consideration of internal control over financial reporting was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be deficiencies, significant deficiencies or material weaknesses. We

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did not identify any deficiencies in internal control over financial reporting that we consider to be material weaknesses, as defined above.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the City of Gresham, Oregon's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

This report is intended solely for the information and use of management, the Honorable Mayor and City Council, others within the entity, and federal awarding agencies and pass-through entities and is not intended to be and should not be used by anyone other than these specified parties.

Merina & Company

Merina & Company, LLP
West Linn, Oregon
December 28, 2012

MERINA & COMPANY, LLP
Certified Public Accountants and Consultants

CERTIFIED PUBLIC ACCOUNTANTS AND CONSULTANTS

PARTNERS
KAMALA K. AUSTIN, CPA • TONYA M. MOFFITT, CPA

INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE WITH REQUIREMENTS THAT COULD HAVE A DIRECT AND MATERIAL EFFECT ON EACH MAJOR PROGRAM AND ON INTERNAL CONTROL OVER COMPLIANCE IN ACCORDANCE WITH OMB CIRCULAR A-133

The Honorable Mayor and City Council
City of Gresham, Oregon
Gresham, Oregon

Compliance

We have audited the City of Gresham, Oregon's compliance with the types of compliance requirements described in the *OMB Circular A-133 Compliance Supplement* that could have a direct and material effect on each of the City of Gresham, Oregon's major federal programs for the year ended June 30, 2012. The City of Gresham, Oregon's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs. Compliance with the requirements of laws, regulations, contracts, and grants applicable to each of its major federal programs is the responsibility of the City of Gresham, Oregon's management. Our responsibility is to express an opinion on the City of Gresham, Oregon's compliance based on our audit.

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and OMB Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*. Those standards and OMB Circular A-133 require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the City of Gresham, Oregon's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion. Our audit does not provide a legal determination of the City of Gresham, Oregon's compliance with those requirements.

In our opinion, the City of Gresham, Oregon complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2012.

Internal Control Over Compliance

Management of the City of Gresham, Oregon is responsible for establishing and maintaining effective internal control over compliance with the requirements of laws, regulations, contracts,

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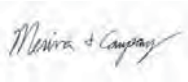
and grants applicable to federal programs. In planning and performing our audit, we considered The City of Gresham, Oregon's internal control over compliance with the requirements that could have a direct and material effect on a major federal program to determine the auditing procedures for the purpose of expressing our opinion on compliance and to test and report on internal control over compliance in accordance with OMB Circular A-133, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the City of Gresham, Oregon's internal control over compliance.

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that a material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be deficiencies, significant deficiencies, or material weaknesses. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above.

This report is intended solely for the information and use of management, the Honorable Mayor and City Council, others within the entity, federal awarding agencies, and pass-through entities and is not intended to be and should not be used by anyone other than these specified parties.



Merina & Company, LLP
West Linn, Oregon
December 28, 2012

CITY OF GRESHAM, OREGON
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
June 30, 2012

Section I – Summary of Auditor's Results

Financial Statements

Type of auditor's report issued	Unqualified	
Internal control over financial reporting:		
Material weakness(es) identified?	☐ Yes	☒ No
Significant deficiency(s) identified that are Not considered to be material weaknesses?	☐ Yes	☒ None reported
Noncompliance material to financial statements noted?	☐ Yes	☒ No

Federal Awards

Internal Control over major programs:		
Material weakness(es) identified?	☐ Yes	☒ No
Significant deficiency (s) identified that are Not considered to be material weaknesses?	☐ Yes	☒ None reported
Type of auditor's report issued on compliance for major Programs:	Unqualified	
Any audit findings disclosed that are required to be Reported in accordance with OMB Circular A-133, Section 510(a)?	☐ Yes	☒ No

Identification of major programs:

CFDA Number	Name of Federal Program or Cluster
14.218	Community Development Block Grant
14.253	Community Development Block Grant (ARRA)
16.710	Public Safety Partnership and Community Policing Grants (ARRA and non-ARRA)
16.738	Edward Byrne Memorial Justice Assistance Grant
16.804	Edward Byrne Memorial Justice Assistance Grant (ARRA)
81.128	Energy Efficiency and Conservation Block Grant (ARRA)

CITY OF GRESHAM, OREGON
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
June 30, 2012

Dollar threshold used to distinguish between Type A
Type B programs: $300,000

Auditee qualified as low-risk auditee? ☒ Yes ☐ No

Section II – Financial Statement Findings

None

Section III – Federal Awards Findings and Questioned Costs

None

Section IV – Schedule of Prior Federal Award Findings and Questioned Costs for the Years Ended June 30, 2011

None

ANNUAL DISCLOSURE INFORMATION FOR FULL FAITH & CREDIT OBLIGATIONS

In conformance with SEC Rule 15c2-12, as amended (17 CFR Part 240 § 240.15c2-12) (the "Rule), the City will provide annually the type of information presented in the tables of this section to EMMA (the permanent electronic repository of the MSRB).
(See "FORM OF CONTINUING DISCLOSURE CERTIFICATE in bond transcripts for more information.)

Outstanding Obligations as of June 30, 2012

	Dated Date	Maturity Date	Principal Issued	Principal Outstanding as of 6/30/2012
Full Faith and Credit Obligations				
2002 Full Faith & Credit Refunding (City Hall)	5/15/2002	6/1/2018	10,265,000	5,650,000
2003 Pension Obligation Bonds	5/27/2004	6/1/2028	19,280,000	18,660,000
2003 Special Public Works	12/23/2003	12/1/2028	795,000	614,712
2011 Line of Credit, Gresham/Urban Renewal	7/15/2011	7/15/2014	10,000,000	2,605,000
2010 Financing Agreement City of Gresham/Urban Renewal	6/4/2010	6/1/2023	23,470,000	20,981,203
Total Full Faith and Credit Obligations			63,810,000	48,510,915
Total Direct Debt			63,810,000	48,510,915
Debt Backed by Water Revenue				
Water Revenue Bonds, Series 2003	9/15/2003	11/1/2018	8,870,000	4,300,000
Water Meter Replacement Notes 2011	6/1/2011	12/1/2030	2,361,232	2,262,497
2011 Line of Credit, Gresham/Urban Renewal	7/15/2011	7/15/2014	10,000,000	425,000
Total Debt Backed by Water Revenue			21,231,232	6,987,497
Debt Backed by Stormwater Revenue				
Stormwater Revenue Refunding Bonds, Series 2002	12/1/2002	11/1/2014	3,520,000	1,145,000
Stormwater Revenue Refunding Bonds, Series 2006	12/21/2006	5/1/2021	2,850,000	2,850,000
Total Debt Backed by Stormwater Revenue			6,370,000	3,995,000
Debt Backed by Wastewater Revenue				
2009 Wastewater Financing Agreement	9/15/2009	5/1/2021	19,351,000	15,317,000
R39189 South Gresham Interceptor	3/1/2007	9/1/2026	648,089	525,645
R39190 Wastewater Second Clarifier	10/15/2009	8/1/2029	407,058	375,269
R39191 Linneman Pump Station	1/15/2009	12/1/2028	3,576,911	3,151,558
R39192 Jenne Road Pump Station	11/12/2010	8/1/2030	3,595,998	3,457,542
Total Debt Backed by Wastewater Revenue			27,579,056	22,827,014
Total Utility Obligations			55,180,288	33,809,511
Total Outstanding Obligations			$ 118,990,288	$ 82,320,426

Overlapping Debt as of June 30, 2012

Governmental Unit	Total Net Debt	Percent Within City	City's Pro-Rata Share
Debt repaid with property taxes			
Metro	$ 273,485,000	4.48%	$ 12,241,189
Mt. Hood Community College	22,330,000	29.69%	6,628,817
Multnomah County	89,000,000	8.77%	7,800,850
Multnomah County School District 10J (Gresham-Barlow)	95,452,585	77.55%	74,021,380
Multnomah County School District 28J (Centennial)	32,935,434	36.13%	11,899,540
Multnomah County School District 7 (Reynolds)	142,368,579	36.96%	52,623,413
Tri-Met	240,000	4.49%	10,776
Other debt			
Metro	49,385,000	4.48%	2,210,472
Mt. Hood Community College	46,638,749	29.69%	13,845,039
Multnomah County	175,168,160	8.76%	15,353,489
Multnomah ESD	34,745,000	8.67%	3,011,870
Port of Portland	69,304,574	4.09%	2,834,211
Rockwood Water PUD	6,375,000	70.82%	4,515,036
	$ 1,037,428,081		$ 206,996,082

Tax Collection Record

Fiscal Year	Certified Taxes Levied by Assessor	Levy Tax Collections	Current Tax Collections as a % of Current Levy	Prior Years' Taxes, Interest on Property Taxes and Other	Total Tax Collections	Total Collections as a % of Current Levy	Uncollected Taxes	Uncollected Taxes as a % of current Levy
2003	$ 20,011,293	$ 18,753,106	93.71%	$ 1,255,131	$ 20,008,237	99.98%	$ 3,056	0.02%
2004	19,262,858	18,500,584	96.04%	758,419	19,259,003	99.98%	3,855	0.02%
2005	22,002,756	20,682,674	94.00%	1,315,617	21,998,291	99.98%	4,465	0.02%
2006	22,198,359	20,948,932	94.37%	1,246,359	22,195,291	99.99%	3,068	0.01%
2007	23,393,599	22,759,569	97.29%	628,269	23,387,838	99.98%	5,761	0.02%
2008	23,987,042	23,283,446	97.07%	689,863	23,973,309	99.94%	13,733	0.06%
2009	25,185,209	24,285,548	96.43%	821,941	25,107,489	99.69%	77,721	0.31%
2010	25,897,175	25,080,617	96.85%	533,355	25,613,972	98.91%	283,203	1.09%
2011	26,689,893	25,949,168	97.22%	308,168	26,257,336	98.38%	432,557	1.62%
2012	27,113,606	26,271,629	96.89%	-	26,271,629	96.89%	841,977	3.11%

Debt Ratios

	Values	Per Capita	Percent of RMV
Estimated Population	105,970	-	-
Real Market Value (RMV)	$ 9,923,441,577	$ 93,644	-
Total Direct Debt	48,510,915		0.49%
Overlapping Debt	206,996,082	1,953	2.09%
Total Direct Debt and Overlapping Debt	255,506,997	2,411	2.57%

Ten Largest Taxpayers

Business		Assessed Value	Percentage of Total Assessed Value
Boeing Co.	Aircraft Frame Structures	$ 163,001,200	2.36%
Microchip Technology, Inc	Microelectronics Products	126,676,990	1.84%
Comcast Corporation	Telecommunications	69,461,000	1.01%
Portland General Electric Company	Utility Service	67,759,571	0.98%
GE Capital	Financial Services	62,105,730	0.90%
New Albertson's Inc.	Grocery Distribution	56,577,110	0.82%
Frontier Communications	Utility Service	51,872,230	0.75%
U.S. National Bank of Oregon	Financial Services	39,514,500	0.57%
ON Semiconductor Components	Microelectronics Products	36,389,620	0.53%
Westlake Gresham Center LLC	Retail Shopping Center	26,060,550	0.38%
		$ 699,418,501	10.14%

Total Assessed Value, City of Gresham $ 6,896,727,020

Continuing Disclosure

General Fund Consecutive Net Asset/Balance Sheet (GAAP Basis) -- As of June 30, 2012

	2008	2009	2010	2011	2012
ASSETS					
Cash & cash equivalents	$ 998,804	$ 722,481	$ 777,537	$ 1,263,088	$ 2,042,599
Investments	5,984,209	3,529,665	6,269,331	4,537,880	4,488,812
Receivables, net	2,009,909	2,404,346	2,034,532	2,035,757	2,035,797
Property taxes receivable, net	1,109,027	1,420,832	1,303,345	1,239,296	1,514,560
Due from other funds	1,288,739	1,483,095	1,971,189	2,365,028	3,203,806
Other assets	93,322	53,481	63,942	26,638	21,343
Restricted cash and cash equivalents	5,798	-	-	-	-
Restricted investments	44,202	-	-	-	-
Total assets	$ 11,534,010	$ 9,613,900	$ 12,419,876	$ 11,467,687	$ 13,306,917
LIABILITIES AND FUND EQUITY					
Liabilities					
Accounts payable	$ 643,871	$ 257,754	$ 835,793	$ 463,700	$ 638,620
Other accrued liabilities	50,000	26,862	-	-	279,671
Deferred revenues	1,012,027	1,520,291	1,160,731	1,132,531	1,402,687
Total liabilities	1,705,898	1,804,907	1,996,524	1,596,231	2,320,978
Fund balances					
Undesignated	9,828,112	7,808,993	10,423,352	9,871,456	10,985,939
Total fund balances	9,828,112	7,808,993	10,423,352	9,871,456	10,985,939
Total liabilities and fund balances	$ 11,534,010	$ 9,613,900	$ 12,419,876	$ 11,467,687	$ 13,306,917

General Fund Consecutive Statement of Revenues and Expenditures (GAAP Basis) -- For year ended June 30, 2012

	2008	2009	2010	2011	2012
Revenues					
Taxes	$ 27,228,003	$ 25,932,369	$ 26,691,809	$ 27,443,420	$ 28,110,089
Licenses and permits	743,821	397,897	348,074	337,900	341,039
Intergovernmental revenues	7,906,511	7,965,033	7,983,910	7,982,089	8,368,062
Charges for services	560,528	398,377	297,697	243,115	263,690
License fees	6,671,079	7,066,646	6,973,968	6,808,352	7,759,590
Miscellaneous revenues	588,484	435,218	272,698	221,829	228,975
Internal service charges	527,330	578,777	411,083	612,854	672,797
Total revenues	44,225,756	42,774,317	42,979,239	43,649,559	45,744,242
Expenditures					
Public safety	38,430,756	39,193,311	36,203,603	38,054,017	38,474,879
Community and economic development	2,487,817	-	-	-	-
Urban design and planning	-	1,282,278	-	-	-
Community development	-	849,763	836,363	942,037	927,260
Economic development services	-	555,866	492,422	642,641	734,209
Environmental services	2,728,410	2,808,663	1,975,127	1,949,678	2,074,592
Debt service	451	143,882	4,671,210	-	-
Total expenditures	43,647,434	44,833,763	44,178,725	41,588,373	42,210,940
Excess of revenues over (under) expenditures	578,322	(2,059,446)	(1,199,486)	2,061,186	3,533,302
Other financing sources (uses)					
Issuance of debt	408,353	-	5,332,095	-	-
Operating transfers in	266,909	732,224	533,485	696,299	529,294
Operating transfers out	(1,612,192)	(691,897)	(2,051,735)	(3,309,381)	(2,948,113)
	(936,930)	40,327	3,813,845	(2,613,082)	(2,418,819)
Fund balances					
Beginning of year	10,186,720	9,828,112	7,808,993	10,423,352	9,871,456
End of year	$ 9,828,112	$ 7,808,993	$ 10,423,352	$ 9,871,456	$ 10,985,939

Park Fund Consecutive Net Asset/Balance Sheet (GAAP Basis) -- As of June 30, 2012

	2008	2009	2010	2011	2012
ASSETS					
Cash & cash equivalents	$ 75,600	$ 109,528	$ 47,749	$ 253,568	$ 297,937
Investments	576,331	700,563	490,211	618,053	466,273
Receivables, net	-	-	14,954	-	-
Due from other funds	-	356,485	321,980	18,070	187,350
Other assets	8,860	43,298	4,897	3,450	2,081
Restricted cash and cash equivalents	5,242	136	89	194	-
Restricted investments	39,958	864	911	806	-
Total assets	$ 705,991	$ 1,210,874	$ 880,791	$ 894,141	$ 953,641
LIABILITIES AND FUND EQUITY					
Liabilities					
Accounts payable	$ 18,742	$ 57,794	$ 24,711	$ 11,510	$ 12,903
Other accrued liabilities	-	182,701	-	4,511	33,414
Due to other funds	279,576	167,746	111,830	55,915	-
Deposits	45,200	1,000	1,000	-	-
Deferred revenue	-	32,943	8,328	-	-
Total liabilities	343,518	442,184	145,869	71,936	46,317
Fund balances					
Assigned	362,473	768,690	734,922	822,205	907,324
Total fund balances	362,473	768,690	734,922	822,205	907,324
Total liabilities and fund balances	$ 705,991	$ 1,210,874	$ 880,791	$ 894,141	$ 953,641

Park Fund Consecutive Statement of Revenues and Expenditures (GAAP Basis) -- For year ended June 30, 2012

	2008	2009	2010	2011	2012
Revenues					
Intergovernmental	$ -	$ 100,000	$ 25,111	$ 16,119	$ -
Charges for services	27,386	224	-	30	85
Miscellaneous revenues	14,552	63,479	17,634	5,275	9,016
Contributions and donations	-	-	-	1,000	-
Total revenues	41,938	163,703	42,745	22,424	9,101
Expenditures					
Capital improvements	742,273	6,433,274	1,708,899	673,974	354,020
Debt service	189,984	130,765	183,609	6,710	3,355
Total expenditures	932,257	6,564,039	1,892,508	680,684	357,375
Excess of revenues over (under) expenditures	(890,319)	(6,400,336)	(1,849,763)	(658,260)	(348,274)
Other financing sources (uses)					
Debt/refunding proceeds	-	4,504,819	-	-	-
Operating transfers in	1,096,341	2,301,734	1,815,995	745,543	433,393
	1,096,341	6,806,553	1,815,995	745,543	433,393
Fund balances					
Beginning of year	156,451	362,473	768,690	734,922	822,205
End of year	$ 362,473	$ 768,690	$ 734,922	$ 822,205	$ 907,324

General Obligation Bond Debt Service Fund Consecutive Net Asset Balance Sheet (GAAP Basis) -- As of June 30, 2012

	2008	2009	2010	2011	2012
ASSETS					
Cash & cash equivalents	$ 24,940	$ 5,744	$ 4,791	$ 3,098	$ 670
Investments	153,798	18,873	36,658	10,674	1,605
Property tax receivable	38,762	32,730	13,762	6,651	4,058
Other assets	2,365	279	366	59	7
Total assets	$ 219,865	$ 57,626	$ 55,577	$ 20,482	$ 6,340
LIABILITIES AND FUND EQUITY					
Liabilities					
Other accrued liabilities	$ -	$ -	$ -	$ -	$ 100
Deferred revenue	35,762	29,652	11,557	5,845	4,058
Total liabilities	35,762	29,652	11,557	5,845	4,158
Fund balances					
Assigned	184,103	27,974	44,020	14,637	2,182
Total fund balance	184,103	27,974	44,020	14,637	2,182
Total liabilities and fund balances	$ 219,865	$ 57,626	$ 55,577	$ 20,482	$ 6,340

General Obligation Bond Debt Service Fund Consecutive Statement of Revenues and Expenditures (GAAP Basis)

	2008	2009	2010	2011	2012
Revenues					
Taxes	$ 495,948	$ 330,541	$ 15,325	$ 6,669	$ 2,504
Miscellaneous revenues	19,061	10,130	721	-	41
Total revenues	515,009	340,671	16,046	6,669	2,545
Expenditures					
Debt service	491,750	496,800	-	52	-
Total expenditures	491,750	496,800	-	52	-
Excess of revenues over (under) expenditures	23,259	(156,129)	16,046	6,617	2,545
Other financing sources (uses)					
Operating transfers out	-	-	-	(36,000)	(15,000)
	-	-	-	(36,000)	(15,000)
Fund balances					
Beginning of year	160,844	184,103	27,974	44,020	14,637
End of year	$ 184,103	$ 27,974	$ 44,020	$ 14,637	$ 2,182

ANNUAL DISCLOSURE INFORMATION FOR WATER OBLIGATIONS

In conformance with SEC Rule 15c2-12, as amended (17 CFR Part 240 § 240.15c2-12) (the "Rule), the City will provide annually the type of information presented in the tables of this section to EMMA (the permanent electronic repository of the MSRB).
(See "FORM OF CONTINUING DISCLOSURE CERTIFICATE in bond transcripts for more information.)

Outstanding Obligations as of June 30, 2012

	Dated Date	Maturity Date	Principal Issued	Principal Outstanding as of 6/30/2012
Full Faith and Credit Obligations				
2002 Full Faith & Credit Refunding (City Hall)	5/15/2002	6/1/2018	10,265,000	5,650,000
2003 Pension Obligation Bonds	5/27/2004	6/1/2028	19,280,000	18,660,000
2003 Special Public Works	12/23/2003	12/1/2028	795,000	614,712
2011 Line of Credit, Gresham/Urban Renewal	7/15/2011	7/15/2014	10,000,000	2,605,000
2010 Financing Agreement City of Gresham/Urban Renewal	6/4/2010	6/1/2023	23,470,000	20,981,203
Total Full Faith and Credit Obligations			63,810,000	48,510,915
Total Direct Debt			63,810,000	48,510,915
Debt Backed by Water Revenue				
Water Revenue Bonds, Series 2003	9/15/2003	11/1/2018	8,870,000	4,300,000
Water Meter Replacement Notes 2011	6/1/2011	12/1/2030	2,361,232	2,262,497
2011 Line of Credit, Gresham/Urban Renewal	7/15/2011	7/15/2014	10,000,000	425,000
Total Debt Backed by Water Revenue			21,231,232	6,987,497
Debt Backed by Stormwater Revenue				
Stormwater Revenue Refunding Bonds, Series 2002	12/1/2002	11/1/2014	3,520,000	1,145,000
Stormwater Revenue Refunding Bonds, Series 2006	12/21/2006	5/1/2021	2,850,000	2,850,000
Total Debt Backed by Stormwater Revenue			6,370,000	3,995,000
Debt Backed by Wastewater Revenue				
2009 Wastewater Financing Agreement	9/15/2009	5/1/2021	19,351,000	15,317,000
R39189 South Gresham Interceptor	3/1/2007	9/1/2026	648,089	525,645
R39190 Wastewater Second Clarifier	10/15/2009	8/1/2029	407,058	375,269
R39191 Linneman Pump Station	1/15/2009	12/1/2028	3,576,911	3,151,558
R39192 Jenne Road Pump Station	11/12/2010	8/1/2030	3,595,998	3,457,542
Total Debt Backed by Wastewater Revenue			27,579,056	22,827,014
Total Utility Obligations			55,180,288	33,809,511
Total Outstanding Obligations			$ 118,990,288	$ 82,320,426

Five-Year Water System Consumption (hundred cubic feet by customer class)

Customer Class	2007-08	2008-09	2009-10	2010-11	2011-12
Residential	1,528,179	1,527,859	1,495,258	1,398,387	1,375,785
Multiple Dwelling	745,234	749,085	755,218	751,620	737,339
Irrigation	79,703	95,914	-	-	-
Commercial	448,544	376,016	442,132	386,046	375,580
Industrial	447,609	420,724	421,720	418,556	432,366
Public/Institutional	82,424	107,938	85,237	103,023	98,608
Total	3,331,693	3,277,536	3,199,565	3,057,632	3,019,678

Ten Largest Water System Customers

Customer	2011-12 Annual Revenue	Percent of Total Gross Water System Revenue
ON Semiconductor	$ 868,357	7.45%
Holly Ridge LLC	87,989	0.75%
City of Gresham	71,728	0.62%
Mt Hood Community College	71,706	0.61%
Gresham Barlow School	71,401	0.61%
Mt Hood Medical Center	57,333	0.49%
Kempton Downs Apartments	51,845	0.44%
US Bancorp Real Estate	50,563	0.43%
The Village Apartments	49,901	0.43%
Heatherwood Apartments	45,631	0.39%
Total	$ 1,426,454	

Total gross water system sales revenue for Fiscal Year 2011-12 was $ 11,659,516

Water System Capital Assets

Facility	Depreciated Value
Land, buildings and improvements	$ 2,417,148
Infrastructure	61,544,963
Machinery and equipment	1,447,747
Construction in progress	1,753,252
	$ 67,163,110

Rates and Charges

Fixed Charges Meter Size	2007-08	2008-09	2009-10	2010-11	2011-12
5/8" x 3/4"	26.48	28.06	28.06	29.18	30.94
3/4"	33.28	35.28	35.28	36.70	38.90
1"	46.62	49.42	49.42	51.40	54.48
1 1/2"	80.00	84.80	84.80	88.20	93.50
2"	120.14	127.34	127.34	132.44	140.38
3"	213.76	226.58	226.58	235.64	249.78
4"	347.42	368.26	368.26	383.00	405.98
6"	681.72	722.62	722.62	751.52	796.62
8"	1,270.14	1,346.34	1,346.34	1,400.20	1,484.22
10"	1,974.62	2,093.10	2,093.10	2,176.80	2,307.42
12"	2,821.30	2,990.58	2,990.58	3,110.20	3,296.82
Bi-monthly Fire Flow Charge (1,000 GPM)	7.92	8.40	8.40	8.74	9.26
Water Rates Per Consumption (per 100cf)					
0-3,400 cf	1.88	1.99	1.99	2.07	2.19
3,500-5,400 cf	2.27	2.41	2.41	2.51	2.66
5,500+ cf	2.84	3.01	3.01	3.13	3.32

Water Fund Consecutive Net Asset/Balance Sheet (GAAP Basis) -- As of June 30, 2012

	2008	2009	2010	2011	2012
ASSETS					
Current assets:					
Cash and cash equivalents	$ 618,833	$ 1,040,227	$ 661,595	$ 1,695,029	$ 3,054,391
Investments	4,709,255	6,646,433	6,780,897	7,020,123	7,312,396
Receivables, net	1,394,185	1,508,503	1,380,178	1,419,699	1,589,617
Due from other funds	1,191,231	1,128,264	2,157,846	1,321,864	1,241,346
Total current assets	7,913,504	10,323,427	10,980,516	11,456,715	13,197,750
Noncurrent assets:					
Advances to other funds	-	-	-	1,225,000	1,102,500
Other assets	205,029	215,573	174,998	136,686	99,568
Restricted cash and cash equivalents	937,239	1,141,648	800,270	1,261,648	2,035,698
Restricted investments	7,144,990	7,283,131	8,218,025	5,230,341	4,571,587
Capital assets:					
Non-depreciable	1,394,513	2,339,888	3,583,761	1,393,595	2,873,472
Depreciable, net	59,884,239	60,164,442	61,018,365	65,885,627	64,289,638
Total noncurrent assets	69,566,010	71,144,682	73,795,419	75,132,897	74,972,463
Total assets	77,479,514	81,468,109	84,775,935	86,589,612	88,170,213
LIABILITIES					
Current liabilities:					
Accounts payable	239,908	591,073	905,100	217,304	305,410
Accrued interest payable	50,330	46,039	41,288	70,718	-
Deposits	-	-	51,604	77,186	65,094
Other accrued liabilities	-	22,126	-	-	484,148
Accrued compensated absences	21,300	20,800	23,400	21,600	22,000
Bonds, notes and loans payable	1,134,103	1,184,103	1,234,103	1,397,837	1,251,967
Total current liabilities	1,445,641	1,864,141	2,255,495	1,784,645	2,128,619
Noncurrent liabilities:					
Deposits	368,872	258,571	210,892	53,902	131,917
Advances from other funds	-	1,000,000	800,000	600,000	400,000
Accrued compensated absences	121,000	118,100	132,400	122,300	124,600
Bonds, notes and loans payable	9,051,617	7,867,515	6,633,411	6,374,848	5,547,881
Total noncurrent liabilities	9,541,489	9,244,186	7,776,703	7,151,050	6,204,398
Total liabilities	10,987,130	11,108,327	10,032,198	8,935,695	8,333,017
NET ASSETS					
Invested in capital assets, net of related debt	51,225,661	51,093,031	56,734,612	59,506,537	59,963,262
Restricted for:					
Rate stabilization	2,516,158	2,500,000	2,500,000	-	-
Debt service	1,259	2,066	223,534	179,984	221,482
Unrestricted	12,749,306	16,764,685	15,285,591	17,967,396	19,652,452
Total net assets	$ 66,492,384	$ 70,359,782	$ 74,743,737	$ 77,653,917	$ 79,837,196

Water Fund Statement of Revenues, Expenses & Changes in Net Assets (GAAP Basis) -- For year ended June 30, 2012

	2008	2009	2010	2011	2012
OPERATING REVENUES					
Charges for services	$ 10,803,163	$ 11,239,418	$ 11,085,023	$ 11,156,774	$ 11,659,516
Miscellaneous	741,450	537,701	1,118,716	1,024,756	618,152
Total operating revenues	11,544,613	11,777,119	12,203,739	12,181,530	12,277,668
OPERATING EXPENSES					
Personal services	2,218,728	2,345,868	2,616,381	2,815,285	2,710,402
Professional and technical services	151,703	97,512	77,795	81,260	88,884
Property services	406,071	366,841	321,295	368,015	324,513
Other services	88,774	75,844	78,839	69,594	82,159
Supplies	227,076	231,930	230,447	281,561	337,421
Insurance claims	1,554	-	-	-	-
Water purchases	1,908,186	1,963,645	2,103,040	1,923,810	1,998,604
Internal services	2,041,764	2,214,797	1,916,132	2,034,393	2,330,714
Other materials and services	1,910	2,658	5,114	72,931	395,079
Depreciation and amortization	1,965,278	2,146,384	2,236,749	2,396,959	2,530,393
Total operating expenses	9,011,044	9,445,479	9,585,792	10,043,808	10,798,169
Operating income	2,533,569	2,331,640	2,617,947	2,137,722	1,479,499
NONOPERATING REVENUES (EXPENSES)					
Miscellaneous revenue	69	7,581	2,479	9,421	73,749
Interest and investment income	735,883	657,460	120,298	190,267	152,802
Interest expense	(137,277)	(373,568)	(255,415)	(302,170)	(249,550)
Gain/loss on disposition of assets	(16,047)	-	-	(11)	-
Total nonoperating revenues (expenses)	582,628	291,473	(132,638)	(102,493)	(22,999)
Income (loss) before contributions and transfers	3,116,197	2,623,113	2,485,309	2,035,229	1,456,500
Capital contributions	771,906	726,357	411,283	1,009,492	854,776
Transfers in	394,647	1,063,726	2,062,528	3,727,957	396,396
Transfers out	(566,300)	(545,797)	(575,168)	(3,862,498)	(524,393)
Change in net assets	3,716,450	3,867,399	4,383,952	2,910,180	2,183,279
Total net assets - beginning	62,775,936	66,492,386	70,359,785	74,743,737	77,653,917
Total net assets - ending	$ 66,492,386	$ 70,359,785	$ 74,743,737	$ 77,653,917	$ 79,837,196

Five-Year Water Fund Revenues, Expenses and Debt Service Coverage

	2008	2009	2010	2011	2012
Gross Revenues					
Charges for services	$ 10,803,163	$ 11,239,418	$ 11,085,023	$ 11,156,774	$ 11,659,516
System development charges[1]	394,647	207,653	211,678	312,688	227,986
Other revenues	741,519	545,282	1,121,195	1,034,177	678,387
Interest earnings	618,758	400,885	92,424	156,384	100,303
Total Gross Revenues	12,558,087	12,393,238	12,510,320	12,660,023	12,666,192
Operating Expenses					
Operating transfers	566,300	545,797	575,168	556,904	524,393
Environmental services	7,067,450	7,299,095	7,349,043	7,646,849	7,872,697
Total Operating Expenses	7,633,750	7,844,892	7,924,211	8,203,753	8,397,090
Transfer to Rate Stabilization Account	-	-	-	-	-
Net Coverage Revenues	$ 4,924,337	$ 4,548,346	$ 4,586,109	$ 4,456,270	$ 4,269,102
Debt Service[2]	$ 1,532,850	$ 1,527,730	$ 1,539,361	$ 1,520,543	$ 1,271,646
Debt Service Coverage	3.21	2.98	2.98	2.93	3.36

[1] Beginning in 2010, SDC revenue is reported as the actual revenue collected, not the SDC transferred for debt service.

[2] 2011 Debt Service excludes a $1,225,000 early redemption payment, and 2012 excludes a $600,000 final redemption of the 1999 Water Revenue bonds to avoid distorting the respective Debt Service Coverage ratios.

Note: Debt Service Coverage calculations comport with required computations described in the debt issuance documents.

ANNUAL DISCLOSURE INFORMATION FOR STORMWATER OBLIGATIONS

In conformance with SEC Rule 15c2-12, as amended (17 CFR Part 240 § 240.15c2-12) (the "Rule), the City will provide annually the type of information presented in the tables of this section to EMMA (the permanent electronic repository of the MSRB).
(See "FORM OF CONTINUING DISCLOSURE CERTIFICATE in bond transcripts for more information.)

Ten Largest Stormwater System Customers

Customer	Annual DRUs	Annual Service Charges	Percent of Total Charges
Mt Hood Community College	4,061	$ 116,906	1.71%
Boeing of Portland	7,297	103,968	1.52%
Gresham Barlow School	5,214	99,807	1.46%
City of Gresham	4,633	87,498	1.28%
Albertson's	4,061	77,019	1.13%
Microchip Technology, Inc	2,440	46,464	0.68%
US Bancorp	2,055	40,905	0.60%
Bridgestone/Firestone	1,740	33,127	0.49%
ON Semiconductor	2,273	32,458	0.48%
Fred Meyer	1,941	32,298	0.47%
Total		$ 670,450	

Total gross stormwater system service revenue for Fiscal Year 2011-12 was $ 6,820,344

Stormwater System Capital Assets

Facility	Depreciated Value
Land, buildings and improvements	$ 4,535,890
Infrastructure	47,139,646
Machinery and equipment	662,674
Construction in progress	743,615
	$ 53,081,825

System Rates and Charges

	2007-08	2008-09	2009-10	2010-11	2011-12
Monthly rate per DRU	8.11	8.60	8.60	9.20	9.84
System development charge per DRU *	824	824	824	824	824

* Within current City limits

Monthly 2011-12 Residential Stormwater Rate Comparison for a "Typical" Residence

Community or Agency	Residential Rate
City of Portland	$22.37
City of Gresham	9.84
City of Fairview	8.78
City of Beaverton	7.25
City of Hillsboro	5.25
City of Wilsonville	3.72

Stormwater Fund Consecutive Net Asset/Balance Sheet (GAAP Basis) -- As of June 30, 2012

	Restated 2008	2009	2010	2011	2012
ASSETS					
Current assets:					
Cash and cash equivalents	$ 812,282	$ 1,092,460	$ 753,723	$ 1,788,104	$ 2,951,252
Investments	6,192,384	6,987,560	7,738,002	7,410,407	7,068,025
Receivables, net	868,094	959,667	1,065,359	1,067,329	1,333,731
Due from other funds	882,215	947,083	1,060,623	983,593	1,013,525
Total current assets	8,754,975	9,986,770	10,617,707	11,249,433	12,366,533
Noncurrent assets:					
Other assets	262,242	253,617	211,955	158,292	131,770
Restricted cash and cash equivalents	137,538	172,025	122,765	271,032	734,809
Restricted investments	1,048,509	1,097,434	1,260,356	1,123,603	1,650,169
Capital assets					
Nondepreciable	4,216,203	4,919,584	6,393,236	4,895,698	5,279,506
Depreciable, net	47,236,273	47,772,680	46,636,042	48,090,607	47,802,319
Total noncurrent assets	52,900,765	54,215,340	54,624,354	54,539,232	55,598,573
Total assets	61,655,740	64,202,110	65,242,061	65,788,665	67,965,106
LIABILITIES					
Current liabilities:					
Accounts payable	161,728	152,434	232,150	112,318	221,617
Deposits	-	-	-	5,625	-
Accrued interest payable	36,850	35,155	33,271	31,331	1,517,962
Other accrued liabilities	-	533	-	832,678	29,190
Accrued compensated absences	17,800	16,575	16,800	17,400	16,600
Bonds, notes and loans payable	326,647	277,233	287,233	302,234	317,231
Total current liabilities	543,025	481,930	569,454	1,301,586	2,102,600
Noncurrent liabilities:					
Deposits	20,922	20,922	20,922	55,621	61,246
Accrued compensated absences	100,900	93,625	95,400	98,400	99,864
Bonds, notes and loans payable	4,911,519	4,307,509	4,020,276	3,718,041	3,400,810
Total noncurrent liabilities	5,033,341	4,422,056	4,136,598	3,872,062	3,561,920
Total Liabilities	5,576,366	4,903,986	4,706,052	5,173,648	5,664,520
NET ASSETS					
Invested in capital assets, net of related debt	46,381,353	48,107,521	48,721,770	48,966,030	49,363,784
Restricted for:					
Rate stabilization	500,000	500,000	500,000	500,000	500,000
Debt service	216,576	221,153	291,621	321,158	332,412
Unrestricted	9,367,634 *	10,469,450	11,022,618	10,827,829	12,104,390
Total net assets	$ 56,465,563 *	$ 59,298,124	$ 60,536,009	$ 60,615,017	$ 62,300,586

* 2008 was restated to reflect the cumulative effect of a prior period adjustment of $386,189.

Stormwater Fund Statement of Revenues, Expenses & Changes in Net Assets (GAAP Basis) -- For year ended June 30, 2012

	2008	*2009*	*2010*	*2011*	*2012*
OPERATING REVENUES					
Charges for services	$ 5,618,772	$ 5,959,693	$ 6,130,058	$ 6,398,924	$ 6,820,344
Miscellaneous	333,600	185,895	374,918	308,373	248,142
Total operating revenues	5,952,372	6,145,588	6,504,976	6,707,297	7,068,486
OPERATING EXPENSES					
Personal services	2,123,682	2,136,468	2,210,431	2,305,646	2,275,188
Professional and technical services	286,522	262,886	272,517	318,433	387,281
Property services	121,218	110,240	128,347	102,706	119,962
Other services	162,942	182,856	204,090	151,428	107,021
Supplies	121,135	123,836	114,858	98,871	90,535
Internal services	1,445,208	1,427,915	1,370,423	1,426,781	1,574,896
Other materials and services	33,193	906	1,934	769,589	152,623
Depreciation and amortization	1,554,121	1,650,666	1,685,028	1,737,185	1,801,532
Total operating expenses	5,848,021	5,895,773	5,987,628	6,910,639	6,509,038
Operating income (loss)	104,351	249,815	517,348	(203,342)	559,448
NONOPERATING REVENUES (EXPENSES)					
Miscellaneous revenue	74,467	9,524	16,992	4,918	8,830
Interest and investment income	450,273	347,919	72,215	118,156	112,814
Interest revenue (expense)	(239,468)	(271,832)	(245,253)	(230,449)	(239,636)
Gain (loss) on disposition of assets	(4,954)	-	-	(3)	-
Total nonoperating revenues (expenses)	280,318	85,611	(156,046)	(107,378)	(117,992)
Income (loss) before contributions and transfers	384,669	335,426	361,302	(310,720)	441,456
Capital contributions	2,034,715	1,890,899	540,554	134,402	954,449
Transfers in	2,255,459	1,199,450	1,008,838	871,532	863,777
Transfers out	(610,709)	(593,214)	(672,809)	(616,206)	(574,113)
Change in net assets	4,064,134	2,832,561	1,237,885	79,008	1,685,569
Total net assets - beginning	52,015,240	56,465,563	59,298,124	60,536,009	60,615,017
Cumulative effect of prior period adjustment	386,189				
Total net assets - ending	$ 56,465,563	$ 59,298,124	$ 60,536,009	$ 60,615,017	$ 62,300,586

Five-Year Stormwater Fund Revenues, Expenses and Debt Service Coverage

	2008	2009	2010	2011	2012
Gross Revenues					
Charges for services	$ 5,618,772	$ 5,959,693	$ 6,130,058	$ 6,398,924	$ 6,820,344
System development charges[1]	616,574	203,091	202,604	201,744	202,982
Other revenues	408,067	195,419	391,910	315,694	254,213
Interest earnings	341,426	162,669	40,126	83,369	75,862
Total Gross Revenues	6,984,839	6,520,872	6,764,698	6,999,731	7,353,401
Operating Expenses					
Net operating transfers included for coverage [2]	213,709	196,214	275,809	207,900	177,113
Environmental services	4,293,900	4,244,201	4,302,600	4,403,865	4,554,883
Total Operating Expenses	4,507,609	4,440,415	4,578,409	4,611,765	4,731,996
Net Coverage Revenues	$ 2,477,230	$ 2,080,457	$ 2,186,289	$ 2,387,966	$ 2,621,405
Debt Service	$ 540,665	$ 540,815	$ 539,840	$ 538,115	$ 540,598
Debt Service Coverage	4.58	3.85	4.05	4.44	4.85

[1] Transfers for debt service.
[2] Effective 2011, applicable operating transfers in are included and netted with operating transfers out for one net amount. Previously, operating transfers in were not reported. As such, for consistency, all prior years were changed accordingly.
Note: Debt Service Coverage calculations comport with required computations described in the debt issuance documents.

Outstanding Obligations as of June 30, 2012

	Dated Date	**Maturity Date**	**Amount Issued**	**Outstanding as of 6/30/2012**
2002 Stormwater Revenue Refunding	12/1/2002	11/1/2014	$ 3,520,000	$ 1,145,000
2006 Stormwater Revenue Refunding	12/21/2006	5/1/2021	2,850,000	2,850,000
Total Stormwater Revenue Bonds			$ 6,370,000	$ 3,995,000

ANNUAL DISCLOSURE INFORMATION FOR WASTEWATER OBLIGATIONS

In conformance with SEC Rule 15c2-12, as amended (17 CFR Part 240 § 240.15c2-12) (the "Rule), the City will provide annually the type of information presented in the tables of this section to EMMA (the permanent electronic repository of the MSRB).
(See "FORM OF CONTINUING DISCLOSURE CERTIFICATE in bond transcripts for more information.)

Ten Largest Wastewater System Customers

Customer	2011-12 Annual Revenue	Percent of Total Gross Wastewater System Revenue
City of Fairview	$ 585,221	4.14%
ON Semiconductor	450,566	3.19%
Microchip Technology Inc.	428,181	3.03%
City of Wood Village	272,551	1.93%
Trailblazer Food Products	104,546	0.74%
Holly Ridge LLC	95,183	0.67%
Evonik	89,754	0.64%
Boeing of Portland	80,425	0.57%
Kempton Downs Apartments	60,475	0.43%
Heatherwood Apartments	45,491	0.32%
Total	$ 2,212,393	

Total gross wastewater service revenue for Fiscal Year 2011-12 was $ 14,130,736

Wastewater System Capital Assets

Facility	Depreciated Value
Land, buildings and improvements	$ 5,391,026
Infrastructure	98,516,767
Machinery and equipment	2,247,581
Construction in progress	9,261,635
	$ 115,417,009

Rates and Charges

Fixed Charges	2012
Single family residence bimonthly charge	$ 52.60
Rate based on water usage	
Low strength	$ 2.74
Medium strength	$ 4.60
High Strength	$ 5.68
Rate based on monitored usage	
Flow	$ 1.91
BOD	$ 0.40
SS	$ 0.39

Wastewater Fund Consecutive Net Asset/Balance Sheet (GAAP Basis) -- As of June 30, 2012

	2008	2009	2010	2011	2012
ASSETS					
Current assets:					
Cash and cash equivalents	$ 3,445,169	$ 3,768,988	$ 2,465,701	$ 6,292,763	$ 9,516,608
Investments	26,258,879	24,151,289	25,302,471	26,074,737	22,612,348
Receivables, net	3,601,536	6,159,807	5,560,868	5,101,289	4,751,536
Due from other funds	1,421,291	1,669,569	1,587,082	1,782,763	1,606,312
Total current assets	34,726,875	35,749,653	34,916,122	39,251,552	38,486,804
Noncurrent assets:					
Assessments receivables, net	950,755	-	-	-	-
Advances to other funds		1,000,000	800,000	600,000	400,000
Receivables, net	2,248,487	-	-	-	-
Other assets	669,924	610,567	323,069	206,460	148,809
Restricted cash and cash equivalents	2,089,745	2,977,428	2,045,042	3,836,940	5,653,716
Restricted investments	15,931,043	18,994,469	21,000,602	15,906,587	12,696,606
Capital assets:					
Non-depreciable	11,140,068	8,980,862	6,460,731	8,789,234	13,354,348
Depreciable, net	94,442,390	101,585,744	105,560,558	103,223,320	102,062,661
Total noncurrent assets	127,472,412	134,149,070	136,190,002	132,562,541	134,316,140
Total assets	$ 162,199,287	$ 169,898,723	$ 171,106,124	$ 171,814,093	$ 172,802,944
LIABILITIES					
Current liabilities:					
Accounts payable	$ 1,562,406	$ 1,520,532	$ 1,176,392	$ 1,311,529	$ 778,213
Deposits	-	-	-	-	4,492
Accrued interest payable	187,763	220,199	286,147	158,280	147,964
Other accrued liabilities	4,145,870	3,969,601	3,643,292	127,480	1,700,166
Accrued compensated absences	25,700	21,080	25,400	28,500	28,000
Bonds, notes and loans payable	1,265,892	1,450,457	1,580,835	1,767,849	1,822,615
Total current liabilities	7,187,631	7,181,869	6,712,066	3,393,638	4,481,450
Noncurrent liabilities:					
Deposits	91,394	25,654	25,654	25,654	25,654
Advances from other funds	-	-	-	1,225,000	1,102,500
Accrued compensated absences	145,800	119,520	143,800	161,400	158,600
Bonds, notes and loans payable	19,627,319	21,753,773	20,808,970	22,637,119	20,814,504
Total noncurrent liabilities	19,864,513	21,898,947	20,978,424	24,049,173	22,101,258
Total liabilities	27,052,144	29,080,816	27,690,490	27,442,811	26,582,708
NET ASSETS					
Invested in capital assets, net of related debt	84,955,473	87,362,376	89,631,484	87,607,586	91,677,390
Restricted for:					
Rate stabilization	2,728,902	2,728,902	2,728,902	2,729,000	2,729,000
Loan covenant requirement	683,499	684,269	681,638	4,745,576	4,745,576
Construction	-	1,221,987	1,221,987	1,165,088	903,000
Debt service	4,374,293	-	-	-	500,000
Unrestricted	42,404,976	48,820,373	49,151,623	48,124,032	45,665,270
Total net assets	$ 135,147,143	$ 140,817,907	$ 143,415,634	$ 144,371,282	$ 146,220,236

Wastewater Fund Statement of Revenues, Expenses & Changes in Net Assets (GAAP Basis) -- For year ended June 30, 2012

	2008	2009	2010	2011	2012
OPERATING REVENUES					
Charges for services	$ 13,108,641	$ 13,045,733	$ 13,389,153	$ 13,626,827	$ 14,130,736
Miscellaneous	1,107,339	1,261,499	1,320,866	901,245	1,239,798
Total operating revenues	14,215,980	14,307,232	14,710,019	14,528,072	15,370,534
OPERATING EXPENSES					
Personal services	2,449,333	2,323,339	2,504,525	2,782,776	2,780,955
Professional and technical services	3,640,695	3,738,356	3,896,445	3,874,234	4,009,994
Property services	129,840	129,704	90,592	100,501	93,375
Other services	62,389	58,946	43,193	58,399	39,576
Supplies	140,635	101,305	110,663	140,423	183,868
Other operating	5,715	-	-	-	-
Internal services	2,964,175	2,855,481	2,640,273	2,939,309	3,196,340
Other materials and services	279,727	32,058	220,210	1,694,881	1,516,936
Depreciation and amortization	3,364,088	3,608,653	3,836,900	3,963,043	4,032,898
Total operating expenses	13,036,597	12,847,842	13,342,801	15,553,566	15,853,942
Operating income	1,179,383	1,459,390	1,367,218	(1,025,494)	(483,408)
NONOPERATING REVENUES (EXPENSES)					
Miscellaneous revenue	64,958	88,603	35,945	37,336	35,762
Interest and investment income	2,752,710	2,239,294	467,843	789,976	582,058
Interest expense	(773,382)	(737,341)	(673,132)	(755,801)	(632,559)
Gain/loss on disposition of assets	(2,017)	(300,754)	(55,488)	(50,330)	(54,985)
Total nonoperating revenues (expenses)	2,042,269	1,289,802	(224,832)	21,181	(69,724)
Income (loss) before contributions and transfers	3,221,652	2,749,192	1,142,386	(1,004,313)	(553,132)
Capital contributions	1,165,642	851,265	95,253	49,934	343,352
Transfers in	2,026,505	2,616,104	2,035,255	2,466,741	2,583,647
Transfers out	(566,302)	(545,797)	(675,167)	(556,714)	(524,913)
Change in net assets	5,847,497	5,670,764	2,597,727	955,648	1,848,954
Total net assets - beginning	129,299,646	135,147,143	140,817,907	143,415,634	144,371,282
Total net assets - ending	$ 135,147,143	$ 140,817,907	$ 143,415,634	$ 144,371,282	$ 146,220,236

Five-Year Wastewater Fund Revenues, Expenses and Debt Service Coverage

	2008	2009	2010	2011	2012
Gross Revenues					
Charges for services	$ 13,108,641	$ 13,045,733	$ 13,389,153	$ 13,626,827	$ 14,130,736
Net operating transfers included for coverage	1,460,203	2,070,305	1,360,088	1,910,027	2,058,734
Other revenues	1,172,297	1,350,102	1,356,811	960,653	1,284,765
Interest earnings	2,419,364	1,903,465	443,779	604,141	401,708
Total Gross Revenues	18,160,505	18,369,605	16,549,831	17,101,648	17,875,943
Operating Expenses					
Environmental services	10,238,811	9,239,088	9,505,901	9,895,642	10,304,108
Total Operating Expenses	10,238,811	9,239,088	9,505,901	9,895,642	10,304,108
Net Coverage Revenues	$ 7,921,694	$ 9,130,517	$ 7,043,930	$ 7,206,006	$ 7,571,835
Debt Service	$ 2,007,813	$ 2,249,747	$ 2,178,637	$ 2,411,822	$ 2,734,678
Debt Service Coverage	3.95	4.06	3.23	2.99	2.77

[1] Effective 2008, operating transfers in and out are shown as one net amount. As such, for consistency, the amounts for 2007 were changed accordingly.

Note: Debt Service Coverage calculations comport with required computations described in the debt issuance documents.

Appendix C

Book Entry Only System

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SAMPLE OFFERING DOCUMENT LANGUAGE DESCRIBING BOOK-ENTRY-ONLY ISSUANCE

(Prepared by DTC--bracketed material may apply only to certain issues)

1. The Depository Trust Company ("DTC"), New York, NY, will act as securities depository for the securities (the "Securities"). The Securities will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Security certificate will be issued for [each issue of] the Securities, [each] in the aggregate principal amount of such issue, and will be deposited with DTC. [If, however, the aggregate principal amount of [any] issue exceeds $500 million, one certificate will be issued with respect to each $500 million of principal amount, and an additional certificate will be issued with respect to any remaining principal amount of such issue.]

2. DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of: AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

3. Purchases of Securities under the DTC system must be made by or through Direct Participants, which will receive a credit for the Securities on DTC's records. The ownership interest of each actual purchaser of each Security ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Securities are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Securities, except in the event that use of the book-entry system for the Securities is discontinued.

4. To facilitate subsequent transfers, all Securities deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Securities with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Securities; DTC's records reflect only the identity of the Direct Participants to whose accounts such Securities are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

5. Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. [Beneficial Owners of Securities may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Securities, such as redemptions, tenders, defaults, and proposed amendments to the Security documents. For example, Beneficial Owners of Securities may wish to ascertain that the nominee holding the Securities for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.]

[**6**. Redemption notices shall be sent to DTC. If less than all of the Securities within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.]

7. Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Securities unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to Issuer as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Securities are credited on the record date (identified in a listing attached to the Omnibus Proxy).

8. Redemption proceeds, distributions, and dividend payments on the Securities will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from Issuer or Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, Agent, or Issuer, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of Issuer or Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

[**9.** A Beneficial Owner shall give notice to elect to have its Securities purchased or tendered, through its Participant, to [Tender/Remarketing] Agent, and shall effect delivery of such Securities by causing the Direct Participant to transfer the Participant's interest in the Securities, on DTC's records, to [Tender/Remarketing] Agent. The requirement for physical delivery of Securities in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the Securities are transferred by Direct Participants on DTC's records and followed by a book-entry credit of tendered Securities to [Tender/Remarketing] Agent's DTC account.]

10. DTC may discontinue providing its services as depository with respect to the Securities at any time by giving reasonable notice to Issuer or Agent. Under such circumstances, in the event that a successor depository is not obtained, Security certificates are required to be printed and delivered.

11. Issuer may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Security certificates will be printed and delivered to DTC.

12. The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that Issuer believes to be reliable, but Issuer takes no responsibility for the accuracy thereof.

Appendix D

Form of Continuing Disclosure Certificates

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FORM OF CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the "Certificate"), dated July 30, 2013 is executed and delivered by the City of Gresham, Multnomah County, Oregon (the "Issuer") in connection with the execution and delivery of the Issuer's $4,655,000 aggregate principal amount of Full Faith and Credit Project and Refunding Obligations, Series 2013B (Tax-Exempt) (the "Obligations"), which are dated July 30, 2013. The Obligations are authorized pursuant to Resolution No. 3129 adopted by the governing body of the Issuer on May 21, 2013 (the "Resolution"). Capitalized terms used but not otherwise defined herein shall have the meanings assigned thereto in the Resolution or the Purchase Agreement. The Issuer covenants as follows:

Section 1. Purpose of Certificate. This Certificate is being executed and delivered by the Issuer for the benefit of registered and beneficial holders of the Obligations and to assist the Underwriter in complying with paragraph (b)(5) of Securities and Exchange Commission (the "SEC") Rule 15c2-12 (17 C.F.R. § 240.15c2-12) as amended (the "Rule").

Section 2. Issuer's Representation Regarding Outstanding Municipal Securities. The Issuer, as an "obligated person", hereby agrees to provide or cause to be provided at least annually to the Municipal Securities Rulemaking Board (the "MSRB"), the financial information regarding the Issuer of the type set forth in the final official statement dated July 9, 2013 (the "Official Statement") under the following tables:

Outstanding Long-Term Debt

Taxable Property Values

Tax Collection Record

Major Taxpayers**

Governmental Activities - Statement of Net Assets**

Governmental Activities - Statement of Revenues, Expenses and Changes in Net Assets**

General Fund Statement of Revenues, Expenditures and Changes in Fund Balance**

**Current (preceding fiscal year): no historical information will be provided

The annual financial information described above will be available no later than 270 days after the end of the preceding fiscal year, beginning with the Issuer's fiscal year ending June 30, 2013. Such information will include audited financial statements prepared in accordance with the laws of the State of Oregon as in effect from time to time; provided, however, that if audited financial statements are not available within 270 days after the end of the preceding fiscal year, unaudited financial statements will be provided with audited financial statements to follow when available.

Certain items of annual financial information may be provided by way of cross-reference to other documents provided to the MSRB.

Section 3. Material Events. The Issuer agrees to provide or cause to be provided to the MSRB, in a timely manner not in excess of ten business days after the occurrence of the event, notice of any of the following events with respect to the Obligations:

a. principal and interest payment delinquencies;

b. non-payment related defaults, if material;

c. unscheduled draws on debt service reserves reflecting financial difficulties;

d. unscheduled draws on credit enhancements reflecting financial difficulties;

e. substitution of credit or liquidity providers, or their failure to perform;

f. adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the security, or other material events affecting the tax status of the security;

g. modifications to rights of security holders, if material;

h. bond calls, if material, and tender offers;

i. defeasances;

j. release, substitution, or sale of property securing repayment of the securities, if material;

k. rating changes;

l. bankruptcy, insolvency, receivership or similar event of the obligated person; (Note: For the purposes of the event identified in this paragraph 1, the event is considered to occur when any of the following occur: The appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the obligated person.)

m. the consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

n. appointment of a successor or additional trustee or the change of name of a trustee, if material.

The Issuer may from time to time choose to provide notice of the occurrence of certain other events, in addition to those listed above, if, in the judgment of the Issuer, such other event is material with respect to the Obligations, but the Issuer does not undertake any commitment to provide such notice of any event except those events listed above.

Section 4. Failure to File Timely Annual Financial Information. The Issuer agrees to provide or cause to be provided, in a timely manner, to the MSRB, notice of a failure by the Issuer to provide the annual financial information described in Section 2 herein on or prior to the time set forth in Section 2 herein.

Section 5. Dissemination Agent. The Issuer may, from time to time, engage or appoint an agent to assist the Issuer in disseminating information hereunder (the "Dissemination Agent"). The Issuer may discharge any Dissemination Agent with or without appointing a successor Dissemination Agent.

Section 6. Termination of Obligations. Pursuant to paragraph (b)(5)(iii) of the Rule, the Issuer's obligation to provide annual financial information and notice of material events, as set forth above, shall terminate if and when the Issuer no longer remains an obligated person with respect to the Obligations, which shall occur upon either redemption in full of the Obligations, or legal defeasance of the Obligations. In addition, and notwithstanding the provisions of Section 8 herein, the Issuer may rescind its obligations under this Certificate, in whole or in part, if (i) the Issuer obtains an opinion of nationally recognized bond counsel that those portions of the Rule that required the execution and delivery of this Certificate are invalid, have been repealed, or otherwise do not apply to the Obligations, and (ii) the Issuer notifies and provides to the MSRB, a copy of such legal opinion.

Section 7. Enforceability and Remedies. The Issuer agrees that this Certificate is intended to be for the benefit of registered and beneficial holders of the Obligations and shall be enforceable by or on behalf of any such holder; provided that, the right of any holder of an obligation to challenge the adequacy of the information furnished hereunder shall be limited to an action by or on behalf of holders of the Obligations representing at least twenty-five percent (25%) of the aggregate outstanding principal amount of Obligations. Any failure by the Issuer to comply with the provisions of this undertaking shall not be an Event of Default under the obligation documents. This Certificate confers no rights on any person or entity other than the Issuer, holders of the Obligations, and any Dissemination Agent.

Section 8. Amendment. The Issuer may amend this Certificate without the consent of holders of the Obligations under the following conditions:

a. The amendment may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature, or status of the obligated person or type of business conducted;

b. This Certificate, as amended, would have complied with the requirements of the Rule at the time of the primary offering, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

c. The amendment (i) does not materially impair the interest of holders of the Obligations, as determined either by parties unaffiliated with the Issuer (such as nationally recognized special counsel), or (ii) is approved by holders of the Obligations in the same manner as provided in the obligation documents with the consent of holders of the Obligations.

The financial information provided pursuant to Section 2 hereof will explain, in narrative form, the reasons for any amendment and the impact of the change in the type of operating data or financial information being provided.

Section 9. Form of Information. All information required to be provided under this Certificate will be provided in an electronic format as prescribed by the MSRB and with the identifying information prescribed by the MSRB.

Section 10. Submitting Information Through EMMA. So long as the MSRB continues to approve the use of the Electronic Municipal Market Access ("EMMA") continuing disclosure service, any information required to be provided to the MSRB under this Certificate may be provided through EMMA. As of the date of this Certificate, the web portal for EMMA is www.emma.msrb.org.

Section 11. Choice of Law. This Certificate shall be governed by and construed in accordance with the laws of the State of Oregon, provided that to the extent this Certificate addresses matters of federal securities laws, including the Rule, this Certificate shall be construed in accordance with such federal securities laws and official interpretations thereof.

CITY OF GRESHAM,
MULTNOMAH COUNTY, OREGON

By: _____

Authorized Representative

FORM OF CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the "Certificate"), dated July 30, 2013 is executed and delivered by the City of Gresham, Multnomah County, Oregon (the "Issuer") in connection with the execution and delivery of the Issuer's $7,610,000 aggregate principal amount of Full Faith and Credit Obligations, Series 2013C (Federally Taxable - Qualified Energy Conservation Bonds - Direct Payment) (the "Obligations"), which are dated July 30, 2013. The Obligations are authorized pursuant to Resolution No. 3129 adopted by the governing body of the Issuer on May 21, 2013 (the "Resolution"). Capitalized terms used but not otherwise defined herein shall have the meanings assigned thereto in the Resolution or the Purchase Agreement. The Issuer covenants as follows:

Section 1. Purpose of Certificate. This Certificate is being executed and delivered by the Issuer for the benefit of registered and beneficial holders of the Obligations and to assist the Underwriter in complying with paragraph (b)(5) of Securities and Exchange Commission (the "SEC") Rule 15c2-12 (17 C.F.R. § 240.15c2-12) as amended (the "Rule").

Section 2. Issuer's Representation Regarding Outstanding Municipal Securities. The Issuer, as an "obligated person", hereby agrees to provide or cause to be provided at least annually to the Municipal Securities Rulemaking Board (the "MSRB"), the financial information regarding the Issuer of the type set forth in the final official statement dated July 9, 2013 (the "Official Statement") under the following tables:

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General Fund Statement of Revenues, Expenditures and Changes in Fund Balance**

**Current (preceding fiscal year): no historical information will be provided

The annual financial information described above will be available no later than 270 days after the end of the preceding fiscal year, beginning with the Issuer's fiscal year ending June 30, 2013. Such information will include audited financial statements prepared in accordance with the laws of the State of Oregon as in effect from time to time; provided, however, that if audited financial statements are not available within 270 days after the end of the preceding fiscal year, unaudited financial statements will be provided with audited financial statements to follow when available.

Certain items of annual financial information may be provided by way of cross-reference to other documents provided to the MSRB.

Section 3. Material Events. The Issuer agrees to provide or cause to be provided to the MSRB, in a timely manner not in excess of ten business days after the occurrence of the event, notice of any of the following events with respect to the Obligations:

a. principal and interest payment delinquencies;

b. non-payment related defaults, if material;

c. unscheduled draws on debt service reserves reflecting financial difficulties;

d. unscheduled draws on credit enhancements reflecting financial difficulties;

e. substitution of credit or liquidity providers, or their failure to perform;

f. adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the security, or other material events affecting the tax status of the security;

g. modifications to rights of security holders, if material;

h. bond calls, if material, and tender offers;

i. defeasances;

j. release, substitution, or sale of property securing repayment of the securities, if material;

k. rating changes;

l. bankruptcy, insolvency, receivership or similar event of the obligated person; (Note: For the purposes of the event identified in this paragraph 1, the event is considered to occur when any of the following occur: The appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the obligated person.)

m. the consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

n. appointment of a successor or additional trustee or the change of name of a trustee, if material.

The Issuer may from time to time choose to provide notice of the occurrence of certain other events, in addition to those listed above, if, in the judgment of the Issuer, such other event is material with respect to the Obligations, but the Issuer does not undertake any commitment to provide such notice of any event except those events listed above.

Section 4. Failure to File Timely Annual Financial Information. The Issuer agrees to provide or cause to be provided, in a timely manner, to the MSRB, notice of a failure by the Issuer to provide the annual financial information described in Section 2 herein on or prior to the time set forth in Section 2 herein.

Section 5. Dissemination Agent. The Issuer may, from time to time, engage or appoint an agent to assist the Issuer in disseminating information hereunder (the "Dissemination Agent"). The Issuer may discharge any Dissemination Agent with or without appointing a successor Dissemination Agent.

Section 6. Termination of Obligations. Pursuant to paragraph (b)(5)(iii) of the Rule, the Issuer's obligation to provide annual financial information and notice of material events, as set forth above, shall terminate if and when the Issuer no longer remains an obligated person with respect to the Obligations, which shall occur upon either redemption in full of the Obligations, or legal defeasance of the Obligations. In addition, and notwithstanding the provisions of Section 8 herein, the Issuer may rescind its obligations under this Certificate, in whole or in part, if (i) the Issuer obtains an opinion of nationally recognized bond counsel that those portions of the Rule that required the execution and delivery of this Certificate are invalid, have been repealed, or otherwise do not apply to the Obligations, and (ii) the Issuer notifies and provides to the MSRB, a copy of such legal opinion.

Section 7. Enforceability and Remedies. The Issuer agrees that this Certificate is intended to be for the benefit of registered and beneficial holders of the Obligations and shall be enforceable by or on behalf of any such holder; provided that, the right of any holder of an obligation to challenge the adequacy of the information furnished hereunder shall be limited to an action by or on behalf of holders of the Obligations representing at least twenty-five percent (25%) of the aggregate outstanding principal amount of Obligations. Any failure by the Issuer to comply with the provisions of this undertaking shall not be an Event of Default under the obligation documents. This Certificate confers no rights on any person or entity other than the Issuer, holders of the Obligations, and any Dissemination Agent.

Section 8. Amendment. The Issuer may amend this Certificate without the consent of holders of the Obligations under the following conditions:

a. The amendment may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature, or status of the obligated person or type of business conducted;

b. This Certificate, as amended, would have complied with the requirements of the Rule at the time of the primary offering, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

c. The amendment (i) does not materially impair the interest of holders of the Obligations, as determined either by parties unaffiliated with the Issuer (such as nationally recognized special counsel), or (ii) is approved by holders of the Obligations in the same manner as provided in the obligation documents with the consent of holders of the Obligations.

The financial information provided pursuant to Section 2 hereof will explain, in narrative form, the reasons for any amendment and the impact of the change in the type of operating data or financial information being provided.

Section 9. Form of Information. All information required to be provided under this Certificate will be provided in an electronic format as prescribed by the MSRB and with the identifying information prescribed by the MSRB.

Section 10. Submitting Information Through EMMA. So long as the MSRB continues to approve the use of the Electronic Municipal Market Access ("EMMA") continuing disclosure service, any information required to be provided to the MSRB under this Certificate may be provided through EMMA. As of the date of this Certificate, the web portal for EMMA is www.emma.msrb.org.

Section 11. Choice of Law. This Certificate shall be governed by and construed in accordance with the laws of the State of Oregon, provided that to the extent this Certificate addresses matters of federal securities laws, including the Rule, this Certificate shall be construed in accordance with such federal securities laws and official interpretations thereof.

CITY OF GRESHAM,
MULTNOMAH COUNTY, OREGON

By: _____

Authorized Representative

Appendix E

Form of 2013B Financing Agreement and Form of 2013B Escrow Agreement

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FINANCING AGREEMENT

by and between

U.S. Bank National Association
as Escrow Agent

and

City of Gresham, Oregon
as Borrower

Dated as of July 30, 2013

$4,655,000
City of Gresham, Oregon
Full Faith and Credit Project and Refunding Obligations
Series 2013B (Tax-Exempt)

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EXHIBIT A: Financing Payments Schedule

FINANCING AGREEMENT

This Financing Agreement is dated as of July 30, 2013, and is entered into by and between the U.S. Bank National Association, as Escrow Agent, and the City of Gresham, Oregon (the "City"), as the borrower. The parties hereby agree as follows:

1. Recitals, Definitions and Rules of Construction.

1.1 Recitals.

1.1(A) The City recites that the City is authorized to finance or refinance real and personal property by Financing Agreement pursuant to ORS 271.390, and executes this Financing Agreement to finance the Projects, as defined below.

1.1(B) The City and the Escrow Agent recite:

(1) The Escrow Agent desires to loan the Financing Amount to the City to finance the Projects, but only from the proceeds of the Obligations.

(2) The City desires to borrow the Financing Amount from the Escrow Agent to finance the Projects as provided in this Financing Agreement.

1.2 Definitions.

Unless the context clearly requires otherwise: capitalized terms not defined in this Section 1.2 shall have the meanings defined for such terms in the Escrow Agreement; and, capitalized terms used in this Financing Agreement which are defined in this Section 1.2 shall have the following meanings:

"Code" means the Internal Revenue Code of 1986, as amended, including regulations, rulings and judicial decisions promulgated thereunder.

"Escrow Agreement" means the Escrow Agreement relating to the City's Full Faith and Credit Project and Refunding Obligations, Series 2013B (Tax-Exempt) which is dated as of July 30, 2013, as it may be amended or supplemented.

"Financing Agreement" means this Financing Agreement, including the exhibits attached to this Financing Agreement and any amendments to this Financing Agreement and its exhibits.

"Financing Amount" means $4,655,000.

"Financing Default" means any event described in Section 5.1 of this Financing Agreement.

"Financing Payments" means the payments described in Section 3.2(B) of this Financing Agreement.

"Obligations" means the Full Faith and Credit Project and Refunding Obligations, Series 2013B (Tax-Exempt) which are issued pursuant to the Escrow Agreement.

"Payment Date" means the date upon which any Financing Payment is due and payable, as provided in Section 3.2(B) herein, or the date on which any Financing Payment will be prepaid in accordance with the Escrow Agreement and this Financing Agreement.

"Projects" means the refunding of public facility projects through the refunding of the BO/IFA Loan and the costs of equipment acquisition and roof replacement described in Resolution No. 3129 adopted by the City Council on May 21, 2013, and costs related to the financing.

1.3 Rules of Construction.

References to section numbers in documents which do not specify the document in which the section is located shall be construed as references to section numbers in this Financing Agreement.

2. Representations, Warranties and Covenants.

2.1 Representations, Warranties and Covenants of City.

The City represents, covenants and warrants for the benefit of the Escrow Agent and its assignees as follows:

2.1(A) The City is a properly incorporated and existing city under the laws of the State of Oregon.

2.1(B) The City is authorized under ORS 271.390 to enter into this Financing Agreement and to perform all of its obligations under this Financing Agreement.

2.1(C) The City has taken all action which is required to ensure the enforceability of this Financing Agreement in accordance with its terms (except as such enforceability may be limited by bankruptcy, insolvency, reorganization, moratorium or similar laws or equitable principles relating to or limiting creditors' rights generally).

2.1(D) The City has complied and will comply with all public bidding or other procurement requirements which apply to this Financing Agreement and the acquisition and construction of the projects financed with or refinanced with this Financing Agreement.

2.1(E) The estimated weighted average life of this Financing Agreement does not exceed the estimated dollar weighted average life of the projects financed and refinanced with this Financing Agreement.

2.2 Representations, Warranties and Covenants of Escrow Agent.

The Escrow Agent represents, covenants and warrants for the benefit of the City as follows:

2.2(A) The Escrow Agent is a national banking association, duly qualified to transact business of the type contemplated by this Financing Agreement and the Escrow Agreement in the State of Oregon, and has all necessary power to own its properties and assets and to carry on its business as now conducted.

2.2(B) The consummation of the transactions contemplated by this Financing Agreement will not violate the provisions of, or constitute a breach or default under, the articles of incorporation, charter or bylaws of the Escrow Agent or any agreement to which the Escrow Agent is a party.

2.2(C) The execution, delivery and performance by the Escrow Agent of this Financing Agreement and all related agreements, instruments and documents to which the Escrow Agent is a party have been duly authorized and constitute legal, valid and binding obligations of the Escrow Agent, enforceable against the Escrow Agent in accordance with their terms, except as such enforcement may be limited by bankruptcy, insolvency, reorganization, moratorium or similar laws or equitable principles relating to or limiting creditors' rights generally.

2.3 Tax Covenants.

To maintain the exclusion of the interest component of each Financing Payment from gross income under the Code, the City covenants for the benefit of the Owners to comply with the Tax Certificate for the Financing Payments and with each applicable requirement of Section 103 and Sections 141 through 150 of the Code, and with all covenants and agreements in the certificates or other documents executed by the City in connection with delivery of the Financing Agreement and the Obligations which relate to the excludability of the interest components from gross income, so that the interest components of the Financing Payments are excludable from gross income under the Code. The Escrow Agent hereby agrees to comply with any instructions given by the City to maintain the exclusion of the interest component of each Financing Payment from gross income under the Code. The covenants in this Section shall survive the payment of the Obligations and the interest thereon, including any payment or defeasance thereof pursuant to the Escrow Agreement.

3. The Loan and the Financing Payments.

3.1 The Loan.

3.1(A) The Escrow Agent agrees to loan the City an amount equal to the Financing Amount, but solely from the proceeds of sale of the Obligations as provided in this Financing Agreement and the Escrow Agreement. This loan from the Escrow Agent to the City will be deemed to have been made when the Escrow Agent makes the deposits and transfers to the City which are specified in Section 3.3 of the Escrow Agreement.

3.1(B) The City agrees to borrow the Financing Amount from the Escrow Agent, and to repay that Financing Amount by making the Financing Payments and paying the Additional Charges as provided in this Financing Agreement. This Financing Agreement shall commence on the Closing Date and shall end on the date the Financing Payments and Additional Charges have been paid or defeased in accordance with Section 11.1 of the Escrow Agreement.

3.2 The Financing Payments and Additional Charges.

3.2(A) The City agrees to pay the Escrow Agent, its successors or assigns, without deduction or offset of any kind, as payment for the loan made under this Financing Agreement, the Financing Payments and the Additional Charges.

3.2(B) The City shall pay the Financing Amount to the Escrow Agent in semiannual Financing Payments which consist of the annual principal installments shown in Exhibit A, together with interest on those principal installments, payable semiannually on January 1 and July 1 of each year, commencing January 1, 2014, at the rates shown in Exhibit A.

3.2(C) To secure the performance of its obligation to pay Financing Payments, the City shall deposit an amount equal to each Financing Payment with the Escrow Agent one Business Day preceding each scheduled Payment Date. Each deposit made under this Section 3.2(C) shall be applied toward its Financing Payment.

3.2(D) In determining the amount of the deposit which is due from the City under Section 3.2(C) the City shall be credited on the deposit date for any amounts then on hand in the Payment Account and available to pay the Financing Payments (including accrued interest, and any other amounts to be deposited therein) and the City shall only be required to pay the difference, if any, between the amount of the deposit then due and the amounts then on hand in the Payment Account.

3.2(E) In addition to the Financing Payments, the City covenants to pay the following Additional Charges, as and when the same become due and payable:

(1) all applicable rebates due in connection with this Financing Agreement and the Obligations which are required to be paid under Section 148(f) of the Code;

(2) the reasonable fees, costs and expenses of the Escrow Agent, including, to the extent permitted by law, all costs and expenses which the Escrow Agent may incur because of any default by the City under this Financing Agreement, including reasonable attorneys' fees and costs of suit or action at law to enforce the terms and conditions of this Financing Agreement, and the fees, costs and expenses of the Escrow Agent as provided in the Escrow Agreement and the reasonable fees, costs and expenses of any successor Escrow Agent.

3.2(F) Additional Charges shall be paid by City when due. Additional Charges described in Section 3.2(E)(1) above shall be paid to the United States Department of Treasury. Additional Charges described in Section 3.2(E)(2) above shall be paid to the Escrow Agent.

3.3 Prepayment.

3.3(A) Optional Prepayment. The principal component of Financing Payments coming due in years 2014 through 2023, inclusive, are not subject to prepayment prior to their respective payment dates. The principal component of Financing Payments coming due on July 1, 2024 and on any date thereafter are subject to prepayment at the option of the City prior to their stated maturity dates at any date on or after July 1, 2023, as a whole or in part, and if in part, with maturities to be selected by the City at a price of par), plus accrued interest, if any, to the date of prepayment.

For as long as the Obligations are in book-entry only form, if fewer than all of the Obligations of a maturity are called for prepayment, the selection of Obligations within a maturity to be

redeemed shall be made by DTC in accordance with its operational procedures then in effect. If the Obligations are no longer held in book-entry only form, then the Escrow Agent would select Obligations for prepayment by lot.

3.3(B) Notice of Prepayment. The City shall give notice of prepayment of Financing Payments to the Escrow Agent not later than 5 days before the notice of prepayment is required to be made.

3.4 Obligation to Pay Financing Payments is Unconditional; Pledge of Full Faith and Credit.

3.4(A) The obligation of the City to make Financing Payments shall be unconditional, and the City shall pay the Financing Payments from any and all of its legally available taxes, revenues and other funds. Pursuant to ORS 287A.315, the City hereby pledges its full faith and credit and taxing power within the limitations of Sections 11 and 11b of Article XI of the Oregon Constitution to pay the Financing Payments and other amounts due under this Financing Agreement.

3.4(B) The City hereby agrees that its obligation to pay all Financing Payments and Additional Charges is absolute and unconditional, and shall not be subject to any of the following:

(1) any setoff, counterclaim, recoupment, defense or other right which the City may have against the Escrow Agent, any contractor or anyone else for any reason whatsoever;

(2) any insolvency, bankruptcy, reorganization or similar proceedings by the City;

(3) abatement through damage, destruction or non-availability of the projects financed with or refinanced with this Financing Agreement; or

(4) any other event or circumstance whatsoever, whether or not similar to any of the foregoing.

3.5 Estoppel.

The City hereby certifies, recites and declares that all things, conditions and acts required by the Constitution and Statutes of the State of Oregon and by this Financing Agreement and the Escrow Agreement to exist, to have happened and to have been performed precedent to and in the execution and the delivery of this Financing Agreement, do exist, have happened and have been performed in due time, form and manner, as required by law, and that this Financing Agreement is a valid and binding obligation of the City which is enforceable against the City in accordance with its terms, except to the extent that enforceability may be limited by applicable bankruptcy, insolvency, fraudulent conveyance, reorganization, moratorium or other laws or judicial decisions or principles of equity relating to or affecting the enforcement of creditors' rights or contractual obligations generally.

4. Title and Assignment.

4.1 Title.

The City shall be entitled to unencumbered, fee simple title to the projects financed with or refinanced with this Financing Agreement, and the Escrow Agent and the Owners shall have no lien on, or security interest in, the projects financed with or refinanced with this Financing Agreement.

4.2 Assignment By the Escrow Agent.

The Escrow Agent may assign its rights under this Financing Agreement only as specifically permitted by the Escrow Agreement.

4.3 Assignment by the City.

The rights and obligations of the City under this Financing Agreement may be assigned or transferred to any entity which succeeds or replaces the City, or any entity into which the City may be merged or consolidated, but only if the assignee or transferee assumes all of the City's obligations under this Financing Agreement. The rights and obligations of City under this Financing Agreement shall not otherwise be assigned or transferred.

5. Financing Defaults and Remedies

5.1 Financing Defaults Defined.

Any one or more of the following events shall constitute Financing Defaults:

5.1(A) Failure by the City to pay any Financing Payments required to be paid hereunder in the amount and at the time specified herein;

5.1(B) Except as provided in Section 5.2 below, failure by the City to observe and perform any covenant, condition or agreement on its part to be observed or performed for a period of 60 days after written notice to the City by the Escrow Agent, specifying such failure and requesting that it be remedied, unless the Escrow Agent shall agree in writing to an extension of such time prior to its expiration; provided, however, that if the failure stated in the notice cannot be corrected within the applicable period, the Escrow Agent will not unreasonably withhold its consent to an extension of such time if corrective action is instituted by the City within the applicable period and diligently pursued until the default is corrected; or

5.1(C) The commencement by the City of a voluntary case under any applicable bankruptcy, insolvency or other similar law now or hereafter in effect or an assignment by the City for the benefit of its creditors, or the entry by the City into an agreement of composition with creditors, or the taking of any action by the City in furtherance of any of the foregoing.

5.2 Force Majeure.

If by reason of *force majeure*, the City is unable in whole or in part to carry out its agreement herein contained, other than the obligation of the City to pay the Financing Payments when due, the City shall not be deemed in default during the continuance of such inability. The term "force majeure" as used herein shall mean, without limitation, any of the following: acts of God; strikes, lockouts or other industrial disturbances; acts of the public enemy; orders or restraints of any kind of the government of the United States of America, the State of Oregon or of the county wherein the City is located or any of their departments, agencies or officials, or any civil or military authority; insurrections; riots; landslides; earthquakes; fires; storms; droughts; floods; explosions; breakage or accident to machinery, transmission pipes or canals; or any other cause or event not reasonably within the control of the City.

5.3 Remedies on Financing Default.

5.3(A) Whenever a Financing Default shall have happened and be continuing, the Escrow Agent shall have the right, at its sole option without any further demand or notice, to exercise any remedy described in Section 9.2 of the Escrow Agreement.

5.3(B) The Escrow Agent shall exercise its rights hereunder only in accordance with the Escrow Agreement. No remedy referred to in this Section 5.3 is exclusive, but each shall be cumulative and in addition to any other remedy referred to herein or otherwise available to the Escrow Agent at law or in equity. HOWEVER, THE AMOUNTS DUE UNDER THIS FINANCING AGREEMENT ARE NOT SUBJECT TO ACCELERATION. In the event that the Escrow Agent exercises or begins to exercise any one or more of such remedies, such action shall not preclude the simultaneous or later exercise by the Escrow Agent of any other remedies. No express or implied waiver by the Escrow Agent of a Financing Default shall constitute a waiver of any other or subsequent Financing Default.

6. Miscellaneous

6.1 Notices.

All notices and other communications required by the Agreement shall be considered properly given if they are delivered via electronic or by facsimile or first class mail:

To the Escrow Agent at:

U.S. Bank National Association
Corporate Trust Services
555 S.W. Oak St., PD-OR-P6TD
Portland, Oregon 97204
Fax #: 503-275-5738

To the City at:

City of Gresham
1333 NW Eastman Parkway
Gresham, OR 97030

6.2 Binding Effect.

This Financing Agreement shall inure to the benefit of and shall be binding upon the Escrow Agent and the City and their respective successors and assigns.

6.3 Severability.

In the event any provisions of this Financing Agreement shall be held invalid or unenforceable by any court of competent jurisdiction, such holding shall not invalidate or render unenforceable any other provisions hereof.

6.4 Amendments.

This Financing Agreement may be amended only as provided in the Escrow Agreement.

6.5 Execution in Counterparts.

This Financing Agreement may be simultaneously executed in several counterparts, each of which shall be an original and all of which shall constitute the same instrument.

6.6 Applicable Law.

This Financing Agreement shall be governed by and construed in accordance with the laws of the State of Oregon. Any action regarding this Financing Agreement or the transactions contemplated hereby shall be brought in an appropriate court of the State of Oregon in Multnomah County, Oregon.

6.7 Headings.

The headings, titles and table of contents in this Financing Agreement are provided for convenience and shall not affect the meaning, construction or effect of this Financing Agreement. All references herein to "Sections," and other subdivisions which do not specify the document in which the subdivision is located shall be construed as references to this Financing Agreement.

[The remainder of this page is left blank intentionally.]

IN WITNESS WHEREOF, the Escrow Agent has executed this Financing Agreement in its corporate name by its duly authorized officer and the City has caused this Financing Agreement to be executed in its name by its duly authorized City Official, all as of the date first above written.

U.S. Bank National Association,
as Escrow Agent

_____
Authorized Officer

City of Gresham, Oregon

_____
Authorized Officer

EXHIBIT A
The Financing Payments

NET DEBT SERVICE

City of Gresham
Series 2013B (Tax-Exempt)
Final Numbers

Date	Principal	Interest	Total Debt Service	Net Debt Service	Annual Net D/S
01/01/2014	-	77,854.13	77,854.13	77,854.13	-
07/01/2014	315,000	92,806.25	407,806.25	407,806.25	485,660.38
01/01/2015	-	86,506.25	86,506.25	86,506.25	-
07/01/2015	350,000	86,506.25	436,506.25	436,506.25	523,012.50
01/01/2016	-	79,506.25	79,506.25	79,506.25	-
07/01/2016	365,000	79,506.25	444,506.25	444,506.25	524,012.50
01/01/2017	-	72,206.25	72,206.25	72,206.25	-
07/01/2017	380,000	72,206.25	452,206.25	452,206.25	524,412.50
01/01/2018	-	64,606.25	64,606.25	64,606.25	-
07/01/2018	395,000	64,606.25	459,606.25	459,606.25	524,212.50
01/01/2019	-	56,706.25	56,706.25	56,706.25	-
07/01/2019	440,000	56,706.25	496,706.25	496,706.25	553,412.50
01/01/2020	-	47,906.25	47,906.25	47,906.25	-
07/01/2020	465,000	47,906.25	512,906.25	512,906.25	560,812.50
01/01/2021	-	38,606.25	38,606.25	38,606.25	-
07/01/2021	480,000	38,606.25	518,606.25	518,606.25	557,212.50
01/01/2022	-	29,006.25	29,006.25	29,006.25	-
07/01/2022	495,000	29,006.25	524,006.25	524,006.25	553,012.50
01/01/2023	-	19,106.25	19,106.25	19,106.25	-
07/01/2023	520,000	19,106.25	539,106.25	539,106.25	558,212.50
01/01/2024	-	8,706.25	8,706.25	8,706.25	-
07/01/2024	40,000	8,706.25	48,706.25	48,706.25	57,412.50
01/01/2025	-	8,056.25	8,056.25	8,056.25	-
07/01/2025	40,000	8,056.25	48,056.25	48,056.25	56,112.50
01/01/2026	-	7,356.25	7,356.25	7,356.25	-
07/01/2026	40,000	7,356.25	47,356.25	47,356.25	54,712.50
01/01/2027	-	6,656.25	6,656.25	6,656.25	-
07/01/2027	40,000	6,656.25	46,656.25	46,656.25	53,312.50
01/01/2028	-	5,906.25	5,906.25	5,906.25	-
07/01/2028	45,000	5,906.25	50,906.25	50,906.25	56,812.50
01/01/2029	-	5,062.50	5,062.50	5,062.50	-
07/01/2029	45,000	5,062.50	50,062.50	50,062.50	55,125.00
01/01/2030	-	4,162.50	4,162.50	4,162.50	-
07/01/2030	45,000	4,162.50	49,162.50	49,162.50	53,325.00
01/01/2031	-	3,262.50	3,262.50	3,262.50	-
07/01/2031	50,000	3,262.50	53,262.50	53,262.50	56,525.00
01/01/2032	-	2,231.25	2,231.25	2,231.25	-
07/01/2032	50,000	2,231.25	52,231.25	52,231.25	54,462.50
01/01/2033	-	1,168.75	1,168.75	1,168.75	-
07/01/2033	55,000	1,168.75	56,168.75	56,168.75	57,337.50
	4,655,000	1,264,110.38	5,919,110.38	5,919,110.38	5,919,110.38

ESCROW AGREEMENT

by and between

U.S. Bank National Association

as Escrow Agent

and

City of Gresham, Oregon

Dated as of July 30, 2013

$4,655,000
Full Faith and Credit Project and Refunding Obligations
Series 2013B (Tax-Exempt)
Evidencing interests in the Financing Payments due from
City of Gresham, Oregon

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Exhibit A: Maturity Schedule

Exhibit B: Form of Obligation

ESCROW AGREEMENT

$4,655,000

City of Gresham, Oregon

Full Faith and Credit Project and Refunding Obligations

Series 2013B (Tax-Exempt)

THIS ESCROW AGREEMENT is dated as of July 30, 2013, is entered into by and between U.S. Bank National Association, an organization having a corporate trust office, as Escrow Agent, and City of Gresham, Oregon. The parties hereby agree as follows:

1. Definitions; Rules of Construction, Recitals; and Transfer of Rights.

1.1 Definitions.

Unless the context clearly requires otherwise: capitalized terms not defined in this Section 1.1 shall have the meanings defined for such terms in the Financing Agreement; and, capitalized terms used in this Escrow Agreement which are defined in this Section 1.1 shall have the following meanings:

"Additional Charges" means the amounts specified as such pursuant to Section 3.2(E) of the Financing Agreement.

"Business Day" means any day other than a Saturday, Sunday or a day on which the City or the Escrow Agent is authorized by law to remain closed.

"City" means City of Gresham, Oregon, or its successors.

"City Official" means the City Manager or the person designated by the City Manager to act as City Official under Resolution No. 3129 adopted by the City Council on May 21, 2013.

"Closing Date" means the day on which the Obligations are delivered to their initial purchasers in exchange for payment.

"Defeasance Obligations" means direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury, and CATS and TGRS) or obligations the principal of and interest on which are unconditionally guaranteed by the United States of America.

"Escrow Agent" the entity serving as escrow agent under this Escrow Agreement, which is U.S. Bank National Association on the date of this Escrow Agreement.

"Escrow Agreement" means this Escrow Agreement, as it may be amended and supplemented.

"Escrow Default" means the events described in Section 9.1 of this Escrow Agreement.

"Financing Agreement" means the Financing Agreement for the Projects which is dated as of July 30, 2013 and is signed by the Escrow Agent and the City, as it may be amended and supplemented.

"Financing Default" means any event described in Section 5.1 of the Financing Agreement.

"Financing Payments" mean the payments of principal and interest which the City is required to make under Section 3.2(B) of the Financing Agreement to repay the Financing Amount, and any prepayments of the Financing Amount (including accrued interest on the prepaid Financing Amount).

"Fiscal Year" means each year beginning on July 1, and ending on the following June 30.

"Obligation Register" means the records kept for the registration of Obligations by the Escrow Agent pursuant to Section 2.7 below.

"Obligations" means the Full Faith and Credit Project and Refunding Obligations, Series 2013B (Tax-Exempt), which are authorized by Section 2.1 below.

"Outstanding" means, when used as of any particular time with respect to Obligations, all Obligations theretofore executed by the Escrow Agent and registered and delivered by the Escrow Agent under this Escrow Agreement except:

i) Obligations previously canceled by the Escrow Agent or surrendered to the Escrow Agent for cancellation;

ii) Obligations which have been defeased pursuant to Section 11.1 of this Escrow Agreement; and,

iii) Obligations in lieu of or in exchange for which other Obligations have previously been executed and delivered by the Escrow Agent pursuant to Section 2.7 below.

"Owner" means the person in whose name an Outstanding Obligation is registered, as shown in the Obligation Register.

"Payment Account" means the Full Faith and Credit Refunding Obligations Payment Account established pursuant to Section 3 below.

"Payment Date" means the date upon which any Financing Payment is due and payable, as provided in Section 3.2(B) of the Financing Agreement, or the date on which any Financing Payment will be prepaid in accordance with this Escrow Agreement and the Financing Agreement.

"Projects" means the refunding of public facility projects through the refunding of the BO/IFA Loan and the costs of equipment acquisition and roof replacement described in Resolution No. 3129 adopted by the City Council on May 21, 2013, and costs related to the financing.

"Qualified Institution" means an institution which maintains a head office or a branch in the State of Oregon, the deposits of which are insured under the provisions of the Federal Deposit Insurance Act, as amended (12 U.S.C. 1811, et seq).

"Qualified Investments" means the investments in which the City may invest surplus funds under the laws of the State of Oregon, including ORS 294.035 and 294.040, as amended.

"Special Counsel" means Hawkins Delafield & Wood LLP, or other counsel nationally recognized for its expertise in municipal finance, that is appointed by the City.

1.2 Rules of Construction.

References to section numbers in documents which do not specify the document in which the section is located shall be construed as references to section numbers in this Escrow Agreement.

1.3 Recitals.

1.3(A) City's Recitals.

(1) The City is authorized by ORS 271.390 to enter into financing agreements to finance or refinance any real or personal property that its City Council determines is needed.

(2) The City Council has determined in Resolution No. 3129 adopted on May 21, 2013, that the Projects are needed, and has authorized execution of the Financing Agreement and this Escrow Agreement to finance the Projects.

(3) The City enters into this Escrow Agreement to provide for the issuance of the Obligations which will be paid from the Financing Payments the City makes under the Financing Agreement.

1.3(B) The Escrow Agent recites that it has placed its rights under the Financing Agreement, including the right to receive the Financing Payments, in escrow for the benefit of the Owners of the Obligations, that it accepts its obligations under this Escrow Agreement and the Financing Agreement and has agreed to execute and deliver the Full Faith and Credit Project and Refunding Obligations, Series 2013B (Tax-Exempt) evidencing proportionate interests in the Financing Payments.

1.4 Rights Under Financing Agreement Held for Benefit of Owners.

1.4(A) The City and the Escrow Agent hereby agree that the following rights shall be held in trust exclusively for the proportionate benefit of the Owners as provided in this Escrow Agreement:

(1) All rights of the Escrow Agent under the Financing Agreement (except for the Escrow Agent's right to payment from Additional Charges); and,

(2) All rights of the Escrow Agent and the City to amounts in the Payment Account.

2. The Full Faith and Credit Project and Refunding Obligations, Series 2013B.

2.1 Preparation and Delivery of Obligations.

2.1(A) The Escrow Agent is hereby authorized and directed to prepare and execute the Obligations in the aggregate principal amount of $4,655,000. The Obligations shall be dated, shall mature on the dates and in the principal amounts, and pay interest at the rates shown in Exhibit A.

2.1(B) The Escrow Agent shall receive and accept the Obligations and will hold the Obligations under The Depository Trust Company's Fast Automated Securities Transfer (FAST) program, upon confirmation of the receipt of the proceeds of the sale of the Obligations.

2.2 Payment of Obligations.

2.2(A) Each Obligation represents an ownership interest in and a right to receive:

(1) a proportionate share of a specified principal component of the Financing Payments, plus

(2) a proportionate share of the Financing Payments allocable to the interest paid on that specified principal component.

2.2(B) The City shall pay the Financing Payments to the Escrow Agent in immediately available funds as provided in the Financing Agreement. The Escrow Agent shall credit the Financing Payments to the Payment Account and transfer the Financing Payment to the Owners as provided in this Escrow Agreement.

2.3 Book-Entry Only System.

2.3(A) The Obligations shall be initially executed and delivered as a book-entry only security issue with no Obligations being made available to the Owners in accordance with the Blanket Issuer Letter of Representations the City has filed with The Depository Trust Company. While the Obligations are in book-entry form, the Obligations shall be subject to the rules and procedures of The Depository Trust Company.

2.3(B) If DTC ceases to act as Depository for the Obligations the City will request the Escrow Agent to, and the Escrow Agent and the City shall, amend this Escrow Agreement to provide for an alternative system of registration and payment for the Obligations that is of general acceptance in the municipal bond markets. If no better system is then available, the Escrow Agent and the City shall amend this Escrow Agreement to provide that printed, registered Obligations shall be issued to beneficial owners of the Obligations, and shall give notice of those amendments to all Owners.

2.3(C) While the Obligations are in book entry form, the City and the Escrow Agent shall have no responsibility or obligation to any participant or correspondent of the depository or to any beneficial owner for:

(1) the accuracy of the records of the depository, its nominee or any participant, correspondent or beneficial owner with respect to any ownership interest in the Obligations;

(2) the delivery to any participant, correspondent, beneficial owner or any other person, other than an Owner as shown in the registration books maintained by the Escrow Agent, of any notice with respect to the Obligations, including any notice of prepayment;

(3) the selection by the depository of the beneficial interest in Obligations to be prepaid if the City prepays the Obligations in part; or

(4) the payment to any participant, correspondent, or any other person other than the Owner of the Obligations as shown in the registration books maintained by the Escrow Agent, of any amount with respect to principal, premium, if any, or interest with respect to the Obligations.

2.3(D) Notwithstanding the book-entry-only system, the City may treat the Owner of an Obligation as the absolute owner of that Obligation for all purposes, including the payment of principal, premium, if any, and interest with respect to such Obligation, or for giving notices of redemption and other matters with respect to such Obligation, or for registering transfers with respect to such Obligation. The Escrow Agent shall pay or cause to be paid all principal, premium, if any, and interest with respect to the Obligations only to or upon the order of the Owners and all such payments shall be valid and effective to fully satisfy and discharge the City's obligation with respect to payment thereof to the extent of the sum or sums so paid. Interest on the Obligations shall cease to accrue on the earlier of their final maturity date or the date they are prepaid.

2.4 Form of Obligations.

The Obligations shall be executed and delivered in fully registered form in denominations of $5,000 or any integral multiple thereof within a single maturity. The Obligations and the form of assignment shall be substantially in the form set forth in Exhibit B. The Escrow Agent shall select the numbering for the Obligations.

2.5 Execution.

The Obligations shall be executed by and in the name of the Escrow Agent by the manual or facsimile signature of an authorized officer of the Escrow Agent; if an Obligation is executed by facsimile signature of the Escrow Agent it shall be authenticated by manual signature of an authorized officer of the Escrow Agent. Only Obligations which are substantially in the form set forth in Exhibit B and which have been manually executed or authenticated by the Escrow Agent shall be valid for any purpose or entitled to the benefits of this Escrow Agreement.

2.6 Execution of Documents.

The Escrow Agent may accept any evidence of execution of documents by Owners which the Escrow Agent reasonably deems sufficient. Any request or consent of the Owner of any Obligation shall bind every future Owner of the same Obligation.

2.7 Obligation Register.

The Escrow Agent will maintain the Obligation Register, and shall record the registration and transfer of all Obligations in the Obligation Register. The Obligation Register shall at all times during regular business hours be open to inspection by the City upon reasonable notice.

2.8 Redemption.

The Obligations shall be redeemed by the Escrow Agent from prepayments of Financing Amounts as provided in this section.

2.8(A) Optional Redemption. The Obligations maturing in years 2014 through 2023, inclusive, are not subject to optional prepayment prior to maturity. The Obligations maturing on July 1, 2024 and on any date thereafter are subject to prepayment at the option of the City prior to their stated maturity dates at any time on or after July 1, 2023, as a whole or in part, and if in part, with maturities to be selected by the City at a price of par, plus accrued interest, if any, to the date of prepayment.

2.8(B) For as long as the Obligations are in book-entry only form, if fewer than all of the Obligations of a maturity are called for prepayment, the selection of Obligations within a maturity to be redeemed shall be made by DTC in accordance with its operational procedures then in effect. If the Obligations are no longer held in book-entry only form, then the Escrow Agent would select Obligations for prepayment by lot.

2.8(C) Notice of Prepayment. The City shall give notice of prepayment of Financing Payments to the Escrow Agent not later than 5 days before the notice of prepayment is required to be made.

2.9 Conditional Redemption.

Any notice of optional redemption given for the Obligations pursuant to Section 2.8(A) herein may state that the optional redemption is conditional upon receipt by the Escrow Agent of moneys sufficient to pay the redemption price of such Obligations or upon the satisfaction of any other condition, and/or that such notice may be rescinded upon the occurrence of any other event, and any conditional notice so given may be rescinded at any time before payment of such redemption price if any such condition so specified is not satisfied or if any such other event occurs. Notice of such rescission or of the failure of any such condition shall be given by the Escrow Agent to affected owners of the Obligations as promptly as practicable.

2.10 Notice of Redemption.

Unless the book-entry-only system is discontinued, notice of any call for redemption shall be given as required by the Blanket Issuer Letter of Representations to The Depository Trust Company. If sufficient moneys are deposited with the Escrow Agent on the redemption date, interest on any Obligations so called for redemption shall cease on the redemption date designated in the notice. Unless the Depository Trust Company consents to a shorter period, the Escrow Agent will notify The Depository Trust Company of any Obligations called for

redemption no fewer than 20 calendar days nor more than 60 calendar days prior to the date fixed for redemption.

During any period in which the Obligations are not in book-entry-only form, unless waived by any Owner of the Obligations to be redeemed, official notice of any prepayment of Obligations shall be given by the Escrow Agent on behalf of the City by mailing a copy of an official prepayment notice by first class mail, postage prepaid, no fewer than 30 calendar days nor more than 60 calendar days prior to the date fixed for prepayment, to the Owners of the Obligations to be redeemed at the address shown on the bond register or at such other address as is furnished in writing by such Owner to the Escrow Agent.

3. Accounts.

3.1 Payment Account.

The Escrow Agent shall establish the Payment Account separate and apart from all other funds and moneys held by it and shall administer and maintain the Payment Account as provided in this Escrow Agreement.

3.1(A) To secure the payment of the Financing Payments, one Business Day preceding the Payment Date, the City shall transfer the deposits described in Section 3.2(C) of the Financing Agreement to the Escrow Agent. The Escrow Agent shall credit these deposits to the Payment Account.

3.1(B) On each Payment Date the Escrow Agent shall withdraw from the Payment Account and transfer to Owners an amount equal to the principal and interest components of the Financing Payment due and payable on such Payment Date.

3.1(C) If on any Payment Date, the amount of the Financing Payment then due and payable exceeds the amounts deposited with the Escrow Agent and available therefor, the Escrow Agent shall distribute the amounts available:

(1) First, to the Owners of the interest components of the Financing Payments which are then due (and if the amount available is not sufficient to pay in full all the interest components of the Financing Payment then due, then ratably to the Owners entitled to the interest payments then due, without any discrimination or preference); and,

(2) Second, to the Owners of the principal components of the Financing Payments which are then due (and if the amount available is not sufficient to pay all principal components which are then due, then ratably to the Owners entitled to the principal components which are then due, without discrimination or preference).

3.1(D) The Escrow Agent shall provide the City, not less than 30 days before the date the deposit is required under Section 3.2(C) of the Financing Agreement, an invoice which sets forth the amount of that deposit.

3.1(E) Any surplus remaining in the Payment Account after payment of the Financing Payment and all Outstanding Obligations and payment of any unpaid Additional Charges, shall be remitted to the City.

3.1(F) Any surplus remaining in the Payment Account after payment of a Financing Payment shall be retained in the Payment Account and invested by the Escrow Agent as provided in Section 4.2 herein.

3.2 Additional Charges.

If the Escrow Agent receives Additional Charges pursuant to the Financing Agreement, the Escrow Agent shall apply those payments for the purposes indicated in the Financing Agreement.

3.3 Deposits at Closing.

The proceeds of the Obligations shall be transferred by Robert W. Baird & Co. Inc., the underwriter of the Obligations pursuant to the Closing Memorandum prepared by Seattle Northwest Securities Corporation, the Financial Advisor for the Obligations.

4. Payment Account Held in Trust; Investment.

4.1 Moneys and Investments Held in Trust.

The moneys and investments held by the Escrow Agent under this Escrow Agreement are irrevocably held in trust for the purposes herein specified, and such moneys and any other income or interest earned thereon shall be expended only as provided in this Escrow Agreement, and shall not be subject to levy or attachment or lien by or for the benefit of any creditor of the City, the Escrow Agent or any Owner.

4.2 Investments Authorized.

4.2(A) Moneys held by the Escrow Agent hereunder shall be invested and reinvested by the Escrow Agent in Qualified Investments selected by the City. The City may notify the Escrow Agent of its investment selections orally or in writing, but if the City notifies the Escrow Agent orally the City shall promptly confirm its notification in writing. If the City fails to provide investment direction to the Escrow Agent in accordance with this Section 4.2, the Escrow Agent shall invest any uninvested funds in: a) a U.S. Bank Money Market interest-bearing deposit account so long as the Escrow Agent is a Qualified Institution; b) otherwise in a qualified repurchase agreement. Amounts may be invested in an account of the Escrow Agent while the Escrow Agent is a Qualified Institution. The Escrow Agent shall have no duty to determine whether an investment selected by the City is a Qualified Investment.

4.2(B) Qualified Investments in the Payment Account shall mature on or before the date the amounts invested are required for use under this Escrow Agreement. The Escrow Agent shall not be liable for any gain or loss of funds on any investment made in accordance with the instructions from the City.

4.2(C) The Escrow Agent may purchase or sell to itself or any affiliate, as principal or agent, investments authorized by this Section 4.2, and shall be entitled to its reasonable fee therefor. Such investments and reinvestments shall be made giving full consideration for the time at which funds are required to be available. The Escrow Agent may act as purchaser or agent in the making or disposing of any investment.

4.2(D) The City acknowledges that to the extent that regulations of the Comptroller of the Currency grant the City the right to receive brokerage confirmations of security transactions, the City waives receipt of such confirmations and shall rely on periodic statements of the account provided by the Escrow Agent.

4.3 Accounting.

The Escrow Agent shall furnish to the City, semi-annually, an accounting of each fund and account and of all investments made by the Escrow Agent. Except as provided in Section 5.6 below, the Escrow Agent shall not be responsible or liable for any loss suffered in connection with any investment of funds made by it in accordance with this Escrow Agreement.

4.4 Allocation of Earnings.

Interest earnings and investment income on moneys held by the Escrow Agent shall inure to the benefit of the City, but shall be held by the Escrow Agent for application as provided in this Escrow Agreement and the Financing Agreement. Any interest or investment income earned on moneys deposited in the Payment Account shall be credited to the Payment Account.

4.5 Disposition of Investments.

The Escrow Agent may sell at the then current market price, or present for prepayment, any Qualified Investment so purchased by the Escrow Agent whenever it shall be necessary to provide moneys to meet any required payment, transfer, withdrawal or disbursement from the Payment Account, and, except as provided in Section 5.6 below, the Escrow Agent shall not be liable or responsible for any loss resulting from such investment. The City may instruct the Escrow Agent at any time to sell any Qualified Investment which may be sold at a profit; proceeds of such sale shall be deposited in the account to which the Qualified Investment was credited.

4.6 Deposit and Investment of Moneys in Accounts.

The Escrow Agent may commingle any of the funds held by it pursuant to this Escrow Agreement in a separate fund or funds for investment purposes; provided, however, that all funds or accounts held by the Escrow Agent hereunder shall be accounted for separately notwithstanding any commingling by the Escrow Agent.

5. The Escrow Agent.

5.1 Compensation of the Escrow Agent.

The City shall from time to time pay to the Escrow Agent reasonable compensation for its services and will pay or reimburse the Escrow Agent upon its request for all reasonable expenses, disbursements and advances made by the Escrow Agent in accordance with the provisions of this Escrow Agreement (including the reasonable expenses and disbursements of its counsel and agents), except any such expense, disbursement or advance as may arise from its negligence or bad faith. The Escrow Agent shall also be entitled to receive extraordinary fees and its extraordinary expenses if it is requested or required to render services in connection with a default or under other circumstances not provided for in this Escrow Agreement.

5.2 Removal of Escrow Agent.

5.2(A) The Escrow Agent may be removed and a successor Escrow Agent appointed:

(1) by the City at any time if, in the good faith opinion of the City, expressed in writing and delivered to the Escrow Agent and the successor Escrow Agent, it would not be materially adverse to the interests of the Owners of the Obligations that the Escrow Agent be removed and a successor Escrow Agent appointed, or

(2) at any time by written demand thereof filed with the Escrow Agent and the successor Escrow Agent by the Owners of a majority in aggregate principal amount of all Obligations Outstanding. Such removal shall become effective upon acceptance of appointment by the successor Escrow Agent.

5.2(B) Any successor Escrow Agent appointed pursuant to the provisions of this Section 5.2(B) shall:

(1) be a trust company or bank in good standing, duly authorized to exercise trust powers and subject to examination by federal or state authority;

(2) have substantial prior experience as a Escrow Agent for the benefit of the owners of municipal debt securities; and,

(3) shall be a bank or trust company having (either singly or together with its parent holding company) a combined capital (exclusive of borrowed capital) and surplus of at least Seventy-Five Million Dollars ($75,000,000) and subject to supervision or examination by federal or state authority.

5.3 Resignation of Escrow Agent.

5.3(A) The Escrow Agent or any successor may at any time resign by giving written notice to the City and by giving notice by first class mail to the Owners as of the date such notice is mailed of its intention to resign and of the proposed date of resignation, which shall be a date not less than 60 days after the mailing of such notice, unless an earlier resignation date and the

appointment of a successor Escrow Agent shall have been or are approved by the Owners of a majority in aggregate dollar amount of the Obligations then Outstanding.

5.3(B) Upon receiving such notice of resignation, the City shall promptly appoint a successor Escrow Agent by an instrument in writing; provided, however, that if the City fails to appoint a successor Escrow Agent within 30 days following receipt of such written notice of resignation, the Owners of a majority in aggregate principal amount of all Obligations Outstanding may appoint a successor Escrow Agent and if the Owners fail to appoint a successor Escrow Agent, within 30 days following the expiration of such initial 30-day period, the resigning Escrow Agent may petition the appropriate court having jurisdiction to appoint a successor Escrow Agent.

5.3(C) Notwithstanding any other provision of this Escrow Agreement, no removal, resignation or termination of the Escrow Agent shall take effect until a successor shall be appointed.

5.4 Merger or Consolidation.

A merger or consolidation of the Escrow Agent with another entity shall not be treated as the appointment of a successor, and the entity into which the Escrow Agent is merged or consolidated shall become the successor Escrow Agent without any notice or filing, but only if: the merged or consolidated entity notifies the City that it has assumed the obligations of the Escrow Agent under this Escrow Agreement and the Financing Agreement, and the merged or consolidated entity meets the requirements of Section 5.2(B) above.

5.5 Acceptance of Appointment by Successor Escrow Agent.

5.5(A) Any successor Escrow Agent appointed as provided in Section 5.3 or Section 5.4 above shall execute, acknowledge and deliver to the City and to its predecessor Escrow Agent an instrument accepting its appointment, and the appointment shall take effect on execution of that acceptance. Upon request of any successor Escrow Agent, the City and the prior Escrow Agent shall execute any documents the successor Escrow Agent may reasonably require to confirm its rights and powers under this Escrow Agreement and the Financing Agreement.

5.5(B) Upon acceptance of appointment by a successor Escrow Agent as provided in this Section 5.5, the successor Escrow Agent shall mail, first class, postage prepaid, notice of its appointment to the Owners.

5.6 Duties and Responsibilities of the Escrow Agent Prior to and During Default.

5.6(A) The Escrow Agent undertakes, prior to the occurrence of an Escrow Default and after the curing or waiving of all Events of Default which may have occurred, to perform such duties and only such duties as are specifically set forth in this Escrow Agreement. In case any Escrow Default has occurred (which has not been cured or waived) the Escrow Agent shall exercise such of the rights and powers vested in it by this Escrow Agreement, and use the same degree of care and skill in their exercise, as a prudent person would exercise or use under the circumstances in the conduct of that person’s own affairs.

5.6(B) No provision of this Escrow Agreement shall be construed to relieve the Escrow Agent from liability for its own negligent action, its negligent failure to act or its own willful misconduct, except that:

(1) Prior to the occurrence of an Escrow Default and after the curing or waiving of all Events of Default which may have occurred, the duties and obligations of the Escrow Agent shall be determined solely by the express provisions of this Escrow Agreement, and the Escrow Agent shall not be liable except for the performance of such duties and obligations as are specifically set forth in this Escrow Agreement, and no covenants or obligations shall be implied into this Escrow Agreement adverse to the Escrow Agent;

(2) The Escrow Agent shall not be liable for any error of judgment made in good faith by a responsible officer of the Escrow Agent, unless it shall be proved that the Escrow Agent was negligent in ascertaining the pertinent facts;

(3) The Escrow Agent shall not be liable with respect to any action taken or omitted to be taken by it in good faith in accordance with the direction of the Owners of a majority in aggregate principal amount of the Obligations at the time Outstanding relating to the time, method and place of conducting any proceeding for any remedy available to the Escrow Agent, or exercising any trust or power conferred upon the Escrow Agent, under this Escrow Agreement; and

(4) No provision contained in this Escrow Agreement shall require the Escrow Agent to expend or risk its own funds or otherwise incur liability in the performance of any of its duties or the exercise of any of its rights or powers, if there is reasonable ground for the Escrow Agent's believing that the repayment of such funds or adequate indemnity against such risk or liability is not reasonably assured to it.

5.6(C) The Escrow Agent may execute any of the duties or powers hereof and perform any of its duties by and through attorneys, agents, receivers or employees and shall not be responsible for the acts or omissions of attorneys, agents, or receivers not affiliated with the Escrow Agent if selected with reasonable care, and shall be entitled to advice of counsel concerning all matters or duties hereunder, and may in all cases pay such reasonable compensation to such attorneys, agents, receivers and employees as may reasonably be employed in connection with the duties hereof. The Escrow Agent may act upon the opinion or advice of any attorney, approved by the Escrow Agent in the exercise of reasonable care. The Escrow Agent shall not be responsible for any loss or damage resulting from any action or non-action in good faith or reliance upon such opinion or advice.

5.7 Protection and Rights of the Escrow Agent.

5.7(A) The Escrow Agent shall be protected and shall incur no liability in acting or proceeding in good faith upon any resolution, notice, telegram, request, consent, waiver, certificate, statement, affidavit, voucher, bond, requisition or other paper or document which it shall in good faith believe to be genuine and to have been passed or signed by the proper board or person or to have been prepared and furnished pursuant to any of the provisions of this Escrow Agreement, and the Escrow Agent shall be under no duty to make any investigation or inquiry as to any

statements contained or matters referred to in any such instrument, but may accept and rely upon the same as conclusive evidence of the truth and accuracy of such statements. The Escrow Agent may consult with counsel, who may be counsel to the City, with regard to legal questions and the opinion of such counsel shall be full and complete authorization and protection in respect of any action taken or suffered by it hereunder in good faith in accordance therewith.

5.7(B) Whenever in the administration of its duties under this Escrow Agreement, the Escrow Agent shall deem it necessary or desirable that a matter be provided or established prior to taking or suffering any action hereunder, such matter (unless other evidence in respect thereof be herein specifically prescribed) shall be deemed to be conclusively proved and established by the certificate of a City Official and such certificate shall be full warranty to the Escrow Agent for any action taken or suffered under the provisions of this Escrow Agreement upon the faith thereof, but in its discretion the Escrow Agent may, in lieu thereof, accept other evidence of such matter or may require such additional evidence as to it may seem reasonable.

5.7(C) The Escrow Agent may become the Owner of Obligations with the same rights it would have if it were not the Escrow Agent; may acquire and dispose of other certificates or evidences of indebtedness of the City with the same rights it would have if it were not the Escrow Agent; and may act as a depository for and permit any of its officers or directors to act as a member of, or in any other capacity with respect to, any committee formed to protect the rights of Owners, whether or not such committee shall represent the Owners of the majority in aggregate principal amount of the Obligations then Outstanding.

5.7(D) The recitals, statements and representations by the City contained in this Escrow Agreement and in the Obligations shall be taken and construed as made by and on the part of the City, as the case may be, and not by the Escrow Agent, and the Escrow Agent does not assume, and shall not have, any responsibility or obligation for the correctness of any thereof. The Escrow Agent shall have no responsibility with respect to any information, statement, or recital in an offering memorandum, official statement or other disclosure material prepared or distributed with respect to Obligations.

5.7(E) Escrow Agent may execute any of the trusts or powers hereof and perform the duties required of it hereunder by or through attorneys, agents, or receivers, and shall be entitled to advice of counsel concerning all matters of trust and its duty hereunder, and the Escrow Agent shall not be answerable for the default or misconduct of any such attorney, agent, or receiver selected by it with reasonable care. The Escrow Agent may act upon the opinion or advice of any attorney approved by the Escrow Agent in the exercise of reasonable care.

5.7(F) The Escrow Agent shall not be required to take notice or be deemed to have notice of any default hereunder, except failure of the City to make Financing Payments to the Escrow Agent or any default of which the Escrow Agent has actual knowledge, unless the Escrow Agent shall have received written notice of such default from the City or from the Owners of at least twenty-five percent (25%) of the unpaid principal component of Financing Payments.

5.8 Indemnification.

5.8(A) To the extent permitted by law, the City covenants and agrees to indemnify and hold the Escrow Agent harmless against any loss, expense or liability which it may incur arising out of or in the exercise or performance of its duties and powers hereunder, including the costs and expenses of defending against any claim or liability, or enforcing any of the rights or remedies granted to it under the terms of this Escrow Agreement, excluding any losses or expenses which are due to the Escrow Agent's breach of fiduciary duties, negligence or willful misconduct. The obligations of the City under this Section 5.8 shall survive the resignation or removal of the Escrow Agent under this Escrow Agreement and the payment of the Obligations and discharge under this Escrow Agreement. The damages claimed against the City shall not exceed the damages which may be allowed under the Oregon Tort Claims Act, Oregon Revised Statutes Section 30.260, et seq., unless the provisions and limitations of such act are preempted by federal law, including, but not limited to the federal securities laws.

5.8(B) Before taking any action under Article 9, Section 9.2 hereunder or Section 5.3 of the Financing Agreement, the Escrow Agent may require payment of its fees and expenses, including reasonable attorney's fees, and upon receipt of indemnity satisfactory to it be furnished by Owners of the Obligations for the reimbursement of all further expenses to which it may be put and to protect it against all liability, except liability which is adjudicated to have resulted from its negligence or willful default by reason of any action so taken.

6. Concerning the Obligation Owners.

6.1 Evidence of Action Taken by Owners.

Whenever in this Escrow Agreement it is provided that the Owners of a specified percentage in aggregate principal amount of the Outstanding Obligations may take any action (including the making of any demand or request, the giving of any notice, consent or waiver or the taking of any other action), the fact that at the time of taking any such action the Owners of such specified percentage have joined therein may be evidenced:

6.1(A) by any instrument or any number of instruments of similar tenor executed by Owners in person or by agent or proxy appointed in writing, or

6.1(B) by the record of the Owners voting in favor thereof at any meeting of Owners, or

6.1(C) by a combination of such instrument or instruments and any such record of such a meeting of Owners.

6.2 Action Taken by Owners Irrevocable.

Any consent to the taking of any action by any Owner of an Outstanding Obligation shall be irrevocable and shall be conclusive and binding upon such Owner and upon all future Owners of such Obligation and of any Obligation executed and delivered in exchange or substitution therefor, irrespective of whether or not any notation and regard thereto is made upon such Obligation. Any action taken by the Owners of the percentage in aggregate principal amount of

the Outstanding Obligations specified in this Escrow Agreement in connection with such action shall be conclusive and binding upon the City, the Escrow Agent and the Owners of all the Obligations.

6.3 Certain Obligations Disregarded.

In determining whether the Owners of the requisite aggregate principal amount of Obligations have concurred in any direction or consent under this Escrow Agreement, Obligations which are owned by the Escrow Agent or the City or by any person directly or indirectly controlling or controlled by or under direct or indirect common control with the Escrow Agent or the City shall be disregarded and treated as though they were not Outstanding for the purpose of any such determination; provided that for the purposes of determining whether the Escrow Agent shall be protected in relying on any such direction or consent, only Obligations which the Escrow Agent knows are so owned shall be so disregarded. Obligations so owned which have been pledged in good faith may be regarded as Outstanding for the purposes of this Section 6.3, if the pledgee shall establish to the satisfaction of the Escrow Agent the pledgee's right to vote such Obligations and that the pledgee is not a person directly or indirectly controlling or controlled by or under direct or indirect common control with the Escrow Agent or the City. In case of a dispute as to such right, any decision by the Escrow Agent taken upon the advice of counsel shall be full protection to the Escrow Agent.

7. Modification of Escrow Agreement and Financing Agreement.

7.1 Limitations.

This Escrow Agreement may be modified or amended only in accordance with this Section 7.

7.2 Supplemental Escrow Agreement Without Consent of Owners.

7.2(A) The City and the Escrow Agent may at any time enter into supplemental Escrow Agreements without the consent of or notice to the Owners, for the following purposes:

(1) To cure any formal defect, omission, inconsistency or ambiguity in this Escrow Agreement or to make any other change to this Escrow Agreement, as long as the change does not, in the reasonable judgment of the City, materially and adversely affect the interests of the Owners or involve a change described in Section 7.3(A);

(2) To grant to or confer or impose upon the Escrow Agent for the benefit of the Owners any additional rights, remedies, or powers or to amend this Escrow Agreement in any other way for the benefit of the Owners; provided that no such amendment may have, in the reasonable judgment of the City, a material and adverse effect on any Owner which has not consented to the supplemental Escrow Agreement.

7.2(B) Before the Escrow Agent and the City shall enter into any supplemental Escrow Agreement pursuant to this section, the City shall deliver to the Escrow Agent an opinion of Special Counsel stating that the supplemental Escrow Agreement is authorized or permitted by this Escrow Agreement, complies with its terms, will, upon the execution and delivery thereof,

be valid and binding upon the City in accordance with its terms, and will not adversely affect the exclusion from gross income for federal income tax purposes of interest payable on the Obligations.

7.3 Supplemental Escrow Agreement with Consent of the Owners.

7.3(A) Any amendment to this Escrow Agreement which is not described in Section 7.2 above requires the consent of: 1) the City, 2) the Escrow Agent and 3) the consent of Owners of not less than a majority in aggregate principal amount of the Obligations then Outstanding. However, in addition to the consent of the City, the Escrow Agent, and the consent of all affected Owners of all the Obligations then Outstanding is required for:

(1) a change in the terms of the payment or prepayment of any portion of the Financing Payment, or

(2) the creation of a claim or lien upon, or a pledge of the rights of the Escrow Agent under the Financing Agreement (other than the Escrow Agent's right to Additional Charges) or amounts in the Payment Account ranking prior to or (except as expressly permitted by this Escrow Agreement) on a parity with the claim, lien or pledge created by this Escrow Agreement, or

(3) the creation of a preference or priority of any Obligation or Obligations over any other Obligation or Obligations, or

(4) a reduction in the aggregate principal amount of Obligations the consent of the Owners of which is required for any supplemental Escrow Agreement or which is required, under Section 7.6, for any modification, alteration, amendment or supplement to the Financing Agreement.

7.3(B) If at any time the City shall request the Escrow Agent to enter into any supplemental Escrow Agreement for any of the purposes of this Section 7.3 which require Owners' consent, the Escrow Agent shall cause notice of the proposed supplemental Escrow Agreement to be given by first class mail, postage prepaid, to all affected Owners at their addresses as they appear in the Obligation Register. Such notice shall briefly set forth the nature of the proposed supplemental Escrow Agreement and shall state that a copy thereof is on file at the office of the Escrow Agent for inspection by all Owners. Within two years after the date of the first mailing, the Escrow Agent and the City may enter into such supplemental Escrow Agreement in substantially the form described in such notice, but only if there shall have first been delivered to the Escrow Agent (i) the required consents, in writing, of Owners of Obligations then Outstanding, and (ii) an opinion of Special Counsel stating that such supplemental Escrow Agreement is authorized or permitted by this Escrow Agreement, complies with its terms, will, upon the execution and delivery thereof, be valid and binding upon the Escrow Agent and the City in accordance with its terms and will not adversely affect the exclusion from gross income for federal income tax purposes of interest with respect to the Obligations.

7.3(C) If the Owners of not less than the percentage of Obligations then Outstanding required by Section 7.3(A) shall have consented to and approved the execution and delivery thereof as herein

provided, no Owner shall have any right to object to the execution and delivery of such supplemental Escrow Agreement, or to object to any of the terms and provisions contained therein or the operation thereof, or in any manner to question the propriety of the execution and delivery thereof, or to enjoin or restrain the Escrow Agent or the City from executing and delivering the same or from taking any action pursuant to the provisions thereof.

7.4 Effect of Supplemental Escrow Agreement.

Upon the execution and delivery of any supplemental Escrow Agreement pursuant to the provisions of this Section 7, this Escrow Agreement shall be, and be deemed to be, modified and amended in accordance therewith, and the respective rights, duties and obligations under this Escrow Agreement of the Escrow Agent, the City, and all Owners of Obligations then Outstanding shall thereafter be determined, exercised and enforced under this Escrow Agreement subject in all respects to such modifications and amendments.

7.5 Amendments to Financing Agreement Not Requiring Consent of Owners.

7.5(A) The City and the Escrow Agent may at any time enter into amendments to the Financing Agreement without the consent of or notice to the Owners for the following purposes:

(1) To cure any formal defect, omission, inconsistency or ambiguity in the Financing Agreement or to make any other change to the Financing Agreement, as long as the change does not, in the reasonable judgment of the City, materially and adversely affect the interests of the Owners or permit the termination or cancellation of the Financing Agreement or a reduction in or postponement of the Financing Payments; and,

(2) To grant to or confer or impose upon the Escrow Agent for the benefit of the Owners any additional rights, remedies, or powers or to amend the Financing Agreement in any other way for the benefit of the Owners; provided that no such amendment may have, in the reasonable judgment of the City, a material and adverse effect on any Owner which has not consented to the amended Financing Agreement.

7.5(B) Before the City shall enter into, and the Escrow Agent shall consent to, any amendment change or modification pursuant to this Section 7.5 or Section 7.6 below, there shall have been delivered to the Escrow Agent and the City an opinion of Special Counsel stating that such amendment, change or modification is authorized or permitted by this Escrow Agreement and the Financing Agreement, complies with their terms, will, upon the execution and delivery thereof, be valid and binding upon Escrow Agent and the City in accordance with its terms and will not adversely affect the exclusion from gross income for federal income tax purposes of interest with respect to the Obligations.

7.6 Amendments to Financing Agreement Requiring Consent of the Owners.

7.6(A) Any amendment to the Financing Agreement which is not described in Section 7.5 requires the consent of: 1) the City, 2) the Escrow Agent and 3) the consent of Owners of not less than a majority in aggregate principal amount of the Obligations Outstanding given as provided in this Section 7.6. However, in addition to the consent of the City, the Escrow Agent,

the consent of the Owners of all affected Obligations then Outstanding is required for any amendment, change or modification of the Financing Agreement that would permit the termination or cancellation of the Financing Agreement or a reduction in or postponement of the Financing Payments.

7.6(B) If at any time the City shall request the consent of the Escrow Agent to an amendment to the Financing Agreement which is not described in Section 7.5 above, the Escrow Agent shall cause notice to be given of such proposed amendment, change of modification in the same manner as provided by Section 7.3 with respect to supplemental Escrow Agreements. Such notice shall briefly set forth the nature of such proposed amendment, change or modification, and shall state that copies of the instrument embodying the same are on file at the principal office of the Escrow Agent for inspection by all Owners. The City may enter into, and the Escrow Agent may consent to, any such proposed amendment, change or modification subject to the same conditions and with the same effect as provided in Section 7.3 hereof with respect to supplemental Escrow Agreements, provided the City has obtained the opinion of Special Counsel which is described in Section 7.5 above.

8. Covenants.

8.1 Compliance With and Enforcement of Financing Agreement.

8.1(A) The City covenants and agrees with the Owners of the Obligations to perform all obligations and duties imposed on it under the Financing Agreement, and to enforce such agreement against the Escrow Agent in accordance with its terms.

8.1(B) The Escrow Agent covenants and agrees with the Owners of the Obligations to perform all obligations and duties imposed on it under the Financing Agreement, and to enforce such Agreement against the City in accordance with its terms, subject to the rights of the City therein as provided in this Escrow Agreement and the Financing Agreement.

8.2 Notice of Default.

If an Escrow Default or a Financing Default occurs the Escrow Agent shall give written notice to the Owners of the Obligations then Outstanding. The notice shall specify that an Escrow Default or a Financing Default has occurred and give a brief description of the event or failure. The Escrow Agent shall give this notice by first class mail, postage prepaid, to each Owner within thirty (30) days of the Escrow Agent's actual knowledge of the event or failure. However, except for an Escrow Default described in Section 9.1(A) below, the Escrow Agent may withhold such notice if and so long as the Escrow Agent in good faith determines that the withholding of such notice is in the interests of the Owners of Obligations. Any failure by the Escrow Agent to give this notice shall not affect any rights of Owners to take the actions described in Section 9 herein.

8.3 Tax Covenants.

To maintain the exclusion from gross income for federal income tax purposes of the interest component of each Financing Payment, the City has covenanted in the Financing Agreement to

comply the applicable provisions of the Code. The Escrow Agent hereby agrees to comply with any instructions received from the City in order to maintain the exclusion of the interest component of each Financing Payment from gross income under the Code. The covenants in this section shall survive the payment of the Obligations and interest thereon, including any payment or defeasance thereof pursuant to the Escrow Agreement.

8.4 Further Assurances.

The Escrow Agent and the City will make, execute and deliver any and all such further resolutions, instruments and assurances as the Escrow Agent may deem reasonably necessary or proper to carry out the intention or to facilitate the performance of this Escrow Agreement, and for the better assuring and confirming to the Owners of the Obligations the rights and benefits provided herein.

9. Events of Default.

9.1 Events of Default.

The occurrence of one or more of the following shall constitute Events of Default:

9.1(A) The City shall fail to pay any Financing Payment when due; or

9.1(B) The City shall fail to observe and perform any other covenant, condition or agreement on its part to be observed or performed for a period of 60 days after written notice to the City by the Escrow Agent, specifying such failure and requesting that it be remedied, unless the Escrow Agent shall agree in writing to an extension of such time prior to its expiration; provided however, that if the failure stated in the notice cannot be corrected within the applicable period, the Escrow Agent will not unreasonably withhold its consent to an extension of such time if corrective action is instituted by the City within the applicable period and diligently pursued until the default is corrected.

9.2 Remedies on Escrow Default.

Upon the occurrence and continuance of any Escrow Default, the Escrow Agent may proceed, and upon written request of the Owners of not less than 51% in aggregate principal amount of Obligations then Outstanding, shall take whatever action at law or in equity may appear necessary or desirable to enforce the Financing Agreement or to protect any of the rights vested in the Escrow Agent or the Owners of Obligations by this Escrow Agreement or by the Obligations, either at law or in equity or in bankruptcy or otherwise, whether for the specific enforcement of any covenant or agreement contained in this Escrow Agreement or in aid of the exercise of any power granted in this Escrow Agreement or for the enforcement of any other legal or equitable right vested in the Escrow Agent by this Escrow Agreement or by law. HOWEVER, THE FINANCING AMOUNT AND THE FINANCING PAYMENTS SHALL NOT BE SUBJECT TO ACCELERATION.

9.3 No Remedy Exclusive.

No remedy herein conferred upon or reserved to the Escrow Agent is intended to be exclusive and every such remedy shall be cumulative and shall be in addition to every other remedy given under this Escrow Agreement to the Escrow Agent, or given under the Financing Agreement to the Escrow Agent and assigned hereunder to the Escrow Agent, or now or hereafter existing at law or in equity. No delay or omission to exercise any right or power accruing upon any default shall be construed to be a waiver thereof, but any such right and power may be exercised from time to time and as often as may be deemed expedient. To entitle the Escrow Agent to exercise any remedy reserved to it, it shall not be necessary to give any notice other than such notice as may be required in this Section 9 or by law.

9.4 Agreement to Pay Attorneys' Fees and Expenses.

If any party to this Escrow Agreement should default under any of the provisions hereof and any non-defaulting party or parties should employ attorneys or incur other expenses for the collection of moneys on the enforcement or performance or observance of any obligation or agreement on the part of the defaulting party herein contained, the defaulting party agrees that it shall on demand therefor pay, to the extent permitted by law, to such non-defaulting party or parties the reasonable fees of such attorneys and such other expenses incurred by such non-defaulting party or parties.

9.5 No Additional Waiver Implied by One Waiver.

If any agreement contained in this Escrow Agreement should be breached by a party and thereafter waived by another party, such waiver shall be limited to the particular breach so waived and shall not be deemed to waive any other breach hereunder.

9.6 Application of Moneys Upon Default.

If, at any time after an Escrow Default or a Financing Default has occurred, the moneys in the Payment Account shall not be sufficient to pay the Financing Payments as the same become due and payable, such moneys together with any moneys available or thereafter becoming available for such purpose, whether through the exercise of the remedies provided for herein or otherwise, shall be applied by the Escrow Agent as follows:

9.6(A) ***First:*** To the payments of costs, expenses and fees, and reasonable compensation of the Escrow Agent, its agents and attorneys, and all expenses and liabilities incurred and advances made by the Escrow Agent;

9.6(B) ***Second:*** To the payment to the Owners of the interest components of the Financing Payments which are then due, and, if the amount available is not sufficient to pay in full all the interest components of the Financing Payment then due, then ratably to the Owners entitled to the interest payments then due, without any discrimination or preference;

9.6(C) ***Third:*** To the payment to the Owners of the principal components of the Financing Payment which are then due, and, if the amount available shall not be sufficient to pay all

principal components which are then due, then ratably to the Owners entitled to the principal components which are then due, without discrimination or preference; and,

9.6(D) ***Fourth:*** To the City, but only if the Obligations are no longer Outstanding and all Additional Charges have been paid.

9.7 Action by Owners.

If the Escrow Agent fails to take any remedy available as a result of the occurrence of an Escrow Default or a Financing Default, the Owners of a majority in aggregate principal amount of Obligations then Outstanding may institute any suit, action, mandamus or other proceeding in equity or at law for the protection or enforcement of any right under the Financing Agreement or this Escrow Agreement, but only if the Owners have first made written request of the Escrow Agent to institute such action or proceedings in its own name as Escrow Agent hereunder and shall have afforded the Escrow Agent 60 days either to proceed to exercise the powers granted therein or granted under law or to institute such action, suit or proceeding in its name and unless also, the Escrow Agent shall have been offered reasonable security and indemnity against the costs, expenses and liabilities to be incurred therein or thereby, and the Escrow Agent shall have refused or neglected to comply with such request within a reasonable time.

10. Limitation of Liability.

10.1 Limited Liability of City.

Except for the payment of Financing Payment and Additional Charges when due in accordance with the Financing Agreement, and the performance of the other covenants and agreements of the City contained in the Financing Agreement and this Escrow Agreement, the City shall have no obligation or liability to any of the other parties or to the Owners of the Obligations with respect to this Escrow Agreement or the terms, execution, delivery or transfer of the Obligations, or the distribution of the Financing Payments to the Owners by the Escrow Agent.

10.2 No Liability of City for Escrow Agent Performance.

The City shall not have any obligation or liability to any of the other parties or to the Owners of the Obligations with respect to the performance by the Escrow Agent of any duty imposed upon the Escrow Agent under this Escrow Agreement.

10.3 No Liability of Escrow Agent for the Financing Payment by City.

The Escrow Agent (except as provided herein) shall not have any obligation or liability to the Owners of the Obligations with respect to the payment of the Financing Payments by the City when due, or with respect to the performance by the City of any other covenant made by the City in this Escrow Agreement or the Financing Agreement.

10.4 Opinion of Counsel; Experts.

10.4(A) Before being required to take any action after or in connection with an Escrow Default or a Financing Default, the Escrow Agent may require an opinion of independent counsel acceptable to the Escrow Agent, which opinion shall be made available to the other parties hereto upon request, which counsel may be counsel to any of the parties hereto, or a verified certificate of any party hereto, or both, concerning the proposed action. If it does so in good faith, the Escrow Agent shall be absolutely protected in relying thereon.

10.4(B) If an Escrow Default occurs or a dispute arises under this Escrow Agreement or the Financing Agreement, the Escrow Agent may employ as its agents, attorneys at law, certified public accountants and recognized authorities in their fields (who are not employees of the Escrow Agent), as it may reasonably deem necessary to carry out any of its obligations hereunder. The City shall reimburse the Escrow Agent for its reasonable expenses in so doing.

10.4(C) The Escrow Agent may consult with counsel and the written advice of such counsel or any opinion of counsel shall be full and complete authorizations and protection in respect to any action taken or not taken by the Escrow Agent hereunder in good faith and in reliance thereon.

10.5 Limitation of Rights to Parties and Owners.

Nothing in this Escrow Agreement or in the Obligations expressed or implied is intended or shall be construed to give any person other than the City, the Escrow Agent and the Owners of the Obligations, any legal or equitable right, remedy or claims under or in respect of this Escrow Agreement; all covenants, conditions and provisions are and shall be for the sole and exclusive benefit of the City, the Escrow Agent and the Owners.

11. Miscellaneous.

11.1 Defeasance.

11.1(A) All or any portion of the Outstanding Obligations may be paid and discharged in any one or more of the following ways:

(1) By paying or causing to be paid the Financing Payments attributable to such Obligations as and when the same become due and payable;

(2) By irrevocably depositing with the Escrow Agent or an independent escrow agent, in trust, before maturity, money which, together with the amounts then on deposit in the Payment Account, is fully sufficient to pay all Financing Payments attributable to such Obligations; or

(3) By irrevocably depositing with the Escrow Agent or an independent escrow agent, in trust, Defeasance Obligations in such amount which will, together with the interest to accrue thereon, be sufficient to pay all Financing Payments attributable to such Obligations, as and when the same become due and payable, as evidenced by a verification report, and providing the Escrow Agent with an opinion of Special Counsel that such deposits will not cause the interest

component of Financing Payments to be includable in gross income under federal income tax laws.

11.1(B) All obligations of the Escrow Agent and the City under this Escrow Agreement with respect to such Obligations which are paid or deemed paid hereunder shall cease and terminate, except for the obligation of the City to pay the Additional Charges specified in Section 3.2 of the Financing Agreement and to pay Financing Payments from the amount so deposited, and of the Escrow Agent to apply amounts on deposit to the payment of the Financing Payments.

11.1(C) The Escrow Agent shall, so long as any Obligations remain Outstanding, keep complete and accurate records of all moneys received and disbursed under this Escrow Agreement, which shall be available for inspection by the City and any Owner, or the agent of any of them, at any time during reasonable business hours upon reasonable prior notice. Upon written notice, the Escrow Agent shall promptly make such records available to the City, any Owner, or their respective auditors and other representatives, and shall cooperate with them in auditing and reproducing the records.

11.2 Notices.

11.2(A) All written notices to be given under this Escrow Agreement to any party to this Escrow Agreement shall be given via electronic or by facsimile or by regular mail to the following addresses (unless the addressee has previously notified the other party in writing of a change in address):

To the Escrow Agent at:

U.S. Bank National Association, Corporate Trust Services
555 S.W. Oak St., PD-OR-P6TD
Portland, Oregon 97204
Fax #: 503-275-5738

To the City at:

City of Gresham
1333 NW Eastman Parkway
Gresham, OR 97030

11.2(B) Any such notice shall be deemed given if sent via electronic or by facsimile or deposited in the United States mail with postage pre-paid.

11.3 Governing Law.

This Escrow Agreement shall be construed and governed in accordance with the laws of the State of Oregon. Any action regarding this Escrow Agreement or the transactions contemplated hereby shall be brought in an appropriate court for the State of Oregon in Multnomah County, Oregon.

11.4 Partial Invalidity.

Any provision of this Escrow Agreement found to be prohibited by law shall be ineffective only to the extent of such prohibition, and shall not invalidate any remainder of this Escrow Agreement.

11.5 Binding Effect; Successors.

This Escrow Agreement shall be binding upon and inure to the benefit of the parties and their respective successors and assigns. Whenever in this Escrow Agreement any party hereto is named or referred to, such reference shall be deemed to include the successors or assigns thereof, and all covenants and agreements contained in this Escrow Agreement by or on behalf of any party hereto shall bind and inure to the benefit of the successors and assigns thereof whether so expressed or not.

11.6 Execution in Counterparts.

This Escrow Agreement may be executed in several counterparts, each of which shall be an original and all of which shall constitute the same agreement.

11.7 Destruction of Canceled Obligations.

Whenever in this Escrow Agreement provision is made for the surrender to or cancellation by the Escrow Agent and the delivery to the Escrow Agent of any Obligations, the Escrow Agent may, upon the request of the Escrow Agent's representative, in lieu of such cancellation and delivery, destroy such Obligations and deliver a certificate of such destruction to the City.

11.8 Headings.

The headings, titles and table of contents in this Escrow Agreement are provided for convenience and shall not affect the meaning, construction or effect of this Escrow Agreement. All references herein to "Sections," and other subdivisions which do not specify the document in which the subdivision is located shall be construed as references to this Escrow Agreement.

[The remainder of this page is left blank intentionally.]

This Escrow Agreement is executed by its parties as of the 30th day of July, 2013.

U.S. Bank National Association, as Escrow Agent

_____

Authorized Officer

City of Gresham, Oregon

_____

Authorized Officer

EXHIBIT A
(Maturity Schedule)

Aggregate original principal amount of Obligations: $4,655,000

Date of Obligations: July 30, 2013

Obligation interest is payable on July 1 and January 1 of each year, commencing January 1, 2014.

Maturity Date (July 1)	Maturity Amount ($)	Interest Rate (%)	CUSIP No. (Base 397730)
2014	315,000	4.000	QE5
2015	350,000	4.000	QF2
2016	365,000	4.000	QG0
2017	380,000	4.000	QH8
2018	395,000	4.000	QJ4
2019	440,000	4.000	QK1
2020	465,000	4.000	QL9
2021	480,000	4.000	QM7
2022	495,000	4.000	QN5
2023	520,000	4.000	QP0
2024	40,000	3.250	QQ8
2025	40,000	3.500	QR6
2026	40,000	3.500	QS4
2027	40,000	3.750	QT2
2028	45,000	3.750	QU9
2029	45,000	4.000	QV7
2030	45,000	4.000	QW5
2031	50,000	4.125	QX3
2032	50,000	4.250	QY1
2033	55,000	4.250	QZ8

EXHIBIT B
(Form of Obligation)

No. R-__ $_____

Full Faith and Credit Project and Refunding Obligation
Series 2013B (Tax-Exempt)
Evidencing a Proportionate Interest of the Owner Hereof
in Financing Payments to be Made Under a Financing Agreement Between
City of Gresham, Oregon, as Borrower
and
U.S. Bank National Association, as Escrow Agent

Dated Date: July 30, 2013
Interest Rate Per Annum: ___%
Maturity Date: July 1, _____
CUSIP Number: 397730
Registered Owner: -----Cede & Co.-----
Principal Amount: -----_____ Dollars-----

This is to certify that the Registered Owner named above (the "Owner") of this Obligation is the owner of a proportionate and undivided interest in and right to receive a portion of the principal component of the Financing Payment due on the Maturity Date named above under and as defined in the Financing Agreement dated as of July 30, 2013, relating to this Obligation (the "Financing Agreement") by and between U.S. Bank National Association (the "Escrow Agent") and the City of Gresham, Oregon (the "City"). Interest on this Obligation is payable on July 1 and January 1 of each year until maturity, commencing January 1, 2014, at the Interest Rate Per Annum set forth above. Payment of principal and interest shall be made to the Owner hereof as the Owner's name appears on the registration books of the City maintained by the Escrow Agent, as of the close of business on the fifteenth day of the calendar month immediately preceding the applicable payment date (the "Record Date"). For so long as this Obligation is subject to a book-entry-only system, principal and interest payments shall be paid to the nominee of the securities depository for this Obligation. On the date of issuance of this Obligation, the securities depository for this Obligation is The Depository Trust Company, New York, New York, and Cede & Co. is the nominee of The Depository Trust Company. Such payment shall be made payable to the order of "Cede & Co."

This Obligation is one of the Full Faith and Credit Project and Refunding Obligations, Series 2013B (Tax-Exempt) (the "Obligations"), executed and delivered by the Escrow Agent pursuant to an Escrow Agreement dated as of July 30, 2013, (the "Escrow Agreement") by and between the Escrow Agent and the City. The Financing Agreement and the Escrow Agreement (copies of which are on file with the Escrow Agent) state the terms on which the Obligations are delivered, and the rights thereunder of the Owners of the Obligations, the rights, duties and immunities of the Escrow Agent and the rights and obligations of the City under the Financing Agreement. The provisions of the Escrow Agreement and the Financing Agreement are incorporated into this Obligation by reference. Capitalized terms used in this Obligation have the meanings defined for such terms in the Escrow Agreement and Financing Agreement.

This Obligation represents an ownership interest in and a right to receive up to the Principal Amount named above, representing a proportionate share of the principal component of the Financing Payment which is due on the maturity date of this Obligation, plus a proportionate share of interest accrued on that principal component, as provided in the Escrow Agreement.

The obligation of the City to pay the Financing Payments is unconditional. The Financing Payments are payable from all legally available funds of the City, and pursuant to ORS 287A.315 the City has pledged its full faith and credit and taxing power within the limitations of Sections 11 and 11b of Article XI of the Oregon Constitution to pay the Financing Payments.

The City is authorized to enter into the Financing Agreement pursuant to the laws of the State of Oregon and Resolution No. 3129 of the City adopted May 21, 2013. The City has entered into the Financing Agreement for the purposes described in the Resolution, and costs related to the authorization, sale, issuance and delivery of the Obligations. The Escrow Agent has agreed to hold its rights to receive the Financing Payments in escrow for the benefit of the Owners.

The Obligations are initially issued as a book-entry-only security issue with no certificates provided to the beneficial owners. While the Obligations are in book-entry form, the Obligations shall be subject to the rules and procedures of The Depository Trust Company. Records of ownership of beneficial interests in the Obligations will be maintained by The Depository Trust Company and its participants. Any exchange or transfer of this Obligation must be registered as provided in the Escrow Agreement. Should the book-entry-only system be discontinued, the Escrow Agent shall provide all beneficial owners with executed, printed Obligations which are registered in the name of the beneficial owners, who shall each then become Owners, as provided in the Escrow Agreement.

The Obligations are subject to maturity and redemption as described in the final Official Statement for the Obligations which is dated July 9, 2013.

Unless the book-entry-only system is discontinued, notice of any call for redemption shall be given as required by the Blanket Issuer Letter of Representations to The Depository Trust Company, as referenced in the Escrow Agreement. The Obligations are subject to conditional notice of redemption as provided in the Escrow Agreement. Unless the Depository Trust Company consents to a shorter period, the Escrow Agent will notify The Depository Trust Company of any Obligations called for redemption no fewer than 20 calendar days nor more than 60 calendar days prior to the date fixed for redemption. If the book-entry-only system is discontinued, the Escrow Agent and the City shall provide for an alternative system of providing notice of redemption and such other matters as need to be updated for the Obligations, that is of general acceptance in the municipal bond market. Any failure to give notice shall not invalidate the redemption of the Obligations.

Unless this Obligation is presented by an authorized representative of The Depository Trust Company, a New York corporation ("DTC") to the City or the Escrow Agent for registration of transfer, exchange or payment, and any Obligation issued is registered in the name of Cede & Co. or such other name as is requested by an authorized representative of DTC (and any payment is made to Cede & Co. or to such other entry as is requested by an authorized representative of DTC), ANY TRANSFER, PLEDGE OR OTHER USE HEREOF FOR VALUE OR OTHERWISE BY OR TO ANY PERSON IS WRONGFUL inasmuch as the Registered Owner hereof, Cede & Co., has an interest herein.

This Obligation shall remain in the Escrow Agent's custody subject to the provisions of the FAST Balance Certificate Agreement currently in effect between the Escrow Agent and The Depository Trust Company.

IN WITNESS WHEREOF, this Obligation has been executed and delivered by U.S. Bank National Association, as Escrow Agent, acting pursuant to the Escrow Agreement.

U.S. Bank National Association, as Escrow Agent

_____

Authorized Officer

THIS OBLIGATION SHALL NOT BE VALID UNLESS PROPERLY AUTHENTICATED BY THE ESCROW AGENT IN THE SPACE PROVIDED BELOW.

CERTIFICATE OF AUTHENTICATION

This is one of the $4,655,000 aggregate principal amount of the City of Gresham, Oregon, Full Faith and Credit Project and Refunding Obligations, Series 2013B (Tax-Exempt), issued in accordance with the Escrow Agreement described herein.

Date of authentication: July 30, 2013.

U.S. Bank National Association, as Escrow Agent

_____

Authorized Officer

ASSIGNMENT

FOR VALUE RECEIVED, the undersigned sells, assigns and transfers unto _____

_____

(Please insert social security or other identifying number of assignee)

this Obligation and does hereby irrevocably constitute and appoint _____ as attorney to transfer this Obligation on the books kept for registration thereof with the full power of substitution in the premises.

Dated:_____

NOTICE: The signature to this assignment must correspond with the name of the registered owner as it appears upon the face of this Obligation in every particular, without alteration or enlargement or any change whatever.

NOTICE: Signature(s) must be guaranteed by a member of the New York Stock Exchange or a commercial bank or trust company

Signature Guaranteed

_____

(Bank, Trust Company or Brokerage Firm)

_____

Authorized Officer

The following abbreviations, when used in the inscription on the face of this Obligation, shall be construed as though they were written out in full according to applicable laws or regulations.

TEN COM -- tenants in common
TEN ENT -- as tenants by the entireties
JT TEN -- as joint tenants with right of survivorship
and not as tenants in common
OREGON CUSTODIANS use the following
_____ CUST UL OREG _____ MIN
as custodian for (name of minor)
OR UNIF TRANS MIN ACT
under the Oregon Uniform Transfer to Minors Act

Additional abbreviations may also be used though not in the list above.

Appendix F

Form of 2013C Financing Agreement and Form of 2013C Escrow Agreement

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FINANCING AGREEMENT

by and between

U.S. Bank National Association
as Escrow Agent

and

City of Gresham, Oregon
as Borrower

Dated as of July 30, 2013

$7,610,000
City of Gresham, Oregon
Full Faith and Credit Obligations
Series 2013C (Federally Taxable - Qualified Energy Conservation Bonds - Direct Payment)

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EXHIBIT A: Financing Payments Schedule

FINANCING AGREEMENT

This Financing Agreement is dated as of July 30, 2013, and is entered into by and between the U.S. Bank National Association, as Escrow Agent, and the City of Gresham, Oregon (the "City"), as the borrower. The parties hereby agree as follows:

1. Recitals, Definitions and Rules of Construction.

1.1 Recitals.

1.1(A) The City recites that the City is authorized to finance or refinance real and personal property by Financing Agreement pursuant to ORS 271.390, and executes this Financing Agreement to finance the Projects, as defined below.

1.1(B) The City and the Escrow Agent recite:

(1) The Escrow Agent desires to loan the Financing Amount to the City to finance the Projects, but only from the proceeds of the Obligations.

(2) The City desires to borrow the Financing Amount from the Escrow Agent to finance the Projects as provided in this Financing Agreement.

1.2 Definitions.

Unless the context clearly requires otherwise: capitalized terms not defined in this Section 1.2 shall have the meanings defined for such terms in the Escrow Agreement; and, capitalized terms used in this Financing Agreement which are defined in this Section 1.2 shall have the following meanings:

"Code" means the Internal Revenue Code of 1986, as amended, including regulations, rulings and judicial decisions promulgated thereunder.

"Escrow Agreement" means the Escrow Agreement relating to the City's Full Faith and Credit Obligations, Series 2013C (Federally Taxable - Qualified Energy Conservation Bonds - Direct Payment) which is dated as of July 30, 2013, as it may be amended or supplemented.

"Financing Agreement" means this Financing Agreement, including the exhibits attached to this Financing Agreement and any amendments to this Financing Agreement and its exhibits.

"Financing Amount" means $7,610,000.

"Financing Default" means any event described in Section 5.1 of this Financing Agreement.

"Financing Payments" means the payments described in Section 3.2(B) of this Financing Agreement.

"Obligations" means the Full Faith and Credit Obligations, Series 2013C (Federally Taxable - Qualified Energy Conservation Bonds - Direct Payment) which are issued pursuant to the Escrow Agreement.

"Payment Date" means the date upon which any Financing Payment is due and payable, as provided in Section 3.2(B) herein, or the date on which any Financing Payment will be prepaid in accordance with the Escrow Agreement and this Financing Agreement.

"Projects" means the streetlight improvement projects described in Resolution No. 3129 adopted by the City Council on May 21, 2013, and costs related to the financing.

1.3 Rules of Construction.

References to section numbers in documents which do not specify the document in which the section is located shall be construed as references to section numbers in this Financing Agreement.

2. Representations, Warranties and Covenants.

2.1 Representations, Warranties and Covenants of City.

The City represents, covenants and warrants for the benefit of the Escrow Agent and its assignees as follows:

2.1(A) The City is a properly incorporated and existing city under the laws of the State of Oregon.

2.1(B) The City is authorized under ORS 271.390 to enter into this Financing Agreement and to perform all of its obligations under this Financing Agreement.

2.1(C) The City has taken all action which is required to ensure the enforceability of this Financing Agreement in accordance with its terms (except as such enforceability may be limited by bankruptcy, insolvency, reorganization, moratorium or similar laws or equitable principles relating to or limiting creditors' rights generally).

2.1(D) The City has complied and will comply with all public bidding or other procurement requirements which apply to this Financing Agreement and the acquisition and construction of the projects financed with or refinanced with this Financing Agreement.

2.1(E) The estimated weighted average life of this Financing Agreement does not exceed the estimated dollar weighted average life of the projects financed and refinanced with this Financing Agreement.

2.2 Representations, Warranties and Covenants of Escrow Agent.

The Escrow Agent represents, covenants and warrants for the benefit of the City as follows:

2.2(A) The Escrow Agent is a national banking association, duly qualified to transact business of the type contemplated by this Financing Agreement and the Escrow Agreement in the State of Oregon, and has all necessary power to own its properties and assets and to carry on its business as now conducted.

2.2(B) The consummation of the transactions contemplated by this Financing Agreement will not violate the provisions of, or constitute a breach or default under, the articles of incorporation, charter or bylaws of the Escrow Agent or any agreement to which the Escrow Agent is a party.

2.2(C) The execution, delivery and performance by the Escrow Agent of this Financing Agreement and all related agreements, instruments and documents to which the Escrow Agent is a party have been duly authorized and constitute legal, valid and binding obligations of the Escrow Agent, enforceable against the Escrow Agent in accordance with their terms, except as such enforcement may be limited by bankruptcy, insolvency, reorganization, moratorium or similar laws or equitable principles relating to or limiting creditors' rights generally.

3. The Loan and the Financing Payments.

3.1 The Loan.

3.1(A) The Escrow Agent agrees to loan the City an amount equal to the Financing Amount, but solely from the proceeds of sale of the Obligations as provided in this Financing Agreement and the Escrow Agreement. This loan from the Escrow Agent to the City will be deemed to have been made when the Escrow Agent makes the deposits and transfers to the City which are specified in Section 3.3 of the Escrow Agreement.

3.1(B) The City agrees to borrow the Financing Amount from the Escrow Agent, and to repay that Financing Amount by making the Financing Payments and paying the Additional Charges as provided in this Financing Agreement. This Financing Agreement shall commence on the Closing Date and shall end on the date the Financing Payments and Additional Charges have been paid or defeased in accordance with Section 11.1 of the Escrow Agreement.

3.2 The Financing Payments and Additional Charges.

3.2(A) The City agrees to pay the Escrow Agent, its successors or assigns, without deduction or offset of any kind, as payment for the loan made under this Financing Agreement, the Financing Payments and the Additional Charges.

3.2(B) The City shall pay the Financing Amount to the Escrow Agent in semiannual Financing Payments which consist of the annual principal installments shown in Exhibit A, together with interest on those principal installments, payable semiannually on January 1 and July 1 of each year, commencing January 1, 2014, at the rates shown in Exhibit A.

3.2(C) To secure the performance of its obligation to pay Financing Payments, the City shall deposit an amount equal to each Financing Payment with the Escrow Agent one Business Day

preceding each scheduled Payment Date. Each deposit made under this Section 3.2(C) shall be applied toward its Financing Payment.

3.2(D) In determining the amount of the deposit which is due from the City under Section 3.2(C) the City shall be credited on the deposit date for any amounts then on hand in the Payment Account and available to pay the Financing Payments (including accrued interest, and any other amounts to be deposited therein) and the City shall only be required to pay the difference, if any, between the amount of the deposit then due and the amounts then on hand in the Payment Account.

3.2(E) In addition to the Financing Payments, the City covenants to pay the following Additional Charges, as and when the same become due and payable:

> the reasonable fees, costs and expenses of the Escrow Agent, including, to the extent permitted by law, all costs and expenses which the Escrow Agent may incur because of any default by the City under this Financing Agreement, including reasonable attorneys' fees and costs of suit or action at law to enforce the terms and conditions of this Financing Agreement, and the fees, costs and expenses of the Escrow Agent as provided in the Escrow Agreement and the reasonable fees, costs and expenses of any successor Escrow Agent.

3.2(F) Additional Charges shall be paid by City when due. Additional Charges described in Section 3.2(E) above shall be paid to the Escrow Agent.

3.3 Prepayment.

3.3(A) Optional Prepayment. The principal component of Financing Payments coming due in years 2014 through 2023, inclusive, are not subject to prepayment prior to their respective payment dates. The principal component of Financing Payments coming due on July 1, 2025 and on any date thereafter are subject to prepayment at the option of the City prior to their stated maturity dates at any date on or after July 1, 2023, as a whole or in part, and if in part, with maturities to be selected by the City at a price of par), plus accrued interest, if any, to the date of prepayment. A Term Obligation subject to optional prepayment and prepaid in part will have the principal amount within the respective mandatory prepayment dates selected by the City.

For as long as the Obligations are in book-entry only form, if fewer than all of the Obligations of a maturity are called for prepayment, the selection of Obligations within a maturity to be redeemed shall be made by DTC in accordance with its operational procedures then in effect. If the Obligations are no longer held in book-entry only form, then the Escrow Agent would select Obligations for prepayment by lot.

3.3(B) Mandatory Prepayment. If not previously redeemed under the provisions for optional prepayment, the Term Obligations maturing on July 1 in the years 2025, 2027, 2029, 2031 and 2033 are subject to mandatory prepayment (in such manner as the Bond Registrar and DTC will determine or by lot by the Paying Agent) on July 1 of the following years in the following principal amounts, at a price of par plus accrued interest to the date of prepayment:

2025 Term Obligation	
Due July 1	Amount
2024	$ 375,000
2025 (1)	380,000
	$ 755,000

2027 Term Obligation	
Due July 1	Amount
2026	$ 380,000
2027 (1)	380,000
	$ 760,000

2029 Term Obligation	
Due July 1	Amount
2028	$ 385,000
2029 (1)	390,000
	$ 775,000

2031 Term Obligation	
Due July 1	Amount
2030	$ 390,000
2031 (1)	395,000
	$ 785,000

2033 Term Obligation	
Due July 1	Amount
2032	$ 400,000
2033 (1)	405,000
	$ 805,000

(1) Maturity.

A Term Obligation subject to optional prepayment and redeemed in part will have the principal amount within the respective mandatory prepayment dates selected by the City and communicated in writing to the Escrow Agent.

3.3(C) Special Mandatory Prepayment. The principal component of the Obligations shall be subject to special mandatory prepayment if any proceeds of the Financing Agreement (including investment earnings) have not been spent within three years from the Date of Delivery, or any extension period granted by the Secretary of the Treasury. The Obligations will be redeemed in an amount equal to the unexpended proceeds (including investment earnings) of the Financing Agreement, plus any additional amounts which in the opinion of Special Counsel are necessary to maintain the status of the Financing Agreement or Obligations as qualified energy conservation bonds, in whole or in part, in authorized denominations, at a price of par, plus accrued interest, if any, on or before the date that is ninety days after the later of three years from the Date of Delivery, or the end of any extension period granted by the Secretary of the Treasury.

3.3(D) Extraordinary Optional Prepayment. The Obligations will be subject to extraordinary prepayment prior to maturity, at the option of the City, upon the occurrence of an Extraordinary Event (as defined below), in whole or in part (on a pro rata basis) on any interest payment date, at the "Extraordinary Prepayment Price." The Extraordinary Prepayment Price is equal to the greater of:

(1) the issue price of the Obligations set forth on the cover page hereof (but not less than 100%) of the principal amount of the Obligations to be prepaid; or

(2) the sum of the present value of the remaining scheduled payments of principal and interest on the Obligations to be prepaid to the maturity date of such Obligations, not including any portion of those payments of interest accrued and unpaid as of the date on which the Obligations are to be prepaid, discounted to the date on which the Obligations are to be prepaid on a semi-annual basis, assuming a 360-day year containing twelve 30-day months, at the Treasury Rate (as defined below) plus 100 basis points, plus accrued interest on the Obligations to be prepaid to the prepayment date.

An "Extraordinary Event" will have occurred if (i) a material adverse change has occurred to section 54D or section 6431 of the Code, there is guidance published by the Internal Revenue Service or the Department of Treasury with respect to such sections of the Code, or there is a determination by the Internal Revenue Service or the Department of the Treasury, in each case resulting in the reduction of a Direct Payment to a level 10% or more below the amount set forth in section 54D or section 6431 of the Code, as those sections exist on the Date of Delivery of the Obligations; or (ii) any other event occurs that results in the reduction of a Direct Payment to a level 10% or more below the amount set forth in Section 54D or Section 6431 of the Code as those sections exist on the Date of Delivery of the Obligations which event is not the result of an act or omission by the City to satisfy the requirements to receive the Direct Payments.

"Treasury Rate" means, with respect to any prepayment date for a particular Obligation, the yield to maturity as of such prepayment date of United States Treasury securities with a constant maturity (as compiled and published in the most recent Federal Reserve Statistical Release H.15 (519)) that has become publicly available at least 2 business days, but no more than 45 days, prior to the prepayment date (excluding inflation indexed securities or, if such Statistical Release is no longer published, any publicly available source of similar market data) most nearly equal to the period from the prepayment date to the maturity date of the Obligations to be prepaid; provided, that if the period from the prepayment date to such maturity date is less than one year, the weekly average yield on actually traded United States Treasury securities adjusted to a constant maturity of year will be used.

3.3(E) Notice of Prepayment. The City shall give notice of prepayment of Financing Payments to the Escrow Agent not later than 5 days before the notice of prepayment is required to be made.

3.4 Obligation to Pay Financing Payments is Unconditional; Pledge of Full Faith and Credit.

3.4(A) The obligation of the City to make Financing Payments shall be unconditional, and the City shall pay the Financing Payments from any and all of its legally available taxes, revenues and other funds. Pursuant to ORS 287A.315, the City hereby pledges its full faith and credit and taxing power within the limitations of Sections 11 and 11b of Article XI of the Oregon Constitution to pay the Financing Payments and other amounts due under this Financing Agreement.

3.4(B) The City hereby agrees that its obligation to pay all Financing Payments and Additional Charges is absolute and unconditional, and shall not be subject to any of the following:

(1) any setoff, counterclaim, recoupment, defense or other right which the City may have against the Escrow Agent, any contractor or anyone else for any reason whatsoever;

(2) any insolvency, bankruptcy, reorganization or similar proceedings by the City;

(3) abatement through damage, destruction or non-availability of the projects financed with or refinanced with this Financing Agreement; or

(4) any other event or circumstance whatsoever, whether or not similar to any of the foregoing.

3.5 Estoppel.

The City hereby certifies, recites and declares that all things, conditions and acts required by the Constitution and Statutes of the State of Oregon and by this Financing Agreement and the Escrow Agreement to exist, to have happened and to have been performed precedent to and in the execution and the delivery of this Financing Agreement, do exist, have happened and have been performed in due time, form and manner, as required by law, and that this Financing Agreement is a valid and binding obligation of the City which is enforceable against the City in accordance with its terms, except to the extent that enforceability may be limited by applicable bankruptcy, insolvency, fraudulent conveyance, reorganization, moratorium or other laws or judicial decisions or principles of equity relating to or affecting the enforcement of creditors' rights or contractual obligations generally.

4. Title and Assignment.

4.1 Title.

The City shall be entitled to unencumbered, fee simple title to the projects financed with or refinanced with this Financing Agreement, and the Escrow Agent and the Owners shall have no lien on, or security interest in, the projects financed with or refinanced with this Financing Agreement.

4.2 Assignment By the Escrow Agent.

The Escrow Agent may assign its rights under this Financing Agreement only as specifically permitted by the Escrow Agreement.

4.3 Assignment by the City.

The rights and obligations of the City under this Financing Agreement may be assigned or transferred to any entity which succeeds or replaces the City, or any entity into which the City may be merged or consolidated, but only if the assignee or transferee assumes all of the City's obligations under this Financing Agreement. The rights and obligations of City under this Financing Agreement shall not otherwise be assigned or transferred.

5. Financing Defaults and Remedies

5.1 Financing Defaults Defined.

Any one or more of the following events shall constitute Financing Defaults:

5.1(A) Failure by the City to pay any Financing Payments required to be paid hereunder in the amount and at the time specified herein;

5.1(B) Except as provided in Section 5.2 below, failure by the City to observe and perform any covenant, condition or agreement on its part to be observed or performed for a period of 60 days after written notice to the City by the Escrow Agent, specifying such failure and requesting that it be remedied, unless the Escrow Agent shall agree in writing to an extension of such time prior to its expiration; provided, however, that if the failure stated in the notice cannot be corrected within the applicable period, the Escrow Agent will not unreasonably withhold its consent to an extension of such time if corrective action is instituted by the City within the applicable period and diligently pursued until the default is corrected; or

5.1(C) The commencement by the City of a voluntary case under any applicable bankruptcy, insolvency or other similar law now or hereafter in effect or an assignment by the City for the benefit of its creditors, or the entry by the City into an agreement of composition with creditors, or the taking of any action by the City in furtherance of any of the foregoing.

5.2 Force Majeure.

If by reason of *force majeure*, the City is unable in whole or in part to carry out its agreement herein contained, other than the obligation of the City to pay the Financing Payments when due, the City shall not be deemed in default during the continuance of such inability. The term "force majeure" as used herein shall mean, without limitation, any of the following: acts of God; strikes, lockouts or other industrial disturbances; acts of the public enemy; orders or restraints of any kind of the government of the United States of America, the State of Oregon or of the county wherein the City is located or any of their departments, agencies or officials, or any civil or military authority; insurrections; riots; landslides; earthquakes; fires; storms; droughts; floods; explosions; breakage or accident to machinery, transmission pipes or canals; or any other cause or event not reasonably within the control of the City.

5.3 Remedies on Financing Default.

5.3(A) Whenever a Financing Default shall have happened and be continuing, the Escrow Agent shall have the right, at its sole option without any further demand or notice, to exercise any remedy described in Section 9.2 of the Escrow Agreement.

5.3(B) The Escrow Agent shall exercise its rights hereunder only in accordance with the Escrow Agreement. No remedy referred to in this Section 5.3 is exclusive, but each shall be cumulative and in addition to any other remedy referred to herein or otherwise available to the Escrow Agent at law or in equity. HOWEVER, THE AMOUNTS DUE UNDER THIS FINANCING AGREEMENT ARE NOT SUBJECT TO ACCELERATION. In the event that the Escrow Agent exercises or begins to exercise any one or more of such remedies, such action shall not preclude the simultaneous or later exercise by the Escrow Agent of any other remedies. No express or implied waiver by the Escrow Agent of a Financing Default shall constitute a waiver of any other or subsequent Financing Default.

6. Miscellaneous

6.1 Notices.

All notices and other communications required by the Agreement shall be considered properly given if they are delivered via electronic or by facsimile or first class mail:

To the Escrow Agent at:

U.S. Bank National Association
Corporate Trust Services
555 S.W. Oak St., PD-OR-P6TD
Portland, Oregon 97204
Fax: 503-275-5738

To the City at:

City of Gresham
1333 NW Eastman Parkway
Gresham, OR 97030

6.2 Binding Effect.

This Financing Agreement shall inure to the benefit of and shall be binding upon the Escrow Agent and the City and their respective successors and assigns.

6.3 Severability.

In the event any provisions of this Financing Agreement shall be held invalid or unenforceable by any court of competent jurisdiction, such holding shall not invalidate or render unenforceable any other provisions hereof.

6.4 Amendments.

This Financing Agreement may be amended only as provided in the Escrow Agreement.

6.5 Execution in Counterparts.

This Financing Agreement may be simultaneously executed in several counterparts, each of which shall be an original and all of which shall constitute the same instrument.

6.6 Applicable Law.

This Financing Agreement shall be governed by and construed in accordance with the laws of the State of Oregon. Any action regarding this Financing Agreement or the transactions contemplated hereby shall be brought in an appropriate court of the State of Oregon in Multnomah County, Oregon.

6.7 Headings.

The headings, titles and table of contents in this Financing Agreement are provided for convenience and shall not affect the meaning, construction or effect of this Financing Agreement. All references herein to “Sections,” and other subdivisions which do not specify the document in which the subdivision is located shall be construed as references to this Financing Agreement.

[The remainder of this page is left blank intentionally.]

IN WITNESS WHEREOF, the Escrow Agent has executed this Financing Agreement in its corporate name by its duly authorized officer and the City has caused this Financing Agreement to be executed in its name by its duly authorized City Official, all as of the date first above written.

U.S. Bank National Association,
as Escrow Agent

_____
Authorized Officer

City of Gresham, Oregon

_____
Authorized Officer

EXHIBIT A
The Financing Payments

NET DEBT SERVICE

City of Gresham
Series 2013C (Taxable QECB)
Final Numbers

Date	Principal	Interest	Total Debt Service	Federal Subsidy	Net Debt Service	Annual Net D/S
01/01/2014	-	109,294.64	109,294.64	-96,641.34	12,653.30	-
07/01/2014	345,000	130,285.00	475,285.00	-115,201.60	360,083.40	372,736.70
01/01/2015	-	128,991.25	128,991.25	-113,907.85	15,083.40	-
07/01/2015	380,000	128,991.25	508,991.25	-113,907.85	395,083.40	410,166.80
01/01/2016	-	127,091.25	127,091.25	-112,007.85	15,083.40	-
07/01/2016	380,000	127,091.25	507,091.25	-112,007.85	395,083.40	410,166.80
01/01/2017	-	124,431.25	124,431.25	-109,347.85	15,083.40	-
07/01/2017	375,000	124,431.25	499,431.25	-109,347.85	390,083.40	405,166.80
01/01/2018	-	120,962.50	120,962.50	-105,879.10	15,083.40	-
07/01/2018	375,000	120,962.50	495,962.50	-105,879.10	390,083.40	405,166.80
01/01/2019	-	116,743.75	116,743.75	-101,660.35	15,083.40	-
07/01/2019	375,000	116,743.75	491,743.75	-101,660.35	390,083.40	405,166.80
01/01/2020	-	111,775.00	111,775.00	-96,691.60	15,083.40	-
07/01/2020	375,000	111,775.00	486,775.00	-96,691.60	390,083.40	405,166.80
01/01/2021	-	106,056.25	106,056.25	-90,972.85	15,083.40	-
07/01/2021	375,000	106,056.25	481,056.25	-90,972.85	390,083.40	405,166.80
01/01/2022	-	99,962.50	99,962.50	-84,879.10	15,083.40	-
07/01/2022	375,000	99,962.50	474,962.50	-84,879.10	390,083.40	405,166.80
01/01/2023	-	93,493.75	93,493.75	-78,410.35	15,083.40	-
07/01/2023	375,000	93,493.75	468,493.75	-78,410.35	390,083.40	405,166.80
01/01/2024	-	86,650.00	86,650.00	-71,566.60	15,083.40	-
07/01/2024	375,000	86,650.00	461,650.00	-71,566.60	390,083.40	405,166.80
01/01/2025	-	79,150.00	79,150.00	-64,649.73	14,500.27	-
07/01/2025	380,000	79,150.00	459,150.00	-64,649.73	394,500.27	409,000.54
01/01/2026	-	71,550.00	71,550.00	-57,640.63	13,909.37	-
07/01/2026	380,000	71,550.00	451,550.00	-57,640.63	393,909.37	407,818.74
01/01/2027	-	63,380.00	63,380.00	-50,631.53	12,748.47	-
07/01/2027	380,000	63,380.00	443,380.00	-50,631.53	392,748.47	405,496.94
01/01/2028	-	55,210.00	55,210.00	-43,622.43	11,587.57	-
07/01/2028	385,000	55,210.00	440,210.00	-43,622.43	396,587.57	408,175.14
01/01/2029	-	46,547.50	46,547.50	-36,521.10	10,026.40	-
07/01/2029	390,000	46,547.50	436,547.50	-36,521.10	400,026.40	410,052.80
01/01/2030	-	37,772.50	37,772.50	-29,327.55	8,444.95	-
07/01/2030	390,000	37,772.50	427,772.50	-29,327.55	398,444.95	406,889.90
01/01/2031	-	28,705.00	28,705.00	-22,134.00	6,571.00	-
07/01/2031	395,000	28,705.00	423,705.00	-22,134.00	401,571.00	408,142.00
01/01/2032	-	19,521.25	19,521.25	-14,848.23	4,673.02	-
07/01/2032	400,000	19,521.25	419,521.25	-14,848.23	404,673.02	409,346.04
01/01/2033	-	9,821.25	9,821.25	-7,470.23	2,351.02	-
07/01/2033	405,000	9,821.25	414,821.25	-7,470.23	407,351.02	409,702.04
	7,610,000	3,295,209.64	10,905,209.64	-2,796,180.80	8,109,028.84	8,109,028.84

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ESCROW AGREEMENT

by and between

U.S. Bank National Association

as Escrow Agent

and

City of Gresham, Oregon

Dated as of July 30, 2013

$7,610,000
Full Faith and Credit Obligations
Series 2013C (Federally Taxable-Qualified Energy Conservation Bonds - Direct Payment)
Evidencing interests in the Financing Payments due from City of Gresham, Oregon

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Exhibit A: Maturity Schedule

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ESCROW AGREEMENT

$7,610,000

City of Gresham, Oregon

Full Faith and Credit Obligations

Series 2013C (Federally Taxable - Qualified Energy Conservation Bonds - Direct Payment)

THIS ESCROW AGREEMENT is dated as of July 30, 2013, is entered into by and between U.S. Bank National Association, an organization having a corporate trust office, as Escrow Agent, and City of Gresham, Oregon. The parties hereby agree as follows:

1. Definitions; Rules of Construction, Recitals; and Transfer of Rights.

1.1 Definitions.

Unless the context clearly requires otherwise: capitalized terms not defined in this Section 1.1 shall have the meanings defined for such terms in the Financing Agreement; and, capitalized terms used in this Escrow Agreement which are defined in this Section 1.1 shall have the following meanings:

"Additional Charges" means the amounts specified as such pursuant to Section 3.2(E) of the Financing Agreement.

"Business Day" means any day other than a Saturday, Sunday or a day on which the City or the Escrow Agent is authorized by law to remain closed.

"City" means City of Gresham, Oregon, or its successors.

"City Official" means the City Manager or the person designated by the City Manager to act as City Official under Resolution No. 3129 adopted by the City Council on May 21, 2013.

"Closing Date" means the day on which the Obligations are delivered to their initial purchasers in exchange for payment.

"Defeasance Obligations" means direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury, and CATS and TGRS) or obligations the principal of and interest on which are unconditionally guaranteed by the United States of America.

"Escrow Agent" the entity serving as escrow agent under this Escrow Agreement, which is U.S. Bank National Association on the date of this Escrow Agreement.

"Escrow Agreement" means this Escrow Agreement, as it may be amended and supplemented.

"Escrow Default" means the events described in Section 9.1 of this Escrow Agreement.

"Financing Agreement" means the Financing Agreement for the Projects which is dated as of July 30, 2013 and is signed by the Escrow Agent and the City, as it may be amended and supplemented.

"Financing Default" means any event described in Section 5.1 of the Financing Agreement.

"Financing Payments" mean the payments of principal and interest which the City is required to make under Section 3.2(B) of the Financing Agreement to repay the Financing Amount, and any prepayments of the Financing Amount (including accrued interest on the prepaid Financing Amount).

"Fiscal Year" means each year beginning on July 1, and ending on the following June 30.

"Obligation Register" means the records kept for the registration of Obligations by the Escrow Agent pursuant to Section 2.7 below.

"Obligations" means the Full Faith and Credit Obligations, Series 2013C (Federally Taxable - Qualified Energy Conservation Bonds - Direct Payment), which are authorized by Section 2.1 below.

"Outstanding" means, when used as of any particular time with respect to Obligations, all Obligations theretofore executed by the Escrow Agent and registered and delivered by the Escrow Agent under this Escrow Agreement except:

i) Obligations previously canceled by the Escrow Agent or surrendered to the Escrow Agent for cancellation;

ii) Obligations which have been defeased pursuant to Section 11.1 of this Escrow Agreement; and,

iii) Obligations in lieu of or in exchange for which other Obligations have previously been executed and delivered by the Escrow Agent pursuant to Section 2.7 below.

"Owner" means the person in whose name an Outstanding Obligation is registered, as shown in the Obligation Register.

"Payment Account" means the Full Faith and Credit Obligations Payment Account established pursuant to Section 3 below.

"Payment Date" means the date upon which any Financing Payment is due and payable, as provided in Section 3.2(B) of the Financing Agreement, or the date on which any Financing Payment will be prepaid in accordance with this Escrow Agreement and the Financing Agreement.

"Projects" means the streetlight improvement projects described in Resolution No. 3129 adopted by the City Council on May 21, 2013, and costs related to the financing.

"Qualified Institution" means an institution which maintains a head office or a branch in the State of Oregon, the deposits of which are insured under the provisions of the Federal Deposit Insurance Act, as amended (12 U.S.C. 1811, et seq).

"Qualified Investments" means the investments in which the City may invest surplus funds under the laws of the State of Oregon, including ORS 294.035 and 294.040, as amended.

"Special Counsel" means Hawkins Delafield & Wood LLP, or other counsel nationally recognized for its expertise in municipal finance, that is appointed by the City.

1.2 Rules of Construction.

References to section numbers in documents which do not specify the document in which the section is located shall be construed as references to section numbers in this Escrow Agreement.

1.3 Recitals.

1.3(A) City's Recitals.

(1) The City is authorized by ORS 271.390 to enter into financing agreements to finance or refinance any real or personal property that its City Council determines is needed.

(2) The City Council has determined in Resolution No. 3129 adopted on May 21, 2013, that the Projects are needed, and has authorized execution of the Financing Agreement and this Escrow Agreement to finance the Projects.

(3) The City enters into this Escrow Agreement to provide for the issuance of the Obligations which will be paid from the Financing Payments the City makes under the Financing Agreement.

1.3(B) The Escrow Agent recites that it has placed its rights under the Financing Agreement, including the right to receive the Financing Payments, in escrow for the benefit of the Owners of the Obligations, that it accepts its obligations under this Escrow Agreement and the Financing Agreement and has agreed to execute and deliver the Full Faith and Credit Obligations, Series 2013C (Federally Taxable - Qualified Energy Conservation Bonds - Direct Payment) evidencing proportionate interests in the Financing Payments.

1.4 Rights Under Financing Agreement Held for Benefit of Owners.

1.4(A) The City and the Escrow Agent hereby agree that the following rights shall be held in trust exclusively for the proportionate benefit of the Owners as provided in this Escrow Agreement:

(1) All rights of the Escrow Agent under the Financing Agreement (except for the Escrow Agent's right to payment from Additional Charges); and,

(2) All rights of the Escrow Agent and the City to amounts in the Payment Account.

2. The Full Faith and Credit Obligations, Series 2013C.

2.1 Preparation and Delivery of Obligations.

2.1(A) The Escrow Agent is hereby authorized and directed to prepare and execute the Obligations in the aggregate principal amount of $7,610,000. The Obligations shall be dated, shall mature on the dates and in the principal amounts, and pay interest at the rates shown in Exhibit A.

2.1(B) The Escrow Agent shall receive and accept the Obligations and will hold the Obligations under The Depository Trust Company's Fast Automated Securities Transfer (FAST) program, upon confirmation of the receipt of the proceeds of the sale of the Obligations.

2.2 Payment of Obligations.

2.2(A) Each Obligation represents an ownership interest in and a right to receive:

(1) a proportionate share of a specified principal component of the Financing Payments, plus

(2) a proportionate share of the Financing Payments allocable to the interest paid on that specified principal component.

2.2(B) The City shall pay the Financing Payments to the Escrow Agent in immediately available funds as provided in the Financing Agreement. The Escrow Agent shall credit the Financing Payments to the Payment Account and transfer the Financing Payment to the Owners as provided in this Escrow Agreement.

2.3 Book-Entry Only System.

2.3(A) The Obligations shall be initially executed and delivered as a book-entry only security issue with no Obligations being made available to the Owners in accordance with the Blanket Issuer Letter of Representations the City has filed with The Depository Trust Company. While the Obligations are in book-entry form, the Obligations shall be subject to the rules and procedures of The Depository Trust Company.

2.3(B) If DTC ceases to act as Depository for the Obligations the City will request the Escrow Agent to, and the Escrow Agent and the City shall, amend this Escrow Agreement to provide for an alternative system of registration and payment for the Obligations that is of general acceptance in the municipal bond markets. If no better system is then available, the Escrow Agent and the City shall amend this Escrow Agreement to provide that printed, registered Obligations shall be issued to beneficial owners of the Obligations, and shall give notice of those amendments to all Owners.

2.3(C) While the Obligations are in book entry form, the City and the Escrow Agent shall have no responsibility or obligation to any participant or correspondent of the depository or to any beneficial owner for:

(1) the accuracy of the records of the depository, its nominee or any participant, correspondent or beneficial owner with respect to any ownership interest in the Obligations;

(2) the delivery to any participant, correspondent, beneficial owner or any other person, other than an Owner as shown in the registration books maintained by the Escrow Agent, of any notice with respect to the Obligations, including any notice of prepayment;

(3) the selection by the depository of the beneficial interest in Obligations to be prepaid if the City prepays the Obligations in part; or

(4) the payment to any participant, correspondent, or any other person other than the Owner of the Obligations as shown in the registration books maintained by the Escrow Agent, of any amount with respect to principal, premium, if any, or interest with respect to the Obligations.

2.3(D) Notwithstanding the book-entry-only system, the City may treat the Owner of an Obligation as the absolute owner of that Obligation for all purposes, including the payment of principal, premium, if any, and interest with respect to such Obligation, or for giving notices of redemption and other matters with respect to such Obligation, or for registering transfers with respect to such Obligation. The Escrow Agent shall pay or cause to be paid all principal, premium, if any, and interest with respect to the Obligations only to or upon the order of the Owners and all such payments shall be valid and effective to fully satisfy and discharge the City's obligation with respect to payment thereof to the extent of the sum or sums so paid. Interest on the Obligations shall cease to accrue on the earlier of their final maturity date or the date they are prepaid.

2.4 Form of Obligations.

The Obligations shall be executed and delivered in fully registered form in denominations of $5,000 or any integral multiple thereof within a single maturity. The Obligations and the form of assignment shall be substantially in the form set forth in Exhibit B. The Escrow Agent shall select the numbering for the Obligations.

2.5 Execution.

The Obligations shall be executed by and in the name of the Escrow Agent by the manual or facsimile signature of an authorized officer of the Escrow Agent; if an Obligation is executed by facsimile signature of the Escrow Agent it shall be authenticated by manual signature of an authorized officer of the Escrow Agent. Only Obligations which are substantially in the form set forth in Exhibit B and which have been manually executed or authenticated by the Escrow Agent shall be valid for any purpose or entitled to the benefits of this Escrow Agreement.

2.6 Execution of Documents.

The Escrow Agent may accept any evidence of execution of documents by Owners which the Escrow Agent reasonably deems sufficient. Any request or consent of the Owner of any Obligation shall bind every future Owner of the same Obligation.

2.7 Obligation Register.

The Escrow Agent will maintain the Obligation Register, and shall record the registration and transfer of all Obligations in the Obligation Register. The Obligation Register shall at all times during regular business hours be open to inspection by the City upon reasonable notice.

2.8 Redemption.

The Obligations shall be redeemed by the Escrow Agent from prepayments of Financing Amounts as provided in this section.

2.8(A) Optional Redemption. The Obligations maturing in years 2014 through 2023, inclusive, are not subject to prepayment prior to maturity. The Obligations maturing on July 1, 2025 and on any date thereafter are subject to prepayment at the option of the City prior to their stated maturity dates at any time on or after July 1, 2023, as a whole or in part, and if in part, with maturities to be selected by the City at a price of par, plus accrued interest, if any, to the date of prepayment.

2.8(B) For as long as the Obligations are in book-entry only form, if fewer than all of the Obligations of a maturity are called for prepayment, the selection of Obligations within a maturity to be redeemed shall be made by DTC in accordance with its operational procedures then in effect. If the Obligations are no longer held in book-entry only form, then the Escrow Agent would select Obligations for prepayment by lot. A Term Obligation subject to optional prepayment and prepaid in part will have the principal amount within the respective mandatory prepayment dates selected by the City and communicated in writing to the Escrow Agent.

2.8(C) Mandatory Prepayment.

If not previously redeemed under the provisions for optional prepayment, the Term Obligations maturing on July 1 in the years 2025, 2027, 2029, 2031 and 2033 are subject to mandatory prepayment (in such manner as the Bond Registrar and DTC will determine or by lot by the Paying Agent) on July 1 of the following years in the following principal amounts, at a price of par plus accrued interest to the date of prepayment:

2025 Term Obligation		2027 Term Obligation		2029 Term Obligation	
Due July 1	Amount	Due July 1	Amount	Due July 1	Amount
2024	$ 375,000	2026	$ 380,000	2028	$ 385,000
2025 (1)	380,000	2027 (1)	380,000	2029 (1)	390,000
	$ 755,000		$ 760,000		$ 775,000

2031 Term Obligation		2033 Term Obligation	
Due July 1	Amount	Due July 1	Amount
2030	$ 390,000	2032	$ 400,000
2031 (1)	395,000	2033 (1)	405,000
	$ 785,000		$ 805,000

(1) Maturity.

2.8(D) Special Mandatory Prepayment.

The principal component of the Obligations shall be subject to special mandatory prepayment if any proceeds of the Financing Agreement (including investment earnings) have not been spent within three years from the Date of Delivery, or any extension period granted by the Secretary of the Treasury. The Obligations will be redeemed in an amount equal to the unexpended proceeds (including investment earnings) of the Financing Agreement, plus any additional amounts which in the opinion of Special Counsel are necessary to maintain the status of the Financing Agreement or Obligations as qualified energy conservation bonds, in whole or in part, in authorized denominations, at a price of par, plus accrued interest, if any, on or before the date that is ninety days after the later of three years from the Date of Delivery, or the end of any extension period granted by the Secretary of the Treasury.

2.8(E) Extraordinary Optional Prepayment.

The Obligations will be subject to extraordinary prepayment prior to maturity, at the option of the City, upon the occurrence of an Extraordinary Event (as defined below), in whole or in part (on a pro rata basis) on any interest payment date, at the "Extraordinary Prepayment Price." The Extraordinary Prepayment Price is equal to the greater of:

(i) the issue price of the Obligations set forth on the cover page hereof (but not less than 100%) of the principal amount of the Obligations to be prepaid; or

(ii) the sum of the present value of the remaining scheduled payments of principal and interest on the Obligations to be prepaid to the maturity date of such Obligations, not including any portion of those payments of interest accrued and unpaid as of the date on which the Obligations are to be prepaid, discounted to the date on which the Obligations are to be prepaid on a semi-annual basis, assuming a 360-day year containing twelve 30-day months, at the Treasury Rate (as defined below) plus 100 basis points, plus accrued interest on the Obligations to be prepaid to the prepayment date.

An "Extraordinary Event" will have occurred if (i) a material adverse change has occurred to section 54D or section 6431 of the Code, there is guidance published by the Internal Revenue Service or the Department of Treasury with respect to such sections of the Code, or there is a determination by the Internal Revenue Service or the Department of the Treasury, in each case resulting in the reduction of a Direct Payment to a level 10% or more below the amount set forth in section 54D or section 6431 of the Code, as those sections exist on the Date of Delivery of the Obligations; or (ii) any other event occurs that results in the reduction of a Direct Payment to a level 10% or more below the amount set forth in Section 54D or Section 6431 of the Code as those sections exist on the Date of Delivery of the Obligations which event is not the result of an act or omission by the City to satisfy the requirements to receive the Direct Payments.

"Treasury Rate" means, with respect to any prepayment date for a particular Obligation, the yield to maturity as of such prepayment date of United States Treasury securities with a constant maturity (as compiled and published in the most recent Federal Reserve Statistical Release H.15

(519)) that has become publicly available at least 2 business days, but no more than 45 days, prior to the prepayment date (excluding inflation indexed securities or, if such Statistical Release is no longer published, any publicly available source of similar market data) most nearly equal to the period from the prepayment date to the maturity date of the Obligations to be prepaid; provided, that if the period from the prepayment date to such maturity date is less than one year, the weekly average yield on actually traded United States Treasury securities adjusted to a constant maturity of year will be used.

2.9 Conditional Redemption.

Any notice of optional redemption given for the Obligations pursuant to Section 2.8(A) herein may state that the optional redemption is conditional upon receipt by the Escrow Agent of moneys sufficient to pay the redemption price of such Obligations or upon the satisfaction of any other condition, and/or that such notice may be rescinded upon the occurrence of any other event, and any conditional notice so given may be rescinded at any time before payment of such redemption price if any such condition so specified is not satisfied or if any such other event occurs. Notice of such rescission or of the failure of any such condition shall be given by the Escrow Agent to affected owners of the Obligations as promptly as practicable.

2.10 Notice of Redemption.

Unless the book-entry-only system is discontinued, notice of any call for redemption shall be given as required by the Blanket Issuer Letter of Representations to The Depository Trust Company. If sufficient moneys are deposited with the Escrow Agent on the redemption date, interest on any Obligations so called for redemption shall cease on the redemption date designated in the notice. Unless the Depository Trust Company consents to a shorter period, the Escrow Agent will notify The Depository Trust Company of any Obligations called for redemption no fewer than 20 calendar days nor more than 60 calendar days prior to the date fixed for redemption.

During any period in which the Obligations are not in book-entry-only form, unless waived by any Owner of the Obligations to be redeemed, official notice of any prepayment of Obligations shall be given by the Escrow Agent on behalf of the City by mailing a copy of an official prepayment notice by first class mail, postage prepaid, no fewer than 30 calendar days nor more than 60 calendar days prior to the date fixed for prepayment, to the Owners of the Obligations to be redeemed at the address shown on the bond register or at such other address as is furnished in writing by such Owner to the Escrow Agent.

Notice of Prepayment. The City shall give notice of prepayment of Financing Payments to the Escrow Agent not later than 5 days before the notice of prepayment is required to be made.

3. Accounts.

3.1 Payment Account.

The Escrow Agent shall establish the Payment Account separate and apart from all other funds and moneys held by it and shall administer and maintain the Payment Account as provided in this Escrow Agreement.

3.1(A) To secure the payment of the Financing Payments, one Business Day preceding the Payment Date, the City shall transfer the deposits described in Section 3.2(C) of the Financing Agreement to the Escrow Agent. The Escrow Agent shall credit these deposits to the Payment Account.

3.1(B) On each Payment Date the Escrow Agent shall withdraw from the Payment Account and transfer to Owners an amount equal to the principal and interest components of the Financing Payment due and payable on such Payment Date.

3.1(C) If on any Payment Date, the amount of the Financing Payment then due and payable exceeds the amounts deposited with the Escrow Agent and available therefor, the Escrow Agent shall distribute the amounts available:

(1) First, to the Owners of the interest components of the Financing Payments which are then due (and if the amount available is not sufficient to pay in full all the interest components of the Financing Payment then due, then ratably to the Owners entitled to the interest payments then due, without any discrimination or preference); and,

(2) Second, to the Owners of the principal components of the Financing Payments which are then due (and if the amount available is not sufficient to pay all principal components which are then due, then ratably to the Owners entitled to the principal components which are then due, without discrimination or preference).

3.1(D) The Escrow Agent shall provide the City, not less than 30 days before the date the deposit is required under Section 3.2(C) of the Financing Agreement, an invoice which sets forth the amount of that deposit.

3.1(E) Any surplus remaining in the Payment Account after payment of the Financing Payment and all Outstanding Obligations and payment of any unpaid Additional Charges, shall be remitted to the City.

3.1(F) Any surplus remaining in the Payment Account after payment of a Financing Payment shall be retained in the Payment Account and invested by the Escrow Agent as provided in Section 4.2 herein.

3.2 Additional Charges.

If the Escrow Agent receives Additional Charges pursuant to the Financing Agreement, the Escrow Agent shall apply those payments for the purposes indicated in the Financing Agreement.

3.3 Deposits at Closing.

The proceeds of the Obligations shall be transferred by Sterne Agee & Leach, the underwriter of the Obligations pursuant to the Closing Memorandum prepared by Seattle Northwest Securities Corporation, the Financial Advisor for the Obligations.

4. Payment Account Held in Trust; Investment.

4.1 Moneys and Investments Held in Trust.

The moneys and investments held by the Escrow Agent under this Escrow Agreement are irrevocably held in trust for the purposes herein specified, and such moneys and any other income or interest earned thereon shall be expended only as provided in this Escrow Agreement, and shall not be subject to levy or attachment or lien by or for the benefit of any creditor of the City, the Escrow Agent or any Owner.

4.2 Investments Authorized.

4.2(A) Moneys held by the Escrow Agent hereunder shall be invested and reinvested by the Escrow Agent in Qualified Investments selected by the City. The City may notify the Escrow Agent of its investment selections orally or in writing, but if the City notifies the Escrow Agent orally the City shall promptly confirm its notification in writing. If the City fails to provide investment direction to the Escrow Agent in accordance with this Section 4.2, the Escrow Agent shall invest any uninvested funds in: a) a U.S. Bank Money Market interest-bearing deposit account so long as the Escrow Agent is a Qualified Institution; b) otherwise in a qualified repurchase agreement. Amounts may be invested in an account of the Escrow Agent while the Escrow Agent is a Qualified Institution. The Escrow Agent shall have no duty to determine whether an investment selected by the City is a Qualified Investment.

4.2(B) Qualified Investments in the Payment Account shall mature on or before the date the amounts invested are required for use under this Escrow Agreement. The Escrow Agent shall not be liable for any gain or loss of funds on any investment made in accordance with the instructions from the City.

4.2(C) The Escrow Agent may purchase or sell to itself or any affiliate, as principal or agent, investments authorized by this Section 4.2, and shall be entitled to its reasonable fee therefor. Such investments and reinvestments shall be made giving full consideration for the time at which funds are required to be available. The Escrow Agent may act as purchaser or agent in the making or disposing of any investment.

4.2(D) The City acknowledges that to the extent that regulations of the Comptroller of the Currency grant the City the right to receive brokerage confirmations of security transactions, the City waives receipt of such confirmations and shall rely on periodic statements of the account provided by the Escrow Agent.

4.3 Accounting.

The Escrow Agent shall furnish to the City, semi-annually, an accounting of each fund and account and of all investments made by the Escrow Agent. Except as provided in Section 5.6 below, the Escrow Agent shall not be responsible or liable for any loss suffered in connection with any investment of funds made by it in accordance with this Escrow Agreement.

4.4 Allocation of Earnings.

Interest earnings and investment income on moneys held by the Escrow Agent shall inure to the benefit of the City, but shall be held by the Escrow Agent for application as provided in this Escrow Agreement and the Financing Agreement. Any interest or investment income earned on moneys deposited in the Payment Account shall be credited to the Payment Account.

4.5 Disposition of Investments.

The Escrow Agent may sell at the then current market price, or present for prepayment, any Qualified Investment so purchased by the Escrow Agent whenever it shall be necessary to provide moneys to meet any required payment, transfer, withdrawal or disbursement from the Payment Account, and, except as provided in Section 5.6 below, the Escrow Agent shall not be liable or responsible for any loss resulting from such investment. The City may instruct the Escrow Agent at any time to sell any Qualified Investment which may be sold at a profit; proceeds of such sale shall be deposited in the account to which the Qualified Investment was credited.

4.6 Deposit and Investment of Moneys in Accounts.

The Escrow Agent may commingle any of the funds held by it pursuant to this Escrow Agreement in a separate fund or funds for investment purposes; provided, however, that all funds or accounts held by the Escrow Agent hereunder shall be accounted for separately notwithstanding any commingling by the Escrow Agent.

5. The Escrow Agent.

5.1 Compensation of the Escrow Agent.

The City shall from time to time pay to the Escrow Agent reasonable compensation for its services and will pay or reimburse the Escrow Agent upon its request for all reasonable expenses, disbursements and advances made by the Escrow Agent in accordance with the provisions of this Escrow Agreement (including the reasonable expenses and disbursements of its counsel and agents), except any such expense, disbursement or advance as may arise from its negligence or bad faith. The Escrow Agent shall also be entitled to receive extraordinary fees and its extraordinary expenses if it is requested or required to render services in connection with a default or under other circumstances not provided for in this Escrow Agreement.

5.2 Removal of Escrow Agent.

5.2(A) The Escrow Agent may be removed and a successor Escrow Agent appointed:

(1) by the City at any time if, in the good faith opinion of the City, expressed in writing and delivered to the Escrow Agent and the successor Escrow Agent, it would not be materially adverse to the interests of the Owners of the Obligations that the Escrow Agent be removed and a successor Escrow Agent appointed, or

(2) at any time by written demand thereof filed with the Escrow Agent and the successor Escrow Agent by the Owners of a majority in aggregate principal amount of all Obligations Outstanding. Such removal shall become effective upon acceptance of appointment by the successor Escrow Agent.

5.2(B) Any successor Escrow Agent appointed pursuant to the provisions of this Section 5.2(B) shall:

(1) be a trust company or bank in good standing, duly authorized to exercise trust powers and subject to examination by federal or state authority;

(2) have substantial prior experience as a Escrow Agent for the benefit of the owners of municipal debt securities; and,

(3) shall be a bank or trust company having (either singly or together with its parent holding company) a combined capital (exclusive of borrowed capital) and surplus of at least Seventy-Five Million Dollars ($75,000,000) and subject to supervision or examination by federal or state authority.

5.3 Resignation of Escrow Agent.

5.3(A) The Escrow Agent or any successor may at any time resign by giving written notice to the City and by giving notice by first class mail to the Owners as of the date such notice is mailed of its intention to resign and of the proposed date of resignation, which shall be a date not less than 60 days after the mailing of such notice, unless an earlier resignation date and the appointment of a successor Escrow Agent shall have been or are approved by the Owners of a majority in aggregate dollar amount of the Obligations then Outstanding.

5.3(B) Upon receiving such notice of resignation, the City shall promptly appoint a successor Escrow Agent by an instrument in writing; provided, however, that if the City fails to appoint a successor Escrow Agent within 30 days following receipt of such written notice of resignation, the Owners of a majority in aggregate principal amount of all Obligations Outstanding may appoint a successor Escrow Agent and if the Owners fail to appoint a successor Escrow Agent, within 30 days following the expiration of such initial 30-day period, the resigning Escrow Agent may petition the appropriate court having jurisdiction to appoint a successor Escrow Agent.

5.3(C) Notwithstanding any other provision of this Escrow Agreement, no removal, resignation or termination of the Escrow Agent shall take effect until a successor shall be appointed.

5.4 Merger or Consolidation.

A merger or consolidation of the Escrow Agent with another entity shall not be treated as the appointment of a successor, and the entity into which the Escrow Agent is merged or consolidated shall become the successor Escrow Agent without any notice or filing, but only if: the merged or consolidated entity notifies the City that it has assumed the obligations of the Escrow Agent under this Escrow Agreement and the Financing Agreement, and the merged or consolidated entity meets the requirements of Section 5.2(B) above.

5.5 Acceptance of Appointment by Successor Escrow Agent.

5.5(A) Any successor Escrow Agent appointed as provided in Section 5.3 or Section 5.4 above shall execute, acknowledge and deliver to the City and to its predecessor Escrow Agent an instrument accepting its appointment, and the appointment shall take effect on execution of that acceptance. Upon request of any successor Escrow Agent, the City and the prior Escrow Agent shall execute any documents the successor Escrow Agent may reasonably require to confirm its rights and powers under this Escrow Agreement and the Financing Agreement.

5.5(B) Upon acceptance of appointment by a successor Escrow Agent as provided in this Section 5.5, the successor Escrow Agent shall mail, first class, postage prepaid, notice of its appointment to the Owners.

5.6 Duties and Responsibilities of the Escrow Agent Prior to and During Default.

5.6(A) The Escrow Agent undertakes, prior to the occurrence of an Escrow Default and after the curing or waiving of all Events of Default which may have occurred, to perform such duties and only such duties as are specifically set forth in this Escrow Agreement. In case any Escrow Default has occurred (which has not been cured or waived) the Escrow Agent shall exercise such of the rights and powers vested in it by this Escrow Agreement, and use the same degree of care and skill in their exercise, as a prudent person would exercise or use under the circumstances in the conduct of that person's own affairs.

5.6(B) No provision of this Escrow Agreement shall be construed to relieve the Escrow Agent from liability for its own negligent action, its negligent failure to act or its own willful misconduct, except that:

(1) Prior to the occurrence of an Escrow Default and after the curing or waiving of all Events of Default which may have occurred, the duties and obligations of the Escrow Agent shall be determined solely by the express provisions of this Escrow Agreement, and the Escrow Agent shall not be liable except for the performance of such duties and obligations as are specifically set forth in this Escrow Agreement, and no covenants or obligations shall be implied into this Escrow Agreement adverse to the Escrow Agent;

(2) The Escrow Agent shall not be liable for any error of judgment made in good faith by a responsible officer of the Escrow Agent, unless it shall be proved that the Escrow Agent was negligent in ascertaining the pertinent facts;

(3) The Escrow Agent shall not be liable with respect to any action taken or omitted to be taken by it in good faith in accordance with the direction of the Owners of a majority in aggregate principal amount of the Obligations at the time Outstanding relating to the time, method and place of conducting any proceeding for any remedy available to the Escrow Agent, or exercising any trust or power conferred upon the Escrow Agent, under this Escrow Agreement; and

(4) No provision contained in this Escrow Agreement shall require the Escrow Agent to expend or risk its own funds or otherwise incur liability in the performance of any of its duties or the exercise of any of its rights or powers, if there is reasonable ground for the Escrow Agent's believing that the repayment of such funds or adequate indemnity against such risk or liability is not reasonably assured to it.

5.6(C) The Escrow Agent may execute any of the duties or powers hereof and perform any of its duties by and through attorneys, agents, receivers or employees and shall not be responsible for the acts or omissions of attorneys, agents, or receivers not affiliated with the Escrow Agent if selected with reasonable care, and shall be entitled to advice of counsel concerning all matters or duties hereunder, and may in all cases pay such reasonable compensation to such attorneys, agents, receivers and employees as may reasonably be employed in connection with the duties hereof. The Escrow Agent may act upon the opinion or advice of any attorney, approved by the Escrow Agent in the exercise of reasonable care. The Escrow Agent shall not be responsible for any loss or damage resulting from any action or non-action in good faith or reliance upon such opinion or advice.

5.7 Protection and Rights of the Escrow Agent.

5.7(A) The Escrow Agent shall be protected and shall incur no liability in acting or proceeding in good faith upon any resolution, notice, telegram, request, consent, waiver, certificate, statement, affidavit, voucher, bond, requisition or other paper or document which it shall in good faith believe to be genuine and to have been passed or signed by the proper board or person or to have been prepared and furnished pursuant to any of the provisions of this Escrow Agreement, and the Escrow Agent shall be under no duty to make any investigation or inquiry as to any statements contained or matters referred to in any such instrument, but may accept and rely upon the same as conclusive evidence of the truth and accuracy of such statements. The Escrow Agent may consult with counsel, who may be counsel to the City, with regard to legal questions and the opinion of such counsel shall be full and complete authorization and protection in respect of any action taken or suffered by it hereunder in good faith in accordance therewith.

5.7(B) Whenever in the administration of its duties under this Escrow Agreement, the Escrow Agent shall deem it necessary or desirable that a matter be provided or established prior to taking or suffering any action hereunder, such matter (unless other evidence in respect thereof be herein specifically prescribed) shall be deemed to be conclusively proved and established by the certificate of a City Official and such certificate shall be full warranty to the Escrow Agent for any action taken or suffered under the provisions of this Escrow Agreement upon the faith thereof, but in its discretion the Escrow Agent may, in lieu thereof, accept other evidence of such matter or may require such additional evidence as to it may seem reasonable.

5.7(C) The Escrow Agent may become the Owner of Obligations with the same rights it would have if it were not the Escrow Agent; may acquire and dispose of other certificates or evidences of indebtedness of the City with the same rights it would have if it were not the Escrow Agent; and may act as a depository for and permit any of its officers or directors to act as a member of, or in any other capacity with respect to, any committee formed to protect the rights of Owners, whether or not such committee shall represent the Owners of the majority in aggregate principal amount of the Obligations then Outstanding.

5.7(D) The recitals, statements and representations by the City contained in this Escrow Agreement and in the Obligations shall be taken and construed as made by and on the part of the City, as the case may be, and not by the Escrow Agent, and the Escrow Agent does not assume, and shall not have, any responsibility or obligation for the correctness of any thereof. The Escrow Agent shall have no responsibility with respect to any information, statement, or recital in an offering memorandum, official statement or other disclosure material prepared or distributed with respect to Obligations.

5.7(E) Escrow Agent may execute any of the trusts or powers hereof and perform the duties required of it hereunder by or through attorneys, agents, or receivers, and shall be entitled to advice of counsel concerning all matters of trust and its duty hereunder, and the Escrow Agent shall not be answerable for the default or misconduct of any such attorney, agent, or receiver selected by it with reasonable care. The Escrow Agent may act upon the opinion or advice of any attorney approved by the Escrow Agent in the exercise of reasonable care.

5.7(F) The Escrow Agent shall not be required to take notice or be deemed to have notice of any default hereunder, except failure of the City to make Financing Payments to the Escrow Agent or any default of which the Escrow Agent has actual knowledge, unless the Escrow Agent shall have received written notice of such default from the City or from the Owners of at least twenty-five percent (25%) of the unpaid principal component of Financing Payments.

5.8 Indemnification.

5.8(A) To the extent permitted by law, the City covenants and agrees to indemnify and hold the Escrow Agent harmless against any loss, expense or liability which it may incur arising out of or in the exercise or performance of its duties and powers hereunder, including the costs and expenses of defending against any claim or liability, or enforcing any of the rights or remedies granted to it under the terms of this Escrow Agreement, excluding any losses or expenses which are due to the Escrow Agent's breach of fiduciary duties, negligence or willful misconduct. The obligations of the City under this Section 5.8 shall survive the resignation or removal of the Escrow Agent under this Escrow Agreement and the payment of the Obligations and discharge under this Escrow Agreement. The damages claimed against the City shall not exceed the damages which may be allowed under the Oregon Tort Claims Act, Oregon Revised Statutes Section 30.260, et seq., unless the provisions and limitations of such act are preempted by federal law, including, but not limited to the federal securities laws.

5.8(B) Before taking any action under Article 9, Section 9.2 hereunder or Section 5.3 of the Financing Agreement, the Escrow Agent may require payment of its fees and expenses,

including reasonable attorney's fees, and upon receipt of indemnity satisfactory to it be furnished by Owners of the Obligations for the reimbursement of all further expenses to which it may be put and to protect it against all liability, except liability which is adjudicated to have resulted from its negligence or willful default by reason of any action so taken.

6. Concerning the Obligation Owners.

6.1 Evidence of Action Taken by Owners.

Whenever in this Escrow Agreement it is provided that the Owners of a specified percentage in aggregate principal amount of the Outstanding Obligations may take any action (including the making of any demand or request, the giving of any notice, consent or waiver or the taking of any other action), the fact that at the time of taking any such action the Owners of such specified percentage have joined therein may be evidenced:

6.1(A) by any instrument or any number of instruments of similar tenor executed by Owners in person or by agent or proxy appointed in writing, or

6.1(B) by the record of the Owners voting in favor thereof at any meeting of Owners, or

6.1(C) by a combination of such instrument or instruments and any such record of such a meeting of Owners.

6.2 Action Taken by Owners Irrevocable.

Any consent to the taking of any action by any Owner of an Outstanding Obligation shall be irrevocable and shall be conclusive and binding upon such Owner and upon all future Owners of such Obligation and of any Obligation executed and delivered in exchange or substitution therefor, irrespective of whether or not any notation and regard thereto is made upon such Obligation. Any action taken by the Owners of the percentage in aggregate principal amount of the Outstanding Obligations specified in this Escrow Agreement in connection with such action shall be conclusive and binding upon the City, the Escrow Agent and the Owners of all the Obligations.

6.3 Certain Obligations Disregarded.

In determining whether the Owners of the requisite aggregate principal amount of Obligations have concurred in any direction or consent under this Escrow Agreement, Obligations which are owned by the Escrow Agent or the City or by any person directly or indirectly controlling or controlled by or under direct or indirect common control with the Escrow Agent or the City shall be disregarded and treated as though they were not Outstanding for the purpose of any such determination; provided that for the purposes of determining whether the Escrow Agent shall be protected in relying on any such direction or consent, only Obligations which the Escrow Agent knows are so owned shall be so disregarded. Obligations so owned which have been pledged in good faith may be regarded as Outstanding for the purposes of this Section 6.3, if the pledgee shall establish to the satisfaction of the Escrow Agent the pledgee's right to vote such Obligations and that the pledgee is not a person directly or indirectly controlling or controlled by

or under direct or indirect common control with the Escrow Agent or the City. In case of a dispute as to such right, any decision by the Escrow Agent taken upon the advice of counsel shall be full protection to the Escrow Agent.

7. Modification of Escrow Agreement and Financing Agreement.

7.1 Limitations.

This Escrow Agreement may be modified or amended only in accordance with this Section 7.

7.2 Supplemental Escrow Agreement Without Consent of Owners.

7.2(A) The City and the Escrow Agent may at any time enter into supplemental Escrow Agreements without the consent of or notice to the Owners, for the following purposes:

(1) To cure any formal defect, omission, inconsistency or ambiguity in this Escrow Agreement or to make any other change to this Escrow Agreement, as long as the change does not, in the reasonable judgment of the City, materially and adversely affect the interests of the Owners or involve a change described in Section 7.3(A);

(2) To grant to or confer or impose upon the Escrow Agent for the benefit of the Owners any additional rights, remedies, or powers or to amend this Escrow Agreement in any other way for the benefit of the Owners; provided that no such amendment may have, in the reasonable judgment of the City, a material and adverse effect on any Owner which has not consented to the supplemental Escrow Agreement.

7.2(B) Before the Escrow Agent and the City shall enter into any supplemental Escrow Agreement pursuant to this section, the City shall deliver to the Escrow Agent an opinion of Special Counsel stating that the supplemental Escrow Agreement is authorized or permitted by this Escrow Agreement, complies with its terms, will, upon the execution and delivery thereof, be valid and binding upon the City in accordance with its terms, and will not adversely affect the exclusion from gross income for federal income tax purposes of interest payable on the Obligations.

7.3 Supplemental Escrow Agreement with Consent of the Owners.

7.3(A) Any amendment to this Escrow Agreement which is not described in Section 7.2 above requires the consent of: 1) the City, 2) the Escrow Agent and 3) the consent of Owners of not less than a majority in aggregate principal amount of the Obligations then Outstanding. However, in addition to the consent of the City, the Escrow Agent, and the consent of all affected Owners of all the Obligations then Outstanding is required for:

(1) a change in the terms of the payment or prepayment of any portion of the Financing Payment, or

(2) the creation of a claim or lien upon, or a pledge of the rights of the Escrow Agent under the Financing Agreement (other than the Escrow Agent's right to Additional Charges) or amounts in

the Payment Account ranking prior to or (except as expressly permitted by this Escrow Agreement) on a parity with the claim, lien or pledge created by this Escrow Agreement, or

(3) the creation of a preference or priority of any Obligation or Obligations over any other Obligation or Obligations, or

(4) a reduction in the aggregate principal amount of Obligations the consent of the Owners of which is required for any supplemental Escrow Agreement or which is required, under Section 7.6, for any modification, alteration, amendment or supplement to the Financing Agreement.

7.3(B) If at any time the City shall request the Escrow Agent to enter into any supplemental Escrow Agreement for any of the purposes of this Section 7.3 which require Owners' consent, the Escrow Agent shall cause notice of the proposed supplemental Escrow Agreement to be given by first class mail, postage prepaid, to all affected Owners at their addresses as they appear in the Obligation Register. Such notice shall briefly set forth the nature of the proposed supplemental Escrow Agreement and shall state that a copy thereof is on file at the office of the Escrow Agent for inspection by all Owners. Within two years after the date of the first mailing, the Escrow Agent and the City may enter into such supplemental Escrow Agreement in substantially the form described in such notice, but only if there shall have first been delivered to the Escrow Agent (i) the required consents, in writing, of Owners of Obligations then Outstanding, and (ii) an opinion of Special Counsel stating that such supplemental Escrow Agreement is authorized or permitted by this Escrow Agreement, complies with its terms, will, upon the execution and delivery thereof, be valid and binding upon the Escrow Agent and the City in accordance with its terms and will not adversely affect the exclusion from gross income for federal income tax purposes of interest with respect to the Obligations.

7.3(C) If the Owners of not less than the percentage of Obligations then Outstanding required by Section 7.3(A) shall have consented to and approved the execution and delivery thereof as herein provided, no Owner shall have any right to object to the execution and delivery of such supplemental Escrow Agreement, or to object to any of the terms and provisions contained therein or the operation thereof, or in any manner to question the propriety of the execution and delivery thereof, or to enjoin or restrain the Escrow Agent or the City from executing and delivering the same or from taking any action pursuant to the provisions thereof.

7.4 Effect of Supplemental Escrow Agreement.

Upon the execution and delivery of any supplemental Escrow Agreement pursuant to the provisions of this Section 7, this Escrow Agreement shall be, and be deemed to be, modified and amended in accordance therewith, and the respective rights, duties and obligations under this Escrow Agreement of the Escrow Agent, the City, and all Owners of Obligations then Outstanding shall thereafter be determined, exercised and enforced under this Escrow Agreement subject in all respects to such modifications and amendments.

7.5 Amendments to Financing Agreement Not Requiring Consent of Owners.

7.5(A) The City and the Escrow Agent may at any time enter into amendments to the Financing Agreement without the consent of or notice to the Owners for the following purposes:

(1) To cure any formal defect, omission, inconsistency or ambiguity in the Financing Agreement or to make any other change to the Financing Agreement, as long as the change does not, in the reasonable judgment of the City, materially and adversely affect the interests of the Owners or permit the termination or cancellation of the Financing Agreement or a reduction in or postponement of the Financing Payments; and,

(2) To grant to or confer or impose upon the Escrow Agent for the benefit of the Owners any additional rights, remedies, or powers or to amend the Financing Agreement in any other way for the benefit of the Owners; provided that no such amendment may have, in the reasonable judgment of the City, a material and adverse effect on any Owner which has not consented to the amended Financing Agreement.

7.5(B) Before the City shall enter into, and the Escrow Agent shall consent to, any amendment change or modification pursuant to this Section 7.5 or Section 7.6 below, there shall have been delivered to the Escrow Agent and the City an opinion of Special Counsel stating that such amendment, change or modification is authorized or permitted by this Escrow Agreement and the Financing Agreement, complies with their terms, will, upon the execution and delivery thereof, be valid and binding upon Escrow Agent and the City in accordance with its terms and will not adversely affect the exclusion from gross income for federal income tax purposes of interest with respect to the Obligations.

7.6 Amendments to Financing Agreement Requiring Consent of the Owners.

7.6(A) Any amendment to the Financing Agreement which is not described in Section 7.5 requires the consent of: 1) the City, 2) the Escrow Agent and 3) the consent of Owners of not less than a majority in aggregate principal amount of the Obligations Outstanding given as provided in this Section 7.6. However, in addition to the consent of the City, the Escrow Agent, the consent of the Owners of all affected Obligations then Outstanding is required for any amendment, change or modification of the Financing Agreement that would permit the termination or cancellation of the Financing Agreement or a reduction in or postponement of the Financing Payments.

7.6(B) If at any time the City shall request the consent of the Escrow Agent to an amendment to the Financing Agreement which is not described in Section 7.5 above, the Escrow Agent shall cause notice to be given of such proposed amendment, change of modification in the same manner as provided by Section 7.3 with respect to supplemental Escrow Agreements. Such notice shall briefly set forth the nature of such proposed amendment, change or modification, and shall state that copies of the instrument embodying the same are on file at the principal office of the Escrow Agent for inspection by all Owners. The City may enter into, and the Escrow Agent may consent to, any such proposed amendment, change or modification subject to the same conditions and with the same effect as provided in Section 7.3 hereof with respect to supplemental Escrow

Agreements, provided the City has obtained the opinion of Special Counsel which is described in Section 7.5 above.

8. Covenants.

8.1 Compliance With and Enforcement of Financing Agreement.

8.1(A) The City covenants and agrees with the Owners of the Obligations to perform all obligations and duties imposed on it under the Financing Agreement, and to enforce such agreement against the Escrow Agent in accordance with its terms.

8.1(B) The Escrow Agent covenants and agrees with the Owners of the Obligations to perform all obligations and duties imposed on it under the Financing Agreement, and to enforce such Agreement against the City in accordance with its terms, subject to the rights of the City therein as provided in this Escrow Agreement and the Financing Agreement.

8.2 Notice of Default.

If an Escrow Default or a Financing Default occurs the Escrow Agent shall give written notice to the Owners of the Obligations then Outstanding. The notice shall specify that an Escrow Default or a Financing Default has occurred and give a brief description of the event or failure. The Escrow Agent shall give this notice by first class mail, postage prepaid, to each Owner within thirty (30) days of the Escrow Agent's actual knowledge of the event or failure. However, except for an Escrow Default described in Section 9.1(A) below, the Escrow Agent may withhold such notice if and so long as the Escrow Agent in good faith determines that the withholding of such notice is in the interests of the Owners of Obligations. Any failure by the Escrow Agent to give this notice shall not affect any rights of Owners to take the actions described in Section 9 herein.

8.3 Further Assurances.

The Escrow Agent and the City will make, execute and deliver any and all such further resolutions, instruments and assurances as the Escrow Agent may deem reasonably necessary or proper to carry out the intention or to facilitate the performance of this Escrow Agreement, and for the better assuring and confirming to the Owners of the Obligations the rights and benefits provided herein.

9. Events of Default.

9.1 Events of Default.

The occurrence of one or more of the following shall constitute Events of Default:

9.1(A) The City shall fail to pay any Financing Payment when due; or

9.1(B) The City shall fail to observe and perform any other covenant, condition or agreement on its part to be observed or performed for a period of 60 days after written notice to the City by the Escrow Agent, specifying such failure and requesting that it be remedied,

unless the Escrow Agent shall agree in writing to an extension of such time prior to its expiration; provided however, that if the failure stated in the notice cannot be corrected within the applicable period, the Escrow Agent will not unreasonably withhold its consent to an extension of such time if corrective action is instituted by the City within the applicable period and diligently pursued until the default is corrected.

9.2 Remedies on Escrow Default.

Upon the occurrence and continuance of any Escrow Default, the Escrow Agent may proceed, and upon written request of the Owners of not less than 51% in aggregate principal amount of Obligations then Outstanding, shall take whatever action at law or in equity may appear necessary or desirable to enforce the Financing Agreement or to protect any of the rights vested in the Escrow Agent or the Owners of Obligations by this Escrow Agreement or by the Obligations, either at law or in equity or in bankruptcy or otherwise, whether for the specific enforcement of any covenant or agreement contained in this Escrow Agreement or in aid of the exercise of any power granted in this Escrow Agreement or for the enforcement of any other legal or equitable right vested in the Escrow Agent by this Escrow Agreement or by law. HOWEVER, THE FINANCING AMOUNT AND THE FINANCING PAYMENTS SHALL NOT BE SUBJECT TO ACCELERATION.

9.3 No Remedy Exclusive.

No remedy herein conferred upon or reserved to the Escrow Agent is intended to be exclusive and every such remedy shall be cumulative and shall be in addition to every other remedy given under this Escrow Agreement to the Escrow Agent, or given under the Financing Agreement to the Escrow Agent and assigned hereunder to the Escrow Agent, or now or hereafter existing at law or in equity. No delay or omission to exercise any right or power accruing upon any default shall be construed to be a waiver thereof, but any such right and power may be exercised from time to time and as often as may be deemed expedient. To entitle the Escrow Agent to exercise any remedy reserved to it, it shall not be necessary to give any notice other than such notice as may be required in this Section 9 or by law.

9.4 Agreement to Pay Attorneys' Fees and Expenses.

If any party to this Escrow Agreement should default under any of the provisions hereof and any non-defaulting party or parties should employ attorneys or incur other expenses for the collection of moneys on the enforcement or performance or observance of any obligation or agreement on the part of the defaulting party herein contained, the defaulting party agrees that it shall on demand therefor pay, to the extent permitted by law, to such non-defaulting party or parties the reasonable fees of such attorneys and such other expenses incurred by such non-defaulting party or parties.

9.5 No Additional Waiver Implied by One Waiver.

If any agreement contained in this Escrow Agreement should be breached by a party and thereafter waived by another party, such waiver shall be limited to the particular breach so waived and shall not be deemed to waive any other breach hereunder.

9.6 Application of Moneys Upon Default.

If, at any time after an Escrow Default or a Financing Default has occurred, the moneys in the Payment Account shall not be sufficient to pay the Financing Payments as the same become due and payable, such moneys together with any moneys available or thereafter becoming available for such purpose, whether through the exercise of the remedies provided for herein or otherwise, shall be applied by the Escrow Agent as follows:

9.6(A) ***First:*** To the payments of costs, expenses and fees, and reasonable compensation of the Escrow Agent, its agents and attorneys, and all expenses and liabilities incurred and advances made by the Escrow Agent;

9.6(B) ***Second:*** To the payment to the Owners of the interest components of the Financing Payments which are then due, and, if the amount available is not sufficient to pay in full all the interest components of the Financing Payment then due, then ratably to the Owners entitled to the interest payments then due, without any discrimination or preference;

9.6(C) ***Third:*** To the payment to the Owners of the principal components of the Financing Payment which are then due, and, if the amount available shall not be sufficient to pay all principal components which are then due, then ratably to the Owners entitled to the principal components which are then due, without discrimination or preference; and,

9.6(D) ***Fourth:*** To the City, but only if the Obligations are no longer Outstanding and all Additional Charges have been paid.

9.7 Action by Owners.

If the Escrow Agent fails to take any remedy available as a result of the occurrence of an Escrow Default or a Financing Default, the Owners of a majority in aggregate principal amount of Obligations then Outstanding may institute any suit, action, mandamus or other proceeding in equity or at law for the protection or enforcement of any right under the Financing Agreement or this Escrow Agreement, but only if the Owners have first made written request of the Escrow Agent to institute such action or proceedings in its own name as Escrow Agent hereunder and shall have afforded the Escrow Agent 60 days either to proceed to exercise the powers granted therein or granted under law or to institute such action, suit or proceeding in its name and unless also, the Escrow Agent shall have been offered reasonable security and indemnity against the costs, expenses and liabilities to be incurred therein or thereby, and the Escrow Agent shall have refused or neglected to comply with such request within a reasonable time.

10. Limitation of Liability.

10.1 Limited Liability of City.

Except for the payment of Financing Payment and Additional Charges when due in accordance with the Financing Agreement, and the performance of the other covenants and agreements of the City contained in the Financing Agreement and this Escrow Agreement, the City shall have

no obligation or liability to any of the other parties or to the Owners of the Obligations with respect to this Escrow Agreement or the terms, execution, delivery or transfer of the Obligations, or the distribution of the Financing Payments to the Owners by the Escrow Agent.

10.2 No Liability of City for Escrow Agent Performance.

The City shall not have any obligation or liability to any of the other parties or to the Owners of the Obligations with respect to the performance by the Escrow Agent of any duty imposed upon the Escrow Agent under this Escrow Agreement.

10.3 No Liability of Escrow Agent for the Financing Payment by City.

The Escrow Agent (except as provided herein) shall not have any obligation or liability to the Owners of the Obligations with respect to the payment of the Financing Payments by the City when due, or with respect to the performance by the City of any other covenant made by the City in this Escrow Agreement or the Financing Agreement.

10.4 Opinion of Counsel; Experts.

10.4(A) Before being required to take any action after or in connection with an Escrow Default or a Financing Default, the Escrow Agent may require an opinion of independent counsel acceptable to the Escrow Agent, which opinion shall be made available to the other parties hereto upon request, which counsel may be counsel to any of the parties hereto, or a verified certificate of any party hereto, or both, concerning the proposed action. If it does so in good faith, the Escrow Agent shall be absolutely protected in relying thereon.

10.4(B) If an Escrow Default occurs or a dispute arises under this Escrow Agreement or the Financing Agreement, the Escrow Agent may employ as its agents, attorneys at law, certified public accountants and recognized authorities in their fields (who are not employees of the Escrow Agent), as it may reasonably deem necessary to carry out any of its obligations hereunder. The City shall reimburse the Escrow Agent for its reasonable expenses in so doing.

10.4(C) The Escrow Agent may consult with counsel and the written advice of such counsel or any opinion of counsel shall be full and complete authorizations and protection in respect to any action taken or not taken by the Escrow Agent hereunder in good faith and in reliance thereon.

10.5 Limitation of Rights to Parties and Owners.

Nothing in this Escrow Agreement or in the Obligations expressed or implied is intended or shall be construed to give any person other than the City, the Escrow Agent and the Owners of the Obligations, any legal or equitable right, remedy or claims under or in respect of this Escrow Agreement; all covenants, conditions and provisions are and shall be for the sole and exclusive benefit of the City, the Escrow Agent and the Owners.

11. Miscellaneous.

11.1 Defeasance.

11.1(A) All or any portion of the Outstanding Obligations may be paid and discharged in any one or more of the following ways:

(1) By paying or causing to be paid the Financing Payments attributable to such Obligations as and when the same become due and payable;

(2) By irrevocably depositing with the Escrow Agent or an independent escrow agent, in trust, before maturity, money which, together with the amounts then on deposit in the Payment Account, is fully sufficient to pay all Financing Payments attributable to such Obligations; or

(3) By irrevocably depositing with the Escrow Agent or an independent escrow agent, in trust, Defeasance Obligations in such amount which will, together with the interest to accrue thereon, be sufficient to pay all Financing Payments attributable to such Obligations, as and when the same become due and payable, as evidenced by a verification report, and providing the Escrow Agent with an opinion of Special Counsel that such deposits will not cause the interest component of Financing Payments to be includable in gross income under federal income tax laws.

11.1(B) All obligations of the Escrow Agent and the City under this Escrow Agreement with respect to such Obligations which are paid or deemed paid hereunder shall cease and terminate, except for the obligation of the City to pay the Additional Charges specified in Section 3.2 of the Financing Agreement and to pay Financing Payments from the amount so deposited, and of the Escrow Agent to apply amounts on deposit to the payment of the Financing Payments.

11.1(C) The Escrow Agent shall, so long as any Obligations remain Outstanding, keep complete and accurate records of all moneys received and disbursed under this Escrow Agreement, which shall be available for inspection by the City and any Owner, or the agent of any of them, at any time during reasonable business hours upon reasonable prior notice. Upon written notice, the Escrow Agent shall promptly make such records available to the City, any Owner, or their respective auditors and other representatives, and shall cooperate with them in auditing and reproducing the records.

11.2 Notices.

11.2(A) All written notices to be given under this Escrow Agreement to any party to this Escrow Agreement shall be given via electronic or by facsimile or by regular mail to the following addresses (unless the addressee has previously notified the other party in writing of a change in address):

To the Escrow Agent at:

U.S. Bank National Association, Corporate Trust Services
555 S.W. Oak St., PD-OR-P6TD

Portland, Oregon 97204
Fax #: 503-275-5738

To the City at:

City of Gresham
1333 NW Eastman Parkway
Gresham, OR 97030

11.2(B) Any such notice shall be deemed given if sent via electronic or by facsimile or deposited in the United States mail with postage pre-paid.

11.3 Governing Law.

This Escrow Agreement shall be construed and governed in accordance with the laws of the State of Oregon. Any action regarding this Escrow Agreement or the transactions contemplated hereby shall be brought in an appropriate court for the State of Oregon in Multnomah County, Oregon.

11.4 Partial Invalidity.

Any provision of this Escrow Agreement found to be prohibited by law shall be ineffective only to the extent of such prohibition, and shall not invalidate any remainder of this Escrow Agreement.

11.5 Binding Effect; Successors.

This Escrow Agreement shall be binding upon and inure to the benefit of the parties and their respective successors and assigns. Whenever in this Escrow Agreement any party hereto is named or referred to, such reference shall be deemed to include the successors or assigns thereof, and all covenants and agreements contained in this Escrow Agreement by or on behalf of any party hereto shall bind and inure to the benefit of the successors and assigns thereof whether so expressed or not.

11.6 Execution in Counterparts.

This Escrow Agreement may be executed in several counterparts, each of which shall be an original and all of which shall constitute the same agreement.

11.7 Destruction of Canceled Obligations.

Whenever in this Escrow Agreement provision is made for the surrender to or cancellation by the Escrow Agent and the delivery to the Escrow Agent of any Obligations, the Escrow Agent may, upon the request of the Escrow Agent's representative, in lieu of such cancellation and delivery, destroy such Obligations and deliver a certificate of such destruction to the City.

11.8 Headings.

The headings, titles and table of contents in this Escrow Agreement are provided for convenience and shall not affect the meaning, construction or effect of this Escrow Agreement. All references herein to "Sections," and other subdivisions which do not specify the document in which the subdivision is located shall be construed as references to this Escrow Agreement.

[The remainder of this page is left blank intentionally.]

This Escrow Agreement is executed by its parties as of the 30th day of July, 2013.

U.S. Bank National Association, as Escrow Agent

_____

Authorized Officer

City of Gresham, Oregon

_____

Authorized Officer

EXHIBIT A
(Maturity Schedule)

Aggregate original principal amount of Obligations: $7,610,000

Date of Obligations: July 30, 2013

Obligation interest is payable on July 1 and January 1 of each year, commencing January 1, 2014.

Maturity Date (July 1)	Maturity Amount ($)	Interest Rate (%)	CUSIP No. (Base 397730)
2014	345,000	0.75	RA2
2015	380,000	1.00	RB0
2016	380,000	1.40	RC8
2017	375,000	1.85	RD6
2018	375,000	2.25	RE4
2019	375,000	2.65	RF1
2020	375,000	3.05	RG9
2021	375,000	3.25	RH7
2022	375,000	3.45	RJ3
2023	375,000	3.65	RK0
2025*	755,000	4.00	RL8
2027*	760,000	4.30	RM6
2029*	775,000	4.50	RN4
2031*	785,000	4.65	RP9
2033*	805,000	4.85	RQ7

*Term Obligations

EXHIBIT B
(Form of Obligation)

No. R-__ $_____

Full Faith and Credit Obligation
Series 2013C (Federally Taxable - Qualified Energy Conservation Bonds - Direct Payment)
Evidencing a Proportionate Interest of the Owner Hereof
in Financing Payments to be Made Under a Financing Agreement Between
City of Gresham, Oregon, as Borrower
and
U.S. Bank National Association, as Escrow Agent

Dated Date: July 30, 2013
Interest Rate Per Annum: ___%
Maturity Date: July 1, _____
CUSIP Number: 397730
Registered Owner: -----Cede & Co.-----
Principal Amount: -----_____ Dollars-----

This is to certify that the Registered Owner named above (the "Owner") of this Obligation is the owner of a proportionate and undivided interest in and right to receive a portion of the principal component of the Financing Payment due on the Maturity Date named above under and as defined in the Financing Agreement dated as of July 30, 2013, relating to this Obligation (the "Financing Agreement") by and between U.S. Bank National Association (the "Escrow Agent") and the City of Gresham, Oregon (the "City"). Interest on this Obligation is payable on July 1 and January 1 of each year until maturity, commencing January 1, 2014, at the Interest Rate Per Annum set forth above. Payment of principal and interest shall be made to the Owner hereof as the Owner's name appears on the registration books of the City maintained by the Escrow Agent, as of the close of business on the fifteenth day of the calendar month immediately preceding the applicable payment date (the "Record Date"). For so long as this Obligation is subject to a book-entry-only system, principal and interest payments shall be paid to the nominee of the securities depository for this Obligation. On the date of issuance of this Obligation, the securities depository for this Obligation is The Depository Trust Company, New York, New York, and Cede & Co. is the nominee of The Depository Trust Company. Such payment shall be made payable to the order of "Cede & Co."

This Obligation is one of the Full Faith and Credit Obligations, Series 2013C (Federally Taxable - Qualified Energy Conservation Bonds - Direct Payment) (the "Obligations"), executed and delivered by the Escrow Agent pursuant to an Escrow Agreement dated as of July 30, 2013, (the "Escrow Agreement") by and between the Escrow Agent and the City. The Financing Agreement and the Escrow Agreement (copies of which are on file with the Escrow Agent) state the terms on which the Obligations are delivered, and the rights thereunder of the Owners of the Obligations, the rights, duties and immunities of the Escrow Agent and the rights and obligations of the City under the Financing Agreement. The provisions of the Escrow Agreement and the Financing Agreement are incorporated into this Obligation by reference. Capitalized terms used in this Obligation have the meanings defined for such terms in the Escrow Agreement and Financing Agreement.

This Obligation represents an ownership interest in and a right to receive up to the Principal Amount named above, representing a proportionate share of the principal component of the Financing Payment which is due on the maturity date of this Obligation, plus a proportionate share of interest accrued on that principal component, as provided in the Escrow Agreement.

The obligation of the City to pay the Financing Payments is unconditional. The Financing Payments are payable from all legally available funds of the City, and pursuant to ORS 287A.315 the City has pledged its full faith and credit and taxing power within the limitations of Sections 11 and 11b of Article XI of the Oregon Constitution to pay the Financing Payments.

The City is authorized to enter into the Financing Agreement pursuant to the laws of the State of Oregon and Resolution No. 3129 of the City adopted May 21, 2013. The City has entered into the Financing Agreement for the purposes described in the Resolution, and costs related to the authorization, sale, issuance and delivery of the Obligations. The Escrow Agent has agreed to hold its rights to receive the Financing Payments in escrow for the benefit of the Owners.

The Obligations are initially issued as a book-entry-only security issue with no certificates provided to the beneficial owners. While the Obligations are in book-entry form, the Obligations shall be subject to the rules and procedures of The Depository Trust Company. Records of ownership of beneficial interests in the Obligations will be maintained by The Depository Trust Company and its participants. Any exchange or transfer of this Obligation must be registered as provided in the Escrow Agreement. Should the book-entry-only system be discontinued, the Escrow Agent shall provide all beneficial owners with executed, printed Obligations which are registered in the name of the beneficial owners, who shall each then become Owners, as provided in the Escrow Agreement.

The Obligations are subject to maturity and redemption as described in the final Official Statement for the Obligations which is dated July 9, 2013.

Unless the book-entry-only system is discontinued, notice of any call for redemption shall be given as required by the Blanket Issuer Letter of Representations to The Depository Trust Company, as referenced in the Escrow Agreement. The Obligations are subject to conditional notice of redemption as provided in the Escrow Agreement. Unless the Depository Trust Company consents to a shorter period, the Escrow Agent will notify The Depository Trust Company of any Obligations called for redemption no fewer than 20 calendar days nor more than 60 calendar days prior to the date fixed for redemption. If the book-entry-only system is discontinued, the Escrow Agent and the City shall provide for an alternative system of providing notice of redemption and such other matters as need to be updated for the Obligations, that is of general acceptance in the municipal bond market. Any failure to give notice shall not invalidate the redemption of the Obligations.

Unless this Obligation is presented by an authorized representative of The Depository Trust Company, a New York corporation ("DTC") to the City or the Escrow Agent for registration of transfer, exchange or payment, and any Obligation issued is registered in the name of Cede & Co. or such other name as is requested by an authorized representative of DTC (and any payment is made to Cede & Co. or to such other entry as is requested by an authorized representative of DTC), ANY TRANSFER, PLEDGE OR OTHER USE HEREOF FOR VALUE OR OTHERWISE BY OR TO ANY PERSON IS WRONGFUL inasmuch as the Registered Owner hereof, Cede & Co., has an interest herein.

This Obligation shall remain in the Escrow Agent's custody subject to the provisions of the FAST Balance Certificate Agreement currently in effect between the Escrow Agent and The Depository Trust Company.

IN WITNESS WHEREOF, this Obligation has been executed and delivered by U.S. Bank National Association, as Escrow Agent, acting pursuant to the Escrow Agreement.

U.S. Bank National Association, as Escrow Agent

_____

Authorized Officer

THIS OBLIGATION SHALL NOT BE VALID UNLESS PROPERLY AUTHENTICATED BY THE ESCROW AGENT IN THE SPACE PROVIDED BELOW.

CERTIFICATE OF AUTHENTICATION

This is one of the $7,610,000 aggregate principal amount of the City of Gresham, Oregon, Full Faith and Credit Obligations, Series 2013C (Federally Taxable - Qualified Energy Conservation Bonds - Direct Payment), issued in accordance with the Escrow Agreement described herein.

Date of authentication: July 30, 2013.

U.S. Bank National Association, as Escrow Agent

_____

Authorized Officer

ASSIGNMENT

FOR VALUE RECEIVED, the undersigned sells, assigns and transfers unto _____

_____

(Please insert social security or other identifying number of assignee)

this Obligation and does hereby irrevocably constitute and appoint _____ as attorney to transfer this Obligation on the books kept for registration thereof with the full power of substitution in the premises.

Dated:_____

NOTICE: The signature to this assignment must correspond with the name of the registered owner as it appears upon the face of this Obligation in every particular, without alteration or enlargement or any change whatever.

NOTICE: Signature(s) must be guaranteed by a member of the New York Stock Exchange or a commercial bank or trust company

Signature Guaranteed

_____

(Bank, Trust Company or Brokerage Firm)

_____

Authorized Officer

The following abbreviations, when used in the inscription on the face of this Obligation, shall be construed as though they were written out in full according to applicable laws or regulations.

TEN COM -- tenants in common
TEN ENT -- as tenants by the entireties
JT TEN -- as joint tenants with right of survivorship
and not as tenants in common
OREGON CUSTODIANS use the following
_____ CUST UL OREG _____ MIN
as custodian for (name of minor)
OR UNIF TRANS MIN ACT
under the Oregon Uniform Transfer to Minors Act

Additional abbreviations may also be used though not in the list above.